

Charles Kindleberger, *The World in Depression, 1929-39*, Chapter 14, "An Explanation of the 1929 Depression," (Berkeley: University of California Press, 1973), pp. 291-308

We return to the original questions: what produced the world depression of 1929, why was it so widespread, so deep, so long? Was it caused by real or monetary factors? Did it originate in the United States, in Europe, in the primary-producing countries of the periphery, in the relations among them? Was the fatal weakness the nature of the international capitalist system, or the way it was operated, i.e. the policies pursued by governments? Were such policies, to the extent they were important, the consequence of ignorance, short-sightedness or ill-will? Were the depth and length of the depression a reflection of the strength of the shock to a relatively stable system, or a measure of the system's instability in the presence of a blow or series of blows of normal force (however measured)? Or to bring the issue back to the difference between Milton Friedman and Paul Samuelson, was the 1929 depression the consequence of United States monetary policy or a series of historical accidents? Inevitably in drawing the threads together there will be a considerable amount of confirmation of preconceptions. We are open to the accusation of having selected statistics, facts and incidents from the history of the decade which support a position chosen *a priori*. But we would claim that we have not knowingly suppressed any facts that do not fit the explanation which follows, nor ignored other explanations such as United States monetary policy (Friedman); misuse of the gold standard (Robbins); mistaken deflation (Keynes); secular stagnation (Hansen); structural disequilibrium (Svennilson); and the like. The chapter is entitled 'An Explanation' not 'The Explanation'.

The explanation of this book is that the 1929 depression was so wide, so deep and so long because the international economic system was rendered unstable by British inability and United States unwillingness to assume responsibility for stabilizing it in three particulars: (a) maintaining a relatively open market for distress goods; (b) providing counter-cyclical long-term lending; and (c) discounting in crisis. The shocks to the system from the overproduction of certain primary products such as wheat; from the 1927 reduction of interest rates in the United States (if it was one); from the halt of lending to Germany in 1928; or from the stock-market crash of 1929 were not so great. Shocks of similar magnitude had been handled in the stock-market break in the spring of 1920 and the 1927 recession in the United States. The world economic system was unstable unless some country stabilized it, as Britain had done in the nineteenth century and up to 1913. In 1929, the British couldn't and the United States wouldn't. When every country turned to protect its national private interest, the world public interest went down the drain, and with it the private interests of all.

Asymmetry

If the world economy behaved symmetrically, there could be no world depression. A decline in the price of wheat might produce losses for farmers; it would, however, lead to gains in real purchasing power for consumers (shifts in real income from groups with different marginal rates of saving are ignored). Gold losses for one country would be deflationary, but gains for the recipient country would yield offsetting expansion. Contractive exchange appreciation would be matched by stimulating depreciation. The stock market could not absorb funds, since for every buyer that gives up money, there is a seller that gains it.

But symmetry is not the way of the world in all times and places, and not for the reason of interference by men with, say, the rules of the gold-standard game, or that New York as an international financial centre was inexperienced. It happened that in Britain, from 1873 to 1913, foreign lending and domestic investment were maintained in continuous counterpoint. Domestic recession stimulated foreign lending; boom at home cut it down. But the boom at home expanded imports which provided an export stimulus abroad in place of domestic investment with borrowed funds. Counter-cyclical lending stabilized the system.

In the 1920s, United States foreign lending was positively correlated with domestic investment, not counterpoised. The boom of the 1920s was accompanied by foreign lending; the depression of the 1930s saw the capital flow reversed. In his *The United States and the World Economy*, written in 1943, Hal Lary recorded the fundamental fact that the United States cut down on imports and lending at the same time. The cut in lending actually preceded the stock-market crash as investors were diverted from the boom in foreign bonds which followed the Dawes loan to the boom in domestic stocks dating from the spring of 1928. The deflationary pressure on Germany may be debated;¹ the pressure on the less developed countries at the periphery is clear cut.² As Table 1 (p.56) shows, moreover, Britain joined the United States in reducing its lending in 1929 over 1928.

Maintaining a market for distress goods can be regarded as another form of financing. Free trade has two dimensions: (a) to adapt domestic resources to changes in productive capacities abroad, and (b) to maintain the import market open in periods of stress. The first is more readily done by a rapidly growing country which needs to transfer resources out of less productive occupations and is willing to embrace the competition of imports. By holding firm to free trade during depression at some short-run cost to resources in import-competing lines, the second provides a market for surpluses accumulated abroad. Britain clung to free trade from 1846 (or some year thereafter, such as 1860, when all tariffs but those for revenue had been dismantled) until 1916. After 1873, she was not growing rapidly, but continued to adhere to free trade since her declining industries were exporters rather than import-competers. Her tenacity in adhering to free trade in depression may have been born of cultural lag and the free-trade tradition of Adam Smith, rather than of conscious service to the world economy.

The contrast is with the Smoot-Hawley Tariff Act of 1930. At the first hint of trouble in agriculture, Hoover reached for the Republican household remedy, as Schumpeter characterized it, in the face of a recommendation of the World Economic Conference of 1927 that nations of the world should adopt a tariff truce. The action was important less for its impact on the United States balance of payments, or as conduct unbecoming a creditor nation, than for its irresponsibility. The congressional rabble enlarged protection from agriculture to primary products and manufactures of all kinds, and Hoover, despite more than thirty formal protests from other countries and the advice of 1,000 economists, signed the Bill into law. This gave rise to (or at least did nothing to stop) a headlong stampede to protection and restrictions on imports, each country trying to ward off deflationary pressure of imports, and all together ensuring such pressure through mutual restriction of exports. As with exchange depreciation to raise domestic prices, the gain from one country was a loss for all. With tariff retaliation and competitive depreciation, mutual losses were certain. The formula of tariff truce and exchange stabilization proposed for the World Economic Conference of 1933 offered no positive means of raising prices or expanding employment. It would none the less have been significant as a means of slowing further decline. With no major country providing a market for distress goods, or willing to tolerate appreciation, much less furnish long-term capital or discounting facilities to countries suffering from payments difficulties, the fallacy of composition with the whole less than the sum of its parts ensured that deflation would roll on.

Initial conditions

The lack of leadership in providing discount facilities, anti-cyclical lending or an open market for goods rendered the system unstable. So did the heritage of war, and especially the combination of reparations, war debts, overvaluation of the pound and undervaluation of the French franc. One should perhaps add the German inflation of 1923, which made that country paranoid in its subsequent attachment to deflation. The structural dislocations of war in excess production of wheat, sugar and wool, plus ships, cotton textiles and coal, were of less consequence and could have been cared for fairly readily by the price system if macroeconomic stability could have been preserved. The financial distortions made such stability difficult if not impossible to sustain. A far-seeing leadership on the part of the United States might have been willing to waive war debts, but it would have been difficult to persuade the American voter of the merit of the course, especially when

Britain and France were receiving reparations. Britain was willing to forego reparations, to the extent that war debts were written off - an attitude of limited self-denial - but the suggestion that the French could write off reparations, after having paid them in 1871 and 1819, and after four years of cruel war, is to ask too much from history.

The failure to achieve a system of equilibrium exchange rates must be set down, like budget-balancing in government accounts, at the door of economic ignorance. In the British case, the urge was to restore the *status quo ante*; it was aided by destabilizing speculation. The selection of an exchange rate for the French franc was addressed much more clinically--as it could be, since restoration of the old par was out of the question--but too little account was taken of the earlier export of capital and the need for an import surplus to transfer it inward as it returned to France. This can be regarded as economic ignorance of a second order. In combination with war debts and reparations, the disequilibrium rates made the underlying position weak. It is interesting, though perhaps idle, to contemplate whether the depression could still have been avoided, or mitigated by some substantial fraction such as two thirds, if the United States had managed to keep open its market, maintain long-term capital flowing and provide lending of last resort through discounting in crisis. One great difficulty was that while the market for goods might be kept open by vetoing congressional tariff proposals, and discounting undertaken through government or central-bank action, there was no way in which governments of the day could sustain international lending. Foreign loans were made by the market, or largely not at all. Lending could be stopped by government fiat, as the Capital Issues Committee did from time to time in London; it was impossible for government to get the private market to start after it had stopped. And to substitute government loans for the market on anything but an emergency-discounting basis called for machinery which was virtually non-existent. The Bank of France would direct President Luther of the Reichsbank to talk loans with private bankers. The Department of State could suggest that foreign governments talk to J. P. Morgan & Company. They could not produce loans. Leverage was weak.

British leadership

Not until 1931 was it clear that Britain could not provide the leadership. In the early 1920s, there were League of Nations programmes for the stabilization of the currencies of Austria and Hungary. These were to a considerable extent British in spirit, with help of experts from Scandinavia, the Low Countries and the Dominions, such as staffed the League of Nations Economic and Financial Section. Later the Dawes and Young Plans to settle German reparations were dominated by British experts, with Americans serving as front men to foster the British hope of tying reparations to war debts. By 1931, British capacity for leadership had gone. In small part it had been dissipated in puerile central-bank quarrels between Norman and Moreau, although much of the competition for domination over the smaller central banks of Europe was the product of Moreau's imagination. (Benjamin Strong tried hard to arbitrate these quarrels, and his death in 1928 was a loss for the stability of the system.) More significant was the burden of French sterling balances, which inhibited Britain as a lender of last resort. In the June 1931 crises, the climax of weakness was reached on the second Austrian loan for the *Kreditanstalt* when Norman offered 50 million schillings or \$7 million as a loan for one week. At the World Economic Conference in 1933, it was clear that Britain had turned away from a leading world role, cultivating the Commonwealth and freedom to manage sterling, and largely leaving it to the United States to devise a world programme.

Lack of United States leadership

Revisionist historians, such as William A. Williams, insist that the United States undertook a leading world role under Charles E. Hughes as early as the Disarmament Conference of 1922.³ It is difficult or impossible to find support for this position in the field of international economics, which supports the conventional wisdom of such historians as E. H. Carr, that 'in 1918, world leadership was offered, by almost universal consent, to the United States . . . [and] was declined'.⁴ There was interest in the affairs of Europe in New York, in the Federal Reserve Bank of New York under

Strong and Harrison, in the financial community represented by such people as Dwight Morrow, Thomas Lamont and Norman Davis. A few non-New Yorkers, such as Charles G. Dawes and Andrew Mellon, were brought into international finance and diplomacy. On the whole, however, the isolationism expressed by Henry Cabot Lodge in leading the rejection of the Versailles Treaty and United States adherence to the League of Nations typified the dominant sentiment. The United States was uncertain in its international role. It felt that the British were shrewder, more sophisticated, more devious in their negotiating tactics, so that the United States came out of international conferences losers. Stimson would have been willing to undertake a major discounting operation to rescue the Reichsmark in July 1931. Hoover, Mellon and (though from New York) Mills were opposed to sending good money after bad, as discounting calls for. In 1933, James Warburg, Moley and, presumably, Woodin and Roosevelt still resisted sending good money after bad. Proposals for embryonic international monetary funds were legion; and even Britain presented one officially. They were uniformly turned down with a lecture on how much the United States had already lost in unpaid war debts and the Standstill Agreement.⁵ It was not until 1942 that Harry D. White began preparing a world plan for discussion at Bretton Wood--together with the plan of Lord Keynes--a world plan for limited discounting.

Cooperation

Clarke's conclusion that central-bank cooperation was maintained up to mid 1928 but failed thereafter has already been dealt with in some detail. In summary, such cooperation on matters such as hegemony over small central banks or the choice of an equilibrium exchange rate was inadequate before 1926, and the Bank of France supported the pound loyally (and expensively) in the late summer of 1931. A deeper question is whether cooperation as such would have been sufficient. In *America's Role in the World Economy*,⁶ Alvin Hansen prescribed for the United States policies of maintenance of full employment at home and cooperation with international efforts at freer trade, restoring capital movements, improvement of the world monetary system and so on. With the advantage of hindsight, it appears that more than cooperation was provided, viz. leadership, and that mere cooperation would not have built the institutions and policies of the Organization for Economic Cooperation and Development, Group of Ten, Bank for International Settlements, International Monetary Fund, International Bank, General Agreement on Tariffs and Trade, etc. As an acquaintance on the International Monetary Fund staff put it (admittedly to an American), if the United States does not take the leadership, nothing happens. Leadership may lack followership, and foolish or even sensible proposals may be defeated through lack of support. But the most sensible proposals emanating from small countries are valueless if they lack the capacity to carry them out and fail to enlist the countries that do. The World Economic Conference of 1933 did not lack ideas, as that of 1927 seems to have done. The one country capable of leadership was bemused by domestic concerns and stood aside.

One special form of cooperation would have been joint Anglo-American leadership in the economic affairs of the world. Economists usually agree that such arrangements, whether duopoly or bilateral monopoly, are unstable, and so do political scientists. Carr states explicitly that the hope for Pax Anglo-Saxonica was romantic and that Pax Americana 'would be an easier contingency'.⁷ Vansittart, referring to the Standstill agreements and the German occupation of the Rhineland, wrote a *propos* of the World Economic Conference: 'When action was required two years earlier, the two governments [British and American] sheltered behind each other like the British and French governments three years later.'⁸ With a duumvirate, a troika, or slightly on to say, 'Better that a motor car should be in charge of a poor driver than of two quite excellent drivers who are perpetually fighting to gain control of the vehicle.'¹¹ The analogy of two excellent drivers fighting for control of the wheel may be more graphic than apposite. The instability seems rather to have come from the growing weakness of one driver, and the lack of sufficient interest in the other. William Adams Brown, Jr, describes the gold standard of the period as 'without a focal point', meaning that it had two, but the conclusions of his monumental work do not dwell on this critical aspect of the world economy.¹²

Role of the small countries and France

One passenger in the vehicle which did not lack interest was France. And one group which lacked responsibility - to discontinue the metaphor, or perhaps they should be regarded as passengers in the back seat - consisted of the smaller countries: Belgium, the Netherlands, Switzerland and Scandinavia. The smaller countries can be disposed of first. They are sometimes blamed, as in Born's analysis, for having acted irresponsibly in, say, converting sterling into gold in the summer of 1931, or raising tariffs with alacrity after 1930. There is, however, no universally accepted standard of behaviour for small countries. On one showing, they lack power to affect the outcome of great events and are therefore privileged to look after the private national interest rather than concern themselves with the public good of stability in the world economy as a whole. On a somewhat higher ethical level, the small countries may be held Kantian Categorical Imperative, which enjoins them to act only in ways which can be generalized.

In such circumstances, of course, they would not have withdrawn credits from Austria in the spring of 1931, nor from Germany and Britain in the summer, nor from the United States in the autumn. The economist chooses between these standards perhaps on the basis of comparative cost. If the Netherlands had known the cost of leaving its sterling unconverted into gold, it seems unlikely that it would have done so, even at the risk of accelerating the collapse of the pound and deepening of the world depression. It may be that such countries as Sweden, Canada and New Zealand that set high standards of international conduct - in foreign aid, contributions to United Nations peacekeeping missions, etc. - do so solely from ethical reasons; or they may choose among occasions to take largely the opportunities which are relatively cheap. One may thus note that the small countries contributed substantially to the deflation by the speed with which they cut imports, depreciated, or converted sterling and dollars into gold, but find it hard to blame them for it.¹³

There is another aspect to the role of small countries: they could offer programmes for recovery because they knew that the major cost of programmes adopted would fall on other countries. Proposals for an embryonic international monetary fund in the Washington discussions preceding the World Economic Conference of 1933 were put forward by Poland, Turkey, Belgium, the I.L.O., and one was made by Britain, though this latter was quickly withdrawn when the United States frowned upon it. Lacking resources to make these schemes effective, small countries were reduced to advisory roles without conviction, even when the proposals were sound. An essential ingredient of followership is to convince the leader that he is the author of the ideas which require the use of his resources.

The case of France is different. France sought power in its national interest, without adequately taking into account the repercussions of its positions on world economic or political stability. Its intransigence in the matter of reparations or the attempt to attach political conditions to the second Austrian credit of June 1931 or the contemplated German loan of July of that year illustrate the position. Hurt in the depreciation of sterling in September, the Bank of France, under strong political pressure at home, converted its dollars into gold in the private national interest during 1931-2, all the while protesting its cooperation and concern for the interest of the United States. The rivalry between the Bank of France and the Bank of England over which should take over the leadership in restoring independence to central banks and stabilization of currencies in Eastern Europe would be pathetic, had it not run risks of instability for the system as a whole when the French threatened to withdraw balances from London.

Not quite big enough to have responsibility forced on it, nor small enough to afford the luxury of irresponsibility, the French position in the inter-war period was unenviable. It had the power to act as a destabilizer, but was insufficiently powerful to stabilize. 'Great Britain and the United States together were the active nucleus that replaced the single centre of pre-war days, but the position and policy of France actively affected their mutual as well as their joint relations to the outlying countries.'¹⁴ In these circumstances France could be (and was) blamed for upsetting the system when

she had no capacity to take it over and run it in the presence of two larger powers, one feeble, the other irresponsible.

Public v. private interest

Cynicism suggests that leadership is fully rewarded for its pains in prestige, and that no matter how much it protests its commitment to the public welfare, its fundamental concern is private. Bismarck insisted that free trade was the weapon of the dominant economy anxious to prevent others from following in its path. 'The white man's burden' is an expression used today only in mockery. A country like France deliberately setting out to achieve prestige suggests that those with a concern for problem-solving are either perfidious or self-deceiving. None the less there is a difference between accepting and declining responsibility for the way the system is run. The British accepted responsibility, although, as the 50 million schilling loan emphasizes, they were unable to discharge it. The French and the United States were unwilling to underwrite stability. Under Coolidge and Hoover, the United States refused to commit itself to any programme of foreign reconstruction or currency stabilization, leaving these questions to the Federal Reserve System.¹⁵ There was hardly any improvement in Roosevelt's commitment to the world economy until timidly in 1936, at the time of the Tripartite Monetary Pact, and ultimately during the Second World War. Inside France, as between France and the other leading powers, 'all groups thought their opponents more united and dedicated than they were, and a concern for the general interest was virtually absent'.¹⁶

Unable to cope with the public good, the British more and more turned their energy to the private. Keynes's advocacy of a tariff and the refusal to contemplate stabilization after 1931 are examples. One may find a hint or two in the documents that the initiative came from the Dominions rather than Britain.¹⁷ For a time, until well after the war, the British economics profession and public almost drew the lesson that each country should take care of itself without regard to external effects.

The point is illustrated in the memorandum written by Hubert Henderson at the British Treasury in 1943, entitled 'International Economic History of the Interwar Period'.¹⁸ This summarizes the crude view of the depression as resulting from nationalism and tariffs, the collapse of world trade, bilateralism and preferences and disregard of the advice of the League of Nations, leading to the conclusion that after the war there is need for the world to be more resolute in avoiding economic nationalism, and attempting to construct a freely working economic system with international credits, the reduction of trade barriers and the outlawry of qualitative regulation.¹⁹ Henderson states that the history of the inter-war period provides no support for this view. He opposes exchange depreciation: '... there can be little doubt that the depreciation of the pound was in part responsible for the sharper fall in gold prices, and disillusionment is general in the United Kingdom and still more in the United States on the power of exchange depreciation to promote national recovery' 20

But the conventional view is false in all essential respects. The old international order has broken down for good. Nothing but futility and frustration can come from the attempt to set it up again. Individual countries must be free to regulate their external economies effectively, using control of capital movements, quantitative regulation, preferences, autonomous credit policies, etc.²¹

This foot-dragging, which Keynes shared during the 1930s and until late in the war, is understandable. It misses the main lesson of the inter-war years, however: that for the world economy to be stabilized, there has to be a stabilizer, one stabilizer.

Counter-cyclical capital movements

Assume that the United States had not led the way to destroying the trade mechanism through the Smoot-Hawley Tariff of 1930, and that a discounting mechanism had been available to cope with

1931. There would still have been a serious depression, if perhaps not so prolonged, owing to the failure of counter-cyclical lending, and the absence of machinery such as the World Bank or foreign aid coordinated through the Development Assistance Committee (D.A.C.) of the Organization of Economic Cooperation and Development (O.E.C.D.), to replace the private market with public funds. It remains puzzling that the foreign capital market in New York (and to a much lesser degree in London) started to come back in the spring of 1930, after the stock-market crash, and then relapsed. There was no panic, and no alarm, but 'people felt the ground giving way under their feet'.²² Arthur Lewis's explanation of the relapse in terms of the decline of prices is perhaps not wholly satisfactory, nor is the 'inexperience' of the New York capital market in international lending. They are all that is available. Even with anti-cyclical capital movements, there would have been a depression. With a flow of international capital positively correlated with business conditions in the lending country, the depression was inevitably severe. Add to this position, which was perhaps beyond the power of policy to correct in the existing state of knowledge, beggar~thy~neighbour tactics in trade and exchange depreciation, plus the unwillingness of the United States to serve as a lender of last resort in 1931, and the length and depth of the depression are explained.

There is one respect in which United States 'inexperience' in lending might be said to be relevant to the pattern of lending. A new lender is likely to behave differently from an old lender because of the wider array of investment opportunities available to it. Consider a country which has been long engaged in international investment. Its foreign loans are likely to follow what may be called a 'demand model', in which a given flow of savings is allocated between domestic and foreign uses depending upon the relative demands from them. A domestic boom diverts foreign loans to the home market. Depression at home and expansion abroad stimulates foreign lending. The result is a counter-cyclical pattern.

When a country begins lending abroad for the first time, however, there are likely to be a host of unfilled opportunities for foreign loans. As savings become available, they are invested at home and abroad, simultaneously. The more profits at home in boom, the more foreign investment. This is a 'supply model', in which foreign lending depends on the availability of savings. Alteration between demand and supply models is evident in direct foreign investment. That it may apply to lending through foreign bonds is only a hypothesis. It would, however, explain why United States lending at the beginning of its career as a creditor was positively correlated with the domestic business cycle, whereas in Britain, the experienced lender, the pattern had been otherwise.

Relevance to the 1970s

Leadership is a word with negative connotations in the 1970s when participation in decision-making is regarded as more aesthetic. Much of the overtones of *der Fuhrrer* and *il Duce* remain. But if leadership is thought of as the provision of the public good of responsibility, rather than exploitation of followers or the private good of prestige, it remains a positive idea. It may one day be possible to pool sovereignties to limit the capacity of separate countries to work against the general interest; such pooling is virtually attained today in some of the functions needed to stabilize the world economic system, such as the Basle arrangements for swaps and short-term credits which, pending a world central bank, serve as a world rediscounting mechanism in crisis. In this area, and in the world agencies for maintaining freer trade and a liberal flow of capital and aid, however, leadership is necessary in the absence of delegated authority. That of the United States is beginning to slip. It is not yet clear that the rising strength of Europe in an enlarged European Economic Community will be accompanied by an assertion of leadership in providing a market for distress or aggressive goods, in stabilizing the international flow of capital or in providing a discount mechanism for crisis. Presumably the Basle arrangements for the last will endure. There are indications that the European market for goods will remain ample, except in agriculture, which is an important exception from a world viewpoint. There is still some distance to go to stabilize the flow of capital counter-cyclically.

As the United States economic leadership in the world economy falters, and Europe gathers strength,

three outcomes are politically stable; three unstable. Among the stable outcomes are continued or revived United States leadership, after the exchange controls of 1963 to 1968 and the 1970-71 wave of protectionism have been reversed; an assertion of leadership and assumption of responsibility for the stability of the world system by Europe; or an effective cession of economic sovereignty to international institutions: a world central bank, a world capital market, and an effective General Agreement on Tariffs and Trade. The last is the most attractive, but perhaps, because difficult, the least likely. As between the first two alternatives, the responsible citizen should be content with either, flipping a coin to decide, if the third alternative proves unavailable, simply to avoid the undesirable alternatives.

The three outcomes to be avoided because of their instability are: (a) the United States and the E.E.C. vying for leadership of the world economy; (b) one unable to lead and the other unwilling, as in 1929 to 1933; and (c) each retaining a veto over programmes of stability or strengthening of the system without seeking to secure positive programmes of its own. The articles of agreement of the International Monetary Fund (I.M.F.) were set up to provide the United States with a veto over action which it opposed. In the 1969 reform which legislated the addition of Special Drawing Rights (S.D.R.s) to the monetary system, quotas of I.M.F. were adjusted to provide a veto to the E.E.C. as well. This leaves open the possibility of stalemate, as in the United Nations Security Council, when two major powers are unable to agree. In the circumstances of the Security Council there is a danger of regressive spiral into war; the analogue in the economic field is stalemate, and depression.

In these circumstances, the third positive alternative of international institutions with real authority and sovereignty is pressing.

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1. See Heywood W. Fleisig, 'Long-Term Capital Flows and the Great Depression: The Role of the United States, 1927-1933', unpublished dissertation, Yale University, 1968, *passim*, and Peter Temin, 'The Beginning of the Depression in Germany', *Economic History Review*, vol. xxiv, No.2 (May 1971), pp. 240-48. Fleisig and Temin argue over the size of the shock to the system. If the system is basically unstable, this issue is downgraded in importance.
 2. Heywood Fleisig, 'The United States and the World Periphery during the Early Years of the Great Depression', forthcoming in Herman van der Wee, ed., *The Great Depression Revisited*, Nyhoff, The Hague, 1972.
 3. See, for example, William Appleman Williams, *The Tragedy of American Diplomacy*, World Publishing Co., Cleveland, Ohio, 1959, *passim*, but esp. Chapter IV, 'The Legend of Isolationism'. Mr Williams, a Marxist revisionist historian, states (p.123): 'Hoover did not grasp the fact that the depression was a sign of stagnation in a corporate economy which was born during the civil war and came to maturity in the decade from 1895 to 1905'; and (p.128): '....from the fall of 1932 Roosevelt and Hull stressed the importance of foreign trade for domestic revival and expansion and for world wide relief of conditions which caused war and revolution'. It is difficult to see how a historian could ignore such evidence as the First Inaugural Address, cited earlier, to be able to make such a statement about Roosevelt.
 4. Edward Hallett Carr, *The Twenty Years' Crisis, 1919-1939: An Introduction to the Study of International Relations*, Macmillan, London, 1939; 2nd edition, 1946, p.234.
 5. Jørgen Pedersen blames the liquidity crisis of 1931 on the United States for its failure to support the German mark, and, when that had been forced to suspend gold payments, for its failure to underwrite sterling. See 'Some Notes on the Economic Policy of the United States during the Period 1919-1932', in Hugo Hegeland, ed., *Money, Growth and Methodology*, In Honor of Johan Akerman,

Lund Social Science Studies, Lund, 1961, pp.490-91. This would be agreed today, and Professor Pedersen put it forward himself, as noted earlier, in 1933. As he himself points out, however (p. 494), the United States was acting with 'the normal prejudices of the period'.

6. Alvin Hansen, *America's Role in the World Economy*, W. W. Norton, New York: Allen & Unwin, London, 1945.

7. Carr, *The Twenty Years' Crisis, 1919-39*, pp.233-4.

8. Lord Vansittart, *The Mist Procession, the Autobiography of Lord Vansittart*, Hutchinson, London, 1958, p.466.

11. Edward Nevin, *The Mechanism of Cheap Money: A Study of British Monetary Policy, 1931-1939*, University of Wales Press, Cardiff, 1955, pp. 9n., 12 and 14.

12. William Adams Brown, Jr, *The International Gold Standard Reinterpreted, 1914-34*, National Bureau of Economic Research, New York, 1940, vol.11, p.781: 'The essential difference between the international gold standard of 1928-29 and that of 1914 was that when the world returned to gold after the war it built its international financial system around a nucleus of London and New York, and not a single center.' The title of his Chapter 20 is 'The Experiment of a Gold Exchange Standard without a Focal Point'.

13. For an interesting political model of countries which are free-riders behind the leadership of others, see Norman Froelich and Joe A. Oppenheimer, 'I Get Along with a Little Help from My Friends', *World Politics*, vol.xxiii, No.1 (October 1970), pp.104-20. But note, p.119, that leadership is rewarded in this model rather than made to pay for the privilege, as implied where the responsibilities of leadership are maintaining an open market for goods, a counter-cyclical export of capital and a mechanism for rediscounting in crisis.

14. Brown, *The International Gold Standard Reinterpreted, 1914-1934*, p. 785.

15. Lester V. Chandler, *Benjamin Strong, Central Banker*, The Brookings Institution, Washington, D.C., 1958, p.255.

16. Alfred Sauvy, *Histoire économique de la France entre les deux guerres, 1: 1918-1931*, Fayard, Paris, 1965, p.73.

17. See *Documents diplomatiques français, 1932-39*, 1^{er} série (1932-1935), Tome III, Imprimerie Nationale, Paris, 1967, #470, Bonnet to Paul-Boncour, 9 July 1933, p. 871: 'One fact is evident: it is that Britain is not free. Its dominions and in particular Canada whose Prime Minister Bennett is a man of extraordinary violence have a predominant influence on her, to the point of modifying totally her opinion in the space of a few seconds.' This is doubtless hyperbole.

18. See Hubert D. Henderson, *The Inter-war Years and Other Papers*, Clarendon Press, Oxford, 1955, pp. 23-95.

19. *ibid.*, pp.236 and 290.

20. *ibid.*, pp.260 and 262; see also p.291: 'Of the various expedients which different governments employed in the 1930s, none produced more unfortunate results than deliberate exchange depreciation. It was the least helpful to the countries which tried it, and the most harmful to other countries.'

21. *ibid.*, p. 293.

22. Joseph A. Schumpeter, *Business Cycles. A Theoretical, Historical and Statistical Analysis of the Capitalistic Process*, vol.11, McGraw-Hill, New York and London, 1939, p.911.

International regimes, transactions, and change: embedded liberalism in the postwar economic order

John Gerard Ruggie

A philosopher is someone who goes into a dark room at night,
to look for a black cat that isn't there. A theologian does the same thing,
but comes out claiming he found the cat.

Nick Philips, "The Case of the Naked Quark,"
TWA Ambassador Magazine, October 1980.

One of our major purposes in this volume is to establish whether we, as students of international regimes, most resemble the philosopher, the theologian or, as most of us would like to believe, the social scientist—suspecting from the beginning that there is a black cat in there somewhere, and emerging from the room with scratches on the forearm as vindication. This article consists of another set of scratches, together with what I hope will be persuasive reasoning and demonstration that a black cat put them there.

My focus is on how the regimes for money and trade have reflected and affected the evolution of the international economic order since World War II. Let me state my basic approach to this issue at the outset, for, as Krasner shows in the Introduction, a good deal of the disagreement and confusion

I have benefited from the comments and suggestions of a large number of friends, colleagues, and fellow travelers, and am particularly indebted to the detailed written remarks of Catherine Gwin, Ernst Haas, Robert Keohane, Stephen Krasner, and Susan Strange, as well as to Albert Fishlow's constructive criticism at the Palm Springs conference. Research for this article was made possible by financial support from the Rockefeller Foundation and the Ira D. Wallach Chair of World Order Studies at Columbia University.

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about international regimes stems from deeper epistemological and even ontological differences among observers.

International regimes have been defined as social institutions around which actor expectations converge in a given area of international relations.¹ Accordingly, as is true of any social institution, international regimes limit the discretion of their constituent units to decide and act on issues that fall within the regime's domain. And, as is also true of any social institution, ultimate expression in converging expectations and delimited discretion gives international regimes an intersubjective quality. To this extent, international regimes are akin to language—we may think of them as part of “the language of state action.”² The constituent units of a regime, like speakers of a common language, generally have little difficulty in determining what even an entirely new usage signifies. Should it be technically inappropriate or incorrect, they nevertheless may still “understand” it—in the dual sense of being able to comprehend it and willing to acquiesce in it. In sum, we know international regimes not simply by some descriptive inventory of their concrete elements, but by their generative grammar, the underlying principles of order and meaning that shape the manner of their formation and transformation. Likewise, we know deviations from regimes not simply by acts that are undertaken, but by the intentionality and acceptability attributed to those acts in the context of an intersubjective framework of meaning.³

The analytical components of international regimes we take to consist of principles, norms, rules, and procedures. As the content for each of these terms is specified, international regimes diverge from social institutions like language, for we do not normally attribute to language any specific “consummatory” as opposed to “instrumental” values.⁴ Insofar as international regimes embody principles about fact, causation, and rectitude, as well as political rights and obligations that are regarded as legitimate, they fall closer to the consummatory end of the spectrum, into the realm of political authority. Thus, the formation and transformation of international regimes may be said to represent a concrete manifestation of the internationalization of political authority.⁵

¹ Oran R. Young, “International Regimes: Problems of Concept Formation,” *World Politics* 32 (April 1980); and Stephen D. Krasner's introduction to this volume.

² This phrase is taken from Bruce Andrews's application of the linguistic metaphor to the study of foreign policy: “The Language of State Action,” *International Interactions* 6 (November 1979).

³ Cf. Noam Chomsky, *Current Issues in Linguistic Theory* (The Hague: Mouton, 1964), chap. 1.

⁴ These are derived from the standard Weberian distinction between *Wert-* and *Zweckrational*. Max Weber, *Economy and Society*, ed. by Guenther Roth and Claus Wittich (Berkeley: University of California Press, 1978), pp. 24–26.

⁵ Discussions of political authority often fuse the very meaning of the concept with one of its specific institutional manifestations, that expressed in super-subordinate relations. But, as demonstrated repeatedly in organization theory and recognized by Weber, authority rests on a form of legitimacy that ultimately can derive only from a community of interests. Chester Barnard has carried this line of reasoning the furthest: “Authority is another name for the willingness and capacity of individuals to submit to the necessities of cooperative systems.” *The*

What is the "generative grammar" that shapes the internationalization of political authority? The most common interpretation has been stated succinctly by Kenneth Waltz: the elements of international authority, he maintains, "are barely once removed from the capability that provides [their] foundation. . . ."⁶ On this interpretation others, in turn, have built what now amounts to a prevalent model of the formation and transformation of international economic regimes. In its simplest form, the model makes this prediction: if economic capabilities are so concentrated that a hegemon exists, as in the case of Great Britain in the late 19th century and the U.S.A. after World War II, an "open" or "liberal" international economic order will come into being.⁷ In the organization of a liberal order, pride of place is given to market rationality. This is not to say that authority is absent from such an order. It is to say that authority relations are constructed in such a way as to give maximum scope to market forces rather than to constrain them. Specific regimes that serve such an order, in the areas of money and trade, for example, limit the discretion of states to intervene in the functioning of self-regulating currency and commodity markets. These may be termed "strong" regimes, because they restrain self-seeking states in a competitive international political system from meddling directly in domestic and international economic affairs in the name of their national interests. And the strength of these regimes, of course, is backed by the capabilities of the hegemon. If and as such a concentration of economic capabilities erodes, the liberal order is expected to unravel and its regimes to become weaker, ultimately being replaced by mercantilist arrangements, that is, by arrangements under which the constituent units reassert national political authority over transnational economic forces. If the order established by British economic supremacy in the 19th century and that reflecting the supremacy of the United States after World War II illustrate liberal orders with strong regimes, the interwar period illustrates the darker corollary of the axiom.

I do not claim that this model is fundamentally wrong. But it does not take us very far in understanding international economic regimes, and, by extension, the formation and transformation of international regimes in gen-

Functions of the Executive (Cambridge: Harvard University Press, 1968), p. 184. See also the important statement by Peter Blau, "Critical Remarks on Weber's Theory of Authority," *American Political Science Review* 57 (June 1963). An illustration (though unintended) of how *not* to think of authority if the concept is to be at all useful in a discussion of international relations is provided by Harry Eckstein, "Authority Patterns: A Structural Basis for Political Inquiry," *American Political Science Review* 67 (December 1973). More elaborate typologies of forms of authority relations in international regimes may be found in my papers, "International Responses to Technology: Concepts and Trends," *International Organization* 29 (Summer 1975), and "Changing Frameworks of International Collective Behavior: On the Complementarity of Contradictory Tendencies," in Nazli Choucri and Thomas Robinson, eds., *Forecasting in International Relations* (San Francisco: W. H. Freeman, 1978).

⁶ *Theory of International Politics* (Reading, Mass.: Addison-Wesley, 1979), p. 88.

⁷ The relevant literature is cited in Robert O. Keohane, "The Theory of Hegemonic Stability and Changes in International Economic Regimes, 1967-1977," in Ole Holsti et al., eds., *Change in the International System* (Boulder, Col.: Westview Press, 1980).

eral.⁸ This is so precisely because it does not encompass the phenomenological dimensions of international regimes.

From this vantage point, I develop three theoretical arguments; each yields an interpretation of central features of the postwar international economic order that is distinct from the prevailing view.

The first concerns the “generative grammar” or what I shall call the “structure” of the internationalization of political authority. Whatever its institutional manifestations, political authority represents a fusion of power with legitimate social purpose. The prevailing interpretation of international authority focuses on power only; it ignores the dimension of social purpose.⁹ The problem with this formulation is that power may predict the *form* of the international order, but not its *content*. For example, in the era of the third hegemon in the complex of modern state-system and capitalist-world-economy, the Dutch in the 17th century, the condition of hegemony coexisted with mercantilist behavior,¹⁰ and it would be straining credulity to attribute this difference solely or even mainly to differences in the relative economic supremacy of the three hegemonies without discussing differences in social purpose. Moreover, had the Germans succeeded in their quest to establish a “New International Order” after World War II, the designs Hjalmar Schacht would have instituted were the very mirror image of Bretton Woods¹¹—obviously, differences in social purpose again provide the key. Lastly, the common tendency to equate the 19th century liberal international economic order and its post-World War II counterpart itself obscures exceedingly important differences in their domestic and international organization, differences that stem from the fact that the one represented *laissez-faire* liberalism and the other did not. In sum, to say anything sensible about the *content* of international economic orders and about the regimes that serve them, it is necessary to look at how power and legitimate social purpose become fused to project political authority into the international system. Applied to the post-World War II context, this argument leads me to characterize the international economic order by the term “em-

⁸ Nor should it be expected to. As Waltz makes clear, his is a theory intended to predict that certain conditioning and constraining forces will take effect within the international system as a whole depending upon variation in its structure, not to account for such “process-level” outcomes as international regimes. Some of the literature cited by Keohane attempts to do more than this, however, though Keohane himself reaches a conclusion that is not at variance with my own.

⁹ More accurately, it either assumes social purpose (as in Waltz, *Theory of International Politics*), or seeks to deduce it from state power (as in Krasner, “State Power and the Structure of International Trade,” *World Politics* 28 [April 1976]).

¹⁰ To my knowledge, the case of Dutch supremacy in the world economy has not been addressed in the “hegemonic stability” literature; but see Immanuel Wallerstein, *The Modern World System*, vol. 2 (New York: Academic Press, 1980), chap. 2.

¹¹ A brief description may be found in Armand Van Dormael, *Bretton Woods: Birth of a Monetary System* (London: Macmillan, 1978), chap. 1. The classic statement of how it actually worked remains Albert O. Hirschman, *National Power and the Structure of Foreign Trade*, expanded ed. (Berkeley: University of California Press, 1980).

bedded liberalism," which I show to differ from both its classical ancestor and its ignominious predecessor even as it has systematically combined central features of both.

My second theoretical argument concerns the relationship between international economic regimes and developments in the international economy, particularly at the level of private transaction flows.¹² Conventional structural arguments, whether Realist or Marxist, see transnationalization as a direct reflection of hegemony: high levels of trade and capital flows obtain under the *pax Britannica* and the *pax Americana*. The regimes for trade and money are largely epiphenomenal adjuncts that may be invoked to legitimate this outcome, but they have little or no real bearing on it. Conventional liberals, on the other hand, hold that high levels of trade and capital flows will obtain only if there is strict adherence to open international economic regimes, so that these become virtually determinative. Neither formulation is satisfactory.

The relationship between economic regimes and international transaction flows is inherently problematical, because the domain of international regimes consists of the behavior of states, vis-à-vis one another and vis-à-vis the market-place, *not* the market-place itself. Nevertheless, simply on *a priori* grounds we may argue that because there is no direct relationship, it is highly unlikely that the character of international regimes would have a determinative impact on international transaction flows; and yet, because international regimes do encompass the behavior of states vis-à-vis the market-place, it stands to reason that they would have some effect on international transaction flows. I contend that the nature of this relationship, at least in the first instance, is one of complementarity. That is to say, international economic regimes provide a permissive environment for the emergence of *specific kinds* of international transaction flows that actors take to be complementary to the particular fusion of power and purpose that is embodied within those regimes.¹³ The contextual specificity of this complementarity makes equations of the variety "pax Britannica is equal to pax Americana," as well as insistence on universal regime formulae to achieve a given outcome, extremely dubious propositions.

Applying this argument to the postwar international economic order, I conclude that the emergence of several specific developments in transnational economic activities can be accounted for at least in part by their perceived first-order contribution to the regimes for trade and money.¹⁴ These regimes, then, are neither determinative nor irrelevant, but provide part of the context that shapes the character of transnationalization.

¹² In this connection, see also Charles Lipson's chapter in this volume.

¹³ This is not to ignore the possibility that the same developments may have second-order consequences or long-term effects that pose stresses or even contradictions for international economic regimes, a problem which I take up in a later section.

¹⁴ The present formulation of this conclusion owes much to Albert Fishlow's commentary on an earlier version at the Palm Springs Conference, for which I am obliged to him.

My third theoretical argument concerns the occurrence of change in and of regimes. The prevailing model postulates one source of regime change, the ascendancy or decline of economic hegemons, and two directions of regime change, greater openness or closure. If, however, we allow for the possibility that power and purpose do not necessarily covary, then we have two potential sources of change and no longer any simple one-to-one correspondence between source and direction of change. For example, we could have a situation in which there exists a predominant economic power whose economic program differs fundamentally from that of its leading rivals (e.g., Dutch supremacy in the 17th century). Or, we could have a situation in which power and purpose covary negatively, that is, in which neither a hegemon nor a congruence of social purpose exists among the leading economic powers (the interwar period approximates this case). We could have a situation in which power and purpose covary positively (e.g., Bretton Woods). There remains the situation of no hegemon but a congruence of social purpose among the leading economic powers (albeit imperfectly, the post-1971 international economic order illustrates this possibility).

It is the last possibility that interests me most. It suggests the need for a more nuanced formulation of regime change than is currently available. If and as the concentration of economic power erodes, and the "strength" of international regimes is sapped thereby, we may be sure that the *instruments* of regimes also will have to change.¹⁵ However, as long as purpose is held constant, there is no reason to suppose that the *normative framework* of regimes must change as well. In other words, referring back to our analytical components of international regimes, rules and procedures (instruments) would change but principles and norms (normative frameworks) would not. Presumably, the new instruments that would emerge would be better adapted to the new power situation in the international economic order. But insofar as they continued to reflect the same sense of purpose, they would represent a case of norm-governed as opposed to norm-transforming change.

Applying this argument to the post-1971 period leads me to suggest that many of the changes that have occurred in the regimes for money and trade have been norm-governed changes rather than, as is often maintained, reflecting the collapse of Bretton Woods and a headlong rush into mercantilism. Indeed, in certain cases earlier acts by the hegemon had violated the normative frameworks of these regimes, so that some post-1971 changes may be viewed as adaptive restorations of prior sets of norms in the context of a new and different international economic environment. Both occurrences may be taken to demonstrate what we might call "the relative autonomy" of international regimes (with due apologies to the appropriate quarters).

The various parts of my argument clearly stand or fall together. Ulti-

¹⁵ The "hegemonic stability" school effectively demonstrates why this is so. See Keohane, "Theory of Hegemonic Stability."

mately, they lead back to my depiction of international authority as reflecting a fusion of power and legitimate social purpose. An historical illustration of this interpretation of the "structure" of international authority therefore serves as my point of departure.

1. The structure of international authority

Karl Polanyi's magisterial work, *The Great Transformation*, was first published in 1944. In it, he developed a distinction between "embedded" and "disembedded" economic orders: "normally, the economic order is merely a function of the social, in which it is contained. Under neither tribal, nor feudal, nor mercantile conditions was there, as we have shown, a separate economic system in society. Nineteenth century society, in which economic activity was isolated and imputed to a distinctive economic motive, was, indeed, a singular departure."¹⁶ The best known international forms taken by this "singular departure" were, of course, the regimes of free trade and the gold standard. What were their bases?

The internationalization of domestic authority relations

Charles Kindleberger, who is justly accorded a leading role in having established the efficacy of the "hegemonic stability" model in his book on the Great Depression,¹⁷ subsequently managed to write an account of the rise of free trade in western Europe without even mentioning British economic supremacy as a possible source of explanation.¹⁸ He focused instead on a fundamental reordering of the relationships between domestic political authority and economic processes. Free trade, he reminds us, was due first of all to the general breakdown of the manor and guild system and the so-called policy of supply, through which a complex structure of social regulations rather than market exchange determined the organization of economic activity at home and abroad. Indeed, the earliest measures undertaken in order to free trade were to dismantle prohibitions on exports, prohibitions that had restricted the outward movement of materials, machinery, and artisans. The bulk of these prohibitions was not removed until well into the 1820s and 1830s, and in some instances even later. A second part of the stimulus "came from the direct self-interest of particular dominant groups.

¹⁶ Boston: Beacon Press, 1944, p. 71. The historical claims are backed up in Polanyi et al., eds., *Trade and Markets in the Early Empires* (Glencoe, Ill.: Free Press, 1957).

¹⁷ Charles P. Kindleberger, *The World in Depression, 1929–1939* (Berkeley: University of California Press, 1973), esp. chaps. 1 and 14.

¹⁸ "The Rise of Free Trade in Western Europe, 1820–1875," *Journal of Economic History* 35 (March 1975): 20–55.

. . .”¹⁹ In the Netherlands, these were merchants, shipowners, and bankers; in Great Britain, the manufacturing sectors backed by the intellectual hegemony established by the Manchester School; in France, largely industrial interests employing imported materials and equipment in production, though they would not have succeeded against the weight of countervailing interests had not Louis Napoleon imposed free trade for unrelated reasons of international diplomacy; in Prussia, grain and timber exporters, though Bismarck was not adverse to using trade treaties in the pursuit of broader objectives and free trade treaties seemed to be *au courant*; in Italy, the efforts of Cavour, which prevailed over disorganized opposition. Equally particularistic factors were at work in Belgium, Denmark, Norway, Sweden, Spain, and Portugal. But how did such diverse forces come to converge on the single policy response of free trade? In a certain sense, Kindleberger contends, Europe in this period should be viewed not as a collection of separate economies, but “as a *single entity* which moved to free trade for ideological or perhaps better doctrinal reasons.”²⁰ The image of the market became an increasingly captivating social metaphor and served to focus diverse responses on the outcome of free trade. And unless one holds that ideology and doctrine exist in a social vacuum, this ascendancy of market rationality in turn must be related to the political and cultural ascendancy of the middle classes. In Polanyi’s inimitable phrase, “*Laissez-faire* was planned. . . .”²¹

In sum, this shift in what we might call the balance between “authority” and “market” fundamentally transformed state-society relations, by redefining the legitimate social purposes in pursuit of which state power was expected to be employed in the domestic economy. The role of the state became to institute and safeguard the self-regulating market. To be sure, this shift occurred unequally throughout western Europe, and at uneven tempos. And of course nowhere did it take hold so deeply and for so long a period as in Great Britain. Great Britain’s supremacy in the world economy had much to do with the global expansion of this new economic order, and even more with its stability and longevity. But the authority relations that were instituted in the international regimes for money and trade reflected a new balance of state-society relations that expressed a *collective* reality.

These expectations about the proper scope of political authority in economic relations did not survive World War I. Despite attempts at restoration, by the end of the interwar period there remained little doubt about how thoroughly they had eroded. Polanyi looked back over the period of the “twenty years’ crisis” from the vantage point of the Second World War—at the emergence of mass movements from the Left and the Right throughout Europe, the revolutionary and counterrevolutionary upheavals in central

¹⁹ Ibid., p. 50.

²⁰ Ibid., p. 51, italics added.

²¹ Polanyi describes the parallel movements, in the case of Great Britain, of the middle class into the political arena and the state out of the economic arena.

and eastern Europe in the 1917–20 period, the General Strike of 1926 in Great Britain, and, above all, the rapid succession of the abandonment of the gold standard by Britain, the instituting of the Five Year Plans in the Soviet Union, the launching of the New Deal in the United States, unorthodox budgetary policies in Sweden, *corporativismo* in Fascist Italy, and *Wirtschaftslenkung* followed by the creation of both domestic and international variants of the “new economic order” by the Nazis in Germany. Running throughout these otherwise diverse events and developments, he saw the common thread of social reaction against market rationality. State-society relations again had undergone a profound—indeed, the *great*—transformation, as land, labor, and capital had all seized upon the state in the attempt to reimpose broader and more direct social control over market forces. Once this domestic transformation began, late in the 19th century, international liberalism of the orthodox kind was doomed. Thus, it was the singular tragedy of the interwar period, Polanyi felt, to have attempted to restore internationally, in the form of the gold-exchange standard in particular, that which no longer had a corresponding social base domestically. The new international economic order that would emerge from World War II, Polanyi concluded, on the one hand would mark the end of “capitalist internationalism,” as governments learned the lesson that international automaticity stands in fundamental and potentially explosive contradiction to an active state domestically, and, on the other hand, the emergence of deliberate management of international economic transactions by means of collaboration among governments.²²

Some of Polanyi's thoughts about the future had already been entertained by the individuals who would come to be directly responsible for negotiating the monetary component of the postwar international economic order. In the depth of the Depression, Harry Dexter White had pondered the problem of how to buffer national economies from external disturbances without, at the same time, sacrificing the benefits of international economic relations. “The path, I suspect, may lie in the direction of centralized control over foreign exchanges and trade.”²³ Indeed, in 1934 White had applied for a fellowship to study planning techniques at the Institute of Economic Investigations of Gosplan in Moscow. Instead, he accepted an offer to go to Washington and work in the New Deal. For his part, one of the first assignments that Keynes undertook after he joined the British Treasury in 1940 was to draft the text of a radio broadcast designed to discredit recent propaganda proclamations by Walther Funk, minister for economic affairs and president of the Reichsbank in Berlin, on the economic and social benefits that the “New Order” would bring to Europe and the world. Keynes was instructed to stress the traditional virtues of free trade and the gold standard. But this, he felt, “will not have much propaganda value.” Britain would have to offer

²² *The Great Transformation*, esp. chaps. 2 and 19–21

²³ Quoted in Van Dormael, *Bretton Woods*, p. 41.

“the same as what Dr. Funk offers, except that we shall do it better and more honestly.”²⁴ He had reached the conclusion that only a refinement and improvement of the Schachtian device would restore equilibrium after the war. “To suppose that there exists some smoothly functioning automatic mechanism of adjustment which preserves equilibrium if only we trust to methods of *laissez-faire* is a doctrinaire delusion which disregards the lessons of historical experience without having behind it the support of sound theory.”²⁵

Polanyi’s prediction of the end of capitalist internationalism does not stand up well against the subsequent internationalization of production and finance; White’s views were altered considerably over the years as a result of negotiations within the bureaucracy and the adversarial process with Congress, before he was driven from Washington altogether in an anticommunist witch-hunt; and American resistance scaled down even the multilateral variants of Keynes’s ambitious vision. Yet each had been correct in the essential fact that a new threshold had been crossed in the balance between “market” and “authority,” with governments assuming much more direct responsibility for domestic social security and economic stability. The extension of the suffrage and the emergence of working-class political constituencies, parties, and even governments was responsible in part; but demands for social protection were very nearly universal, coming from all sides of the political spectrum and from all ranks of the social hierarchy (with the possible exception of orthodox financial circles). Polanyi, White, and Keynes were also correct in their premise that, somehow, the postwar international economic order would have to reflect this change in state-society relations if the calamities of the interwar period were not to recur.

Transformations in power versus purpose

Changes in the distribution of power and in the structure of social purpose covaried from the pre-World War I era through to the interwar period, so that we cannot say with any degree of certainty what might have happened had only one changed. However, by looking at the relationship between the two in greater detail in a single, circumscribed domain, we may get closer to a firm answer. I focus on the monetary regime under the gold standard before World War I, and its attempted approximation in the gold-exchange standard of the interwar period.

I begin with the domestic side of things, though this distinction itself would barely apply to currencies under a “gold specie” standard²⁶ where

²⁴ Quoted in *ibid.*, p. 7.

²⁵ Quoted in *ibid.*, p. 32.

²⁶ Unless otherwise noted, this paragraph is based on League of Nations [Ragnar Nurkse], *International Currency Experience: Lessons of the Inter-War Period* (League of Nations, Economic, Financial and Transit Department, 1944), chap. 4. (Hereafter referred to as Nurkse.)

both domestic circulation and international means of settlement took the form largely of gold, and the domestic money supply therefore was determined directly and immediately by the balance of payments. Under the more familiar "gold bullion" standard prior to World War I, where the bulk of domestic money took the form of bank notes and deposits, backed by and fixed in value in terms of gold, there still existed a strong relationship between domestic money supply and the balance of payments, but it was more indirect. In theory, it worked via the effects of gold movements on the domestic credit supply: an expansion of credit in the gold-receiving country, and a contraction in the gold-losing country, affected prices and incomes in such a way as to close the balance of payments discrepancy that had triggered the gold movement in the first place. This was reinforced by an attending change in money rates, which would set off equilibrating movements in short-term private funds. In practice, gold movements among the major economies were relatively infrequent and small. Temporary gaps to a large extent were filled by short-term capital movements, responding to interest differentials or slight variations within the gold points.²⁷ More fundamental adjustments were produced by the impact of the balance of payments not only on domestic money stock and the volume of credit, but also through the direct effects of export earnings on domestic income and effective demand.

In sum, even in its less than pristine form, the pre-World War I gold standard was predicated upon particular assumptions concerning the fundamental purpose of domestic monetary policy and the role of the state in the process of adjusting imbalances in the level of external and internal economic activity. With respect to the first, in Bloomfield's words, the "dominant and overriding" objective of monetary policy was the maintenance of gold parity. "The view, so widely recognized and accepted in recent decades, of central banking policy as a means of facilitating the achievement and maintenance of reasonable stability in the level of economic activity and prices was scarcely thought about before 1914, and certainly not accepted, as a formal objective of policy."²⁸ Second, insofar as the adjustment process ultimately was geared to securing external stability, state abstinence was prescribed so as not to undermine the equilibrating linkages between the balance of payments, changes in gold reserves and in domestic credit supply,

²⁷ Note, however, Bloomfield's cautionary remark: "While this picture is broadly accurate, the nature and role of private short-term capital movements before 1914 have usually been oversimplified and their degree of sensitivity to interest rates and exchange rates exaggerated. At the same time these movements have been endowed with a benign character that they did not always possess." Arthur I. Bloomfield, "Short-Term Capital Movements Under the Pre-1914 Gold Standard," *Princeton Studies in International Finance* 11 (1963), p. 34. Bloomfield presents a more complex and balanced picture, which, however, does not contradict the basic generalization.

²⁸ Arthur I. Bloomfield, *Monetary Policy Under the International Gold Standard* (New York: Federal Reserve Bank of New York, 1959), p. 23. Bloomfield shows that central banks did attempt partially to "sterilize" the effects of gold flows.

income, and demand. This was not incompatible with partial efforts at sterilization. As Nurkse put it, "all that was required for this purpose was that countries should not attempt to control their national income and outlay by deliberate measures—a requirement which in the age of laissez-faire was generally fulfilled."²⁹

It is impossible to say precisely when these assumptions ceased to be operative and their contraries took hold. But it is clear that after World War I there was a growing tendency "to make international monetary policy conform to domestic social and economic policy and not the other way round."³⁰ The proportion of currency reserves held in the form of foreign exchange more than doubled between 1913 and 1925, to 27 percent; in 1928, it stood at 42 percent. And international reserves increasingly came to serve as a "buffer" against external economic forces rather than as their "transmitter"; Nurkse found that throughout the interwar period the international and domestic assets of central banks moved in opposite directions far more often than in the same direction.³¹ After the collapse of the gold-exchange standard in 1931, exchange stabilization funds were established in the attempt to provide more of a cushion than "neutralization" had afforded. Mere stabilization was followed by direct exchange controls in many instances, with the gold bloc countries attempting to achieve analogous insulation through import quotas. Governments everywhere had developed increasingly active forms of intervention in the domestic economy in order to affect the level of prices and employment, and to protect them against external sources of dislocation.³² The international monetary order disintegrated into five more or less distinct blocs, each with its own prevailing currency arrangement.

On the international side, there is little doubt that the pre-World War I gold standard functioned as it did because of the central part Great Britain played in it. In general terms, "if keeping a free market for imports, maintaining a flow of investment capital, and acting as lender of last resort are the marks of an 'underwriter' of an international system, then Britain certainly fulfilled this role in the nineteenth-century international economy."³³ More specifically, in the domain of monetary policy it was the role of sterling as the major vehicle currency, held by foreign business, banks, and even central banks, that gave the Bank of England the influence to shape international monetary conditions consistent with the fundamental commitments and

²⁹ Nurkse, *International Currency Experience*, p. 213.

³⁰ *Ibid.*, p. 230.

³¹ *Ibid.*, pp. 68–88.

³² For a good global overview of these policy shifts, see Asa Briggs, "The World Economy: Interdependence and Planning," in C. L. Mowat, ed., *The New Cambridge Modern History*, vol. 12 (Cambridge: Cambridge University Press, 1968).

³³ Robert J. A. Skidelsky, "Retreat from Leadership: The Evolution of British Economic Foreign Policy, 1870–1939," in Benjamin M. Rowland, ed., *Balance of Power or Hegemony: The Interwar Monetary System* (New York: New York University Press, 1976), p. 163. Cf. Kindleberger, *The World in Depression*, chap. 1.

dynamics of the regime. And yet, the critical issue in the stability of this regime was not simply some measure of material "supremacy" on the part of Britain, but that "national monetary authorities were inclined to 'follow the market'—and indirectly the Bank of England—rather than to assert independent national objectives of their own."³⁴ Thus, the international gold standard rested on both the special position of Great Britain and prevailing attitudes concerning the role of the state in the conduct of national monetary policy. It reflected a true "hegemony," as Gramsci used the term.

What of the interwar period? Counterfactual historiography is little better than a parlor game under ideal circumstances; it should be especially suspect when an outcome is as overdetermined as institutional failure in the international economy between the wars.³⁵ It seems reasonable to assume, though, that with the end of monetary laissez-faire, "the monetary leader would need to dispose of more monetary influence and political authority than Britain ever possessed, except within its own imperial system."³⁶ And where British hegemony lingered on, as in the Financial Committee of the League of Nations, the outcome was not salutary. For example, the eastern European countries that had their currencies stabilized by the League and were put under the gold-exchange standard before the major countries had fixed their currency rates did so at considerable domestic social cost.³⁷ And virtually every effort at constructing a viable international monetary regime in the interwar period, in which Britain took a leading role, did little more than decry the newly prevailing social objectives of state policy while pleading for a speedy return to the principles of "sound finance."³⁸ The consequences of course were counterproductive: just as the rhetoric of the

³⁴ Harold van B. Cleveland, "The International Monetary System in the Interwar Period," in Rowland, *Balance of Power*, p. 57, emphasis added. Note, in addition, that major primary-producing countries, who may well have borne more than their share of the international adjustment process under the gold standard, by and large did not establish their own central banks until the 1930s—this includes Argentina, Canada, India, New Zealand, and Venezuela. The argument that the adjustment process worked disproportionately on primary-producing countries is made by Robert Triffin, "National Central Banking and the International Economy," in Lloyd A. Metzler et al., eds., *International Monetary Policies* (Washington, D.C.: Board of Governors of the Federal Reserve System, 1947).

³⁵ There is almost no end to the number of dislocating features of the post-World War I international economy that can be adduced as part of the explanation for its institutional failure. Kindleberger, *The World in Depression*, chap. 1, briefly recounts most of them.

³⁶ Cleveland, "International Monetary System," p. 57.

³⁷ "The deflationist's ideal came to be 'a free economy under a strong government'; but while the phrase on government meant what it said, namely, emergency powers and suspension of public liberties, 'free economy' meant in practice the opposite of what it said: . . . while the inflationary governments condemned by Geneva subordinated the stability of the currency to stability of incomes and employment, the deflationary governments put in power by Geneva used no fewer interventions in order to subordinate the stability of incomes and employment to the stability of the currency." Polanyi, *The Great Transformation*, p. 233. For French skepticism concerning the "dogma of Geneva," see Judith L. Kooker, "French Financial Diplomacy: The Interwar Years," in Rowland, *Balance of Power*.

³⁸ For summary descriptions of the major conferences, see Dean E. Traynor, *International Monetary and Financial Conferences in the Interwar Period* (Washington, D.C.: Catholic Universities Press of America, 1949).

League concerning collective security and disarmament sought and in some measure served morally to undermine the balance of power system, without providing a viable alternative, so too did the League and successive international gatherings in the monetary sphere seek to undermine the legitimacy of domestic stabilization policies while offering only the unacceptable gold-exchange standard in their place.³⁹

It is hardly surprising, therefore, that apart from Britain, seized by its own ideology and institutional past and willing to pay the domestic social cost, there were few takers among the major countries.⁴⁰ In sum, efforts to construct international economic regimes in the interwar period failed not because of the lack of a hegemon. They failed because, even had there been a hegemon, they stood in contradiction to the transformation in the mediating role of the state between market and society, which altered fundamentally the social purpose of domestic and international authority. As Ragnar Nurkse observed in 1944,

There was a growing tendency during the inter-war period to make international monetary policy conform to domestic social and economic policy and not the other way round. Yet the world was still economically interdependent; and an international currency mechanism for the multilateral exchange of goods and services, instead of primitive bilateral barter, was still a fundamental necessity for the great majority of countries. The problem was to find a system of international currency relations compatible with the requirements of domestic stability. Had the period been more than a truce between two world wars, the solution that would have evolved would no doubt have been in the nature of a compromise.⁴¹

Ultimately, it was. The liberalism that was restored after World War II differed in kind from that which had been known previously. My term for it is "embedded liberalism."

³⁹ The most trenchant critique of the moral failure of the League remains that of Edward Hallett Carr, *The Twenty Years' Crisis, 1919-1939* (1939, 1946; New York: Harper Torchbooks, 1964).

⁴⁰ For example, France decided in 1928 to accept only gold in settlement of the enormous surplus it was accruing; and in 1929 the U.S. "went off on a restrictive monetary frolic of its own" even though it was in surplus" (Cleveland, "International Monetary System," p. 6). Four years later, in his inaugural address, President Roosevelt proclaimed the primacy of domestic stabilization, as he did again a few months later when, on the eve of the World Economic Conference of 1933, he took the U.S. off gold.

⁴¹ *International Currency Experience*, p. 230. Note that Nurkse was speaking of "the great majority of countries." Those who chose bilateralism as an instrument of economic warfare and imperialism were unlikely to be accommodated within any multilateral regime. However, mere state trading or even the participation of centrally planned economies, while posing special problems, were not seen to be insuperable obstacles to multilateralism; see Herbert Feis, "The Conflict Over Trade Ideologies," *Foreign Affairs* 25 (July 1947), and Raymond F. Mikesell, "The Role of the International Monetary Agreements in a World of Planned Economies," *Journal of Political Economy* 55 (December 1947). I think it is fair to say, though, that reconciling the many variants and depths of state intervention would have been a difficult task in the best of times, which the 1930s of course weren't. We are justified, therefore, in "coding" the interwar period as "no hegemon, no agreement on purpose."

2. The compromise of embedded liberalism

Liberal internationalist orthodoxy, most prominent in New York financial circles, proposed to reform the old order simply by shifting its locus from the pound to the dollar and by ending discriminatory trade and exchange practices.⁴² Opposition to economic liberalism, nearly universal outside the United States, differed in substance and intensity depending upon whether it came from the Left, Right, or Center, but was united in its rejection of unimpeded multilateralism.⁴³ The task of postwar institutional reconstruction, as Nurkse sensed, was to maneuver between these two extremes and to devise a framework which would safeguard and even aid the quest for domestic stability without, at the same time, triggering the mutually destructive external consequences that had plagued the interwar period. This was the essence of the embedded liberalism compromise: unlike the economic nationalism of the thirties, it would be multilateral in character; unlike the liberalism of the gold standard and free trade, its multilateralism would be predicated upon domestic interventionism.

If this was the objective of postwar institutional reconstruction for the international economy, there remained enormous differences among countries over precisely what it meant and what sorts of policies and institutional arrangements, domestic and international, the objective necessitated or was compatible with. This was the stuff of the negotiations on the postwar international economic order. The story of these negotiations has been told by others, in detail and very ably.⁴⁴ I make no attempt to repeat it here. I simply summarize the conjunction of the two themes that constitutes the story's plot. The first, which we tend to remember more vividly today, concerned

⁴² Professor John H. Williams, vice-president of the Federal Reserve Bank of New York, was a leading spokesman for the New York financial community, which resented having lost control over international monetary affairs when authority shifted from the FRBNY to the U.S. Treasury under Secretary Morgenthau. Their plan, which had some support in Congress, called simply for a resurrection of the gold-exchange standard, with the dollar performing the role that sterling had played previously. They opposed the New Deal "gimmickry" of the White Plan, and of course they liked Keynes's Clearing Union even less. See Van Dormael, *Bretton Woods*, chap. 9.

⁴³ In the case of Britain, the other major actor in the negotiations concerning postwar economic arrangements, opposition from the Left was based on the desire to systematize national economic planning, which would necessarily entail discriminatory instruments for foreign economic policy. Opposition from the Right stemmed from a commitment to imperial preferences and the imperial alternative to a universal economic order. Speaking for many moderates, Hubert Henderson was opposed because he doubted the viability of a "freely working economic system," that is, of *laissez-faire*. "To attempt this would be not to learn from experience but to fly in its face. It would be to repeat the mistakes made last time in the name of avoiding them. It would be to invite the same failure, and the same disillusionment; the same economic chaos and the same shock to social and political stability; the same discredit for the international idea." (Richard N. Gardner, *Sterling-Dollar Diplomacy in Current Perspective* [New York: Columbia University Press, 1980], chap. 1; the quotation is from a memorandum prepared by Henderson in December 1943, while serving in the British Treasury; reproduced in Gardner, p. 30.)

⁴⁴ The following account draws heavily on Gardner's classic study, as supplemented by the greater detail on the monetary side presented in Van Dormael.

multilateralism versus discrimination. It was an achievement of historic proportions for the United States to win adherence to the principle of multilateralism, particularly in trade. It required the expenditure of enormous resources. Still, it would not have succeeded but for an acceptable resolution of the dilemma between internal and external stability, the story's second theme. Here, history seemed not to require any special agent. True, the United States from the start of the negotiations was far less "Keynesian" in its positions than Great Britain. Within the United States, the social and economic reforms of the New Deal had lacked ideological consistency and programmatic coherence, and opposition had remained firmly entrenched. The transformation of the full-employment bill into the Employment Act of 1946 demonstrated the country's continuing ambivalence toward state intervention. This, of course, affected the outcome of the negotiations. Indeed, the United States would come to use its influence abroad in the immediate postwar years, through the Marshall Plan, the Occupation Authorities in Germany and Japan, and its access to transnational labor organizations, for example, to shape outcomes much more directly, by seeking to moderate the structure and political direction of labor movements, to encourage the exclusion of Communist Parties from participation in governments, and generally to discourage collectivist arrangements where possible or at least contain them within acceptable Center-Left bounds.⁴⁵ But these differences among the industrialized countries concerned the forms and depth of state intervention to secure domestic stability, not the legitimacy of the objective.⁴⁶

In the event, on the list of Anglo-American postwar economic objectives, multilateralism was joined by collaboration to assure domestic economic growth and social security as early as the Atlantic Charter, issued in August 1941. Indeed, progress on multilateralism seemed to be made contingent upon progress in expanding domestic production, employment, and the exchange and consumption of goods in Article VII of the Mutual Aid Agreement (Lend Lease), which was signed in February 1942.

On the monetary side, however different White's Stabilization Fund may have been from Keynes's Clearing Union (and there were considerable differences on instrumentalities), they shared a common purpose: intergov-

⁴⁵ Charles S. Maier, "The Politics of Productivity: Foundations of American International Economic Policy After World War II," *International Organization* 31 (Autumn 1977), and Robert W. Cox, "Labor and Hegemony," *International Organization* 31 (Summer 1977).

⁴⁶ Interesting in this regard is the role played by Leon Keyserling, appointed in 1949 as the first Keynesian on the Council of Economic Advisers, in helping to undermine the previous "economy-in-defense" policy by providing economic support for the proposed rearmament program contained in NSC-68 (Fred M. Kaplan, "Our Cold-War Policy, Circa '50," *New York Times Magazine*, 18 May 1980). Radicals have implied that "military Keynesianism" was the only kind of Keynesianism acceptable in the U.S. at that time (cf. Fred L. Block, *The Origins of International Economic Disorder* [Berkeley: University of California Press, 1977], pp. 102-8). But this interpretation slights the substantial state involvement in the U.S. in the postwar years in infrastructural investment (interstate highways, for example), agricultural price supports, and even in social expenditures, well before the full impact of Keynesian thinking was felt on monetary and fiscal policy in the 1960s.

ernmental collaboration to facilitate balance-of-payments equilibrium, in an international environment of multilateralism and a domestic context of full employment. Early in 1943, Adolf Berle foresaw that the compromise on the means to achieve these ends would have to "free the British people from their fear that they might have to subordinate their internal social policy to external financial policy, and to assure the United States that a share of its production was not claimable by tender of a new, 'trick' currency, and that the economic power represented by the US gold reserves would not be substantially diminished."⁴⁷ By the time of the Anglo-American "Joint Statement of Principles," issued not long before the Bretton Woods Conference, the consensus that had emerged provided for free and stable exchanges, on the one hand, and, on the other, the erection of a "double screen," in Cooper's words,⁴⁸ to cushion the domestic economy against the strictures of the balance of payments. Free exchanges would be assured by the abolition of all forms of exchange controls and restrictions on current transactions. Stable exchanges would be secured by setting and maintaining official par values, expressed in terms of gold. The "double screen" would consist of short-term assistance to finance payments deficits on current account, provided by an International Monetary Fund, and, so as to correct "fundamental disequilibrium," the ability to change exchange rates with Fund concurrence. Governments would be permitted to maintain capital controls.

In devising the instruments of the monetary regime, the most intense negotiations were occasioned by the functioning of the "double screen." On the question of the Fund, Keynes had argued for an international overdraft facility. This would have created some \$25 billion to \$30 billion in new liquidity, with the overall balance of credits and debits in the Fund being expressed in an international unit of account, which was to be monetized. The arrangement would have been self-clearing unless a country were out of balance with the system as a whole, in which case corrective measures were called for on the part of creditors and debtors alike. The White plan originally called for a \$5 billion Fund, though the U.S. ultimately agreed to \$8.8 billion. However, these funds would have to be paid in by subscription. Access to the Fund as well as total liability were strictly limited by quotas, which in turn reflected paid-in subscriptions—the initial U.S. contribution was \$3.175 billion. And a country that sought to draw on the Fund had to make "representations" that the particular currency was needed for making payments on current account. Thus, with the United States, the sole major creditor country, seeking to limit its liabilities, the first part of the "double screen" was both more modest and more rigid than the United Kingdom and other potential debtor countries would have liked. But there was no question about its being provided. On the second part, exchange rate changes, the

⁴⁷ Paraphrased by Van Dornael, *Bretton Woods*, p. 103.

⁴⁸ Richard N. Cooper, "Prolegomena to the Choice of an International Monetary System," *International Organization* 29 (Winter 1975), p. 85.

U.K. was more successful in assuring automaticity and limiting intrusions into the domain of domestic policy. The Fund was required to concur in any change necessary to correct a "fundamental disequilibrium," and if the change was less than 10 percent the Fund was given no power even to raise objections. Most important, the Fund could not oppose any exchange rate change on the grounds that the domestic social or political policies of the country requesting the change had led to the disequilibrium that made the change necessary. Lastly, the final agreement did include a provision to shift at least some of the burden of adjustment onto creditor countries. This was by means of the "scarce currency" clause, which Keynes, in the end, thought to be quite important. It empowered the Fund, by decision of the Executive Directors, to ration its supply of any currency that had become scarce in the Fund and authorized members to impose exchange restrictions on that currency.

Once negotiations on postwar commercial arrangements got under way seriously, in the context of preparations for an International Conference on Trade and Employment, the principles of multilateralism and tariff reductions were affirmed, but so were safeguards, exemptions, exceptions, and restrictions—all designed to protect the balance of payments and a variety of domestic social policies. The U.S. found some of these abhorrent and sought to limit them, but even on so extraordinary an issue as making full employment an international obligation of governments it could do no better than to gain a compromise. The U.S. Senate subsequently refused to ratify the Charter of the International Trade Organization (ITO), as a result of which a far smaller domain of commercial relations became subject to the authority of an international regime than would have been the case otherwise. The regulation of commodity markets, restrictive business practices, and international investments were the most important areas thereby excluded.⁴⁹ But within this smaller domain, consisting of the more traditional subjects of commercial policy, the conjunction of multilateralism and safeguarding domestic stability that had evolved over the course of the ITO negotiations remained intact.⁵⁰

Jacob Viner summarized the prevailing consensus in 1947, at the time of the negotiations for a General Agreement on Tariffs and Trade (GATT): "There are few free traders in the present-day world, no one pays any attention to their views, and no person in authority anywhere advocates free trade."⁵¹ The United States, particularly the State Department, was the

⁴⁹ The provisions of the ITO Charter became internally so inconsistent that it is difficult to say just what sort of a regime it would have given rise to. See William Diebold Jr., "The End of the ITO," *Princeton Essays in International Finance* 16 (Princeton, N.J., October 1952).

⁵⁰ The following account draws heavily on Gardner, *Sterling-Dollar Diplomacy*, and on Gerard and Victoria Curzon, "The Management of Trade Relations in the GATT," in Andrew Shonfield, ed., *International Economic Relations of the Western World, 1959-1971*, vol. 1 (London: Oxford University Press for the Royal Institute of International Affairs, 1976).

⁵¹ Jacob Viner, "Conflicts of Principle in Drafting a Trade Charter," *Foreign Affairs* 25 (January 1947), p. 613.

prime mover behind multilateralism in trade. But this meant nondiscrimination above all. The reduction of barriers to trade of course also played a role in American thinking, but here too the concern was more with barriers that were difficult to apply in a nondiscriminatory manner. Tariff reduction was subject to much greater domestic constraint. For their part, the British made it clear from the beginning that they would countenance no dismantling of imperial preferences unless the U.S. agreed to deep and linear tariff cuts. The proposed Commercial Union, put forward by James Meade on behalf of Britain, contained such a formula, together with an intergovernmental code of conduct for trade and machinery to safeguard the balance of payments. But the U.S. Congress could not be expected to accept linear tariff cuts.⁵²

The General Agreement on Tariffs and Trade made obligatory the most-favored-nation rule, but a blanket exception was allowed for all existing preferential arrangements, and countries were permitted to form customs unions and free trade areas. Moreover, quantitative restrictions were prohibited, but were deemed suitable measures for safeguarding the balance of payments—*explicitly* including payments difficulties that resulted from domestic policies designed to secure full employment. They could also be invoked in agricultural trade if they were used in conjunction with a domestic price support program. The substantial reduction of tariffs and other barriers to trade was called for; but it was not made obligatory and it was coupled with appropriate emergency actions, which were allowed if a domestic producer was threatened with injury from import competition that was due to past tariff concessions. The Agreement also offered a blanket escape from any of its obligations, provided that two-thirds of the contracting parties approved. Lastly, procedures were provided to settle disputes arising under the Agreement and for the multilateral surveillance of the invocation of most (though not all) of its escape clauses. The principle of reciprocity was enshrined as a code of conduct, to guide both tariff reductions and the determination of compensation for injuries suffered.

To repeat my central point: that a multilateral order gained acceptance reflected the extraordinary power and perseverance of the United States.⁵³

⁵² In the spring of 1947, the U.S. delegation arrived in Geneva armed with congressional authorization for an overall tariff reduction to 50% of their 1945 levels (which, however, would still have left U.S. tariffs relatively high), in return for elimination of preferences. But, at the same time, the United States entered into preferential trade agreements with Cuba and the Philippines. Though mutual concessions on several important items were made in Geneva, in the end some 70% of existing British preferences remained intact (Gardner, *Sterling-Dollar Diplomacy*, chap. 17).

⁵³ At the Palm Springs Conference, Peter Kenen argued that this is true more for trade than for money. He maintains that, with the exception of the particulars of the credit arrangement (and the future role of the dollar, which I take up below), the general outlines of Bretton Woods would not have differed appreciably had there not been an American hegemon present. This is so because the basic design rested on a widely shared consensus. However, in trade, Kenen suggests, it is unlikely that nondiscrimination would have been accepted as a guiding principle had it not been for American "muscle." Keep in mind that even here the U.S. was forced to accept the indefinite continuation of all existing preferential trade agreements.

But that multilateralism and the quest for domestic stability were coupled and even conditioned by one another reflected the shared legitimacy of a set of social objectives to which the industrial world had moved, unevenly but "as a single entity." Therefore, the common tendency to view the postwar regimes as liberal regimes, but with lots of cheating taking place on the domestic side, fails to capture the full complexity of the embedded liberalism compromise.⁵⁴

3. Complementary transaction flows

The postwar regimes for trade and money got off to a slow start. The early GATT rounds of tariff negotiations were modest in their effects. As a lending institution, the IMF remained dormant well into the 1950s. Meanwhile, bilateral currency arrangements in the late 1940s and early 1950s became far more extensive than they had ever been in the 1930s, doubling to some four hundred between 1947 and 1954.⁵⁵ But by the late 1950s, the Europeans had "the worst of their post-war problems behind them—and new ones had not yet come to take their place." Both Europe and the United States were poised "on the brink of a decade of phenomenal expansion which imperiously demanded wider markets through freer trade."⁵⁶ This in turn demanded the elimination of exchange restrictions on current account. Liberalization in trade and money soon followed.

Preoccupation with the fact of subsequent liberalization has tended to detract from consideration of its precise characteristics, at least on the part of political scientists.⁵⁷ The questions that have dominated discussion concern the impact of liberalization on the expansion of international economic transactions, or the effects on both of U.S. hegemony (with a time lag), operating directly by means of the exercise of American state power or indi-

⁵⁴ The third panel of the Bretton Woods triptych was the World Bank, which to some extent may also be said to reflect this conjunction of objectives. True, the grandiose concept of an international bank to engage in countercyclical lending and to help stabilize raw materials prices, which both White and Keynes had entertained at one point, was shelved due to opposition on both sides of the Atlantic. Nevertheless, for the first time, international *public* responsibility was acknowledged for the provision of investment capital, supplementing the market mechanism. For Secretary Morgenthau's strong views on this subject, see Gardner, *Sterling-Dollar Diplomacy*, p. 76.

⁵⁵ Of the 1954 total, 235 existed in Europe. Margaret G. De Vries and J. Keith Horsefield, *The IMF, 1945–1965*, vol. 2 (Washington, D.C.: International Monetary Fund, 1969), chap. 14.

⁵⁶ Curzon and Curzon, "Management of Trade," pp. 149–50.

⁵⁷ A notable exception is Kenneth N. Waltz, "The Myth of National Interdependence," in Charles P. Kindleberger, ed., *The International Corporation* (Cambridge: MIT Press, 1970). However, Waltz considers the characteristics of an international division of labor at any given point in time to be a product solely of international polarity. And this, in turn, requires that he consider Great Britain in the 19th century to have been but one among several coequal members of a plural system. He concludes that the international division of labor in the present era has been less extensive in kind and degree than in the pre-World War I setting *because of* bipolarity today and multipolarity then.

rectly through the internationalization of American capital. These of course are interesting questions, but they are not the questions that concern me here. Having argued that the postwar regimes for trade and money institutionalized the normative framework of embedded liberalism, I now examine whether and how this framework is reflected in the character of the international economic transactions that emerged when imminent expansion “imperiously” demanded liberalization.

I proceed by way of hypothesis. Imagine a world of governments seized by the compelling logic of David Ricardo; following a bout with mercantilism, this world is poised “on the brink” of liberalization. What kinds of international economic transactions are governments likely to encourage?

Under a system of perfectly free trade each country naturally devotes its capital and labour to such employments as are most beneficial to each. This pursuit of individual advantage is admirably connected with the universal good of the whole. By stimulating industry, by rewarding ingenuity, and by using most efficaciously the peculiar powers bestowed by nature, it distributes labour most effectively and most economically; while, by increasing the general mass of productions, it diffuses general benefit, and binds together, by one common tie of interest and intercourse, the universal society of nations throughout the civilised world. It is this principle which determines that wine shall be made in France and Portugal, that corn shall be grown in America and Poland, and that hardware and other goods shall be manufactured in England.⁵⁸

In short, our governments are likely to encourage an international division of labor based on the functional differentiation of countries that reflects their comparative advantage. Trade among them therefore would be socially highly profitable.

Now imagine the same governments under similar circumstances, the only difference being that they are committed to embedded liberalism rather than to *laissez-faire*. What sorts of international economic transactions would we expect them to favor? The essence of embedded liberalism, it will be recalled, is to devise a form of multilateralism that is compatible with the requirements of domestic stability. Presumably, then, governments so committed would seek to encourage an international division of labor which, while multilateral in form and reflecting *some* notion of comparative advantage (and therefore gains from trade), *also* promised to minimize socially disruptive domestic adjustment costs as well as any national economic and political vulnerabilities that might accrue from international functional differentiation. They will measure collective welfare by the extent to which these objectives are achieved. However, as neoclassical trade theory defines the term, the overall social profitability of this division of labor will be lower than of the one produced by *laissez-faire*.

⁵⁸ David Ricardo, *Works*, ed. by Piero Sraffa (Cambridge: Cambridge University Press, 1955), 1:133–34.

Let us return from the world of hypothesis and review briefly the character of postwar transaction flows.⁵⁹

The great bulk of international economic transactions since the 1950s shows very definite patterns of concentration. The growth in trade has exceeded the growth in world output, and the most rapidly growing sector of trade has been in manufactured products among the industrialized countries. Within this general category, some two-thirds of the increase in trade from 1955 to 1973 is accounted for by "intracontinental" trade, that is, trade within western Europe and within North America.⁶⁰ What is more, it appears that trade in products originating in the same sector, or "intra-industry" trade, is growing far more rapidly than trade involving products of different sectors.⁶¹ This in turn reflects a secular decline of specialization in different sectors of manufacturing activity among the industrialized countries.⁶² Lastly, there is evidence to suggest that trade among related corporate parties, or "intrafirm" trade, accounts for an ever-larger portion of total world trade.⁶³ On the financial side, international investments have been rising even more rapidly than world trade, and they conform roughly to the same pattern of geographical, sectoral, and institutional concentration.⁶⁴ This is also true of international transfers of short-term funds.⁶⁵

What kind of division of labor among the industrialized countries do these patterns portray? It is, in Cooper's words, one characterized by a

⁵⁹ The facts are well enough known, but not enough is made of them. For example, I find that much of what I have to say is implied in if not anticipated by the *locus classicus* of liberal interdependence theorists: Richard N. Cooper, *The Economics of Interdependence* (1968; New York: Columbia University Press, 1980). However, Cooper was concerned with telling a different story, so he chose not to take up issues and conclusions that, from the present vantage point, appear more scintillating. To cite but one illustration, Cooper demonstrates a converging cost structure among the industrialized countries. His major concern is to argue that this contributes to the increasing marginal price sensitivity of rapidly growing foreign trade—that is, to interdependence as he defines the term. In passing, he mentions another implication of this convergence, but one "which will not much concern us here." It is "that international trade becomes less valuable from the viewpoint of increasing economic welfare" (pp. 75–76). This striking departure from the textbook case for free trade, amidst an explosion in world trade, is left unexplored.

⁶⁰ Richard Blackhurst, Nicolas Marian, and Jan Tumlrir, "Trade Liberalization, Protectionism and Interdependence," *GATT Studies in International Trade* 5 (November 1977), pp. 18–19.

⁶¹ *Ibid.*, pp. 10–11, 15–16; and Charles Lipson's article in this volume.

⁶² Richard Cooper has traced this back to 1938, and finds that ten of thirteen manufacturing sectors show declines in variation among countries, and none shows a sharp increase. Cooper, *Economics of Interdependence*, pp. 74–78. In a further refinement, Blackhurst, Marian, and Tumlrir, "Trade Liberalization," add that the proportion of imports and exports consisting of intermediate manufactured goods, as opposed to goods destined for final use, is rising rapidly, particularly in the category of engineering products. This reflects, among other things, "the growth in intra-branch specialization, foreign processing and sub-contracting" (pp. 15–16).

⁶³ Gerald K. Helleiner, "Transnational Corporations and Trade Structure: The Role of Intra-Firm Trade," in Herbert Giersch, ed., *Intra-Industry Trade* (Tübingen: J. C. B. Mohr, Paul Siebeck, 1979).

⁶⁴ For a historical overview, see John H. Dunning, *Studies in International Investments* (London: Allen & Unwin, 1970).

⁶⁵ A recent survey may be found in Joan Edelman Speto, *The Failure of the Franklin National Bank* (New York: Columbia University Press, 1980), chap. 2.

"narrowing of the economic basis" on which international transactions rest.⁶⁶ By this he means that international economic transactions increasingly reflect the effects of marginal cost and price differentials of similar activities and products, rather than the mutual benefits of divergent investment, production, and export structures. Moreover, within this division of labor there is a critical shift in functional differentiation *from* the level of country and sector *to* the level of product and firm. And the economic gains from trade are correspondingly smaller.⁶⁷

All of this stands in stark contrast to the half-century prior to 1914. Intercontinental trade was higher.⁶⁸ Intersectoral trade dominated.⁶⁹ Long-term capital movements favored capital-deficient areas, and were concentrated overwhelmingly in the social-overhead capital sector of the borrowing countries.⁷⁰ Marginal cost and price differentials appear to have had only limited bearing on the pattern of trade and investment flows;⁷¹ the requirements of international functional differentiation and, later, absorptive capacity, account for much more of the variance.⁷² Lastly, the large dif-

⁶⁶ *Economics of Interdependence*, p. 68.

⁶⁷ *Ibid.*, p. 76. Cooper adds that both product differentiation and economies of scale may modify this conclusion, "but several of the countries under consideration have sufficiently large domestic markets to reap most benefits likely to flow from large scale production even without trade."

⁶⁸ A. G. Kenwood and A. L. Lougheed, *The Growth of the International Economy, 1820-1960* (London: Allen & Unwin, 1971), chap. 5.

⁶⁹ For example, in 1913 Great Britain imported 87% of the raw materials it consumed (excluding coal), and virtually as much of its foodstuffs. Moreover, the share of primary products in world trade from 1876-1913 remained steady at about 62%, even though total world trade trebled. And right up to World War I, Germany, Great Britain's main industrial rival, remained a major source of supply of manufactured materials for Great Britain, including chemicals and dyestuffs. Kenwood and Lougheed, *Growth of International Economy*, chap. 5, and Briggs, "World Economy," p. 43.

⁷⁰ During the fifty years preceding 1914, the Americas received 51% of British portfolio foreign investment (North America 34%, South America 17%); overall, some 69% of British portfolio foreign investment went into transportation, public utilities, and other public works; 12% into extractive industries; and only 4% into manufacturing. Matthew Simon, "The Pattern of New British Portfolio Foreign Investment, 1865-1914," in A. R. Hall, ed., *The Export of Capital from Britain* (London: Methuen, 1968), p. 23; cf. A. K. Cairncross, *Home and Foreign Investment, 1870-1913* (Cambridge: Cambridge University Press, 1953). A broader survey of the various forms of investment from all sources may be found in Kenwood and Lougheed, *Growth of International Economy*, chap. 2.

⁷¹ For trade, see *ibid.*, chap. 5; for investment, A. I. Bloomfield, "Patterns of Fluctuations in International Investment Before 1914," *Princeton Studies in International Finance* 21 (1968), esp. pp. 35-40. Cooper (*Economics of Interdependence*, pp. 151-52), concerned to show that interdependence in the pre-1914 world economy "was something of an illusion," argues that despite the freedom of capital to move, "it did not in fact move in sufficient volume *even* to erase differences in short-term interest rates." (Emphasis added, to underscore his looking at the pre-1914 world through post-1960 lenses).

⁷² "The industrialization of Europe and the growth of its population created a steadily growing demand for raw materials and foodstuffs, much of which had to be imported. At the same time, important advances in technical knowledge, especially in transportation and communications, and the existence of underpopulated and land-rich countries in other continents provided the means whereby these demands could be met. The greater part of the foreign investment undertaken during the nineteenth century was concerned with promoting this international specialization between an industrial centre located in Europe (and, later, in the United States) and a

ferences in comparative cost structures meant that trade was socially very profitable.⁷³

To explain fully the differences between the pre-1914 and the post-1950s international division of labor would require linking them to a number of potentially causal factors. Among these, the most frequently invoked are differences in the relative levels of economic and technological development of the major countries concerned;⁷⁴ the evolution of the global organization of capital over the course of the past century;⁷⁵ the effects of differences in the configuration of interstate power in the two eras;⁷⁶ and the respective external consequences of shifts in domestic state-society relations.⁷⁷ International regimes thus do not determine these outcomes. At the same time, however, the close similarity between our hypothesized expectations of laissez-faire liberalism and embedded liberalism and actual patterns of transaction flows suggests that regimes do play a mediating role.

This mediating role of the postwar regimes for trade and money, and the complementary transaction flows to which they gave rise, have come to be recognized even by those most consistently espousing conventional liberal orthodoxies. As Charles Lipson points out, GATT negotiations have strongly favored intra-industry specialization.⁷⁸ And a recent GATT study notes that liberalization has produced "surprisingly few adjustment problems" among the industrialized countries because there has been "no abandonment of whole industrial sectors." Instead, specialization is "achieved mainly by individual firms narrowing their product range. . . ." ⁷⁹ As a result, national export structures among the industrialized countries are becoming ever more alike.⁸⁰ On reflection, however, this outcome should not cause surprise. For governments pursuing domestic stabilization, it is quite safe to liberalize this kind of trade. Adjustment costs are low. It poses none of the vulnerabilities that a true Ricardian specialization among sectors would pose. Whatever political vulnerabilities might arise from it are more or less shared by all parties to it, so that it is unlikely to lead to a contest for political

periphery of primary producing countries." Kenwood and Loughheed, *Growth of International Economy*, p. 48.

⁷³ Cooper, *Economics of Interdependence*, p. 152.

⁷⁴ This is generally considered to be the driving force by liberal economists, as exemplified by Cooper, *ibid.*

⁷⁵ Marxists have tended to stress this factor; see, for example, Christian Palloix, "The Self-Expansion of Capital on a World Scale," *Review of Radical Political Economy* 9 (Summer 1977), which is drawn from his larger work, *L'internationalisation du capital* (Paris: Maspéro, 1975).

⁷⁶ This is the realists' explanandum, as developed in Waltz, "Myth of National Interdependence," though most realists, unlike Waltz, would characterize the distribution of power in the pre-1914 world political economy as having been hegemonic. Cf. Robert Gilpin, *U.S. Power and the Multinational Corporation* (New York: Basic Books, 1975).

⁷⁷ See Polanyi's *Great Transformation* for one expression of this social-organicist position; for another, from a different location on the political spectrum, see Gunnar Myrdal, *Beyond the Welfare State* (New Haven: Yale University Press, 1960).

⁷⁸ His article in this volume.

⁷⁹ Blackhurst, Marian, and Tumlin, "Trade Liberalization," p. 11.

⁸⁰ See Lipson's article in this volume, and the references he cites.

advantage among them. And all the while it offers gains from trade. In contrast, there has been no progress in liberalizing agricultural trade. Furthermore, where trade in industrial products is based on a more classical notion of comparative advantage, as it is with imports from the so-called newly industrializing countries, the trade regime has encountered difficulty.⁸¹ Apart from oil, North-South raw materials trade has posed few problems for the industrialized countries, both because of their overall domination of world trade and because of the characteristics of the raw materials sector.⁸²

International financial flows may be expected to follow closely the evolving patterns of production and trade. Since the liberalization of payments facilities at the end of the 1950s and the loosening of capital controls in the early 1960s, they have done so. Two additional features of international financial transactions bear on my argument. First, international investments in social overhead capital, which provided the great bulk of private flows in the 1865–1914 period, now are almost the exclusive domain of national and international public institutions, acting alone or in cofinancing arrangements with private capital.⁸³ This has meant a welcome supplement to the vagaries of the market mechanism for recipient countries, and for donor countries as well, though in a different sense. For the donor countries, it has meant an ability to exercise far greater discretion over patterns of investment decisions in this leading sector than governments in the 19th century either enjoyed or sought. Second, the international financial markets that emerged in the 1960s, above all the Euromarkets, offered governments an important supplement to the monetary regime. Under Keynes's Clearing Union, capital controls were combined with generous overdraft allowances and parity changes as needed. In their absence or, more accurately, under the more modest forms of each that came to prevail in the 1960s, these markets offered the prospect of an adjustment mechanism to cushion both surplus and deficit countries (at least in the short run). Accordingly, governments did little to control and much to encourage the formation and growth of these markets.⁸⁴ Today, they constitute the main source of balance-of-payments financing.⁸⁵

⁸¹ This is not to suggest that the trade regime has encountered no other difficulties. One of the more serious is surplus capacity, which shows that the apparent ease with which liberalization has been accommodated was also dependent upon unprecedented rates of economic growth.

⁸² Paul Bairoch, *The Economic Development of the Third World since 1900* (Berkeley: University of California Press, 1975), chap. 5.

⁸³ Dunning, *International Investments*, chap. 1. Governmental loans were largely confined to Continental Europe in the 19th century, and were small in comparison with private loans. Today, the situation is reversed in each respect.

⁸⁴ A good discussion of the role of governments in triggering the expansion of these markets may be found in Susan Strange, *International Monetary Relations*, vol. 2 of Shonfield, ed., *International Economic Relations of the Western World*, esp. chap. 6. Strange's primary concern is to show how the Euromarkets transformed from "good servant" to "bad master," by making difficult the conduct of domestic monetary policy and generally eroding national monetary sovereignty. The good servant role received rather more attention again in the mid to late 1970s, following the enormous payments imbalances produced by oil price increases. More on this general problem below.

⁸⁵ Benjamin J. Cohen's article in this volume.

In sum, international economic regimes do not determine international economic transactions. For determinants we have to look deeper into basic structural features of the world political economy. But, as we have seen, nor are international economic regimes irrelevant to international economic transactions. They play a mediating role, by providing a permissive environment for the emergence of certain kinds of transactions, specifically transactions that are perceived to be complementary to the normative frameworks of the regimes having a bearing on them. This conclusion does not imply that perceptions are never mistaken, that "good servants" never go on to become "bad masters," that complementarity is never condemned to coexist with contradiction—or, indeed, that international regimes have a bearing on the entire range of international transactions. Nor does it suggest that the effectiveness of international regimes may not become undermined by such disjunctions. The question of possible responses to second-order consequences of this sort takes us into a different analytical realm, that of regime change.

4. Norm-governed change

The 1970s witnessed important changes in central features of the post-war regimes for money and trade. Among political scientists and some economists, the decline of U.S. hegemony is most often adduced as the *causa causans* of these changes. Terms such as "erosion" and even "collapse" are most often invoked to describe them. Triffin depicted the Jamaica Accords as "slapstick comedy" rather than monetary reform, while for a former U.S. trade official the Tokyo Round "performed the coup de grace" on liberal trade.⁸⁶ The sense of discontinuity is pervasive. Is it justified?

Once again I take temporary refuge in hypothesis. If we allow that international regimes are not simply emanations of the underlying distribution of interstate power, but represent a fusion of power and legitimate social purpose, our cause and effect reasoning becomes more complex. For then the decline of hegemony would not necessarily lead to the collapse of regimes, provided that shared purposes are held constant. Instead, one ought to find changes in the instrumentalities of regimes, which, under hegemony, are likely to have relied on disproportionate contributions by and therefore reflected the preferences of the hegemon.⁸⁷ At the same time, one ought to find continuity in the normative frameworks of regimes, which would still

⁸⁶ Robert Triffin, "Jamaica: 'Major Revision' or Fiasco," in Edward M. Bernstein et al., "Reflections on Jamaica," *Princeton Essays in International Finance* 115 (Princeton, N.J., 1976), as cited in Benjamin J. Cohen, *Organizing the World's Money* (New York: Basic Books, 1977), chap. 4, fn. 24; and Thomas Graham, "Revolution in Trade Politics," *Foreign Policy* 36 (Fall 1979), p. 49.

⁸⁷ Supporters of the hegemonic stability position speak of "burdens of leadership"; critics, of "exorbitant privileges." The empirical referents are the same.

reflect shared purposes. And the new instrumentalities ought to be more appropriate to the new power distribution while remaining compatible with the existing normative framework. In short, the result would be "norm-governed" change.

Let us turn back to the post-1971 changes in the regimes for money and trade. On the monetary side, the major changes at issue are the end of the dollar's convertibility into gold and the adoption of floating rates of exchange, both in violation of the original Articles of Agreement. On the trade side, no discrete event fully symbolizes the perceived discontinuities, though they are characterized generally as "the new protectionism" and include the proliferation of nontariff barriers to trade and violations of the principle of nondiscrimination, in the form of domestic interventions as well as internationally negotiated export restraints. In both cases a weakening of the central institutions, the IMF and the GATT, is taken to reflect the same syndrome.

It is my contention that, on balance, the hypothesis of norm-governed change accounts for more of the variance than claims of fundamental discontinuity.

Base-line

The base-line against which change is here to be compared consists of two parts. First, if we compare changes in the monetary and trade regimes against some ideal of orthodox liberalism, then we are bound to be disappointed if not shocked by recent trends. But we are also bound to be misled. For orthodox liberalism has not governed international economic relations at any time during the postwar period. My starting point, of course, is the institutional nexus of embedded liberalism. Within this framework, it will be recalled, multilateralism and domestic stability are linked to and conditioned by one another. Thus, movement toward greater openness in the international economy is likely to be coupled with measures designed to cushion the domestic economy from external disruptions. At the same time, measures adopted to effect such domestic cushioning should be commensurate with the degree of external disturbance and compatible with the long-term expansion of international transactions. Moreover, what constitutes a deviation from this base-line cannot be determined simply by the "objective" examination of individual acts in reference to specific texts. Rather, deviation will be determined by the "intersubjective" evaluation of the intentionality and consequences of acts within the broader normative framework and prevailing circumstances.

The second component of my base-line is the peculiar relation of the United States to the institutionalization of embedded liberalism immediately after the war. The United States was, at one and the same time, the paramount economic power *and* the country in which the domestic state-

society shift remained the most ambivalent. This had several complex consequences, with differential effects on the two regimes. The United States would have to provide the bulk of the material resources required to translate the negotiated compromises into institutional reality. This would give the U.S. influence that it could be expected to exercise in keeping not only with its own interests, but also with its preferred interpretations of both the compromises and how they were to be realized. The impact on the institutionalization of the trade agreement, once the ITO was abandoned, on the whole supported the basic design and need not detain us. But the institutionalization of the monetary agreement was profoundly skewed by the asymmetrical position of the U.S.⁸⁸ At Bretton Woods, through a combination of stealth and inevitability, the dollar had become equated with gold and was recognized officially but apparently without the knowledge of Keynes as the key currency.⁸⁹ Once the IMF came into existence, the U.S. insisted on terms of reference and a series of "interpretations" of the Articles, as well as decisions of the Executive Directors, that had the effect of launching what would come to be known as "IMF orthodoxy" and, inadvertently or otherwise, guaranteeing that there would be no intergovernmental alternative to U.S. payments deficits as the major instrument of international liquidity creation.⁹⁰ Thus, the monetary regime that emerged in the 1950s already differed in several important respects from the intent of Bretton Woods.

It is against this starting point that subsequent developments must be assessed.

⁸⁸ The differential impact on the two regimes is explained largely by the total asymmetry that prevailed in the monetary domain and the relatively more balanced configuration in trade. In the case of money, the U.S. possessed the fungible resources that everyone required, including some two-thirds of the world's monetary gold supply, which it acquired as an unbalanced creditor country before World War II. At the same time, the U.S. saw no situation in which it might become dependent upon the regime as a debtor. The case of trade is inherently somewhat more symmetrical, since the mutual granting of access to markets is the key resource. It is also a domain in which the domestic constraints within the United States differed little from domestic constraints elsewhere.

⁸⁹ Harry Dexter White and his staff had complete control over the organization of meetings, scheduling of subjects, rules of procedure, and drafting of all official documentation including daily minutes and the Final Act. In addition, White headed the so-called special committee, which resolved ambiguities and elaborated operational details. According to Van Dormael, on whose account I draw here, this committee "prepared for inclusion in the Final Act a number of provisions that were never discussed nor even brought up" (*Bretton Woods*, pp. 202-3). Even senior members of the American delegation were not always fully aware of what White was up to; Dean Acheson, normally no slouch, expressed confusion, and what he suspected he didn't much care for (*ibid.*, pp. 200-203). In any case, Van Dormael attributes several features of the Fund to these organizational and procedural manipulations, the most important of which was an equation that no one else became aware of until after the fact, between gold and the U.S. dollar. This was in clear violation of the Joint Statement of Principles. Keynes had rejected any special role for the dollar; he favored the monetization of an international unit of account, and he assumed a multiple-currency reserve system. But in the final analysis, the major consequence of White's maneuverings on this issue was simply to give *de jure* expression to what surely would have occurred *de facto* and have been sanctified by subsequent practice.

⁹⁰ At the inaugural meeting of the Boards of Governors of the IMF and IBRD, held in Savannah, Georgia, the United States succeeded in having both institutions located in Washington, which could be expected to amplify day-to-day influence by Congress and the Administration,

The evolving monetary regime

The post-1971 inconvertibility of the dollar into gold may be usefully framed within the broader rubric of liquidity problems and floating rates of exchange within adjustment problems. I take up each in turn, and conclude with a comment on the IMF.

As noted, the liquidity provisions of Bretton Woods proved inadequate, even though, as Cohen points out elsewhere in this volume, an adequate supply of international liquidity was one of its cardinal principles. The growing volume of international trade increased liquidity requirements, as did the growing magnitude of speculative pressure on exchange rates. The dollar exchange standard, which had "solved" this problem in the short run, was already in trouble when the monetary regime first began to function without the protective shield of the postwar transitional arrangements. In 1958, just as the Europeans were resuming full convertibility of their currencies, U.S. gold reserves fell permanently below U.S. overseas liabilities. And before the next year was out, Professor Triffin had articulated his famous dilemma.⁹¹ Throughout the 1960s, a seemingly endless series of stop-gap measures was tried in an effort to devise what Robert Roosa, former

and in having the Executive Directors be full-time and highly paid officials, which was seen by the British as assuring greater Fund meddling in the affairs of members when they applied for assistance. They were not mistaken. In May 1947, the United States pushed through a meeting of the Executive Directors an "interpretation" of the Articles of Agreement, to the effect that the Fund could "challenge" the representations made by governments that a currency was presently needed for balance-of-payments purposes, and that the Fund had the authority to "postpone or reject the request, or accept it subject to conditions. . . ." (Reproduced in Horsefield, *The IMF*, 3: 227, emphasis added.) This interpretation was confirmed by decision of the Executive Directors in 1948. And thus was IMF conditionality born. In a further decision, taken in 1952, conditionality was elaborated to include "policies the member will pursue" to overcome payments deficits. (Ibid., 3: 228.) In the meantime, once the Marshall Plan went into effect, the United States secured further agreement that recipients of Marshall Plan aid could not also draw on the Fund. With the Europeans effectively excluded from the Fund, its only clients were developing countries. And it was during this period, on initiatives by the United States and in response to requests for assistance by developing countries, that the Fund developed its program of "stabilization" measures: exchange depreciation, domestic austerity measures, reduced public spending, rigid conditionality. Total drawings from the Fund dropped to zero in 1950, and did not exceed 1947 levels again until 1956. With respect to liquidity, the provisions of Bretton Woods were modest and proved inadequate. The European Reconstruction Program took care of Europe's needs. But the IMF repeatedly turned aside requests for new measures to increase its own capacity to supply liquidity, maintaining that the real need was for adjustment. The dollar exchange standard emerged as a "solution" to this problem. (Strange, *International Monetary Relations*, pp. 93-96; Block, *Origins of International Economic Disorder*, chap. 5; Richard Cooper, "Prolegomena to the Choice," p. 86; and Benjamin J. Cohen, in this volume.)

⁹¹ In essence, Triffin argued that if the United States corrected its balance of payments deficit, the result would be world deflation because gold production at \$35 an ounce could not adequately supply world monetary reserves. But if the United States continued running a deficit, the result would be the collapse of the monetary standard because U.S. foreign liabilities would far exceed its ability to convert dollars into gold on demand. Robert Triffin, *Gold and the Dollar Crisis* (New Haven: Yale University Press, 1960), which was largely a reprint of two journal articles that appeared the year before.

under-secretary of the treasury, called "outer perimeter defenses" for the dollar. Roughly speaking, these measures were designed to make gold conversion financially unattractive, to increase the capacity of the IMF to supply liquidity, and to increase the capacity of central banks to neutralize the flow of speculative capital. The U.S. also undertook limited domestic measures to reduce its payments deficits and pressured surplus countries to revalue their currencies. By 1968, however, the dollar had become in effect inconvertible into gold; it was declared formally inconvertible in 1971.

The rise and fall of the gold-convertible dollar has placed the monetary regime in a paradoxical predicament from beginning to end. It has altered profoundly central instruments of the regime having to do with the creation of international liquidity, the system of currency reserves, and the means of ultimate settlement. It has also violated procedural norms, as unilateral action usurped collective decision. But, at the same time, it seems to have been understood and acknowledged all around that, under the material and political conditions prevailing, the substantive norms of Bretton Woods, the compromise of embedded liberalism, would not have been realized in the first place by any other means. So the regime today remains stuck with the undesired consequences of means that helped bring about a desired end. What of the long-term alternatives? Several have emerged in embryonic form. Were they to be instituted more fully, all would imply a reduced official role for the dollar and a return to the kinds of mechanisms anticipated by Bretton Woods. An internationally created reserve asset exists in the form of the special drawing right (SDR). A multiple-currency reserve system is slowly coming into being, and a dollar-substitution account has been under negotiation in the IMF. The U.S. views the SDR with disfavor and actively opposes the substitution account. It has no objection to other currencies playing a larger reserve role. As they do, however, the pressure may be expected to increase both for a substitution facility covering all reserve currencies and for a noncurrency reserve asset.

With respect to the problem of adjustment, as we saw, few provisions for international measures to affect the economic policies of deficit or surplus countries survived the Bretton Woods negotiations. And once the new creditor-debtor relationships became established in the late 1950s, the mechanism of exchange rate changes also failed to operate effectively. There existed no means to compel surplus countries to appreciate, and among the largest deficit countries, Great Britain resisted depreciation fiercely in a vain attempt to preserve an international role for sterling while the United States, as the "Nth country," necessarily remained passive. Thus, the only real international leverage for adjustment was the conditionality provision developed by the Fund. The burden of domestic adjustment measures, therefore, fell disproportionately on the developing countries. The adjustable peg system became intolerable when imbalances in the external trade account came to be overshadowed, both as a source of problems and as a response to them, by massive movements of short-term speculative funds. This made it increasingly difficult for governments to conduct domestic macroeconomic

policy, and to support exchange rates under pressure. When, in the late 1960s, the full attention of these funds came to be focused on the dollar as a result of dramatic deficits in the U.S. trade balance and current account, the system of fixed rates of exchange was doomed.

Shifting to floating rates required formal amendment of the Articles of Agreement of the Fund, the "slapstick comedy" act of which Triffin spoke. This is *prima facie* evidence of discontinuity. However, living within the Articles provided the international monetary system with an adjustment mechanism that neither functioned effectively nor fulfilled the expectations of Bretton Woods. What of the present arrangement? Three aspects bear on the argument. First, it is important to keep distinct the instrument of fixed rates from the norm of outlawing competitive currency depreciation and thus providing a framework for relatively stable exchanges. There is a good case to be made that the norm had become sufficiently well institutionalized and recourse to competitive depreciation sufficiently unnecessary given other means of influencing domestic macroeconomic factors that reliance on an increasingly burdensome instrument, which itself had begun to contribute to currency instability, could no longer be justified.⁹² Moreover, experience since has shown the managed float to be capable of avoiding serious disorderliness—the early months of new administrations in Washington providing the major exceptions—and to have few if any deleterious consequences for international trade. Second, floating rates were widely perceived to provide a greater cushion for domestic macroeconomic policy, which was increasingly subjected to dislocation from speculative capital flows that were often quite out of proportion to underlying economic reality. It is clear now that the degree of insulation is less than was advertised, but in the absence of uniform and fairly comprehensive capital controls it is probably as much as can be secured. Third, as an adjustment mechanism, the managed float appears to function more symmetrically than fixed rates did. Not only have surplus countries been forced to take notice, but the precipitous depreciation of the U.S. dollar caught the attention of American policy makers in the autumn of 1978 more effectively than past balance-of-payments deficits had done.

On the evolution of the IMF we can be brief; its tendency seems to be to come full circle. One does not want to exaggerate recent changes in the Fund, especially in relation to the developing countries. Nevertheless, its financing facilities have been considerably expanded, repayment periods lengthened, and conditionality provisions relaxed somewhat as well as now requiring the Fund "to pay due regard to the domestic social and political objectives" of borrowing countries.⁹³ Moreover, decision-making power within the Fund has been reapportioned, at least to the extent of distributing

⁹² Richard Cooper enumerates the pros and cons of these and related issues in "Prolegomena to the Choice," esp. pp. 80–81.

⁹³ Reported in *The New York Times*, 5 February 1980. In exploring the reasons for this change, the *Times* cites a "Washington wit" who "once said that the monetary fund had toppled more governments than Marx and Lenin combined."

veto power more equitably. These changes began in the late 1950s, to make the Fund more acceptable to the Europeans once they accepted the full obligations of IMF membership; they continued in the 1960s to reflect the economic status of the European Community and Japan; and they were accelerated and aimed increasingly at the developing countries in the 1970s, as a result of the massive payments imbalances produced by new energy terms of trade and subsequent fears about the stability of the international financial system.

The evolution of the trade regime

The sense of discontinuity concerning the international trade regime is illustrated in the following excerpt from a *Wall Street Journal* article, entitled "Surge in Protectionism Worries and Perplexes Leaders of Many Lands":

After three decades of immense increase in world trade and living standards, exports and imports are causing tense pressures in nearly every nation and among the best of allies. The U.S. sets price floors against Japanese steel, Europe accuses the U.S. of undercutting its papermakers, the Japanese decry cheap textiles from South Korea, French farmers have smashed truckloads of Italian wine, and AFL-CIO President George Meany rattles exporters world-wide by calling free trade—"a joke."⁹⁴

By now, even its most severe critics realize that "the new protectionism" is not simply the latest manifestation of "old-style" protectionism. "The emergence of the new protectionism in the Western world reflects the victory of the interventionist, or welfare, economy over the market economy."⁹⁵ However, they continue to have difficulty appreciating that the new protectionism is not an aberration from the norm of postwar liberalization, but an integral feature of it.

Today, tariffs on products traded among the industrialized countries are an insignificant barrier to trade. The Tokyo Round managed to institute further tariff cuts, and began to cope with nontariff barriers for the first time. It produced codes to liberalize such barriers resulting from domestic subsidies and countervailing duties, government procurement, product standards, customs valuation, and import licensing. All barriers to trade in civil aircraft and aircraft parts were removed. And preparations for a new GATT round, on investment and services, have commenced. What is more, the volume of world trade continues to increase and its rate of growth, though declining, still exceeds economic growth rates in several OECD countries. In sum, liberalization and growth have continued despite the erosion of postwar

⁹⁴ 14 April 1978, as cited in Melvyn B. Krauss, *The New Protectionism: The Welfare State in International Trade* (New York: New York University Press, 1978), pp. xix-xx.

⁹⁵ *Ibid.*, p. 36.

prosperity, and despite the erosion of American willingness to absorb disproportionate shares of liberalized trade.⁹⁶

Restraints on trade have also grown. Much of the time they take one of two forms: domestic safeguards, and "voluntary" or negotiated export restraints. Under the GATT, domestic safeguards may be invoked for balance-of-payments reasons (Article XII), or to prevent injury to domestic producers caused by a sudden surge of imports that can be attributed to past tariff concessions (Article XIX). The first of these has caused little difficulty, notwithstanding several deviations from prescribed procedure.⁹⁷ Article XIX lends itself to greater abuse. It permits alteration or suspension of past tariff concessions in a nondiscriminatory manner, provided that interested parties are consulted. It has been invoked with growing frequency, particularly by the U.S. and Australia. It is quite clumsy, however, because bystanders are likely to be affected and because it may involve renegotiation or even retaliatory suspension of concessions. As a result, "most governments, on most occasions, have simply short-circuited Article XIX altogether, going straight to the heart of the problem by negotiating a minimum price agreement, or a 'voluntary' export restraint with the presumably reluctant exporter who has previously been 'softened' by threats of emergency action under GATT."⁹⁸ Many of these agreements do not involve governments at all, but are reached directly between the importing and exporting industries concerned. They take place beyond the purview of the GATT and therefore are not subject to official multilateral surveillance. An attempt, made during the Tokyo Round, to conclude a safeguards code that would have provided detailed rules and procedures was unsuccessful, though negotiations are continuing. However, these problems do not afflict the entire trading order, but are sectorally specific, and a close sectoral analysis will show that there is *not* "any decisive movement toward protectionism. . . ."⁹⁹ Lastly, so-

⁹⁶ Stephen D. Krasner, "The Tokyo Round: Particularistic Interests and Prospects for Stability in the Global Trading System," *International Studies Quarterly* 23 (December 1979).

⁹⁷ For example, Article XII calls for quantitative restrictions, but as time has passed import surcharges have usually been imposed. In an extremely peculiar "non-use" of Article XII, France imposed emergency measures against imports after the 1968 disturbances, while enjoying a strong reserve position and only fearing a potential balance-of-payments problem. France asked for "sympathy and understanding" from its partners in the GATT and got it. The exceptional circumstances were stressed all around, the danger of precedent was flagged, and the measures were approved and soon thereafter discontinued. The case shows, according to Curzon and Curzon, "the complicity which exists between governments when one of them is forced to take unpopular trade measures because it has a domestic problem on its hands" ("Management of Trade," p. 222). Their characterization of the reaction of others as complicitous captures the very essence of an international regime.

⁹⁸ *Ibid.*, p. 225.

⁹⁹ Krasner, "Tokyo Round," p. 507. Krasner examines sectoral crosspressures and finds roughly this pattern: little pressure for protectionism where there is high intrasectoral trade, and even less if the sector is highly internationalized; protectionist pressures from import-competing sectors, which, however, may be balanced off by countervailing pressure from export sectors; high protectionist pressure when import competition is largely asymmetrical (pp. 502-7). Lipson, elsewhere in this volume, relates protectionist pressures to the production characteristics of sectors and finds that "sectoral protectionism is most likely in standardized, basic industries,

called orderly marketing arrangements, of which the Longterm Textile Agreement of 1962 was the first multilateral variant, have also proliferated vastly. However, each of these has provided for a regular expansion of exports, though of course more limited than would have been obtained under conditions of "free" trade. In sum, the impact of these restraints on international trade, even by the GATT's own reckoning, has been relatively modest.¹⁰⁰ Their purpose, moreover, has not been to freeze the international division of labor but to slow down structural change and to minimize the social costs of domestic adjustment.

With respect to the institutional role of the GATT, legal scholars in particular have lamented the passing of "effective and impartial" dispute settlement mechanisms.¹⁰¹ However, these mechanisms had begun to fall into disuse by the late 1950s—that is, just as production and trade began to soar and serious tariff reductions were contemplated. Bilateral consultations and negotiations among instructed representatives of the disputants have since been the norm.¹⁰² It requires an extremely optimistic view of the possibilities for international law and conciliation to expect interventionist governments to behave otherwise.

Assessment

This review does not argue that the world it describes is the best of all possible worlds. I have only argued that the world has to be looked at as it is: when the regimes for money and trade are viewed in this light, the hypothesis of norm-governed change accounts for more of the variance than claims of fundamental discontinuity. Much of the observed change has been at the level of instrument rather than norm. Moreover, in most cases the new instruments are not inimical to the norms of the regimes but represent adaptations to new circumstances. And in some cases the collective response by governments to changing circumstances reflects a greater affinity to the ex-

or those with high capital requirements. It is least likely in industries where R&D is high and is oriented to changing market opportunities, where innovation in products and processes is rapid, and where the rents attributable to proprietary knowledge are short-lived" (draft manuscript).

¹⁰⁰ Two figures are pertinent here. First, the GATT estimated in the late 1970s that import restrictions already in place or seriously threatened would affect some 3%–5% of world trade—which its Director General took to represent a threat to "the whole fabric of postwar cooperation in international trade policy." *IMF Survey*, 12 December 1977, p. 373. The second concerns the declining portion of world trade subject to MFN principles; here it must be pointed out that the overwhelming share of this decline is accounted for by customs unions and free trade areas, which, for better or for worse, have been sanctioned by the GATT. A more fundamental problem could emerge as a result of the Tokyo Round, insofar as the codes for government procurement, subsidies, and safeguards (if the last materializes) will apply only to signatories of each individual code. At this point, however, the long-term significance of this proviso remains unclear.

¹⁰¹ See the literature cited in Lipson's article in this volume.

¹⁰² Curzon and Curzon, "Management of Trade," chap. 3.

pectations of original regime designs than did the arrangements that prevailed in the interval.

This analysis suggests that far more continuity can attend hegemonic decline than would be predicted by the hegemonic stability thesis, provided that social purposes are held constant.¹⁰³ And, since social purposes in turn reflect particular configurations of state-society relations, it suggests further that fundamental discontinuity in these regimes *would* be effected by an erosion in the prevailing balance of state-society relations among the major economic powers. Ironically, then, the foremost force for discontinuity at present is not "the new protectionism" in money and trade, but the resurgent ethos of liberal capitalism.

5. Stress, contradiction, and the future

One question remains. How enduring is embedded liberalism? Specifically, will it survive the current domestic and international economic malaise? A central ingredient in the success of embedded liberalism to date has been its ability to accommodate and even facilitate the externalizing of adjustment costs. There have been three major modes of externalization: an intertemporal mode, via inflation; an intersectoral mode, whereby pressure on domestic and international public authorities is vented into the realm of private markets; and what, for the sake of congruity, we might call an interstratum mode, through which those who are "regime makers" shift a disproportionate share of adjustment costs onto those who are "regime takers." Each of these has emerged virtually by default as a means to avoid a still worse outcome.¹⁰⁴ The accumulated effects of these practices, however, have produced severe stresses in the world political economy. As a result, some manner of renegotiating the forms of domestic and international social accommodation reflected in embedded liberalism is inevitable. Its future, then, depends on how this is brought about. I take up the three modes of externalization in reverse order.

The compromise of embedded liberalism has never been fully extended to the developing countries. They have been disproportionately subject to the orthodox stabilization measures of the IMF, often with no beneficial results in export earnings but substantial increases in import bills and con-

¹⁰³ The fit between hypothesis and real world obviously is not perfect, because factors other than those examined here are also at work in the evolution of the postwar regimes. Moreover, the notion of declining American hegemony itself is very imprecise and, indeed, easy to exaggerate. See, respectively, Keohane, "Theory of Hegemonic Stability," and Susan Strange, "Still an Extraordinary Power: America's Role in a Global Monetary System" (unpublished ms., n.d.).

¹⁰⁴ I am here generalizing from Fred Hirsch's brilliant dissection of the social functions of inflation: "The Ideological Underlay of Inflation," in Fred Hirsch and John H. Goldthorpe, eds., *The Political Economy of Inflation* (Cambridge: Harvard University Press, 1978), esp. p. 278.

sequent increases in domestic prices. Moreover, the liberalization produced by the GATT has benefited relatively few among them. On the whole, the developing countries did well in the 1960s, as an adjunct to expansion in the OECD area; in the 1970s, they suffered as much from export losses to OECD markets as they did from the direct impact of increased oil prices. For a time in the mid 1970s, the developing countries managed to sustain both rates of growth and imports from the industrialized countries through additional private borrowing (their upper tranches in the IMF were left virtually untouched). However, neither could be continued indefinitely. Recent IMF reforms are important, as we have noted, but they cannot initiate economic recovery in the Third World. Nor are other means forthcoming in abundance. Thus, unlike the pattern under laissez-faire liberalism in the 19th century, under embedded liberalism lending and investment in the peripheral areas has been both relatively lower and positively correlated with core expansion rather than counterpoised to it. From the point of view of the future of embedded liberalism, the accumulated effects of this practice are not fatal—though they may prove to be very nearly fatal for some of the poorer developing countries.¹⁰⁵ From the point of view of the established system as a whole, these effects are more in the nature of lost opportunities whose realization could have contributed to the resolution of the current economic malaise.

A second mode of externalizing adjustment costs in recent decades has been to channel pressure away from domestic and international public authorities into the domain of private markets. A prime example is the vastly increased role of international financial markets in balance-of-payments lending, as analyzed by Cohen in this volume. I argued above that the success of the monetary and trade regimes may be said to have depended in some measure on this practice, even before the recycling problems of the 1970s. But it has also come to pose a source of serious stress and potential contradiction for the monetary regime, particularly as the control of inflation has become the leading economic objective of governments. One of its consequences, discussed by Cohen, is at least a partial loss of control by governments over the process of international liquidity creation. Perhaps even more important, in attempting to achieve significant restraint in the expansion of credit and money stock effected by these markets, governments may find that the domestic economy now must shoulder a disproportionate share of the burden of adjustment. Higher domestic interest rates may have to be employed than would be warranted by domestic conditions alone, in order to compensate for the more rapid rate of expansion of the Eurofund component of the consolidated domestic and international markets. "Today the mass is still relatively small, but the speed is high. Mass times speed, as the physi-

¹⁰⁵ Hollis B. Chenery notes this exception in his otherwise optimistic outlook, "Restructuring the World Economy: Round II," *Foreign Affairs* 59 (Summer 1981).

cists like to say, equals momentum."¹⁰⁶ From the vantage point of our concerns, then, what has served as a handy and even necessary vent is threatening to undergo a means-ends reversal, with potentially serious consequences for domestic and international financial stability.

Lastly, I turn to the most pervasive and the most serious mode by which adjustment costs have been externalized, inflation. It is the most serious because it is the most likely to lead to a direct renegotiation of the *modus vivendi* that has characterized embedded liberalism. The international regimes for money and trade have increasingly accommodated inflation, in parallel with inflation's becoming the dominant domestic means of dealing with distributional strife in advanced capitalist societies.¹⁰⁷ On the monetary side, the release of domestic and international money supplies from their metallic base established the essential permissive condition, facilitated by subsequent developments in the monetary regime. The primacy of domestic objectives over external financial discipline was established in the interwar period. The Bretton Woods adjustment process, when it worked, worked primarily to devalue the currencies of deficit countries and consequently to increase their domestic prices. With inconvertible reserve currencies and floating rates, whatever counterforce may have existed in the pressures that previously led to gold outflows now leads to a fall in exchange rates and thus to increases in prices and costs. On the side of the trade regime, the structure of trade that it has encouraged and the minimization of domestic adjustment costs that it allows have both had inflationary consequences, by sacrificing economic efficiency to social stability. Hirsch's conclusion concerning the monetary regime is equally applicable to both: "Critics who see these international . . . arrangements as embodying a ratchet effect for world inflation are probably right. But the relevant question is whether a liberal international economy could have been purchased at any more acceptable price."¹⁰⁸ This dilemma will not be easily resolved.¹⁰⁹ However, so long as it remains understood that it is a dilemma, both parts of which have to be accommodated, the normative framework of embedded liberalism will endure as a central institutional feature of the international economic order.

¹⁰⁶ Henry C. Wallich, "Why the Euromarket Needs Restraint," *Columbia Journal of World Business* 14 (Fall 1979), p. 17. Wallich estimates that the Euromarkets are expanding at two to three times the rate of growth of the domestic markets of major countries (p. 23).

¹⁰⁷ Hirsch and Goldthorpe, *Political Economy of Inflation*, especially the chapters by Hirsch; Goldthorpe, "The Current Inflation: Towards a Sociological Account," pp. 186-214; and Charles S. Maier, "The Politics of Inflation in the Twentieth Century," pp. 37-72. The following discussion of the monetary regime draws heavily on Hirsch.

¹⁰⁸ *Ibid.*, p. 279.

¹⁰⁹ Recent enthusiasm for simply discrediting Keynesian management and reverting to earlier monetary and fiscal "discipline" has begun to dampen under the weight of its apparent consequences. For example, in a postmortem of the 1981 summer riots across England, a junior member of the Tory government chose words that could have been taken directly from Polanyi: "This is what happens when you separate economic theory from social policy and pursue the one at the expense of the other." (Cited by David S. Broder, "Britain Offers a Grim Reminder," *Manchester Guardian Weekly*, 26 July 1981, p. 16.)



REALISM, INSTITUTIONALISM, AND COOPERATION

Since the repeal of the "iron law of wages," economics has ceased to be the "dismal science." Economists no longer believe that most people must exist at the subsistence level, but argue, on the contrary, that gradual improvement in the material conditions of human life is possible. Yet while economics has become more cheerful, politics has become gloomier. The twentieth century has seen an enormous expansion of real and potential international violence. In the world political economy, opportunities for conflict among governments have increased as the scope of state action has widened. The greatest dangers for the world economy, as well as for world peace, have their sources in political conflicts among nations.

In the study of politics, perhaps nothing seems so dismal as writing about international cooperation. Indeed, when I told a friend and former teacher of mine that I was writing a book on this subject, she replied that it would have to be a short book. Was I planning extra-large type and wide margins to justify hard covers?

I could have retorted that my book would also discuss discord, a much more common feature of world politics. Yet the issue goes deeper than that. International cooperation among the advanced industrialized countries since the end of World War II has probably been more extensive than international cooperation among major states during any period of comparable length in history. Certainly the extent and complexity of efforts to coordinate state economic policies have been greater than they were between the two world wars, or in the century before 1914. Yet cooperation remains scarce relative to discord because the rapid growth of international economic interdependence since 1945, and the increasing involvement of governments in the operation of modern capitalist economies, have created more points of potential friction. Interdependence can transmit bad influences as well as good ones: unemployment or inflation can be exported as well as growth and prosperity. American steel workers may lose their jobs because of subsidies to European steel producers by the European Economic Community and European governments; high interest rates in the United States may constrain economic activity abroad.

Interdependence leads democratic governments to expand state ac-

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tivity in order to protect their citizens from fluctuations in the world economy (Cameron, 1978). When this state activity takes the form of seeking to force the costs of adjustment onto foreigners, international discord results. Thus even a rising absolute level of cooperation may be overwhelmed by discord, as increased interdependence and governmental intervention create more opportunities for policy conflict. As in *Alice in Wonderland*, it may be necessary to keep running faster in order to stand still. Scholars should not wait for cooperation to become the rule rather than the exception before studying it, for ignorance of how to promote cooperation can lead to discord, conflict, and economic disaster before cooperation ever has a chance to prevail.

This book is about how cooperation has been, and can be, organized in the world political economy when common interests exist. It does not concentrate on the question of how fundamental common interests can be created among states. Thus two topics that could legitimately be treated in a book on international economic cooperation are not systematically considered: I neither explore how economic conditions affect patterns of interests, nor do I investigate the effects of ideas and ideals on state behavior. The theory that I develop takes the existence of mutual interests as given and examines the conditions under which they will lead to cooperation. I begin with the premise that even where common interests exist, cooperation often fails. My purpose is to diagnose the reasons for such failure, and for the occasional successes, in the hope of improving our ability to prescribe remedies.

Because I begin with acknowledged common interests, my study focuses on relations among the advanced market-economy countries, where such interests are manifold. These countries hold views about the proper operation of their economies that are relatively similar—at least in comparison with the differences that exist between them and most less developed countries, or the nonmarket planned economies. They are engaged in extensive relationships of interdependence with one another; in general, their governments' policies reflect the belief that they benefit from these ties. Furthermore, they are on friendly political terms; thus political-military conflicts between them complicate the politics of economic transactions less than they do in East-West relations.

The arguments of this book surely apply to some relationships between the advanced market-economy countries and less developed countries. These states have interests in common, which can only be realized through cooperation. To perhaps a more limited extent, my analysis should also be relevant to those areas of East-West relations where common interests exist. The focus of this book on cooperation

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among the advanced industrialized countries by no means implies that cooperation is impossible, or unnecessary, between North and South or East and West. To illustrate and test my ideas about cooperation and discord, however, I focus first on the area where common interests are greatest and where the benefits of international cooperation may be easiest to realize. Careful extension of this argument into East-West and North-South relations, including security as well as economic issues, would be most welcome.

REALISM, INSTITUTIONALISM, AND COOPERATION

Impressed with the difficulties of cooperation, observers have often compared world politics to a "state of war." In this conception, international politics is "a competition of units in the kind of state of nature that knows no restraints other than those which the changing necessities of the game and the shallow conveniences of the players impose" (Hoffmann, 1965, p. vii). It is anarchic in the sense that it lacks an authoritative government that can enact and enforce rules of behavior. States must rely on "the means they can generate and the arrangements they can make for themselves" (Waltz, 1979, p. 111). Conflict and war result, since each state is judge in its own cause and can use force to carry out its judgments (Waltz, 1959, p. 159). The discord that prevails is accounted for by fundamental conflicts of interest (Waltz, 1959; Tucker, 1977).

Were this portrayal of world politics correct, any cooperation that occurs would be derivative from overall patterns of conflict. Alliance cooperation would be easy to explain as a result of the operation of a balance of power, but system-wide patterns of cooperation that benefit many countries without being tied to an alliance system directed against an adversary would not. If international politics were a state of war, institutionalized patterns of cooperation on the basis of shared purposes should not exist except as part of a larger struggle for power. The extensive patterns of international agreement that we observe on issues as diverse as trade, financial relations, health, telecommunications, and environmental protection would be absent.

At the other extreme from these "Realists" are writers who see cooperation as essential in a world of economic interdependence, and who argue that shared economic interests create a demand for international institutions and rules (Mitrany, 1975). Such an approach, which I refer to as "Institutionalist" because of its adherents' emphasis on the functions performed by international institutions, runs the risk of being naive about power and conflict. Too often its proponents

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incorporate in their theories excessively optimistic assumptions about the role of ideals in world politics, or about the ability of statesmen to learn what the theorist considers the "right lessons." But sophisticated students of institutions and rules have a good deal to teach us. They view institutions not simply as formal organizations with headquarters buildings and specialized staffs, but more broadly as "recognized patterns of practice around which expectations converge" (Young, 1980, p. 337). They regard these patterns of practice as significant because they affect state behavior. Sophisticated institutionalists do not expect cooperation always to prevail, but they are aware of the malleability of interests and they argue that interdependence creates interests in cooperation.¹

During the first twenty years or so after World War II, these views, though very different in their intellectual origins and their broader implications about human society, made similar predictions about the world political economy, and particularly about the subject of this book, the political economy of the advanced market-economy countries. Institutionalists expected successful cooperation in one field to "spill over" into others (Haas, 1958). Realists anticipated a relatively stable international economic order as a result of the dominance of the United States. Neither set of observers was surprised by what happened, although they interpreted events differently.

Institutionalists could interpret the liberal international arrangements for trade and international finance as responses to the need for policy coordination created by the fact of interdependence. These arrangements, which we will call "international regimes," contained rules, norms, principles, and decisionmaking procedures. Realists could reply that these regimes were constructed on the basis of principles espoused by the United States, and that American power was essential

¹ In a preliminary draft I referred to "Functionalists" rather than "Institutionalists," since the scholars to whom I am alluding often adopted the former label or some variant of it, for themselves. On the suggestion of a reader, however, I altered the terminology in order to avoid confusion between "Functionalism" and the functional theory of international regimes presented in chapter 6. It should be emphasized that, as noted in the text, I employ a stylized contrast between Realism and Institutionalism to focus sharply on the issues addressed by this book, not to identify any given author with a simplistic variant of either position. For instance, although Stanley Hoffmann writes of international relations as "a state of war," his highly nuanced view of world politics would not normally be considered representative of Realism. Among the Institutionalists as well, there is substantial variation. Ernst Haas, for instance, has taken state power more seriously, and has been more cautious about the growth of international institutions, than David Mitrany.

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for their construction and maintenance. For Realists, in other words, the early postwar regimes rested on the *political hegemony* of the United States. Thus Realists and Institutionalists could both regard early postwar developments as supporting their theories.

After the mid-1960s, however, U.S. dominance in the world political economy was challenged by the economic recovery and increasing unity of Europe and by the rapid economic growth of Japan. Yet economic interdependence continued to grow, and the pace of increased U.S. involvement in the world economy even accelerated after 1970. At this point, therefore, the Institutionalist and Realist predictions began to diverge. From a strict Institutionalist standpoint, the increasing need for coordination of policy, created by interdependence, should have led to more cooperation. From a Realist perspective, by contrast, the diffusion of power should have undermined the ability of anyone to create order.

On the surface, the Realists would seem to have made the better forecast. Since the late 1960s there have been signs of decline in the extent and efficacy of efforts to cooperate in the world political economy. As American power eroded, so did international regimes. The erosion of these regimes after World War II certainly refutes a naive version of the Institutionalist faith in interdependence as a solvent of conflict and a creator of cooperation. But it does not prove that only the Realist emphasis on power as a creator of order is valid. It might be possible, after the decline of hegemonic regimes, for more symmetrical patterns of cooperation to evolve after a transitional period of discord. Indeed, the persistence of attempts at cooperation during the 1970s suggests that the decline of hegemony does not necessarily sound cooperation's death knell.

International cooperation and discord thus remain puzzling. Under what conditions can independent countries cooperate in the world political economy? In particular, can cooperation take place without hegemony and, if so, how? This book is designed to help us find answers to these questions. I begin with Realist insights about the role of power and the effects of hegemony. But my central arguments draw more on the Institutionalist tradition, arguing that cooperation can under some conditions develop on the basis of complementary interests, and that institutions, broadly defined, affect the patterns of cooperation that emerge.

Hegemonic leadership is unlikely to be revived in this century for the United States or any other country. Hegemonic powers have historically only emerged after world wars; during peacetime, weaker countries have tended to gain on the hegemon rather than vice versa

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(Gilpin, 1981). It is difficult to believe that world civilization, much less a complex international economy, would survive such a war in the nuclear age. Certainly no prosperous hegemonic power is likely to emerge from such a cataclysm. As long as a world political economy persists, therefore, its central political dilemma will be how to organize cooperation without hegemony.

COOPERATION AND VALUES

Cooperation is elusive enough, and its sources are sufficiently multifaceted and intertwined, that it constitutes a difficult subject to study. It is particularly hard, perhaps impossible, to investigate with scientific rigor. No sensible person would choose it as a topic of investigation on the grounds that its puzzles could readily be "solved." I study it, despite the lack of rich, multi-case data suitable for the testing of hypotheses and despite the relative paucity of relevant theory, because of its normative significance.

This choice poses problems both for the author and for the reader. My values necessarily affect my argument; yet I am sufficiently positivistic to attempt to distinguish between my empirical and normative assertions. Except for this chapter and chapter 11, *After Hegemony* represents an attempt at theoretical, historical, and interpretive analysis rather than an exercise in applied ethics. I seek to increase our understanding of cooperation, in the belief that increased understanding can help to improve political amity and economic welfare, though not with the naive supposition that knowledge necessarily increases either amity or welfare. I try to provide an account of cooperation that can be analyzed, if not tested in a strict sense, by others who do not share my normative views, even as I recognize that, except for my own values, I would never have decided to write this book. Yet since I can surely not keep my analysis entirely distinct from my values, it seems fair to the reader for me to indicate briefly my thoughts about whether, or under what conditions, international cooperation is a "good" that we should strive to increase.

Cooperation is viewed by policymakers less as an end in itself than as a means to a variety of other objectives. To inquire about the moral value of cooperation is partly to ask about the ends for which it is pursued. Along with many others, I would disapprove of cooperation among the governments of wealthy, powerful states to exploit poorer, weaker countries. Even if the goals sought through cooperation were judged desirable in principle, particular attempts to achieve them could have perverse effects. That is, the consequences of cooperation could

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be adverse, either for certain countries not fully represented in decision-making or for overall world welfare. When the conventional international economic wisdom is misguided, cooperation can be worse than doing nothing. So the economic orthodoxy of 1933 appeared to Franklin Delano Roosevelt when he wrecked the London Economic Conference of that year (Feis, 1966); and so does the internationally oriented Keynesianism of the Carter Administration now appear to economic theorists of rational expectations who put their trust in markets (Saxonhouse, 1982). Under conditions of interdependence, some cooperation is a necessary condition for achieving optimal levels of welfare; but it is not sufficient, and more cooperation may not necessarily be better than less.

Although it would be naive to believe that increased cooperation, among any group of states for whatever purposes, will necessarily foster humane values in world politics, it seems clear that more effective coordination of policy among governments would often help. Internationally minded Keynesians recommend extensive harmonization of macroeconomic policies (Whitman, 1979). Even proponents of international laissez-faire, who reject these proposals, have to recognize that free markets depend on the prior establishment of property rights (North and Thomas, 1973; Field, 1981; Conybeare, 1980; North, 1981). People may disagree on what forms of international cooperation are desirable and what purposes they should serve, but we can all agree that a world without any cooperation would be dismal indeed.

In the conclusion, I return explicitly to the problem of moral evaluation. Is it good that the international regimes discussed in this book exist? In what ways are they deficient when evaluated by appropriate moral standards? Would it have been better had they never come into being? No comprehensive or definitive answers to these questions are offered, but the importance of the problem of ethical evaluation demands that they be raised.

THE PLAN OF THIS BOOK

I hope that *After Hegemony* will be read not only by students of world politics but also by economists interested in the political underpinnings of the international economy and by citizens concerned about international cooperation. To encourage readers outside of political science, I have tried to eliminate professional jargon wherever possible and to define my terms clearly using ordinary language. Yet since this book is meant for people with different disciplinary backgrounds, and since it draws on disparate traditions to do so, its key concepts may be

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easily misunderstood. I hope that readers will be careful not to seize on words and phrases out of context as clues to pigeonholing my argument. Is it "liberal" because I discuss cooperation, or "mercantilist" because I emphasize the role of power and the impact of hegemony? Am I a "radical" because I take Marxian concepts seriously, or a "conservative" because I talk about order? The simplemindedness of such inferences should be obvious.

Since I use concepts from economics to develop a political theory about cooperation and discord in the world economy, I need to be particularly clear about my definitions of economics and politics and my conception of theory. Chapter 2 discusses these questions, as a necessary prologue to the development of my theory in Part II. Chapter 3 then prepares the ground for a serious analysis of cooperation, and the effects of institutions on it, by examining the "theory of hegemonic stability," which holds that order, in the Realist lexicon, depends on the preponderance of a single state. Chapter 3 argues that although hegemony can facilitate cooperation, it is neither a necessary nor a sufficient condition for it. We will see later that hegemony is less important for the continuation of cooperation, once begun, than for its creation.

Part II, which constitutes the theoretical core of this book, begins by defining two key terms, "cooperation" and "international regimes." Since these terms are used in chapter 3 before their full elaboration in chapter 4, it is important to note here that cooperation is defined in a deliberately unconventional way. Cooperation is contrasted with discord; but is also distinguished from harmony. Cooperation, as compared to harmony, requires active attempts to adjust policies to meet the demands of others. That is, not only does it depend on shared interests, but it emerges from a pattern of discord or potential discord. Without discord, there would be no cooperation, only harmony.

It is important to define cooperation as mutual adjustment rather than to view it simply as reflecting a situation in which common interests outweigh conflicting ones. In other words, we need to distinguish between cooperation and the mere fact of common interests. We require this distinction because discord sometimes prevails even when common interests exist. Since common interests are sometimes associated with cooperation but sometimes with discord, cooperation is evidently not a simple function of interests. Especially where uncertainty is great and actors have different access to information, obstacles to collective action and strategic calculations may prevent them from realizing their mutual interests. The mere existence of common

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interests is not enough: institutions that reduce uncertainty and limit asymmetries in information must also exist.

Using chapter 4's definitions of cooperation and international regimes, chapters 5-7 present my functional theory of international regimes. Chapter 5 employs game theory and collective goods theory to argue that "the emergence of cooperation among egoists" (Axelrod, 1981, 1984) is possible, even in the absence of common government, but that the extent of such cooperation will depend on the existence of international institutions, or international regimes, with particular characteristics. Rational-choice theory enables us to demonstrate that the pessimistic conclusions about cooperation often associated with Realism are not necessarily valid, even if we accept the assumption of rational egoism. Chapter 6 then uses theories of market failure in economics, as well as more conventional rational-choice theory, to develop a functional theory of international regimes that shows why governments may construct regimes and even abide by their rules. According to this argument, regimes contribute to cooperation not by implementing rules that states must follow, but by changing the context within which states make decisions based on self-interests. International regimes are valuable to governments not because they enforce binding rules on others (they do not), but because they render it possible for governments to enter into mutually beneficial agreements with one another. They *empower* governments rather than shackling them.

Chapter 7 relaxes our earlier assumptions of rationality and narrow egoism. First it explores the implications of deviating from the premise of classic rationality by assuming, more realistically, that decisions are costly for governments to make. That is, governments operate under the constraints of "bounded rationality" (Simon, 1955), rather than as classically rational actors. On this assumption, regimes do not substitute for continuous calculations of self-interest (which are impossible), but rather provide rules of thumb to which other governments also adhere. These rules may provide opportunities for governments to bind their successors, as well as to make other governments' policies more predictable. Cooperation fostered by awareness of bounded rationality does not require that states accept common ideals or renounce fundamental principles of sovereignty. Even egoistic actors may agree to accept obligations that preclude making calculations about advantage in particular situations, if they believe that doing so will have better consequences in the long run than failure to accept any rules or acceptance of any other politically feasible set of rules.

Chapters 5-6 and the first two sections of chapter 7 adopt the premise of egoism. The last two sections of chapter 7 relax this as-

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sumption by distinguishing between egoistic self-interest and conceptions of self-interest in which empathy plays a role. Actors that interpret their interests as empathetically interdependent, in our terminology, may find it easier to form international regimes than those whose definitions of self-interest are more constricted. I explore the strengths and limitations of egoist and empathetic interpretations of state behavior by analyzing two features of the world political economy that may appear puzzling from an egoistic standpoint: the facts that regime rules and principles are sometimes treated as having morally obligatory status and that unbalanced exchanges of resources often persist over a considerable period of time.

The argument of Part II, taken as a whole, constitutes both a critique and modification of Realism. Realist theories that seek to predict international behavior on the basis of interests and power alone are important but insufficient for an understanding of world politics. They need to be supplemented, though not replaced, by theories stressing the importance of international institutions. Even if we fully understand patterns of power and interests, the behavior of states (and of transnational actors as well) may not be fully explicable without understanding the institutional context of action.

This institutionalist modification of Realism provides some rather abstract answers to the major puzzle addressed by this book: namely, how can cooperation take place in world politics in the absence of hegemony? We understand the creation of regimes as a result of a combination of the distribution of power, shared interests, and prevailing expectations and practices. Regimes arise against the background of earlier attempts, successful or not, at cooperation. Furthermore, the theory of Part II explains the continuation of existing regimes even after the conditions that facilitated their creation have disappeared: regimes acquire value for states because they perform important functions and because they are difficult to create or reconstruct. In order to realize fully the significance of this theoretical argument for understanding contemporary international regimes, we need to combine it with a historical understanding of the creation of contemporary international regimes and of their evolution since the end of World War II. This is the task of Part III.

Part III argues that the creation of contemporary international regimes can largely be explained by postwar U.S. policy, implemented through the exercise of American power. As American economic preponderance eroded between the 1950s and the 1970s, major international economic regimes came under pressure. Thus far Realist expectations are met. Yet the changes in these regimes did not always

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correspond to the shifts in power, and the decline of American hegemony did not lead uniformly to the collapse of regimes. Cooperation persists and, on some issues, has increased. Current patterns of discord and cooperation reflect interacting forces: the remaining elements of American hegemony as well as the effects of its erosion, the current mixture of shared and conflicting interests, and the international economic regimes that represent an institutional legacy of hegemony.

The first step in the empirical analysis of Part III is to examine how American hegemony actually operated. Chapter 8 therefore discusses American hegemony during the two decades of U.S. dominance, spanning the years from the Truman Doctrine and Marshall Plan (1947) to the late 1960s, when the United States began to show signs of seeking to protect itself from the impact of economic interdependence. The sources and practices of hegemonic cooperation are the focus of attention here. The episodes studied in this chapter illustrate the intimate connection between discord and cooperation pointed out in chapter 4, and they also reveal that inequalities of power can be quite consistent with mutual adjustment, policy coordination, and the formation of international regimes. Hegemony and international regimes may be complementary, or even to some extent substitute for each other: both serve to make agreements possible and to facilitate compliance with rules.

This period of hegemonic cooperation was short: Henry Luce's "American Century" was under severe pressure after less than twenty years. No system-level theory accounts for this, since—as chapter 8 shows—one of the most important reasons for the brevity of U.S. dominance was the pluralistic nature of American politics.² Given a decline in American power, however, believers in the theory of hegemonic stability would predict a decline in cooperation. Chapter 9 evaluates the applicability of this theory to the evolution of international regimes for money, trade, and oil between the mid-1960s and the early 1980s. Did international regimes embodying patterns of hegemonic cooperation become less effective because of the erosion of American power? Chapter 9 shows that the pattern of regime change varied a great deal from one issue-area to another, and that shifts in American power were of different significance in international finance, trade, and oil. The decline of American hegemony provides only part

² The question of the causes of the decline of American hegemony, not addressed systematically in this volume, is dealt with in an original and provocative way by Robert Gilpin (1975, 1981).

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of the explanation for the decline of postwar international regimes. Chapter 9 reaches this conclusion without itself attempting to provide a complete explanation for this phenomenon, since to do so would require close examination of the effects of changes in macroeconomic conditions and international economic competitiveness, the role of ideas and learning, and the impact of domestic politics on foreign economic policies in the United States and elsewhere.

Chapter 9 also points out that although international regimes came under pressure in the 1970s, the advanced industrialized countries continue to coordinate their policies, albeit imperfectly, on international economic issues. Contemporary attempts to cooperate reflect not only the erosion of hegemony but the continued existence of international regimes, most of which had their origins in American hegemony. Old patterns of cooperation work less well than they did, partly because U.S. hegemony has declined; but the survival of patterns of mutual policy adjustment, and even their extension, can be facilitated by international regimes that had their origins in the period of hegemony. From chapter 9 we can see that both Realist concepts of power and self-interest and the arguments developed here about the significance of international regimes provide valuable insights into the nature of the contemporary world political economy. We need to go beyond Realism, not discard it. By documenting the erosion of American hegemony, furthermore, chapter 9 shows that our key puzzle—how cooperation can take place in the absence of hegemony—is not merely hypothetical but highly topical. It thus suggests the relevance for our own era of the theories of international cooperation put forward in Part II. Shared interests and existing institutions make it possible to cooperate, but the erosion of American hegemony makes it necessary to do so in new ways.

Chapter 10 further explores how regimes affect patterns of cooperation by investigating in detail the most significant international economic regime established among the advanced industrialized countries since 1971: the energy arrangements, revolving around the International Energy Agency (IEA), set up under U.S. leadership after the oil crisis of 1973-74. This regime was not global, but was limited to oil-consuming countries and competed with another partial regime formed by oil producers. We will see in chapter 10 that regime-oriented efforts at cooperation do not always succeed, as the fiasco of IEA actions in 1979 illustrates, but that they can have a positive impact under relatively favorable conditions, as the events of 1980 suggest. Chapter 10 also lends some support to the general proposition that successful attempts to use international regimes to facilitate cooper-

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ation depend on efforts to reduce the costs of transactions involved in policy coordination and on measures to provide information to governments, rather than on enforcement of rules.

The final chapter reviews the argument as a whole, assesses the moral value of cooperation, and examines implications for policy. My discussion of ethics concludes that, despite some defects in their principles, contemporary international regimes are morally acceptable, at least conditionally. They are easy to justify on the basis of criteria that stress the importance of the autonomy of states, although evaluation is more difficult when cosmopolitan and egalitarian standards are employed. The policy implications of the book stem most directly from my emphasis on the value of information produced and distributed by international regimes. Providers as well as recipients of information benefit from its availability. It can therefore make sense to accept obligations that restrain one's own freedom of action in unknown future situations if others also accept responsibilities, since the effect of these reciprocal actions is to reduce uncertainty. Assumptions about the value of "keeping one's options open" therefore need to be rethought. The pursuit of flexibility can be self-defeating: like Ulysses, it may be better, on occasion, to have oneself tied to the mast.



Cave! Hic Dragones: A Critique of Regime Analysis

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Cave! hic dragones: a critique of regime analysis

Susan Strange

The purpose of this relatively brief article is rather different from that of others in this volume. Instead of asking what makes regimes and how they affect behavior, it seeks to raise more fundamental questions about the questions. In particular, it queries whether the concept of regime is really useful to students of international political economy or world politics; and whether it may not even be actually negative in its influence, obfuscating and confusing instead of clarifying and illuminating, and distorting by concealing bias instead of revealing and removing it.

It challenges the validity and usefulness of the regime concept on five separate counts. These lead to two further and secondary (in the sense of indirect), but no less important, grounds for expressing the doubt whether further work of this kind ought to be encouraged by names as well-known and distinguished as the contributors to this volume. The five counts (or "dragons" to watch out for) are first, that the study of regimes is, for the most part a fad, one of those shifts of fashion not too difficult to explain as a temporary reaction to events in the real world but in itself making little in the way of a long-term contribution to knowledge. Second, it is imprecise and woolly. Third, it is value-biased, as dangerous as loaded dice. Fourth, it distorts by overemphasizing the static and underemphasizing the dynamic element of change in world politics. And fifth, it is narrowminded, rooted in a state-centric paradigm that limits vision of a wider reality.

Two indirect criticisms—not so much of the concept itself as of the

The title translates as "Beware! here be dragons!"—an inscription often found on pre-Columbian maps of the world beyond Europe.

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tendency to give it exaggerated attention—follow from these five points. One is that it leads to a study of world politics that deals predominantly with the status quo, and tends to exclude hidden agendas and to leave unheard or unheeded complaints, whether they come from the underprivileged, the disfranchised or the unborn, about the way the system works. In short, it ignores the vast area of nonregimes that lies beyond the ken of international bureaucracies and diplomatic bargaining. The other is that it persists in looking for an all-pervasive pattern of political behavior in world politics, a “general theory” that will provide a nice, neat, and above all simple explanation of the past and an easy means to predict the future. Despite all the accumulated evidence of decades of work in international relations and international history (economic as well as political) that no such pattern exists, it encourages yet another generation of impressionable young hopefuls to set off with high hopes and firm resolve in the vain search for an El Dorado.

Not wishing, however, to be entirely destructive, I conclude the article by suggesting an alternative and, to my mind, more valuefree, more flexible, and more realistic approach to the study of what I take to be everyone's underlying concern—which is, “Where (and how) do we go from here?” This approach is both to the “left” of most of the other contributors and to the “right” of some who would call themselves liberal internationalists.

It is to the “left” of the majority in that it starts from a frankly structuralist perception of the international system (in the sense in which Marxists and neomarxists use the word structuralist). This does not mean the political system dominated by territorial states but the structure of a world economy in which the relationships between those states are largely determined by the relations of production and the other prevalent structural arrangements for the free movement between states of capital, knowledge, and goods (but not labor) that make up a world market economy.

And it is to the “right”—as they would see it—of most liberal internationalists in that it is skeptical of the achievements to be expected of international organizations and collective decision making, that is, it is realist in the sense of continuing to look to the state and to national governments as the final determinants of outcomes.

Five criticisms of the concept of regimes

1. *A passing fad?*

The first of my dragons, or pitfalls for the unwary, is that concern with regimes may be a passing fad. A European cannot help making the point that concern with regime formation and breakdown is very much an American academic fashion, and this is reflected in the fact that all the other contributors to this volume work in American universities. They share a rather striking common concern with the questions posed about regimes. A compa-

rable group in Europe—or in most other parts of the world, I would suggest—would have more diverse concerns. Some would be working on questions of moral philosophy, some on questions of historical interpretation. (Europeans generally, I would venture to say, are more serious in the attention they pay to historical evidence and more sensitive to the possibilities of divergent interpretations of “facts.”) Europeans concerned with matters of strategy and security are usually not the same as those who write about structures affecting economic development, trade, and money, or with the prospects for particular regions or sectors. Even the future of Europe itself never dominated the interests of so large a group of scholars in Europe as it did, for a time, the American academic community. Perhaps Europeans are not generalist enough; perhaps having picked a field to work in, they are inclined to stick to it too rigidly. And conversely, perhaps Americans are more subject to fads and fashions in academic inquiry than Europeans, more apt to conform and to join in behind the trendsetters of the times. Many Europeans, I think, believe so, though most are too polite to say it. They have watched American enthusiasm wax and wane for systems analysis, for behavioralism, for integration theory, and even for quantitative methods indiscriminately applied. The fashion for integration theory started with the perceived U.S. need for a reliable junior partner in Europe, and how to nurture the European Communities to this end was important. The quantitative fashion is easily explained by a combination of the availability of computer time and the finance to support it and of the ambition of political scientists to gain as much kudos and influence with policy makers as the economists and others who had led the way down the quantitative path. Further back we can see how international relations as a field of study separate from politics and history itself developed in direct response to the horrors of two world wars and the threat of a third. And, later, collective goods theories responded to the debates about burden-sharing in NATO, just as monetarism and supply-side economics gained a hearing only when the conditions of the 1970s cast doubts on Keynesian remedies for recession, unemployment, and inflation.

The current fashion for regimes arises, I would suggest, from certain, somewhat subjective perceptions in many American minds. One such perception was that a number of external “shocks,” on top of internal troubles like Watergate and Jimmy Carter, had accelerated a serious decline in American power. In contrast to the nationalist, reactionary response of many Reaganites, liberal, internationalist academics asked how the damage could be minimized by restoring or repairing or reforming the mechanisms of multilateral management—“regimes.” A second subjective perception was that there was some sort of mystery about the uneven performance and predicament of international organizations. This was a connecting theme in Keohane and Nye’s influential *Power and Interdependence*, which struck responsive chords far and wide.

But the objective reality behind both perceptions was surely far less dramatic. In European eyes, the “decline” arises partly from an original

overestimation of America's capacity to remake the whole world in the image of the U.S.A. In this vision, Washington was the center of the system, a kind of keep in the baronial castle of capitalism, from which radiated military, monetary, commercial, and technological as well as purely political channels carrying the values of American polity, economy, and society down through the hierarchy of allies and friends, classes and cultural cousins, out to the ends of the earth. The new kind of global empire, under the protection of American nuclear power, did not need territorial expansion. It could be achieved by a combination of military alliances and a world economy opened up to trade, investment, and information.

This special form of nonterritorial imperialism is something that many American academics, brought up as liberals and internationalists, find it hard to recognize. U.S. hegemony, while it is as nonterritorial as Britain's India in the days of John Company or Britain's Egypt after 1886, is still a form of imperialism. The fact that this nonterritorial empire extends more widely and is even more tolerant of the pretensions of petty principalities than Britain was of those of the maharajahs merely means that it is larger and more secure. It is not much affected by temporary shocks or setbacks. Yet Americans are inhibited about acknowledging their imperialism. It was a Frenchman who titled his book about American foreign policy *The Imperial Republic*.¹

Moreover, Americans have often seemed to exaggerate the "shocks" of the 1970s and the extent of change in U.S.-Soviet or U.S.-OPEC relations. Nobody else saw the pre-1971 world as being quite so stable and ordered as Americans did. Certainly for Third-Worlders, who had by then lived through two or three recent cycles of boom and slump in the price of their country's major exports—whether coffee, cocoa, tin, copper, sugar or bananas—plus perhaps a civil war and a revolution or two, the "oil-price shock" was hardly the epoch-making break with the stable, comfortable, predictable past that it seemed to many Americans. If one has been accustomed for as long as one can remember to national plans and purposes being frustrated and brought to nothing by exogenous changes in the market, in technology or in the international political situation between the superpowers—over none of which your own government has had the slightest control—then a bit more disorder in a disorderly world comes as no great surprise.

To non-American eyes therefore, there is something quite exaggerated in the weeping and wailing and wringing of American hands over the fall of the imperial republic. This is not how it looks to us in Europe, in Japan, in Latin America or even in the Middle East. True, there is the nuclear parity of the Soviet Union. And there is the depreciated value of the dollar in terms of gold, of goods, and of other currencies. But the first is not the only factor in the continuing dominant importance to the security structure of the balance

¹ Raymond Aron, *The Imperial Republic: The U.S. and the World, 1945-1973* (Englewood Cliffs, N.J.: Prentice-Hall, 1974).

of power between the two superpowers, and the second is far more a sign of the abuse of power than it is of the loss of power. The dollar, good or bad, still dominates the world of international finance. Money markets and other markets in the United States still lead and others still follow; European bankrupts blame American interest rates. If the authority of the United States appears to have weakened, it is largely because the markets and their operators have been given freedom and license by the same state to profit from an integrated world economy. If Frankenstein's monster is feared to be out of control, that looks to non-Americans more like a proof of Frankenstein's power to create such a monster in the first place. The change in the balance of public and private power still leaves the United States as the undisputed hegemon of the system.²

To sum up, the fashion for regime analysis may not simply be, as Stein suggests,³ a rehash of old academic debates under a new and jazzier name—a sort of intellectual mutton dressed up as lamb—so that the pushy new professors of the 1980s can have the same old arguments as their elders but can flatter themselves that they are breaking new ground by using a new jargon. It is also an intellectual reaction to the objective reality.

In a broad, structuralist view (and using the broader definition of the term) of the structures of global security, of a global credit system, of the global welfare system (i.e., aid and other resource transfers) and the global knowledge and communications system, there seems far less sign of a falling-off in American power. Where decline exists, it is a falling-off in the country's power and will to intervene with world market mechanisms (from Eurodollar lending to the grain trade) rather than significant change in the distribution of military or economic power to the favor of other states. Such change as there is, has been more internal than international.

The second subjective perception on the part of Americans that I wish to address is that there is some mystery about the rather uneven performance in recent times of many international arrangements and organizations. While some lie becalmed and inactive, like sailing ships in the doldrums, others hum with activity, are given new tasks, and are recognized as playing a vital role in the functioning of the system. I would personally count the GATT, FAO, and UNESCO in the first group, the World Bank and the regional banks, the BIS, and IMCO in the second. The IMF holds a middle position: it has largely lost its universal role but has found an important but more specialized usefulness in relation to indebted developing countries.

The mixed record of international organizations really does need explaining. But Americans have been curiously reluctant, to my mind at least,

² For a more extended discussion of this rather basic question, see my "Still an Extraordinary Power," in Ray Lombra and Bill Witte, eds., *The Political Economy of International and Domestic Monetary Relations* (Ames: Iowa State University Press, 1982); James Petras and Morris Morley, "The U.S. Imperial State," mimeo (March 1980); and David Calleo, "Inflation and Defense," *Foreign Affairs* (Winter 1980).

³ See Arthur Stein's article in this volume, p. 300.

to distinguish between the three somewhat different purposes served by international organizations. These can broadly be identified as *strategic* (i.e., serving as instruments of the structural strategy and foreign policy of the dominant state or states); as *adaptive* (i.e., providing the necessary multilateral agreement on whatever arrangements are necessary to allow states to enjoy the political luxury of national autonomy without sacrificing the economic dividends of world markets and production structures); and as *symbolic* (i.e., allowing everybody to declare themselves in favor of truth, beauty, goodness, and world community, while leaving governments free to pursue national self-interests and to do exactly as they wish).

In the early postwar period, most international organizations served all three purposes at once. They were strategic in the sense that they served as instruments of the structural strategies of the United States. Also, they were often adaptive in that they allowed the United States and the other industrialized countries like Britain, Germany, France, and Japan to enjoy both economic growth and political autonomy. Finally, many organizations were at the same time symbolic in that they expressed and partially satisfied the universal yearning for a "better world" without doing anything substantial to bring it about.

In recent years the political purposes served by institutions for their members have tended to be less well balanced; some have become predominantly strategic, some predominantly adaptive, and others predominantly symbolic. This has happened because, where once the United States was able to dominate organizations like the United Nations, it can no longer do so because of the inflation of membership and the increasing divergence between rich and poor over fundamentals. Only a few organizations still serve U.S. strategic purposes better than bilateral diplomacy can serve them; they are either top-level political meetings or they deal with military or monetary matters in which the U.S. still disposes of predominant power. In other organizations the tendency toward symbolism, expressed in a proliferation of Declarations, Charters, Codes of Conduct, and other rather empty texts, has strengthened as the ability to reach agreement on positive action to solve real global problems has weakened. This applies especially to the United Nations and many of its subsidiary bodies, to UNCTAD, IDA, and many of the specialized agencies. The one growth area is the adaptive function. The integration of the world economy and the advance of technology have created new problems, but they also have often enlarged the possibility of reaching agreement as well as the perceived need to find a solution. Such predominantly adaptive institutions are often monetary (IBRD, IFC, BIS) or technical (ITU, IMCO, WMO).

Imprecision

The second dragon is imprecision of terminology. "Regime" is yet one more woolly concept that is a fertile source of discussion simply because

people mean different things when they use it. At its worst, woolliness leads to the same sort of euphemistic Newspeak that George Orwell warned us would be in general use by 1984. The Soviet Union calls the main medium for the suppression of information *Pravda* (Truth), and refers to the "sovereign independence of socialist states" as the principle governing its relations with its East European "partners." In the United States scholars have brought "interdependence" into general use when what they were describing was actually highly asymmetrical and uneven dependence or vulnerability. In the same way, though more deliberately, IBM public relations advisers invented and brought into general and unthinking use the term "multinational corporation" to describe an enterprise doing worldwide business from a strong national base.

Experience with the use of these and other, equally woolly words warns us that where they do not actually mislead and misrepresent, they often serve to confuse and disorient us. "Integration" is one example of an over-used word loosely taken to imply all sorts of other developments such as convergence as well as the susceptibility of "integrated" economies to common trends and pressures—a mistake that had to be painstakingly remedied by careful, pragmatic research.⁴

In this volume, "regime" is used to mean many different things. In the Keohane and Nye formulation ("networks of rules, norms and procedures that regularize behavior and control its effects") it is taken to mean something quite narrow—explicit or implicit internationally agreed arrangements, usually executed with the help of an international organization—even though Keohane himself distinguishes between regimes and specific agreements. Whereas other formulations emphasize "decision-making procedures around which actors' expectations converge," the concept of regime can be so broadened as to mean almost any fairly stable distribution of the power to influence outcomes. In Keohane and Nye's formulation, the subsequent questions amount to little more than the old chestnut, "Can international institutions change state behavior?" The second definition reformulates all the old questions about power and the exercise of power in the international system. So, if—despite a rather significant effort by realist and pluralist authors to reach agreement—there is no fundamental consensus about the answer to Krasner's first question, "What is a regime?", obviously there is not going to be much useful or substantial convergence of conclusions about the answers to the other questions concerning their making and unmaking.

Why, one might ask, has there been such concerted effort to stretch the elasticity of meaning to such extremes? I can only suppose that scholars, who by calling, interest, and experience are themselves "internationalist" in aspiration, are (perhaps unconsciously) performing a kind of symbolic ritual against the disruption of the international order, and do so just because they

⁴ Yao-so Hu, *Europe under Stress* (forthcoming).

are also, by virtue of their profession, more aware than most of the order's tenuousness.

Value bias

The third point to be wary of is that the term regime is value-loaded; it implies certain things that ought not to be taken for granted. As has often happened before in the study of international relations, this comes of trying to apply a term derived from the observation of national politics to international or to world politics.

Let us begin with semantics. The word "regime" is French, and it has two common meanings. In everyday language it means a diet, an ordered, purposive plan of eating, exercising, and living. A regime is usually imposed on the patient by some medical or other authority with the aim of achieving better health. A regime must be recognizably the same when undertaken by different individuals, at different times, and in different places. It must also be practised over an extended period of time; to eat no pastry one day but to gorge the next is not to follow a regime. Nor does one follow a regime if one eats pastry when in Paris but not in Marseilles. Those who keep to a diet for a day or two and abandon it are hardly judged to be under the discipline of a regime.

Based on the same broad principles of regularity, discipline, authority, and purpose, the second meaning is political: the government of a society by an individual, a dynasty, party or group that wields effective power over the rest of society. Regime in this sense is more often used pejoratively than with approval—the "ancien regime," the "Franco regime," the "Stalin regime," but seldom the "Truman" or "Kennedy" regime, or the "Attlee" or "Macmillan," the "Mackenzie King" or the "Menzies" regime. The word is more often used of forms of government that are inherently authoritarian, capricious, and even unjust. Regimes need be neither benign nor consistent. It may be (as in the case of Idi Amin, "Papa Doc" Duvalier or Jean-Bedel Bokassa) that the power of the regime is neither benign nor just. But at least in a given regime, everyone knows and understands where power resides and whose interest is served by it; and thus, whence to expect either preferment or punishment, imprisonment or other kinds of trouble. In short, government, rulership, and authority are the essence of the word, not consensus, nor justice, nor efficiency in administration.

What could be more different from the unstable, kaleidoscopic pattern of international arrangements between states? The title (if not all of the content) of Hedley Bull's book, *The Anarchical Society*, well describes the general state of the international system. Within that system, as Bull and others have observed, it is true that there is more order, regularity of behavior, and general observance of custom and convention than the pure realist expecting the unremitting violence of the jungle might suppose. But by and large the world Bull and other writers describe is characterized in all its main outlines

not by discipline and authority, but by the absence of government, by the precariousness of peace and order, by the dispersion not the concentration of authority, by the weakness of law, and by the large number of unsolved problems and unresolved conflicts over what should be done, how it should be done, and who should do it.

Above all, a single, recognized locus of power over time is the one attribute that the international system so conspicuously lacks.

All those international arrangements dignified by the label regime are only too easily upset when either the balance of bargaining power or the perception of national interest (or both together) change among those states who negotiate them. In general, moreover, all the areas in which regimes in a national context exercise the central attributes of political discipline are precisely those in which corresponding international arrangements that might conceivably be dignified with the title are conspicuous by their absence. There is no world army to maintain order. There is no authority to decide how much economic production shall be public and how much shall be privately owned and managed. We have no world central bank to regulate the creation of credit and access to it, nor a world court to act as the ultimate arbiter of legal disputes that also have political consequences. There is nothing resembling a world tax system to decide who should pay for public goods—whenever the slightest hint of any of these is breathed in diplomatic circles, state governments have all their defenses at the ready to reject even the most modest encroachment on what they regard as their national prerogatives.

The analogy with national governments implied by the use of the word regime, therefore, is inherently false. It consequently holds a highly distorting mirror to reality.

Not only does using this word regime distort reality by implying an exaggerated measure of predictability and order in the system as it is, it is also value-loaded in that it takes for granted that what everyone wants is more and better regimes, that greater order and managed interdependence should be the collective goal. Let me just recall that in an early paper at the very outset of this whole project, the editor asked these questions:

“Was the 1970s really a period of significant change? Was it an interregnum between periods of stability? Does it augur a collapse or deterioration of the international economic system? Did the system accommodate massive shocks with astonishing ease or were the shocks much less severe than has been thought?

“These,” he went on, “are perplexing questions without obvious answers, for the answers to these questions are related to the most fundamental concern of social theory: how is order established, maintained and destroyed?”⁵

Krasner's common question here is about order—not justice or effi-

⁵ Stephen D. Krasner, “Factors Affecting International Economic Order: A Survey,” mimeo (July 1979), the earliest draft of his introductory article to this volume.

ciency, nor legitimacy, nor any other moral value. In an international political system of territorial states claiming sovereignty within their respective territories, how can order be achieved and maintained?

The questions people ask are sometimes more revealing of their perceptions of what is good or bad about a situation and of their motives, interests, fears, and hopes than the answers they give. Yet there is a whole literature that denies that order is "the most fundamental concern" and that says that the objectives of Third World policy should be to achieve freedom from dependency and to enhance national identity and freer choice by practicing "uncoupling" or delinking or (yet another woolly buzz-word) by "collective self-reliance."

Now, these ideas may be unclear and half-formed. But in view of the Islamic revival and the newfound self-confidence of several newly industrialized countries (NICs), it would be patently unwise for any scholar to follow a line of inquiry that overlooks them. Let us never forget the folly of League of Nations reformers, busily drafting new blueprints while Hitler and Mussolini lit fires under the whole system. Should we not ask whether this too does not indicate an essentially conservative attitude biased toward the status quo. Is it not just another unthinking response to fear of the consequences of change? Yet is not political activity as often directed by the desire to achieve change, to get more justice and more freedom from a system, as it is by the desire to get more wealth or to assure security for the haves by reinforcing order?

Too static a view

The fourth dragon to beware is that the notion of a regime—for the semantic reasons indicated earlier—tends to exaggerate the static quality of arrangements for managing the international system and introducing some confidence in the future of anarchy, some order out of uncertainty. In sum, it produces stills, not movies. And the reality, surely, is highly dynamic, as can fairly easily be demonstrated by reference to each of the three main areas for regimes considered in this collection: security, trade, and money.

For the last thirty-five years, the international security regime (if it can be so called), described in this volume by Jervis, has not been derived from Chapter VII of the U.N. Charter, which remains as unchanged as it is irrelevant. It has rested on the balance of power between the superpowers. In order to maintain that balance, each has engaged in a continuing and escalating accumulation of weapons and has found it necessary periodically to assert its dominance in particular frontier areas—Hungary, Czechoslovakia, and Afghanistan for the one and South Korea, Guatemala, Vietnam, and El Salvador for the other. Each has also had to be prepared when necessary (but, fortunately, less frequently) to engage in direct confrontation with the other. And no one was ever able to predict with any certainty when such

escalation in armaments, such interventions or confrontations were going to be thought necessary to preserve the balance, nor what the outcome would be. Attempts to "quick-freeze" even parts of an essentially fluid relationship have been singularly unsuccessful and unconvincing, as witness the fate of the SALT agreements, the European Security Conference, and the Non-Proliferation Treaty.

In monetary matters, facile generalizations about "the Bretton Woods regime" abound—but they bear little resemblance to the reality. It is easily forgotten that the original Articles of Agreement were never fully implemented, that there was a long "transition period" in which most of the proposed arrangements were put on ice, and that hardly a year went by in the entire postwar period when some substantial change was not made (tacitly or explicitly) in the way the rules were applied and in the way the system functioned. Consider the major changes: barring the West European countries from access to the Fund; providing them with a multilateral payments system through the European Payments Union; arranging a concerted launch into currency convertibility; reopening the major international commodity and capital markets; finding ways to support the pound sterling. All these and subsequent decisions were taken by national governments, and especially by the U.S. government, in response to their changing perceptions of national interest or else in deference to volatile market forces that they either could not or would not control.

Arrangements governing international trade have been just as changeable and rather less uniform. Different principles and rules governed trade between market economies and the socialist or centrally planned economies, while various forms of preferential market access were practiced between European countries and their former colonies and much the same results were achieved between the United States and Canada or Latin America through direct investment. Among the European countries, first in the OEEC and then in EFTA and the EC, preferential systems within the system were not only tolerated but encouraged. The tariff reductions negotiated through the GATT were only one part of a complex governing structure of arrangements, international and national, and even these (as all the historians of commercial diplomacy have shown) were subject to constant revision, reinterpretation, and renegotiation.

The trade "regime" was thus neither constant nor continuous over time, either between partners or between sectors. The weakness of the arrangements as a system for maintaining order and defining norms seems to me strikingly illustrated by the total absence of continuity or order in the important matter of the competitive use of export credit—often government guaranteed and subsidized—in order to increase market shares. No one system of rules has governed how much finance on what terms and for how long can be obtained for an international exchange, and attempts to make collective agreements to standardize terms (notably through the Berne Union) have repeatedly broken down.

The changeable nature of all these international arrangements behind the blank institutional facade often results from the impact of the two very important factors that regime analysis seems to me ill-suited to cope with: technology and markets. Both are apt to bring important changes in the distribution of costs and benefits, risks and opportunities to national economies and other groups, and therefore to cause national governments to change their minds about which rules or norms of behavior should be reinforced and observed and which should be disregarded and changed.

Some of the consequences of technological change on international arrangements are very easily perceived, others less so. It is clear that many longstanding arrangements regarding fishing rights were based on assumptions that became invalid when freezing, sonar, and improved ship design altered the basic factors governing supply and demand. It is also clear that satellites, computers, and video technology have created a host of new problems in the field of information and communication, problems for which no adequate multilateral arrangements have been devised. New technology in chemicals, liquid natural gas, nuclear power, and oil production from under the sea—to mention only a few well-known areas—is dramatically increasing the risks involved in production, trade, and use. These risks become (more or less) acceptable thanks to the possibility of insuring against them. But though this has political consequences—imposing the cost of insurance as a kind of entrance tax on participation in the world market economy—the fact that no structure or process exists for resolving the conflicts of interest that ensue is an inadequately appreciated new aspect of the international system.

Technology also contributes to the process of economic concentration, reflected in the daily dose of company takeovers, through the mounting cost of replacing old technology with new and the extended leadtime between investment decisions and production results. Inevitably, the economic concentration so encouraged affects freedom of access to world markets and thus to the distributive consequences in world society. The nationalist, protectionist, defensive attitudes of states today are as much a response to technical changes and their perceived consequences as they are to stagnation and instability in world markets.

Since the chain of cause and effect so often originates in technology and markets, passing through national policy decisions to emerge as negotiating postures in multilateral discussions, it follows that attention to the end result—an international arrangement of some sort—is apt to overlook most of the determining factors on which agreement may, in brief, rest.

The search for common factors and for general rules (or even axioms), which is of the essence of regime analysis, is therefore bound to be long, exhausting, and probably disappointing. Many of the articles in this volume abound in general conclusions about regimes, their nature, the conditions favoring their creation, maintenance, and change, and many of the generalizations seem at first reading logically plausible—but only if one does not

examine their assumptions too closely. My objection is that these assumptions are frequently unwarranted.

State-centeredness

The final but by no means least important warning is that attention to these regime questions leaves the study of international political economy far too constrained by the self-imposed limits of the state-centered paradigm. It asks, what are the prevailing arrangements discussed and observed among governments, thus implying that the important and significant political issues are those with which governments are concerned. Nationally, this is fairly near the truth. Democratic governments have to respond to whatever issues voters feel are important if they wish to survive, and even the most authoritarian governments cannot in the long run remain indifferent to deep discontents or divisions of opinion in the societies they rule. But internationally, this is not so. The matters on which governments, through international organizations, negotiate and make arrangements are not necessarily the issues that even they regard as most important, still less the issues that the mass of individuals regards as crucial. Attention to regimes therefore accords to governments far too much of the right to define the agenda of academic study and directs the attention of scholars mainly to those issues that government officials find significant and important. If academics submit too much to this sort of imperceptible pressure, they abdicate responsibility for the one task for which the independent scholar has every comparative advantage, the development of a philosophy of international relations or international political economy that will not only explain and illuminate but will point a road ahead and inspire action to follow it.

Thus regime analysis risks overvaluing the positive and undervaluing the negative aspects of international cooperation. It encourages academics to practice a kind of analytical *chiaroscuro* that leaves in shadow all the aspects of the international economy where no regimes exist and where each state elects to go its own way, while highlighting the areas of agreement where some norms and customs are generally acknowledged. It consequently gives the false impression (always argued by the neofunctionalists) that international regimes are indeed slowly advancing against the forces of disorder and anarchy. Now it is only too easy, as we all know, to be misled by the proliferation of international associations and organizations, by the multiplication of declarations and documents, into concluding that there is indeed increasing positive action. The reality is that there are more areas and issues of nonagreement and controversy than there are areas of agreement. On most of the basic social issues that have to do with the rights and responsibilities of individuals to each other and to the state—on whether abortion, bribery, drink or drug pushing or passing information, for example, is a crime or not—there is no kind of international regime. Nor is there a regime

on many of the corresponding questions of the rights and responsibilities of states toward individuals and toward other states.

In reality, furthermore, the highlighted issues are sometimes less important than those in shadow. In the summer of 1980, for example, INMAR-SAT announced with pride an agreement on the terms on which U.S.-built satellites and expensive receiving equipment on board ship can be combined to usher in a new Future Global Maritime Distress and Safety System, whereby a ship's distress call is automatically received all over a given area by simply pressing a button. For the large tankers and others who can afford the equipment, this will certainly be a significant advance; not so for small coasters and fishing boats. In the same year, though, millions died prematurely through lack of any effective regime for the relief of disaster or famine. Meanwhile, the Executive Directors of the International Money Fund can reach agreement on a further increase in quotas, but not on the general principles governing the rescheduling of national foreign debts.

Moreover, many of the so-called regimes over which the international organizations preside turn out under closer examination to be agreements to disagree. The IMF amendments to the Articles of Agreement, for example, which legitimized the resort to managed floating exchange rates, are no more than a recognition of states' determination to decide for themselves what strategy and tactics to follow in the light of market conditions. To call this a "regime" is to pervert the language. So it is to call the various "voluntary" export restrictive arrangements bilaterally negotiated with Japan by other parties to the GATT "a multilateral regime." Since 1978 the Multi-Fibre "Agreement," too, has been little more, in effect, than an agreement to disagree. Similarly, UNESCO's debate on freedom and control of information through the press and the media resulted not in an international regime but in a bitter agreement to disagree.

One good and rather obvious reason why there is a rather large number of issues in which international organizations preside over a dialogue of the deaf is simply that the political trend within states is towards greater and greater intervention in markets and greater state responsibility for social and economic conditions, while the major postwar agreements for liberal regimes tended the other way and bound states to negative, noninterventionist policies that would increase the openness of the world economy.

In a closely integrated world economic system, this same trend leads to the other aspect of reality that attention to regimes obscures, and especially so when regimes are closely defined, in this volume by Young and others, as being based on a group of actors standing in a characteristic relationship to each other. This is the trend to the transnational regulation of activities in one state by authorities in another, authorities that may be, and often are, state agencies such as the U.S. Civil Aeronautics Authority, the Department of Justice or the Food and Drug Administration. There is seldom any predictable pattern of "interaction" or awareness of contextual limitations to be found in such regulation.

Other neglected types of transnational authority include private bodies like industrial cartels and professional associations or special "private" and semiautonomous bodies like Lloyds of London, which exercises an authority delegated to it by the British government. This club of rich "names," underwriters, and brokers presides over the world's largest insurance and reinsurance market, and consequently earns three-quarters of its income from worldwide operations. By converting all sorts of outlandish risks into costs (the premiums on which its income depends), Lloyds plays a uniquely important part in the smooth functioning of a world market economy.

By now the limits on vision that may be encouraged as a secondary consequence of attention to regimes analysis have been implied. The aspects of political economy that it tends to overlook constitute the errors of omission that it risks incurring. I do not say that, therefore, *all* regime analyses commit these errors of omission; I can think of a number that have labored hard to avoid them. But the inherent hazard remains. They should not have to labor so hard to avoid the traps, and if there is a path to bypass them altogether it should be investigated.

I shall suggest where this path might be discovered after a word about the second indirect reason for skepticism about the value of regime analysis. This is that it persists in the assumption that somewhere there exists that El Dorado of social science, a general theory capable of universal application to all times and places and all issues, which is waiting to be discovered by an inspired, intrepid treasure-hunter. I confess I have never been convinced of this; and the more I know of political economy, the more skeptical I become. If (as so many books in international relations have concluded) we need better "tools of analysis," it is not because we will be able to dig up golden nuggets with them. Those nuggets—the great truths about human society and human endeavor—were all discovered long ago. What we need are constant reminders so that we do not forget them.

Outline of a better alternative

My alternative way of analyzing any issue of international political economy, which is likely to avoid some of these dragons, involves extending Charles Lindblom's useful clarifying work on *Politics and Markets* to the world system. Whether one chooses to apply it to sectors of the world economy or to the structures of that system, it suggests many much more open-ended and value-free questions about the relationship between authorities and markets and about the outcomes of their interaction than does regime analysis.

It thus allows serious questions to be posed for research or discussion about any issue, whether they are of interest to governments or not. Moreover, it does not take markets as part of the data, but accepts that they are creations of state policies—policies that affect transactions and buyers and

sellers, both directly and indirectly, through the part played by markets in shaping basic structures of the world system such as the security structure, the production structure, the trade and transport structure, the credit and money structure, the communication and knowledge structure, and (such as it is) the welfare structure.

It involves asking a series of questions, none of which in any way pre-judges the answers. It is therefore equally adaptable to the concerns and interests of conservatives and radicals, to scholars far to the right or far to the left, or to those who want only to move more freely in the middle ground between extremes.

Not only does it liberate inquiry from the procrustean limits set by ideology, it also breaks the confining limits set when regime analysis identifies an international regime with the existence of a particular international agency or bureaucracy. Patients often abandon a regime but do not feel it necessary to eliminate the doctor; international institutions are seldom wound up, however useless. Indeed, the continued existence of the "doctors" on the international scene and the fairly widespread abandonment of regular regimes by the "patients" seems to me precisely what has been happening in the international political economy in the latter half of the 1970s. There has been a rather marked shift from multilateral arrangements around which actors' expectations (more or less) converged toward bilateral procedures, negotiations, and understandings.

This shift took place in the security structure, as Jervis explains, at a relatively early date in recognition of the limited distribution of capacity to wreak global destruction by nuclear weapons and delivery systems. It can be seen gathering speed from Cuba and SALT I onwards and spilling over in the 1970s into other issues such as food. Moreover, on one important aspect of the security structure, the sale or transfer of arms to other states, there never have been any effective multilateral arrangements. Bargains have always been bilateral.

This bilateralism in security matters has recently become common in other fields. In trade, for example, the most recent report from the GATT had this to say:

While the rules of the GATT continue to exert considerable influence on policy conduct, there is no denying that infractions and circumventions of them have tended to multiply. . . . That there has not been more open violence to the rules is also partly explained by the increasing resort to privately agreed and officially tolerated if not promoted, restraints on trade and competition. Developments in such important industrial sectors as steel, automobiles, synthetic fibres and perhaps other petrochemicals exemplify this tendency.⁶

In matters of investment for future production, too, the most notable

⁶ GATT, *International Trade 1980-81* (Geneva: GATT, 1981), p. 11

achievements of recent years have not come through multilateral or general processes but through an aggregation of a great deal of piecemeal bargaining. Most of the key bargains have been struck between governments (and not only governments of developing countries) and large manufacturing or processing enterprises, some state-owned, some private, some syndicates of both. Since these arrangements will radically affect future relations of production in the world economy and the relative economic prospects of states and their governments, they cannot be ignored with impunity.

Thus, asking what are the key bargains that have been made—or could conceivably be made in the future—and how they have affected outcomes will reveal rather more about the real levers of power in the system than attention to regimes. For in that system, now that transnational transactions have become so important, three points are worth noting. First, the bargaining partners often dispose of very different kinds of power; for example, one has the political power to refuse access to a market, the other the power to refuse to transfer technology. Second, each of them is vulnerable to a different kind of risk, as it might be of a palace revolution on one side or a corporate takeover on the other. So that, thirdly, the bargain struck is apt to consist of a highly variable mix of political and economic benefits conferred and opportunities opened up. Bargains will reflect both the positive goals the parties severally wish to achieve and the negative risks and threats from which they want to find some security.

In trying to draw a map of interlocking, overlapping bargains the researcher will often be drawn far beyond the conventional limits of international politics or international economics. Most likely, the map will have to include bargaining situations and their outcomes within national political economies. To illustrate the point, take Cohen's examination in this volume of the international monetary regime. He interprets this almost exclusively as concerning the regulation of exchange rate behavior. Yet his own most recent work (*Banks and the Balance of Payments*)⁷ implicitly acknowledges the fundamental importance of (national) banking regulation in shaping the world's monetary system. He would probably agree that the major change in the 1970s was not the rather marginal shift from intermittently flexible fixed rates to generally managed floating rates but rather the shift in the balance of influence in international capital markets from public authorities and agencies to private operators—a shift reflected in the changing debt patterns of most NOPEC countries.

Drawing bargaining maps will therefore reveal the domestic roots of international arrangements, and tell us more about what is likely to be permanent and what will probably prove ephemeral about them.

Whether the purpose is analytical description or normative prescription, the exercise will also leave far more open the question of what values the

⁷ Benjamin J. Cohen with Fabio Basagni, *Banks and the Balance of Payments: Private Lending in the International Adjustment Process* (Montclair, N.J.: Allenheld Osmun, 1981).

existing pattern of bargaining has produced or what values might conceivably emerge from future patterns of bargaining. Paying more attention to values would raise our vision above the horizons set by governments and their (often limited and shortsighted) perceptions of national interest; it would allow us to include those perceived by classes, generations, and other transnational or subnational social groups. The bias of regime analysis can be corrected by attention to the determining basic structures of the international political economy, the structures of security, money, welfare, production, trade, and knowledge. Each of these raises the question, "How to achieve change?", which is surely no less important than the question, "How to keep order?"

The *dynamic* character of the "who-gets-what" of the international economy, moreover, is more likely to be captured by looking not at the regime that emerges on the surface but underneath, at the bargains on which it is based. By no means all of these key bargains will be between states. For besides those between states and corporate enterprises, or between corporations and banks, there will be others between corporations and labor unions, or between political groups seeking a common platform on which to achieve political power. Having analyzed the factors contributing to change in bargaining strength or weakness, it will be easier then to proceed to look at the outcome with less egocentric and value-biased eyes.

What is the net result and for whom, in terms of order and stability, wealth and efficiency, justice and freedom; and in terms of all the opposite qualities—insecurity and risk, poverty and waste, inequity and constraint? These, it seems to me, are much more fundamental political questions, and imply an altogether broader and less culture-bound view of world politics, than the ones addressed in this volume.



International Organization and the Study of World Politics

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International Organization **and the Study of World Politics**

Peter J. Katzenstein, Robert O. Keohane
and Stephen D. Krasner

In this article we tell the story of the creation and evolution of a subfield, popularly known as "IPE," that has been closely associated with *International Organization* (*IO*) for almost thirty years. Initially, IPE was defined by the topics that it investigated, such as trade, finance, raw materials politics, and multinational corporations. Scholars associated with the field drew on economics and on a variety of existing theoretical orientations, notably realism, liberalism, and Marxism at the systemic level, and Marxism, statism, and pluralism at the domestic level.

Over time the boundaries of this subfield, as we define it, have been set less by subject matter than by theoretical perspectives. Whereas some research programs have relied heavily on economics, others have distanced themselves both from the substantive concerns of that discipline and the rationalism it represents. Since we are seeking in this article to describe how theorizing about world politics as represented in *IO* evolved, we focus on IPE, rather than on the substantive issues of international political economy with which it began. We use the term *international political economy* when we refer to real-world connections between politics and economics; we use the term *IPE* when we refer to the subfield of work, centered in *IO* since 1971, that evolved from the study of international political economy to analyze a variety of aspects of world politics.

Like any narrative, our story reflects the viewpoints of its authors; and since we played a role in these events, it inevitably reflects our own experiences and biases. As noted in the preface, we put our account forward as a perspective, not as a canonical representation of what is most important. Furthermore, we make no claim that the

During the writing of this article we received long, thoughtful, and detailed comments on previous drafts. They were enormously helpful in clarifying and equilibrating the historical narrative that we are offering here. Several colleagues offered valuable oral comments as well. We would like to thank Emanuel Adler, David Baldwin, Marc L. Busch, Benjamin J. Cohen, David Dessler, Judith Goldstein, Peter Gourevitch, Stephan Haggard, Ernst B. Haas, Peter Hall, Robert Jervis, Miles Kahler, Charles Kupchan, David Lake, Robert Lieber, Henry Nau, Joseph Nye, M. J. Peterson, Simon Reich, Thomas Risse, John Gerard Ruggie, Bruce Russett, Kiron Skinner, Arthur Stein, Janice Stein, Alexander E. Wendt, and Oran R. Young.

evolving subfield of IPE encompasses the most important work that has been done in international politics over the last thirty years. Major research has been carried out on subjects such as war initiation, the “democratic peace,” and alliance politics, to mention only a few. Some theoretical orientations that have been highly salient for the study of security, especially organization theory and cognitive psychology, have been much less consequential for IPE. Studies generated by large-*N* statistical research programs such as the Correlates of War project have not been prominent in the pages of *IO*. Since this article was written for an anniversary issue of *IO*, it seems appropriate to ground it in the major lines of work for which the journal became known.

Theory in our field has been thought of in a variety of ways. In this article we focus on two of its meanings: general theoretical orientations and specific research programs. *General theoretical orientations* provide heuristics—they suggest relevant variables and causal patterns that provide guidelines for developing specific research programs. Political science is an eclectic discipline that finds many of its most fruitful ideas elsewhere, and many of the general theoretical orientations that have been relevant for IPE were borrowed from other disciplines, especially economics and sociology. Rationalist theories derived from economics, for instance, offer the following heuristic: if you have a puzzle, formulate it as a problem for rational actors with unproblematically specified interests, competing in a situation characterized by scarce resources. Constructivist theories, in contrast, look to the humanities and sociology for insights into how “reality,” including the interests that partially constitute the identity of actors, is socially constructed. We argue in the fourth section of the article that rationalism (encompassing both liberal arguments grounded in economics that emphasize voluntary agreement and realist arguments that focus on power and coercion) and constructivism now provide the major points of contestation for international relations scholarship.

Specific research programs link explanatory variables to a set of outcomes, or dependent variables. What are the effects of various distributions of power, or of democracy, on the propensity of states to fight wars? Under what conditions do international institutions actually promote cooperation? What institutional features of state–society relationships explain variations in the effectiveness of foreign economic policy? When such theories are tested with evidence, answers are proposed—answers that are virtually always contested because of the difficulties of theory specification, testing, and controlled statistical analysis that bedevil the nonexperimental sciences in general, and fields such as ours in particular.

General theoretical orientations—such as realism, Marxism, liberalism, statism, pluralism, historical institutionalism, rational choice institutionalism, and constructivism—have been particularly prominent in the study of international relations. IPE is no exception. Such generic approaches do not disappear easily. They provide suggestions about relevant variables and their possible interrelationships but are consistent with many specific research tasks and clusters of testable hypotheses. We refer to these sets of tasks and hypotheses as *specific research programs*, without necessarily

accepting Imre Lakatos's philosophy of science as applicable to our field.¹ The connection between generic orientations and research programs means that the intellectual standing of generic orientations is affected, though not entirely determined, by empirical evidence. As a result of confrontation with evidence, and also due to shifts in world politics itself, some hypotheses, and the research programs in which they were embedded, have received more support than others. Generic orientations that sheltered productive programs benefited at the expense of competitors; those that seemed to illuminate new developments in the world also gained adherents. Dissatisfaction with existing orientations and research programs, coupled with changes in the world, has created openings for alternative conceptualizations. This evolutionary process is often indirect and imperfect: there are no "decisive experiments" in international relations that discredit a research program much less a generic approach that has spawned research programs.

From its inception IPE has evolved two related though distinctive sites for research: the international system and the interactions between domestic politics and international political economy. The first site focuses at the level of the international system. In the 1970s systemic scholarship on the international political economy drew on realist arguments about the importance of the distribution of power among states, then the prevailing general theoretical orientation in international relations. IPE scholars also developed a variety of liberal research programs that were reflected in discussions of European integration, the growing role of multinational corporations, and increases in international interdependence. In the 1980s the differences between realism and liberalism were sharpened as neorealists and neoliberals debated the relative merits of their contrasting analytical programs.

Our story about the systemic variant of IPE goes as follows. In the late 1960s and mid-1970s some young political scientists studying international relations seized an opening created both by events in the world and in the social sciences. Growing levels of international interdependence pointed to by a few economists helped in the conceptualization of transnational relations theory. This analytical approach provided an alternative to the state-centric, realist approach then dominating the study of international relations more generally. It was the first analytical formulation that one could clearly associate with IPE as a distinct field. Transnationalism was challenged by hegemonic stability theory, which had both liberal and realist variants. These initial research programs were reformulated as a result of their interaction with each other and with some variants of Marxism. Hegemonic stability theory encountered both logical and empirical anomalies. Transnational relations theory was difficult to operationalize. In the 1980s neoliberal institutionalism and a specific realist formulation known as neorealism became the principal interlocutors—institutionalists emphasized the potential for interstate cooperation, whereas realists stressed the importance of state power. Since the late 1980s a new debate between constructivism and rationalism (including both realism and liberalism) has become more prominent as con-

1. Lakatos 1970.

tructivists have built on epistemological challenges rooted in sociological perspectives emphasizing shared norms and values.

The second site for research has been the linkage between domestic politics and the international political economy. Scholars working on these issues inquired into the determinants of the foreign economic policies of states and corporate strategies, which they have investigated with close attention to empirical detail. The questions asked in this line of research focused on the relative influence and autonomy of social forces and political institutions. Research was in general more empirically oriented. Metatheoretical concerns loomed less large for scholars in this area than for those working with systemic level theories, although in domestic as well as systemic analyses general research orientations—such as pluralism, statism, Marxism, rational choice institutionalism, and historical institutionalism—informed specific research programs. Empirically, the focus on state–society relations started with concrete analyses of the OECD countries and Latin American states. It spread from there to encompass the political economy of states in other world regions, specifically the analysis of varieties of state-led development in Asia and the transition out of socialism in eastern Europe and the states of the former Soviet Union.

Scholars of comparative politics insisted that systemic arguments were at best incomplete; variations in domestic structures (defined in terms of social structure as well as group and party alignments) would lead to different national and corporate responses to the same external pressures and opportunities. Some of the earliest domestic politics formulations associated with IPE drew on pluralism, then the prevailing approach to U.S. politics. Over time, a variety of approaches, including historical institutionalism and, more recently, rational choice institutionalism, were applied to a growing number of political economies worldwide.

There was a close interaction between comparative and international relations scholars; indeed, some individuals transcended the boundaries between these two fields. But during the 1970s and 1980s the difference between the international and domestic strands of the IPE field remained salient. That distinction has blurred somewhat in the 1990s because, as we argue later, rationalism (incorporating both realism and liberalism) and constructivism have established a new point of contestation. Some of the specific research programs generated by general theoretical orientations, such as rational choice institutionalism, are more readily applicable across different levels of analysis than was the case for most of the systemic and domestic orientations, such as realism and pluralism, that were prominent in earlier periods.

The difference between international and domestic perspectives does not overshadow, however, a common research practice that has marked empirical work in both of the main branches of IPE. Scholars have specified research problems in a way that was empirically tractable, intellectually interesting, and politically significant. They embedded explanatory variables in causal mechanisms through which outcomes seemed to take place. They conducted research that sought to control for some other explanatory factors. And they sought to determine whether the selected explanatory variable exerted a discernible effect on specified outcomes. Fruitful research programs combined deductive and inductive work in different proportions. But in the

final analysis, any productive research program had to suggest ways in which variables or concepts could be operationalized; and its propositions had to be, at least in principle, empirically falsifiable.

General orientations and their associated specific research programs typically enter into complex mutual interrogations with their previously established counterparts. As a result of such dialogues, orientations are reconfigured or merged; or they remain separate, with one approach losing adherents; or they coexist, competing on relatively equal terms. Thomas Kuhn does not provide an accurate description of the study of IPE or, for that matter, international relations more generally.² IPE has not been characterized by scientific revolutions succeeded by a period of normal science in which a particular general theoretical orientation is uncontested. There has always been vigorous debate between competing general theoretical orientations and associated research programs.

The lines of thinking originally nurtured in *IO*, and largely limited to international political economy and its intersections with comparative politics and international institutions, seem in the 1990s to be merging into a broader and richly reconfigured field of world politics. Insights originally generated in studying the international political economy have been extended to other issue areas, such as environmental or security affairs. Linkages among issues mean that many important phenomena in world politics can no longer be neatly classified by issue area, such as economics or security affairs. And old boundaries between international relations and comparative politics, or between IPE and the rest of international relations, have become increasingly fluid. Responding to these changes, scholars have modified existing lines of research and initiated new ones. They have sharpened some analytical distinctions and erased others. They have sought to advance reformulated synthetic interpretations and focused on new points of intellectual contestation.

Since the mid-1980s a new debate between constructivism and rationalism (including both realism and liberalism) has become more prominent. New theoretical developments in rationalist institutional theory, open-economy economics, and comparative politics provided scholars with new intellectual openings as the Cold War ended. Conventional and critical constructivists, influenced by new trends in the humanities, put forward sociological perspectives that emphasized shared norms and values but which were in epistemological terms sharply differentiated from postmodernism. In the field of national security the discussion between rationalism (in its realist and liberal variants) and constructivism has been more fully joined than in the field of IPE.

We do not presume to predict the future of either world politics or international relations theory. But we do insist on two points. First, the evolution of the subfield of IPE is better described in terms of focal points of contestation and hypothesis testing than as an all-out war leading to the victory of one general orientation over another. Second, current intellectual developments in IPE can be made more comprehensible by comparing them with the last cycle—from the intellectual and political openings

2. Kuhn 1962.

of the 1970s to the relative syntheses of the late 1980s, which presaged another political and intellectual upheaval beginning around 1990. Thus, we interpret the past in order to understand the present.

In the first section of the article we briefly review some aspects of the field in the years between the late 1940s (when *IO* was founded) and 1968. We then discuss the intellectual opening for IPE, beginning in the late 1960s. In the second section we analyze the symbiotic yet contested relationship between realism and liberalism during the last thirty years. In the third section we trace the evolution of domestic politics research and its eventual differentiation into historical-institutionalist and rationalist styles of research. In the fourth section we analyze the new intellectual opening created by the end of the Cold War and argue that efforts from various quarters to understand actor preferences are creating new points of contestation in the study of world politics while blurring some established fault lines. In the conclusion we argue that current scholarship is integrating IPE even more fully into the broader discipline of international relations and into overarching debates in the natural and social sciences and in the humanities.

An Intellectual Opening, 1968–78

IO existed for two decades before 1968, representing an established tradition in the study of international organizations. During the 1960s *IO* published some of the leading work on European integration, work that challenged realism and provided concepts for the analysis of the politics of economic interdependence. As discussed in this section, after 1968 an intellectual opening for the study of international political economy emerged.

IO's First Two Decades, 1947–67

IO was founded at a time of profound and rapid change in international relations. An extensive and untried set of international organizations had been established during and just after World War II. Seeking not only to describe their activities, but also to promote “a comparative study of international organizations and why they have or have not worked in varying circumstances,” the trustees of the World Peace Foundation decided in the spring of 1946 to establish this journal, whose first issue appeared in February 1947.³ By that time, relations between the Soviet Union and its former Western allies had become highly strained, and what later became known as the Cold War was beginning, marked by crises in Iran and Greece and, in the spring of 1947, by the Truman Doctrine and the Marshall Plan.

IO had the task of analyzing both the formation of new international organizations and the superpower rivalry that threatened to kill or maim them at birth. In the lead

3. The World Peace Foundation was established in 1910 by Edwin Ginn, head of the publishing company bearing his name.

article in the first issue, Leland M. Goodrich argued that the nascent UN was uncomfortably similar to the League of Nations in its design: "Like the League, but for somewhat different technical reasons, the United Nations, in so far as its enforcement activities are concerned, is an organization for the enforcement of peace among the smaller states."⁴ Other articles in the first three years of the journal's existence offered general arguments on the role of international organizations in world politics as well as articles on specific topics such as the politics of international air transport and the operation of the UN Security Council.⁵ Later the journal published trenchant analyses of the UN's adaptation to the Cold War. Some of the outstanding work in this vein, by scholars such as Inis L. Claude, Jr., and Stanley Hoffmann, shrewdly commented on the politics of international organizations and the consequent limits on their potential range of successful operation. UN peacekeeping operations in Suez and the Congo were a particular focus of attention.

This work was not naive. Neither legalism nor moralism—those alleged bugaboos of Americans—obscured the authors' recognition that international organizations are profoundly affected by world politics, and that these organizations' transformative potential is modest, at least in the short run. However, despite its emphasis on realistic descriptive analysis, research was not particularly informed by general social science theory, and it was less concerned with testing alternative arguments than was the case for subsequent work such as Robert Cox and Harold Jacobson's analysis of decision making in international organizations.⁶ Perhaps for these reasons, work published in *IO* in the 1950s and 1960s was closer to policy analysis and commentary than work published in the journal since the mid-1970s. The journal remained sharply focused on formal international organization, with substantial space devoted to summaries of activities in various UN agencies until the late 1960s. Even when behavioralism entered the pages of the journal, it took the form of statistical analysis of General Assembly voting.

If the UN had continued to be as significant in world politics as it briefly became under Secretary-General Dag Hammarskjöld (1953–61), both the shrewd political analysis and the more systematic behavioral study of politics—within the UN and in comparison to other intergovernmental organizations—might have continued to command a significant audience. But Hammarskjöld's death in a plane crash was followed by the collapse of the UN operation in the Congo and by the "Article 19 Crisis" over whether the Soviet Union could be deprived of its vote in the General Assembly in response to its nonpayment of assessments for UN peacekeeping operations. U.S. intervention in Vietnam took place without significant UN involvement. And in 1967 the UN peacekeeping force was withdrawn from Suez right before the June War. Actions against Israel, including the notorious "Zionism as Racism" resolution, drastically reduced U.S. support for the UN, including several of the specialized agencies. As the UN became increasingly irrelevant to major questions of world politics, students of world politics lost interest in it.

4. Goodrich 1947, 17.

5. See Rothwell 1949; Little 1949; and Dennett 1949.

6. Cox and Jacobson 1973.

The Intellectual Roots of IPE

Realism has been at the center of the theoretical debates of U.S. international relations scholarship for a long time. Historically, realism was a breed alien to the liberal and progressive intellectual and political sensibilities of the United States. At its inception in the early twentieth century, the discipline of international relations was part of the progressive movement that sought to build a systematic social science for the betterment of mankind in the United States and, by implication, worldwide. World War II and the Holocaust, experienced and interpreted by a generation of brilliant intellectuals closely linked to Europe, changed this. And so did the protracted Cold War that held the world in its grip for four decades. Prudent statecraft, realism argued, required a space for diplomacy and strategy that was uncontested by normal domestic politics. The grand debates in the field—idealism and realism in the 1930s, neoliberalism and neorealism in the 1980s—are products of this distinctive historical legacy.

No independently recognized field for studying the international political economy existed in the 1950s and 1960s. Specialists of international relations paid little systematic attention to the political analysis of economic issues. For public policy as well as for the academy, the focus was on security issues and “high politics.” Communism was seen as an omnipresent threat. The Soviet Union, armed with nuclear weapons and rockets—as the successful launch of Sputnik in 1957 indicated—was perceived as a serious military, technological, economic, and ideological rival of the United States. Leading students of world politics analyzed the role of nuclear weapons, techniques of deterrence, and the operation of U.S.-led alliances such as NATO. Thomas Schelling introduced rational choice analysis to international affairs; Henry Kissinger wrote about European statecraft and U.S. nuclear and alliance strategies in Europe; Graham Allison used the Cuban Missile Crisis as a case study to sharpen the theoretical lenses of the discipline.⁷ Innovative analyses also dealt with issues of war and peace, including major conceptual contributions by Kenneth N. Waltz and the development of an impressive data set by the Correlates of War Project led by J. David Singer.⁸

For the study of the international political economy a substantial stock of intellectual capital came from classic works on political economy, such as those of Albert Hirschman, Eugene Staley, Charles Kindleberger, and Jacob Viner.⁹ Hirschman, for example, explained how foreign trade was used as an instrument of political pressure through which Germany built its political sphere of influence in central-eastern Europe. Viner and Kindleberger illuminated the complementarity of power and wealth in the seventeenth and eighteenth centuries and in the international monetary and financial system. Staley examined how barriers against trade with states such as Japan created conditions for political-military conflict. These authors offered

7. See Schelling 1960, 1966; Kissinger 1957a,b, 1965; and Allison 1971.

8. See Waltz 1959; and Singer 1972.

9. See Hirschman [1945] 1980; Staley 1939; Viner 1948; and Kindleberger 1973. See also D. Baldwin 1985.

insights into the way power provided the foundations for the international economy. Within the field of international relations, Edward Hallett Carr used his blend of Marxism and realism to analyze the collapse of the international order, including the international economy, in the interwar period.¹⁰ The analytical focus of these books on material capabilities and asymmetric bargaining power provided the basis for parsimonious accounts of developments in the international economy that had a profound effect on the study of the international political economy in the 1970s.

Students of comparative politics who sought to link their work to international relations drew on a rich tradition of work that emphasized the importance of institutional factors in the shaping of political regimes, notably, in the 1960s, J. P. Nettl's article on the state and Samuel Huntington's analysis of political decay.¹¹ They also drew on economics and economic history, such as works on technology by David Landes and on tariffs by Charles Kindleberger.¹² Some books on U.S. politics were widely read by scholars of comparative politics.¹³ Furthermore, the domestic determinants of foreign policy received extended attention by international relations scholars in the 1960s, a fact that received more than passing notice by comparative politics specialists who were interested in institutions. In 1959 Kenneth Waltz insisted on the primacy of the international system in shaping state policy, foreshadowing his *Theory of International Politics* published twenty years later.¹⁴ A decade later, however, in a brilliant book on democratic foreign policy he offered a theory of foreign policy.¹⁵ In the 1960s and early 1970s Waltz was not alone in pointing to the importance of the domestic determinants (such as political leadership, institutions, and bureaucratic organizations) of state action. Henry Kissinger, Graham Allison, Morton Halperin, and John Steinbruner, among others, published important articles and books on the subject that were widely read, discussed, and cited.¹⁶

Yet, the main source of inspiration for students seeking to connect international relations with domestic politics arose from within the field of comparative politics. In the 1960s discussions in comparative analysis revolved around efforts to explain differences in the paths taken by modern states—toward liberal democracy, fascism, or state socialism, for example. Interactions between international and domestic factors had been largely ignored by the structural-functional approach, which was the focal point of work in comparative politics during the 1960s. But for scholars such as Barrington Moore, Reinhard Bendix, Alexander Gerschenkron, and subsequently Charles Tilly and Theda Skocpol, these trajectories were the result not only of a polity's internal characteristics but also of how it was inserted into the international system both economically and politically.¹⁷ A younger generation of comparative

10. Carr [1946] 1962.

11. See Nettl 1968; and Huntington 1968.

12. See Kindleberger 1962, 1978; and Landes 1969.

13. Bauer, Pool, and Dexter 1972.

14. Waltz 1959.

15. Waltz 1967.

16. See Kissinger 1969; Allison 1971; Halperin 1974; and Steinbruner 1974.

17. See Bendix 1964; Gerschenkron 1962; Moore 1966; Tilly 1975, 1990; and Skocpol 1979.

scholars would soon adapt the insights of these seminal studies to the analysis of the domestic determinants of the international political economy.

Despite this rich intellectual legacy, the 1960s lacked a coherent body of political-economy literature in international relations, and the scattered works that existed were far from the mainstream of international relations. Graduate students could go through international relations programs at major American universities, focusing on diplomatic history, theories of war and peace, and policy issues revolving around deterrence, and remain largely innocent of economics or its links to world politics. It did not help that economists were paying little attention to how political and institutional contexts affected their subject of study. Economics Ph.D. students were increasingly rewarded for their mathematical acumen rather than their analysis of how organizations actually operated; economists could not fashion successful careers by investigating the lending practices of the International Monetary Fund. Hence, in the analysis of international relations neither political science nor economics were conducting sustained research on subjects that would later be termed IPE.

European Integration as an Intellectual Opening

From the early 1960s until the early 1970s, the liveliest debates on international organizations focused on the significance of political integration for the nation-state: "obstinate or obsolete?" as Stanley Hoffmann put it in a famous debate with Ernst Haas.¹⁸ Haas and some younger students and colleagues developed a specific research program about political integration, drawing on modernization theory and on the theory of functionalism as articulated by David Mitrany.¹⁹ This research program reflected a general liberal theoretical orientation that pointed to the possibility of multiple actors in the international system and the importance of voluntary agreement. Their work complemented the analysis of national and supranational community formation that Karl Deutsch and his students had pioneered in the 1950s and 1960s, a research program that foreshadowed what later came to be labeled constructivism. It highlighted the importance of identity formation measured by social transactions and communications.²⁰ By 1970 integration theory had specified a substantial number of economic and social background factors that conditioned a series of political processes. These, in turn, shaped how political actors defined their interests and thus the policy strategies that elites adopted in different states. A nascent field of comparative regional integration studies was formed, based on fieldwork by scholars who went to East Africa and Latin America as well as to Europe.²¹ In 1970 *IO* published a special issue on regional integration edited by Leon Lindberg and Stuart Scheingold. The articles in this volume represented attempts to use behavioral social science to account for variation in the success of efforts at regional integration.²²

18. Hoffmann 1966.

19. See Haas 1958, 1961, 1964b; and Mitrany 1966.

20. See Deutsch 1953; Deutsch et al. 1957; Russett 1963; and Merritt 1966.

21. Outstanding books synthesizing this literature and presenting new findings include Lindberg and Scheingold 1970; and Nye 1971.

22. Lindberg and Scheingold 1971.

Comparative regional integration studies foundered on the overly optimistic assumption of neofunctionalism that such efforts would succeed around the world. Non-European efforts at regional integration in the 1960s failed, and the European effort stagnated after Charles De Gaulle's maneuvers of the mid-1960s and the Luxembourg Compromise of 1966. The field of integration studies atrophied. Formerly optimistic theorists became pessimistic. Their arguments became more indeterminate as an increasing number of explanatory variables was needed to account for the acceleration and retardation of integration processes.

The difficulty encountered after 1966 by neofunctionalism was ironically similar to that faced by neorealism (whose error was excessive pessimism) after 1989. Both approaches involved specific research programs with testable propositions, some of which were invalidated by events. Their arguments were formulated in ways that could be falsified. When disillusionment with integration theory set in, many younger scholars turned to newer themes such as those of international and comparative political economy. Integration theory, however, provided much of the existing analytical capital for investigating the connections between politics and economics. Several years later, Ernst B. Haas published an article on the "obsolescence" of regional integration theory.²³ However, empirical work on the European Community continued in Europe, and when U.S. scholars regained interest in the subject in the late 1980s, they relied heavily on this European work and were less inclined to put forward a general theory of integration processes.²⁴

The Emergence of IPE

As long as security concerns dominated the attention of academics and policymakers, the intellectual vacuum in the study of the international political economy could be ignored. Beginning in the late 1960s, however, a series of developments brought political salience to international economic issues: the revival of the European and Japanese economies, inflationary pressures in the United States, the abandonment of Bretton Woods in 1971, and the OPEC oil embargo in 1973–74 all combined to end the era of overwhelming U.S. dominance of the world economy and the regime constructed in the late 1940s.

A few political scientists began at the end of the 1960s to observe these changes in the international political economy, stimulated especially by work on economic interdependence by Richard Cooper and on multinational enterprises by Raymond Vernon.²⁵ In 1971 *IO* published a special issue on transnational relations.²⁶ This volume was inspired by the work on multinational enterprises done by Vernon and others: over a third of the thirty-one scholarly works referenced in the editors' introduction pertained to the activities of these firms. The editors sought to broaden the study of

23. Haas 1975, 1976.

24. See Moravcsik 1991, 1998; and the collections edited by Wallace 1990; Keohane and Hoffmann 1991; and Sbragia 1992.

25. See Cooper 1968; and Vernon 1971.

26. Keohane and Nye 1972. For a review of the subsequent literature with a twenty-year perspective, see Risse-Kappen 1995b.

world politics to include "transnational relations," involving the activities of non-state actors, and "transgovernmental relations," in which subunits of governments dealt directly with their counterparts abroad.²⁷ The transnational relations special issue was chiefly a pointing exercise that made clear how much interesting activity had escaped the attention of analysts imprisoned in the "state-centric" paradigm. No testable theory was presented. The editors focused on the impact of changing economic and technological forces on politics. Their fundamental assumptions were borrowed from pluralism, which was the reigning theoretical orientation on domestic politics, at least in the United States. Actors were the starting point; their preferences were not explained. The fact that actors had different preferences created opportunities for mutually beneficial trade-offs. Beginning with the perceived reality of transnational relations, Robert O. Keohane and Joseph S. Nye discussed interstate dependence, and they highlighted the trade-offs between the economic benefits and political costs of interdependence. By considering the implications of transnational relations for state autonomy, they linked the study of interdependence to classic issues in political science.

Robert Gilpin challenged the editors' liberal orientation with a powerful essay published in the same volume.²⁸ Gilpin argued that transnational relations could only be understood within the context of interstate politics. A central and continuing issue—the interactions between transnational economic changes, on the one hand, and state power, on the other—was embedded in the international political economy debate from the outset. In a subsequent book on multinational corporations, Gilpin developed, systematically and self-consciously, a realist analysis of the international political economy. His trenchant analysis of the role of multinational corporations and U.S. foreign policy fused realism's analytical, historical, and policy concerns into a powerful synthesis.²⁹ Gilpin showed how realism's emphasis on power could provide both a political explanation of the emergence of liberal principles and practices in U.S. foreign economic policy and a parsimonious critique of liberal scholarship. His dynamic model of change paralleled some Marxist writings, which interpreted the Vietnam War as a reflection of economic contradictions that drove power-seeking elites to devise, under the flag of international liberalism, a counterrevolutionary imperialist strategy.³⁰

Gilpin's work helped crystallize a debate about the role of states and markets in the international political economy, which became a major theme during the next decade. Scholars began to conceptualize what they meant by interdependence and to try

27. Keohane and Nye did not invent the phrase "transnational relations." They quote Arnold Wolfers as using it in an essay first published in 1959. See Keohane and Nye 1972, x. Wolfers treats the "transnational" terminology as conventional, stating that "there is no lack of a suitable vocabulary to identify a set of non-state corporate actors, but it is not without significance that all the terms refer to something called 'national,' which is the characteristic feature of the nation-state." Wolfers 1962, 20.

28. Gilpin 1972.

29. Gilpin 1975. For other outstanding work with a realist cast, albeit not so systematic or powerful as Gilpin's, see Knorr 1975; and Strange 1976.

30. See Baran and Sweezy 1966; Magdoff 1969; Mandel 1976; and Gilpin 1975, 1981.

to measure it.³¹ The writings of Susan Strange were particularly important in focusing attention on markets and how states interacted with them.³² On one side of the debate in the 1970s were liberal analyses that emphasized economic processes and technological change in the process of modernization.³³ These arguments have their counterparts in some contemporary work on globalization, which, in the words of Strange, contends that "the authority of the governments of all states, large and small, strong and weak, has been weakened as a result of technological and financial change and of the accelerated integration of national economies into one single global market economy."³⁴ In contrast to these market-oriented arguments is the state-structural orientation of Gilpin or of Stephen Krasner, who argued in 1976 that variations in the degree of openness or closure in foreign trade were inexplicable without understanding configurations of state interests and power. "In recent years," he declared, "students of international relations have multinationalized, transnationalized, bureaucratized, and transgovernmentalized the state until it has virtually ceased to exist as an analytic construct . . . This perspective is at best profoundly misleading."³⁵

Whether one emphasized the role of markets or of states, it became clear during the 1970s that neither phenomenon could be adequately analyzed without accounting for the other. As Keohane and Nye explicitly recognized in their book published in 1977, power and interdependence would have to be analyzed together.³⁶

IPE: Liberal Challenges to Realism

During the decade after the publication of Gilpin's book the various approaches to problems of bargaining and cooperation drew their inspiration from long-standing generic orientations, notably realism, liberalism, and Marxism. Each perspective gave pride of place to a different explanatory variable: the distribution of power for realists, the interests of different groups for liberals, the structure of the economy or, more simplistically, the interests of capitalists for Marxists. Each perspective emphasized different causal relations: power and coercion for realism, mutual agreement and contracting for liberalism, mechanisms of exploitation for Marxism. These generic orientations created specific research programs that were subject to empirical verification, including hegemonic stability theory, liberal regime theory, and dependency theory. The most prominent debates were those between different variants of realism and liberalism, and increasingly between systemic-level analysis (particularly neoliberal institutionalism) and analysis rooted in domestic-level interests and

31. See Waltz 1970; Rosecrance and Stein 1973; and Katzenstein 1975.

32. Strange 1979, 1988.

33. Morse 1970 and 1976. In an investigation of war, Gilpin further explored the relationships between technological change and world politics. Gilpin 1981.

34. Strange 1996, 14.

35. Krasner 1976, 317.

36. See Keohane and Nye 1977; and Baldwin 1979.

institutions, which sought to understand “state interests,” rather than taking them for granted.

Realism and Its Critics in the 1970s

For most American students of international politics, at least through the 1980s, realism was the perspective against which new ideas had to be tested; and during the 1960s, when IPE emerged as an independent field of study, realism was intellectually hegemonic. Hans Morgenthau's *Politics Among Nations* was the most important text.³⁷ Kenneth Waltz had published his first book in 1959 in which he initiated the intellectual project that culminated in his influential exposition of what came to be termed neorealism twenty years later.³⁸ Systems theory was guided by a realist rhetoric, although, as Waltz later pointed out, these studies were more reductionist than either their authors or readers realized.³⁹

But realism has always been vulnerable, because some of its core assumptions were problematic, and because its empirical validation was never compelling. Realism's core assumptions can be variously classified, but four are particularly important: (1) states are the key actors in world politics; (2) states can be treated as homogeneous units acting on the basis of self-interest; (3) analysis can proceed on the basis of the assumption that states act as if they were rational; and (4) international anarchy—the absence of any legitimate authority in the international system—means that conflict between self-interested states entails the danger of war and the possibility of coercion. The state-centric assumption was challenged by work on transnational relations, the homogeneity assumption by students of domestic structure and bureaucratic politics, the rationality assumption by analysts of cognitive psychology and group decision making, and the anarchy assumption by theorists of international society and institutions.

During the 1960s and 1970s three major liberal challenges to realism directed their fire at the assumption that states could be treated as unified rational actors: neofunctionalism, bureaucratic politics, and transnational relations and linkage politics.⁴⁰ All three were grounded in a pluralist conception of civil society and the state. Public policy was the result of clashes among different groups with conflicting interests. Groups could often only succeed by building coalitions, which would vary from one issue area to another. Robert Dahl, the most influential American exponent of pluralism, emphasized that these cross-cutting cleavages would preclude the dominance of any one specific group, an observation designed to rebut Marxist arguments about the ability of major capitalists to dominate the formulation of public policy.⁴¹

Neofunctionalism stipulated that institutional change would alter the incentives of groups in civil society, leading them to support policies that would promote still

37. Morgenthau 1948.

38. Waltz 1959, 1979.

39. See Kaplan 1957; Rosecrance 1963; and Waltz 1979, 1986.

40. See Haas 1958, 1964a,b; Allison 1971; Keohane and Nye 1972; and Rosenau 1969a.

41. Dahl 1961.

more integration in a process that would spill over from one issue area to another. But as we have seen, this argument apparently failed to predict or explain the direction taken by the European Community after 1966.⁴² Bureaucratic politics extended pluralist interest group arguments into the government itself: "where you stand depends upon where you sit."⁴³ Policy, including foreign policy, is a product of compromise among different bureaucratic actors, reflecting the power and intensity of interest of bureaus, which vary from one issue area to another. Coherent foreign policy is elusive, since decisions in different issue areas are being taken by different actors with different preferences. Theories about transnational relations, which were central when IPE emerged as a distinct field in the 1970s, carried the pluralist argument one step further: there could be many different actors in the international environment, including groups from civil society. These nongovernmental actors could be directly linked with their counterparts in other countries, in ties that would not necessarily be controlled by states. Transgovernmental relations were also possible: situations in which there would be direct relations among interested bureaucracies in different countries.⁴⁴

For IPE, bureaucratic politics and transnational relations oriented early work in the field, but these research programs faltered despite the fact that their political ontology, a nuanced landscape composed of many different elements, was much richer than the black-box view of the state provided by realism. Transnational relations posited a world composed of many different actors with different interests and capabilities. Such a model can provide a rich description. But the operationalization of cause and effect relationships is complex because it is difficult to specify interests and capabilities *ex ante*. The larger the number of actors, the greater the diversity of their resources (ideas, money, access, organization); and the wider the number of possible alliances, the more difficult such specification becomes, especially if there are interaction effects among different groups.

Bureaucratic politics captured the complexity involved in policy formulation and implementation in any advanced polity—complexity that eluded realism with its radically simplifying assumptions about the nature of the state. In some instances the interests of bureaucracies were clear, but in others they were more elusive. Some of the initial proponents of bureaucratic politics recognized that the most obvious specification of bureaucratic interests, maximizing budget size, did not always work. For example, the U.S. Army after World War II did not try to keep control of the air force but rather supported the creation of a third independent service that would be coequal with the army and the navy.⁴⁵ Army leaders rejected keeping the air force as part of the army (it was the U.S. Army Air Force during World War II) because it would have changed the "bureaucratic essence," or what would be called today the collective identity of the army, which was rooted in land warfare and the infantry. Bureaucratic

42. Burley and Mattli suggested that spillover continued through the European judicial process, overlooked by many analysts. Burley and Mattli 1993.

43. Allison attributes this aphorism to Don K. Price. Allison 1971, 316, n. 71.

44. Keohane and Nye 1974. See also Rosenau 1969a.

45. Halperin 1974.

politics, like transnational relations, had great difficulties in operationalizing variables. It did not become a compelling alternative to realist perspectives.

In the mid-1970s a new liberal challenge to realism began to emerge. This challenge focused on the concept of "international regime," drawn from a long-standing tradition of international law and first used in the political science literature by John Ruggie and subsequently elaborated by Keohane and Nye. Ruggie defined regimes as sets of "mutual expectations, rules and regulations, plans, organizational energies and financial commitments, which have been accepted by a group of states." Keohane and Nye treated them simply as "governing arrangements that affect relationships of interdependence."⁴⁶ Ruggie's understanding was sociological or constructivist, emphasizing the importance of intersubjective, shared understanding that defines rather than just reflects the preferences of actors; Keohane and Nye understood regimes as devices for enhancing the utility of actors whose interests were taken as given. Students of international regimes did not challenge one of the meanings of "anarchy": that no institutional hierarchy capable of enforcing rules exists in world politics. They did question the frequent implication that anarchy in this sense implied the absence of institutions based on rules.

However, regimes could also be explained in realist terms—as Gilpin and Krasner had, in effect, sought to do. By the end of the 1970s students of international regimes had introduced a potentially important new dependent variable into the analysis of world politics. At that time, however, this new dependent variable was not linked with a distinctive set of explanatory variables through an articulated causal mechanism and, therefore, did not seriously threaten the well-articulated explanatory project of realism based on interests, power, and anarchy.

Support for realist theory was enhanced by the fact that the best-operationalized new research program of these years, hegemonic stability theory, was entirely consistent with realist premises—although, ironically, its first articulation (with somewhat different terminology) was by a liberal economist, Kindleberger.⁴⁷ Hegemonic stability theory maintained that an open international system was most likely to occur when there was a single dominant power in the international economic system. Kindleberger argued that the Great Depression, a market failure of monumental proportions, was caused by the absence of a lender of last resort in the international financial system. There could only be a lender of last resort if there were a single dominant power in the international system. Only a hegemon would have the capacity and interest to provide the public good of financial stability. Thus, Kindleberger used a realist ontology (the actors were states) and a half realist causality (the outcome was determined by the distribution of power among states, although through the voluntary choice of the hegemon not coercion) to analyze a liberal problem, the provision of collective goods in the international system.

Gilpin and Krasner suggested that a similar analysis could be applied to multinational corporations and trade.⁴⁸ Not only were the ontology and causality fully realist,

46. See Ruggie 1975, 570; and Keohane and Nye 1977, 19.

47. Kindleberger 1973.

48. See Gilpin 1975; and Krasner 1976.

but so was the fundamental problem. States were interested in maximizing their own interests. And the promotion of these interests could involve relative gains and distributional conflicts. In their analyses, the distribution of power was the key explanatory variable, accounting for the rules governing multinational corporations, and for trade openness or closure. All states had a few simple goals that they sought to promote in the international economic system—economic utility, growth, social stability, and political leverage. Because it provided economic utility with limited social instability and enhanced the political leverage of the dominant power, for a hegemonic state an open system was the most attractive way to secure these objectives. The firms of the hegemonic power would most benefit from an open system, since they were the most competitive and had the easiest access to capital.

Hegemonic stability theory—or, more generally, arguments about the relationship between the distribution of power and the characteristics of international economic behavior—operationalized the explanatory variable, state power, in terms of some overall measure of size (such as GNP or share of world trade) and the dependent variable, international economic behavior, in terms of openness in the world economy as indicated both by rules and the pattern of exchange. These systemic theories could be proven wrong: either the pattern of international economic behavior changed with the distribution of power among states or it did not. The operationalization of variables, specification of causal relationships, and falsifiability made systemic power theory a fruitful research program. Its findings could be elaborated and systematically criticized.

However, the very clarity of hegemonic stability theory and its ease of operationalization made it vulnerable to persuasive critiques. Timothy McKeown showed that Great Britain's behavior in the nineteenth century was inconsistent with the theory, and Arthur Stein argued that the trade liberalization measures of that century did not emerge from hegemonic policy but from asymmetric bargains that permitted discrimination against the hegemon.⁴⁹ David Lake and Duncan Snidal demonstrated that a hegemonic distribution of power was not the only one that was consistent with an open economic system. Reasoning from ontological and epistemological premises that were entirely consistent with hegemonic stability theory, they demonstrated that a small number of leading states would have the interest and capability to support an open system.⁵⁰ Even though some arresting reconceptualizations of a realist approach to international trade were later put forward,⁵¹ by the middle of the 1980s the general assumption of the field was that hegemonic stability theory had been seriously undermined.

At the end of the 1970s, these refutations to hegemonic stability theory lay in the future. When Ronald Reagan won the presidency, realist analysis still held pride of place in the United States; it was still the theory that had to be refuted before a convincing intellectual challenge could be offered. Realism maintained its dominant position despite alternative arguments that appeared more accurately to describe ac-

49. See McKeown 1983; and Stein 1984.

50. See Lake 1984; and Snidal 1985b. See also, on trade policy, Milner 1987, 1988; and Oye 1992.

51. Gowa 1989, 1994.

tors, and despite the fact that its empirical validation had always been problematic. Realism continued to be *primus inter pares* because liberalism did not offer an alternative research program that specified causality and operationalized variables clearly enough to be falsifiable. The renewal of the Cold War after the Soviet invasion of Afghanistan at the end of 1979 seemed to reinforce realism's intellectual triumph.

Neoliberal Institutionalism

The development of neoliberal institutionalism posed a serious challenge for realist analysis. A special issue of *IO* laid the foundations in 1982. In his introduction Stephen Krasner presented a definition of regimes, developed by the group of authors writing for this issue: "sets of implicit or explicit principles, norms, rules, and decision-making procedures around which actors' expectations converge in a given area of international relations."⁵² This agreed definition was ambiguous; but it identified regimes as social institutions and avoided debilitating definitional struggles, as advocates of the regimes research program sought to show that their work could illuminate substantive issues of international relations.

In his article in that volume, and more comprehensively two years later in a book, Robert Keohane developed a rationalist argument to explain the existence of international institutions.⁵³ Drawing an analogy to problems of market failure in economics, he argued that high transaction costs and asymmetrical uncertainty could lead, under conditions such as those modeled by Prisoners' Dilemma (PD) games, to suboptimal outcomes. Chiefly by providing information to actors (not by enforcing rules in a centralized manner), institutions could enable states to achieve their own objectives more efficiently. Institutions would alter state strategies by changing the costs of alternatives; institutionalization could thus promote cooperation. Keohane argued that institutions mattered because they could provide information, monitor compliance, increase iterations, facilitate issue linkages, define cheating, and offer salient solutions. Keohane did not deny the importance of power, but within the constraints imposed by the absence of hierarchical global governance, states could reap gains from cooperation by designing appropriate institutions.

The initial inspiration for this line of argument came from new work in economics and from the renewed attention being paid to PD games. Economists had begun to recognize the importance of institutions.⁵⁴ Robert Axelrod suggested that PD could be resolved if the payoff matrix were not skewed too much in favor of the sucker's payoff, if games were iterated frequently and indefinitely, if the costs of monitoring others' behavior and of retaliating were sufficiently low, and if actors did not discount the future at too high a rate.⁵⁵ Institutions could, it was argued, affect the values of these parameters, for instance, by nesting particular games in durable rules, provid-

52. Krasner 1983b, 1.

53. See Keohane 1982 and 1984.

54. See Olson 1965; Akerlof 1970; North 1981 and 1990; and Williamson 1975.

55. See Axelrod 1981, 1984; and Oye 1986. See also Rapoport and Chamnah 1965. For a further development of this line of work, see Axelrod 1997; and Cederman 1997.

ing information about other states' activities, and furnishing standards for evaluating whether cheating was taking place. In the 1990s U.S. and European scholars developed a number of different though complementary approaches to analyzing international regimes.⁵⁶

Where the neoliberal institutionalism research program differed with realist arguments was not on its assumptions about actors, but rather on the nature of the exemplary problem in the international system: were states primarily concerned with market failure or with relative gains and distributional conflicts? Could issues be resolved through the voluntary acceptance of institutions that left all actors better off, or would coercion and power be more important for determining outcomes? Krasner suggested that distributional conflicts rather than market failure or relative gains are the central concern for states in the international system. The issue is not just reaching the Pareto frontier, but the point on the frontier that is chosen; an issue that can be resolved only through bargaining and power, not just optimal institutional design.⁵⁷ Joseph Grieco argued that states were, in fact, concerned with relative gains even in the European Community, which seemed to be designed to enhance absolute well-being.⁵⁸ Robert Powell clarified this relative gains discussion, arguing that even within a realist logic relative gains only mattered if they compromised a state's future ability to secure absolute benefits.⁵⁹ A number of important studies in the early 1990s explored the connections between power and potential gains from political exchange.⁶⁰

Neoliberal institutionalism has offered a set of heuristically powerful deductive arguments that could eventually be made more precise. Indeed, such arguments can be formalized using game theory, as Helen Milner argues in her article in this issue. Hypotheses generated by neoliberal institutionalism were applied to a wide range of empirical problems, such as bargaining between the United Kingdom and the other members of the European Community over the Falklands or the evolution of international regimes for debt rescheduling.⁶¹ The appeal of neoliberal institutionalism was enhanced by its affinity with the reigning king of the social sciences in the United States—economics.

Domestic Politics and IPE

From the outset IPE blurred the boundaries between comparative and international politics. Even analysts who took the state-as-actor approach did so explicitly for convenience—to enable them to develop coherent theories—rather than on phenom-

56. See, for example, Young 1989, 1994, 1997; Lipson 1991; and Rittberger 1993.

57. Krasner 1991.

58. Grieco 1988, 1990.

59. Powell 1991, reprinted in Baldwin 1993. See also Keohane 1993. The relative gains discussion is an example of a controversy that began at the level of competing "isms"—the assumptions of neorealism and neoliberal institutionalism, respectively—that generated some empirical research and eventually yielded to an analytical solution.

60. See Stein 1990; Martin 1992a; and Oye 1992.

61. See Martin 1992c; and Aggarwal 1996.

enological grounds. In fact, realism and liberalism as general research orientations had specific domestic and systemic research programs: statism for realism, and pluralism and various theories of interest aggregation for liberalism. The actors were different at the domestic and international levels, but the causal mechanisms, voluntary exchange as opposed to power and coercion, remained the same. Using class analysis, Marxism offered an integrated view of international and domestic political economy. Analysts of the international political economy continued to emphasize how variations in domestic politics affected foreign policy and to suggest ways in which the international system could affect domestic political structures and interests. We begin this section by discussing what happened to Marxism; we then turn to statist arguments and to a variety of domestic structure approaches.

Marxism

For Marxists, the organization of capitalism determined political and economic outcomes at both the domestic and international levels. Marxism offered a structural or institutional rather than an actor-oriented argument, providing an integrated picture of both domestic and international politics.

Arguing that the state was simply the handmaiden of leading capitalists, instrumental Marxism offered clear causal statements that proved to be empirically problematic. Many of the major public policy initiatives of the twentieth century, such as social security and the recognition of labor unions, had been opposed by leading capitalists. Sophisticated Marxist analysts recognized this problem and proposed structural Marxism as a more persuasive framework that was more consistent with Marx's own formulations. Structural Marxists argued that capitalist states would act in the interest of preserving capitalism as a whole. The state was relatively autonomous from its own economy and society. However, specifying this orientation in an empirically tractable way was difficult. If the state were relatively autonomous, exactly how autonomous could it be? What policy would be inconsistent with this perspective? Both policies that reflected the preferences of the capitalist class and those that did not could be accounted for by structural Marxist analyses.

Scholars influenced by Marxism also emphasized social forces and production relations, as in the work of Robert W. Cox.⁶² One particularly influential research program based on a generic Marxist orientation was dependency theory. In the late 1940s Raoul Prebisch, an Argentinian economist working at the UN Economic Commission for Latin America, argued that the world economy enmeshed poorer countries exporting raw materials in relationships of unequal exchange. Prebisch's arguments, and older ones about imperialism, were developed by social scientists from developing areas, especially Latin America, as well as from North America and Europe, into a research program that explained the poverty of the states of the south in terms of their position in the world economy.⁶³ The world systems research program elaborated by Immanuel Wallerstein and his colleagues presented a similar

62. R. Cox 1981, 1987.

63. See Prebisch 1959; Cohen 1973; and Cardoso and Falleto 1979.

analysis for a much longer time period.⁶⁴ In a 1978 special issue of *IO* James Caporaso emphasized the distinction between dependence and dependency. In contrast to the internationalism of traditional Marxism, dependency theory offered a disguised form of nationalism in which the role of the state loomed large, especially for weak polities. It was not just that the polities of the south were dependent and weak, but that they were in a relationship of dependency that undermined their autonomy and exploited their wealth. These mechanisms of exploitation included both specific economic arrangements and the general penetration of developing states by more powerful and better organized capitalist states of the north.⁶⁵

As the experience of the developing world became more differentiated and as some states and world regions did better than others, dependency theorists suggested that there could be a pattern of dependent development. Some groups within developing states, such as larger capitalists and the military, would ally themselves with powerful actors from the north, such as multinational corporations and northern militaries. States in the south could prosper, but their options would always be truncated by the way in which they were inserted into the world capitalist system.⁶⁶

From the early 1980s onward, dependency theory encountered serious criticism and anomalies. It was criticized for failing to clearly spell out causal regularities that could be empirically supported or falsified.⁶⁷ Furthermore, it had great difficulty explaining the uneven rates of growth in what was known as the Third World, especially the stunning economic development of a number of East Asian countries. Cross-national variations in endowments, institutions, and policies seemed to provide more promising explanations. Political economy work on developing countries increasingly relied on a combination of economics and comparative politics rather than on dependency theory.⁶⁸ One of the leading exponents of dependent development, Fernando Henrique Cardoso, even became the liberal reformist president of Brazil.

The collapse of the Soviet empire and, more importantly, the profound corruption revealed by its demise dealt a heavy blow to the research programs that drew on Marxism for their theoretical orientation. However, Marxism as a theoretical orientation did not disappear. Marxists have grappled with some of the same issues that have engaged liberal scholars. A neo-Gramscian strand of Marxist scholarship has built on a tradition of analysis that emphasizes the importance and sources of legitimating ideas and ideologies.⁶⁹ This scholarship is therefore more consistent with constructivist work (reviewed in the fourth section of this article) that stresses the importance of ideas and culture than are materialist versions of Marxism.

It would be a mistake to judge the insights of Marxist analyses simply in terms of any one specific research program. Marxist analysis poses probing questions about

64. See Wallerstein 1974, 1979, 1991; and Arrighi 1994.

65. Caporaso 1978a.

66. Evans 1979.

67. Packenham 1992.

68. See, for example, Haggard 1990; Wade 1990; Evans 1995; and Haggard and Kaufman 1992, 1995.

69. For a collection of essays on Gramsci and international relations, see Gill 1993, which reprints the seminal essay by Cox 1983.

the relationship between power and wealth. It offers a conceptual apparatus that can be applied both to international and domestic developments and to their connections. And it addresses enduring moral concerns concerning equality and justice. Specific research programs generated by a generic Marxist orientation can, like specific liberal and realist research programs, be called into question by problems of variable specification and empirical evidence. This does not mean, however, that Marxism as a general orientation will necessarily be discarded. Rather, it is precisely the heuristic richness of the major general research orientations that allows them to be reformulated to address changed empirical and political contexts. The fate of a general theoretical orientation does not depend on the success of any one specific research program.

Statism: Reaction Against Liberalism and Marxism

Statism is a general theoretical orientation that has generated several specific research programs, all of which assert the autonomy of state institutions. Statism thus stands in contrast to the societally oriented domestic political perspectives that dominated much of liberal and Marxist political analysis in the 1970s. Statism gave greater attention to state institutions, especially those charged with maintaining the stability and well-being of the polity as a whole. The state could be conceived of as an actor, not simply an arena in which conflicting societal interests struggled to secure their preferred policy objectives. States could be strong or weak, relative to their own societies.⁷⁰

Statist arguments did not have a particularly sophisticated conceptualization of the relationship among state institutions. States could be strong in some issue areas but weak in others. Specifying the trade-off among different issue areas was problematic. Statism had difficulty capturing the nuances of state-society relations. It detached the state not only from particular group pressures but also from the larger polity in which it was embedded.⁷¹

These empirical difficulties led not to the disappearance of statism as a general theoretical orientation but to the reformulation of specific research programs. Instead of a narrow focus on the state, which was itself a reaction to an overly societal perspective, additional work analyzed interactions between different components of the polity. In 1988 John Ikenberry, David Lake, and Michael Mastanduno edited a special issue of *IO* in which authors investigated the effect on U.S. foreign economic policy of different configurations of interest, the ability of state leaders to mobilize societal support, and the consequences of ideas, as well as the discretionary power of the executive.⁷² More recently, discussions of state-society relations employing a

70. Krasner 1977, 1978. See also Katzenstein 1976; Evans, Rueschemeyer, and Skocpol 1985; and Evans 1995.

71. In a prescient article that drew on discourse theory, Bruce Andrews suggested that the state could be seen as a rule-governed social actor. This line of analysis lay dormant for more than a decade. Andrews 1975.

72. Ikenberry, Lake, and Mastanduno 1988.

rational choice perspective on institutions, especially the importance of commitment, have shown that some of the factors that statism identified as weaknesses were, in fact, sources of strength. Democratic states are often able to extract more resources from their own societies than are autocratic states, precisely because members of civil society believe that what would have been considered a weak state will keep its promises. In this analytic jujitsu, the notion that states were strong because they were independent of their societies is turned on its head. States can secure resources from their own societies only if they are constrained.⁷³ Reformulated versions of statism focus on state guidance of the economy, the links between political parties and state bureaucracies, how state institutions relate to social movements, and the role of law. As a general theoretical orientation, statism has been refurbished but not abandoned as some of its research programs encountered empirical anomalies.

Domestic Structures and Their Relation to the International System

Students of comparative politics focused their attention on the connections between domestic structures and international relations, which were bracketed by neoliberalism and realism. Katzenstein, for example, relied on a historically informed taxonomy that emphasized different constellations of state and society in different political settings. Drawing insights from Gerschenkron and Moore, Katzenstein argued that early industrializers like Britain differed systematically from late industrializers like Japan in the character of the dominant social coalition and in the degree of centralization and differentiation of state and society.⁷⁴ In sharp contrast to the statist literature that viewed states as actors, the analysis of domestic structures privileged state-society relationships. Different social coalitions define the content of policy. And differences in domestic policy networks have discernible effects on the formulation and implementation of foreign economic policies in different economic issues such as money and trade. John Zysman extended this perspective to the politics of industry and finance.⁷⁵

In various policy domains, both foreign and domestic, scholars analyzed contrasts between the liberal market brand of Anglo-American capitalism, welfare state capitalism on the European continent, and developmental state capitalism in Japan and East Asia. Ellen Comisso and Laura Tyson edited a special issue of *IO* on comparative socialism.⁷⁶ Subsequently, comparative political economy spread to encompass Latin America, the transitions from socialism in the successor states of the Soviet Union and east-central Europe, and even the Leninist capitalism emerging in the People's Republic of China.⁷⁷ This body of research specified, in contextual and

73. See North and Weingast 1989; Fearon 1994b; and Schultz 1996.

74. Katzenstein 1978.

75. Zysman 1977, 1983.

76. Comisso and Tyson 1986.

77. The literature is too large to be listed here. Since the early 1980s, *Cornell Studies in Political Economy*, for example, comprise more than seventy volumes on this subject.

historical detail, incentives for states, governments, or corporate actors to choose specific strategies.

Peter Gourevitch emphasized the pervasive influences that the international state system and the international political economy can have on domestic structures and the policy preferences of groups.⁷⁸ Following Gourevitch's lead, analysts pointed to two different ways in which enmeshment in the world economy could affect different polities: first, involvement could influence the basic institutional structures of polities, including their governing norms; second, it could affect the capabilities and strategic opportunities of different interest groups. This research program included analyses of the effects of the international system on the democratic corporatism of the small European welfare states, on societal groups or economic sectors, and on coalitions, institutions, ideologies, and economic structures.⁷⁹

The concept of two-level games elaborated by Robert Putnam was one effort to systematically integrate domestic structures, systemic opportunities and constraints, and foreign economic policy.⁸⁰ Any international agreements must satisfy both other states and domestic constituencies. The bargaining power of a state could be enhanced if its rulers can demonstrate that their domestic supporters would only accept a narrow range of outcomes. In more recent work, Andrew Moravcsik has elaborated a related perspective on domestic-international interactions that emphasizes how societal interests shape the policies of states.⁸¹

One difficulty encountered with this line of research was the absence of a general and systematic taxonomy for classifying domestic structures. In a bold and imaginative book Ronald Rogowski offered one answer to this taxonomic issue. He applied the elegant reasoning of the Stolper-Samuelson model of international trade to show how, in general, trade policies and practices would affect social cleavages. Export-oriented goods used intensively the factors of production with which a country was relatively well-endowed. If trade became more open, the abundant factor would benefit. If it became more closed, the relatively scarce factor would be advantaged. In general a more open international trading system would be supported by, and would strengthen, the relatively abundant factor in different states. These changes in the domestic position of different factors, such as labor and the ownership of land and capital, could influence policy.⁸² Using basically the same logic, Jeffrey Frieden emphasized the importance of factor specificity; factors of production such as labor were not homogenous but rather were associated with specific economic sectors. Moreover, macroeconomic policy, not just trade policy, could affect and be affected by a country's openness to the world economy.⁸³

78. Gourevitch 1978.

79. See Cameron 1978; Kurth 1979; Katzenstein 1984, 1985; Snyder 1991; Kupchan 1994; and Simmons 1994.

80. See Putnam 1988; and Evans, Jacobson, and Putnam 1993.

81. Moravcsik 1997.

82. Rogowski 1989.

83. Frieden 1991.

Rogowski, Frieden, and others who followed their lead were fully aware that their perspective offered no easy way of incorporating variations in institutional arrangements, a shortcoming that Helen Milner and David Lake, among others, have sought to correct.⁸⁴ But they provided a parsimonious, general explanation that links the world economy to domestic interests and policies. Their analytic framework requires no specific knowledge about context. It can be applied to any political system. In the framework's sparse formulation the preferences of actors can be read directly off material structures, bypassing the analysis of political processes and ideational phenomena. Although it required information about which factors were relatively abundant, it did not require any institutional knowledge about specific polities. However, such general structural theories encounter numerous empirical anomalies, as Rogowski's historical discussion revealed.

Globalization and Domestic Politics

Increasing levels of transboundary movements and their associated effects, what has come to be termed globalization, encourage a more intimate analytic relationship between international and domestic politics. High levels of cross-border flows are not an unprecedented development. Labor migration reached its highest levels in the nineteenth century. By some measures international capital markets were more integrated at the end of the nineteenth century than they are now, since financial flows fell dramatically with the two world wars and the Great Depression. Trade flows have followed a similar pattern, increasing sharply during the nineteenth century, then falling in the first part of the twentieth, and reaching unprecedented levels for some countries, most notably the United States, in the last two decades of the twentieth century. Technology has dramatically reduced the costs of communications. Social movements have been mobilized in specific locales for global issues such as the environment, human rights, and feminism. Illicit activities including organized crime and trade in drugs have become more salient. All of these developments, lumped under the label of globalization, have affected both national polities and the international system.⁸⁵

Globalization draws our attention to the increasing political salience of transboundary activities. Is the growing enmeshment of polities in the international political economy making institutions and policies, groups and individuals more alike, or are they retaining most of their differences? Is globalization altering "inter"national relations marginally, or is it fundamentally transforming them to "trans"national relations? Those who emphasize how globalization is remaking world politics stress how policy preferences and political coalitions at home change as a result of changing international pressures. Conversely, analyses, including Geoffrey Garrett's contribution to this issue, that emphasize the persistence of distinctive national practices

84. See Frieden and Rogowski 1996, 42–47; Milner 1997; and Lake 1996 and forthcoming.

85. See Keohane and Milner 1996, 10–14; Feldstein and Horioka 1980; Oman 1994; Shaw 1994; Jones 1995; Rodrik 1997; and Obstfeld and Tavor 1997.

have shown how domestic institutions block price signals, freeze existing political coalitions and policies, and shape the national response to global change.⁸⁶

Both of these arguments focus on domestic political institutions, firms, interests groups, and economic sectors as units of analyses. An alternative conceptualization focuses not on the units themselves, but rather on the relationships among them and makes problematic the nature of these units in the first place. Households, communities, regions, and social movements, among others, reconstitute themselves in a global setting. This conceptualization points to processes of "glocalization" that are transforming the identities, interests, and strategies of actors through a combination of global and local processes and are thus adding new political actors and processes to an increasingly global politics.⁸⁷

Globalization, however conceived, is a reflection of a phenomenon that scholars associated with IPE have recognized since the inception of the field: international and domestic politics cannot be isolated from each other. Neorealists and neoliberals did not incorporate domestic politics into their theoretical formulations, but they never denied its importance. States did not all respond in the same way to the opportunities and constraints presented by the international system. Studies of domestic politics enhanced our understanding of what neorealists and neoliberals took for granted in their theories in the 1980s: "state preferences." Domestic structure analysis suggested that preferences could be understood in two possibly complementary ways: either as the result of institutionalized norms or as the aggregations of the preferences of individuals, firms, and groups. Historical-institutional research on the reciprocal effects of domestic structures and the international political economy has been complemented by a decidedly economic and materialist variant that pays virtually no attention to the role of ideas, norms, and institutions. Different interpretations of the process of globalization reflect this difference in orientation.

A Post-Cold War Opening: Rationalism and Sociology Revisited

Even during the Cold War, there was substantial dissatisfaction with reigning realist and liberal approaches to international relations, especially outside the United States and in the related field of comparative politics. The end of the Cold War was a catalyst in several ways. It raised new issues for the ongoing rationalist debate, which pitted realists, who stressed the role of coercion, against liberals, who emphasized contractual relationships. The end of the Cold War also opened up space for cultural and sociological perspectives, often referred to as "constructivist," that had been neglected by both realists and liberals. And the discussions that ensued highlighted conceptual differences between possible points of complementarity of rationalism and constructivism.

86. See Keohane and Milner 1996; Garrett and Lange 1995 (reprinted in Keohane and Milner 1996); Pauly and Reich 1997; and Samuels 1994.

87. See Rosenau 1990, 1997; and Annadurai 1996.

Rationalism: Realism and Liberalism After the Cold War

Realism has been not only a salient general theoretical orientation but also part of a more enduring normative discourse, like liberalism and constructivism, about the most appropriate way to secure peace, stability, and justice in human society. Its self-conscious intellectual pedigree is long and impressive. It will not disappear.

However, recent developments in world politics and within specific research programs have confronted realism with much greater challenges than it has faced since the founding of *IO*. For realism, power and conflict are inherent aspects of international politics. The interests of states will differ. Force and coercion are always available options. The astonishingly peaceful end of the Cold War and the collapse of the Soviet Union are not what a realist would have expected.⁸⁸ Realism has not been silent, of course. The simplest explanation for the end of the Cold War is that Soviet power declined; the Soviet Union was a challenger that could no longer challenge. Predictions about relative changes in state capability have rarely been incorporated into realist research programs, and realism did not predict this decline.⁸⁹ Realists, especially Waltz, have emphasized the importance of nuclear weapons in altering the likelihood of war. With secure second-strike capability, it is more evident now than at any other time in human history that a conflict among the major powers would reduce the well-being of all states. At least some observers view this situation as a change in the nature of the international system itself, not just an alteration in the characteristics of individual states.⁹⁰ From a realist perspective, in a nonnuclear world it would have been much riskier for the Soviet Union to abandon its empire in eastern Europe and for any leader to break up the Soviet Union itself, acts that would have left even Russia's core territory more vulnerable to invasion.

Nevertheless, in the 1980s analysts working within a realist framework were arguing that bipolarity would continue. And they assumed that neither pole could disappear peacefully. When the Soviet Union did collapse, realists were skeptical about the robustness of international institutions, especially those related to international security, such as NATO, and the prospects for continued cooperation in the international economy. Over the last decade things have turned out much better than realists had any right to expect.⁹¹

The challenges to realism presented by the peaceful end of the Cold War were aggravated by the intellectual salience of neorealism as a specific research program. Waltz's most important contribution was to force analysts to make a fundamental distinction between what he called structural and reductionist arguments. Waltz was, of course, aware of the importance of domestic political factors, but he insisted that neorealism was concerned only with the distribution of power among states. States

88. See Lebow 1994; and Stein 1994.

89. Wohlforth 1994.

90. See Waltz 1990; and Snyder 1996.

91. See Mearsheimer 1990; and Waltz 1993. See also Mearsheimer 1994 and the subsequent exchange in *International Security*.

were interested in security, not in expanding their power. Treating all states as if the international relations goals were the same was a departure from earlier realist discussion, much of which had been based on the assertion that it was necessary to distinguish between revisionist and status quo states.⁹² The conflict between the Soviet Union and the United States was consistent with both a strictly neorealist analysis (the poles in a bipolar world would be in conflict) and with realist arguments that posited the importance of exogenously given variations in state objectives (a revisionist Soviet Union would be in conflict with a status quo United States).

With the end of the Cold War, neorealism offered less purchase on international conflict that appeared to be embedded primarily in variations in the goals of states or, in the case of ethnic conflict, substate actors. Many scholars argued that the materialist assumptions of neorealist analysis prevented it from explaining the rapid changes observed in core national security issues. According to these authors, historically constructed norms, ideas, and discourses needed to be analyzed before one could make sense of patterns of stability and change in world politics.⁹³ Some realists responded to this challenge by rejecting the sparse assumption of neorealism that all states would seek security and embracing instead the recognition that state objectives could vary because of domestic, not systemic factors. States' goals could be aggressive or passive, revolutionary or status quo, ethnonationalist or tolerant. The extent to which the presence of revisionist states would result in confrontations, especially war, would still depend on the distribution of material power in the international system. The rulers of greedy states would not commit suicide by attacking a manifestly stronger enemy. But knowledge of the distribution of power alone would not allow analysts to understand patterns of international conflict and cooperation.⁹⁴

The burgeoning of ethnic conflict in the last decade has presented the kinds of problems that realist perspectives were designed to analyze, although not necessarily with states as the most salient actors. Ethnic conflicts have arisen between states and among groups within states, albeit groups operating in environments where authority structures have eroded or disappeared and where security dilemmas operate at the substate level.⁹⁵ However, this return to a focus on the importance of variations in state objectives (of which ethnic conflict is only one example), as a result of factors exogenous to the distribution of power in the system as a whole, confronts realist analysis with the challenge of explaining why such variations should exist—a challenge that can only be met through a more systematic integration of realism with domestic politics.

In international political economy the specific research programs that reflect a general realist theoretical orientation have focused on the possibility of coercion that can leave some actors worse off, on the consequences of bargaining asymmetries, and on the problems of commitment in an anarchic environment. Some of these specific projects reflect the influence of constructivist or liberal perspectives. More

92. See Morgenthau 1948, chap. 2, 3; and Schweller 1996.

93. See Katzenstein 1996b; and Lapid and Kratochwil 1996.

94. For example, Frankel 1996.

95. See Fearon and Laitin 1996; and Posen 1993a.

powerful states may be in a position to alter the conceptions that weaker actors have of their own self-interest, especially when economic and military power has delegitimated ideological convictions in weaker or defeated polities. The United States, for instance, pressed for a particular vision of how international society should be ordered after World War II and renewed and reinvigorated this project after the end of the Cold War. The goal was not simply to promote a particular set of objectives, but to alter how other societies conceived of their own goals. This emphasis on what Nye has called soft power engages both conventional realist concerns about relative capabilities and constructivism's focus on beliefs and identity.⁹⁶

Powerful states can also alter strategic options in ways that skew payoffs in some cases by unilaterally changing their own policies.⁹⁷ They may be able to establish institutional arrangements that preclude certain initiatives or facilitate the strategic use of information.⁹⁸ Commitment problems may make states reluctant to engage in arrangements that provide them with absolute benefits in the short term, especially if they may be relatively worse off in the long term. If a state's future bargaining leverage would be compromised, it might reject immediate gains because of its anxiety about potential future losses.⁹⁹ Arguments emphasizing the importance of agenda setting, uncertainty, and strategic manipulation are based on the same game-theoretic formulations that have guided much recent work from more liberal perspectives emphasizing the mutual benefits of cooperation. In the post-Cold War world realist projects have become more sensitive to variations in state objectives and to a more complicated set of relationships between absolute gains and distributional conflicts.

Neoliberal institutionalism correctly anticipated that the end of the Cold War would not undermine such institutions as NATO and the European Union, so it did not go through an "agonizing reappraisal" such as that experienced by some realists. Indeed, institutionalists began to apply their theory to security institutions such as alliances and to interpret post-Cold War politics in institutionalist terms.¹⁰⁰ And, as the articles in this issue by Lisa Martin and Beth Simmons and by Helen Milner indicate, institutionalist work drew heavily on scholarship from other fields, notably U.S. politics, to become theoretically more rigorous. Since institutionalist work is so well discussed in these two articles, there is no need for us to review it in detail here. Brevity should not be interpreted as indicating insignificance.

Institutionalist thinking has made a big impact on IPE during the last fifteen years, stimulating a set of research programs that have illuminated relationships among interests, power, and institutions. But it was of less value in understanding shifting identity politics afterwards. Advocates of domestic structure approaches had for several decades criticized international relations research, including neoliberal institutionalism, for taking for granted the preferences or identities of the actors whom it studied. Neoliberal institutionalism paid virtually no attention, for example, to the

96. See Nye 1990; and Ikenberry and Kupchan 1990.

97. See Scott and Lake 1989; and Nau 1990.

98. Morrow 1994b.

99. Fearon 1995.

100. See Keohane, Nye, and Hoffmann 1993; and Wallander 1998.

phenomenon of nationalism. And it could not capture the fact that during the 1980s increased interest in human rights and environmental issues seemed driven largely by normative concerns. After 1989, some rationalists began to think of ideas as variables that affected the solutions to games—for instance, by reducing uncertainty or providing focal points.¹⁰¹ Ideas could be incorporated into an institutional framework by emphasizing how particular conceptions become institutionalized and, therefore, persist over time.¹⁰² Since it was not wedded exclusively to a materialist conception of structure, neoliberalism could engage some of the issues of changing beliefs or identities posed by end of the Cold War.

The Revival of Sociological and Cultural Perspectives

Sociological perspectives have always been important for comparative politics and have never been completely absent from international studies. In Europe, where the boundary between international and domestic politics was never particularly salient, the sociological bent of scholarship differed from prevailing American perspectives. This was true, for example, of Scandinavian and German peace research, which remained largely unnoticed in the United States and was often regarded as politically suspect when read. The theoretical contributions of the French School, represented by Stanley Hoffmann's writings and those of Raymond Aron, especially in the 1950s and 1960s, and of the British School, clustering in the 1970s and 1980s around the writings of Hedley Bull and Martin Wight, remained uninterested in the debates between the general theoretical orientations that dominated American scholarship, such as realism and liberalism.¹⁰³ These schools of thought were at odds with the emphasis in American international relations scholarship on clearly stated causal propositions and their systematic exploration in methodologically rigorous ways.

In the United States Ruggie published a series of papers demonstrating the value of a sociological orientation. He argued that the postwar international economic regime reflected what he termed embedded liberalism, identified by a shared intersubjective understanding that open international markets would be tempered by the need to maintain social stability. He criticized Waltz's theory for its lack of sociological content and for failing to explain systemic change.¹⁰⁴ And, together with Friedrich Kratochwil, he pointed out that analysts had failed to investigate the shared understandings that led to the convergence of actor expectations on which, by some accounts, regime stability depended. They argued also that the treatment of principles and norms as "independent" or "intervening" variables, linking material structures to outcomes, was not easily accommodated within the epistemological foundations of institutional and normative analysis. Subsequently, Kratochwil and Nicholas Onuf

101. See Goldstein and Keohane 1993b; and Garrett and Weingast 1993.

102. Goldstein 1993, 1996. See also Hall 1989b; and Sikkink 1991, 1993a,b.

103. Raymond Aron's massive sociological study of war and peace did not play a major role in graduate training in the United States, and Hedley Bull's major book on international society had little impact until about a decade after its publication. See Aron 1966; Bull 1977; and Hoffmann 1986, 1987.

104. Ruggie 1983a,b, 1998.

put forward a conception of rules informed by, among others, philosophy, linguistics, and sociology.¹⁰⁵ And in several papers Wendt suggested a social theory of international relations that engaged the claims of neorealism head on.¹⁰⁶

This sociological turn was intellectually deeply indebted to fields of scholarship well beyond the confines of IPE. Philosophy, structural linguistics, critical theory, geography, science and technology studies, postmodern political theory, anthropology, media studies, and literary criticism, among others, all had, in different though related ways, grappled with the project of modernity gone awry in the twentieth century.¹⁰⁷ There is a growing body of work in international relations and in security studies but, significantly, not yet in IPE that is self-conscious in conducting empirical research from a constructivist perspective. Sociological work falls into three broad clusters: conventional, critical, and postmodern.¹⁰⁸

Conventional constructivists insist that sociological perspectives offer a general theoretical orientation and specific research programs that can rival or complement rationalism. In this view a full understanding of preferences requires an analysis of the social processes by which norms evolve and identities are constituted. Since they emphasize how ideational or normative structures constitute agents and their interests, conventional constructivists differ sharply from rationalists on questions of ontology. Furthermore, constructivists insist that agents and structure are mutually constitutive and thus hope to give social science a more dynamic conception of change of system structures. On issues of epistemology and methodology, however, no great differences divide conventional constructivists from rationalists.

Outstanding among constructivist contributions is the research program of the sociologist John Meyer and his colleagues. Informed by a cognitive approach to world culture, this research program demonstrated an astonishing degree of similarity in formal national practices relating to issues as diverse as censuses, social security, education, and science despite great variations in national socioeconomic and ideological characteristics. For Meyer and his associates, the key to understanding this story is the script of modernity, often presented by international organizations, which suggested to national leaders what policies they ought to adopt if they wanted to appear, to themselves and others, to be modern and progressive.¹⁰⁹

Sociologically inclined scholars have in recent years analyzed empirically a number of cases to bolster this research program in international relations and security studies. Slavery and child labor, for example, were accepted for millennia as acceptable social practices; in the course of barely a century they became incompatible with

105. See Kratochwil and Ruggie 1986; Onuf 1989; and Kratochwil 1989, especially chap. 4.

106. Wendt 1992 and forthcoming.

107. For a brilliant discussion of the constructivist perspective from a philosophical standpoint, see Searle 1995.

108. We choose the three categories here for heuristic purposes and in full awareness of the fact that considerable differences exist within each of these clusters, borders between clusters are porous, and scholars may change positions in different publications. Our discussion is influenced by Price and Reus-Smit 1998; and Hopf 1998.

109. See Meyer 1980; Thomas, Meyer, Ramirez, and Boli 1987; Strang 1991; and Finnemore 1996a,b.

civilized society.¹¹⁰ International war may possibly be relegated to a similar status.¹¹¹ Half a century ago it was normal and appropriate for Japanese and German young men to volunteer to die for emperor and fatherland. By the 1990s the institutionalization of identities and norms that have marked Japanese and German politics since 1945 make such individual choices and social practices a rare exception.¹¹² In national security studies a growing number of mostly younger scholars addressed conventional topics—such as the spread of weapons of mass destruction, deterrence, arms races, strategic culture, or alliance politics—with unconventional sociological and cultural approaches.¹¹³ And during the last two decades feminists have been successfully redefining the meaning of human rights to encompass gender identities.¹¹⁴

Conventional constructivist studies have focused both on critical historical junctures from which new structural arrangements emerge and on interactions between existing structures and agents. Ruggie's historical arguments about the replacement of feudalism by the modern state system have made a major impact on international relations theory.¹¹⁵ Recent analyses of how actors and structures are reproduced in contemporary world politics include studies on Japanese norms indicating that drastic changes in Japan's security policies are highly unlikely and studies on changes in norms about weapons indicating that some classes of weapons may be seen as illegitimate, regardless of their strategic usefulness.¹¹⁶

As a general theoretical orientation constructivist research illuminates the sources of both conflict and cooperation. Iain Johnston, for example, has formulated a constructivist argument that seeks to account for China's consistently militant security strategy. The balance of material capabilities in the international system changed greatly over the last decades and centuries; China's *parabellum* strategic culture did not. Hence it is the latter that offers a compelling explanation of security policy.¹¹⁷ Similarly, Henry Nau has combined constructivist and realist insights in his writing to address central elements in U.S. foreign policy.¹¹⁸

In rejecting rationalist conceptions of human nature, critical constructivists agree with conventional constructivists on the issue of ontology. Like conventional constructivists, they are interested in how actors and systems are constituted and co-evolve. Their research program focuses on identity issues that include, besides nationalism, subjects such as race, ethnicity, religion, and sexuality. Critical constructivists also accept the possibility of social scientific knowledge based on empirical research. They are, however, deeply skeptical of the possibility of formulating general covering laws, and they are pluralistic about appropriate research methodologies. Institu-

110. Keck and Sikkink 1998.

111. Mueller 1989.

112. See Katzenstein 1996a; and Berger 1996.

113. See the contributions in Katzenstein 1996b. See also Kier 1997.

114. See Tickner 1992; and Keck and Sikkink 1998.

115. Ruggie 1983a.

116. See Katzenstein 1996a; and Price 1997.

117. Johnston 1995a.

118. Nau 1990, 1997.

tional arrangements, norms, and identities are embedded in specific historical contexts that can vary so dramatically that they can only be investigated through an ideographic rather than a nomothetic approach. Emphasis is placed on the detailed study of texts to understand the symbolic systems that govern actors' discourses, rather than on an analysis of a large number of cases.¹¹⁹

Critical constructivists insist that scholars' work has normative consequences. A scientist may try to find a cure for cancer or instead develop a more virulent strain of anthrax. This choice, however, does not alter the mechanisms that cause cancer or anthrax. Critical constructivists, however, understand their project not simply as revealing relationships that exist independent of the investigator, but also as having the potential to alter these relationships themselves.

Critical constructivists are developing a research program that is generating new and significant insights on important issues in world politics for which rationalist analysis has lacked compelling answers. For example, constructivists offer analyses of the transformative shift from the medieval to the modern state system; of the end of the Cold War as a recent, significant change within that system; and effects on the international system of variations in the moral purposes of states and different systems of procedural justice.¹²⁰ Constructivist arguments about issues ranging from the role of norms in sanctions against South Africa to why chemical weapons are viewed as "weapons of mass destruction" even when their destructive power may be smaller than that of "conventional" weapons both complement and challenge rationalist accounts.¹²¹

This research program is open to rationalist critiques on the use of evidence and the limits of interpretation, the possibility and the status of generalizations, the use of alternative explanations, and problems of variability and comparability. Rationalists may view critical constructivists working closely with texts as postmodernists. This is a mistaken impression. What separates critical constructivism and postmodernism is not the shared focus on discourse, but the acknowledgment by critical constructivists of the possibility of a social science and a willingness to engage openly in scholarly debate with rationalism.

On both scores postmodernists differ sharply from critical constructivists, whom postmodernists charge with bringing in rationalism and positivism through the backdoor.¹²² Postmodernists insist that there is no firm foundation for any knowledge. Since there is no position from which to pass scientific or ethical judgments, postmodernist analysis is restricted to the task of unmasking the power relations that are concealed in all knowledge claims, including their own, and all forms of communicative rationality. Through a close analysis of language, postmodernism points our attention to the inherent instability of all symbolic and political orders. Since subjects only understand the world through language, and control of language implies power,

119. See Risse 1997; and Adler and Barnett 1998.

120. See Ruggie 1983a, 1992, 1998; Koslowski and Kratochwil 1994; Risse-Kappen 1994; and Reus-Smit forthcoming.

121. See Klotz 1995c; and Price 1997.

122. George 1994.

linguistic presentations are always open to cognitive and political processes of destabilization. Postmodernist analysis seeks out these sources of potential instability. It is interested in decentering established discourse, including its own, by paying attention to what is marginal or silent.

Since the mid-1980s, postmodernist analysis has grown substantially both inside and outside of the United States, although primarily in the humanities. Richard Ashley was one of the first in international relations who suggested that neorealism's totalizing vision determined not only international relations research but also diplomacy. Thus, it obscured issues of human agency to which realism had remained responsive.¹²³ For postmodernism, reality is a creation of the analytical and ideological categories through which that theory perceives the world and in the name of which it exercises a coercive power that precludes the emergence of communicative rationality.

Little of this debate was published in *IO*, since *IO* has been committed to an enterprise that postmodernism denies: the use of evidence to adjudicate between truth claims. In contrast to conventional and critical constructivism, postmodernism falls clearly outside of the social science enterprise, and in international relations research it risks becoming self-referential and disengaged from the world, protests to the contrary notwithstanding.

Yet it is easy to underestimate the direct importance and indirect influence of this intellectual current. Postmodernism has found many adherents both in the broader international studies field in the United States and in Europe where major journals and book series are dedicated to publishing the results of this work. Especially younger scholars of constructivist persuasion have experienced not so much a "turn" but an evolution of views that was rooted in the postmodernist challenge. The power of the rationalist and empiricist currents of social science research in the United States makes critical engagement with rationalism more compelling than isolation. Hence, in different ways both conventional and critical constructivists have positioned themselves quite self-consciously between rationalist theoretical orientations, such as realism or liberalism, and postmodernist orientations.¹²⁴

Terminological Differences and Research Complementarities

Both the differences and complementarities between constructivism and rationalism promise to make the interaction between these two theoretical orientations a productive point of contestation. Both are concerned with what in ordinary language are called beliefs, but they understand this concept in different ways and use different terms in their analyses. The key terms for rationalists are preferences, information, strategies, and common knowledge. The key terms for constructivists are identities, norms, knowledge, and interests. Rationalist orientations do not offer a way to understand common knowledge. Constructivist arguments do not provide a way to analyze

123. Ashley 1984.

124. See Katzenstein 1996a,b; and Adler 1997

strategies. Yet both strategy and common knowledge are usually necessary to understand political outcomes. We first discuss terminology, then turn to some differences and complementarities in how rationalists and constructivists analyze the role of beliefs.

Terminology. All rationalists rely on the assumption of instrumental rationality to provide the crucial link between the environment and actor behavior. Game theory provides a useful language for rationalist analysis more generally. For game theory to offer a tractable analytic framework it must assume that actors have common knowledge. They all share the same view of the game, including the payoff matrix, the strategic choice points, the types of actors they are playing against, and the probability of each type. Players know the options from which they can choose. If they are uncertain about the nature of their opponent, they may have the opportunity to update their probability assessments as the game progresses because of information that is revealed by the moves taken in the game. Given preferences, probabilities, and choice points, it is possible to derive a complete set of strategies, choices that players will make at every node in the game, and equilibrium outcomes, of which there may be many.

All rationalists use the assumption of rationality to provide the crucial link between features of the environment—power, interests, and institutional rules—and actor behavior. But on the issue of the importance of information, they are divided. Rationalists who subscribe to a materialist view of how to study the international political economy, such as Rogowski and Frieden, assume preferences for more wealth and infer strategies from structure, especially the competitive positions of factors, sectors, or firms in the world political economy.¹²⁵ Variations in information are unimportant in their analysis. These authors expect actors to understand the world accurately, and they do not conceptualize actors' choices in terms of game theory involving interdependent decisions.

In contrast, rationalists whose thinking is more indebted to game theory emphasize the importance of imperfect information and strategic interaction. They stress how changes in information can account for variations in strategies, even if the preferences of actors remain unchanged. Small changes in information can have a profound impact on equilibrium outcomes. Institutions or rules can be consequential because they can alter information and empower players to set the agenda, make amendments, and accept or reject the final package.¹²⁶

Constructivists insist on the primacy of intersubjective structures that give the material world meaning.¹²⁷ These structures have different components that help in specifying the interests that motivate action: norms, identity, knowledge, and culture. Norms typically describe collective expectations with “regulative” effects on the

125. See Rogowski 1989; and Frieden 1991.

126. See Shepsle 1986; Morrow 1994b; and Fearon 1995. It should be noted, however, that game-theoretic rationalism typically shows that multiple equilibria exist, which undermines any deterministic predictions of behavior.

127. Katzenstein 1996b.

proper behavior of actors with a given identity. In some situations norms operate like rules that define the identity of actors; they have “constitutive” effects that specify the actions that will cause relevant others to recognize a particular identity. Epistemic knowledge is also part of a social process by which the material world acquires meaning. Finally, culture is a broad label that denotes collective models of authority or identity, carried by custom or law. Culture refers to both evaluative standards (such as norms and values) and cognitive standards (such as rules and models) that define the social actors that exist in a system, how they operate, and how they relate to one another.

Constructivist research is not cut from one cloth, as Finnemore and Sikkink argue in this issue. Conventional and critical constructivist analyses often focus on different components of a common constructivist research program—norms, identity, knowledge, and culture—and, in empirical research, accord different weights to each of them. And they are divided on whether the relationship between these components is definitional, conceptual, causal, or empirical. These disagreements are reflected also in the inevitable tensions that accompany their joint effort to engage rationalism, despite some differences in the approach each takes to issues of epistemology and methodology.

Common knowledge: A point of complementarity. Rationalism and constructivism are generic theoretical orientations that are complementary on some crucial points. Game-theoretic rationalists typically assume the existence of actors, who have preexisting preferences and who share common knowledge of the game, which enables them to engage in strategic bargaining. Constructivist research focuses on the sources of actors’ identities—in game-theoretic terms, their preferences—and of their interpretations of the context of their action: common knowledge. Hence, rationalism and constructivism share an interest in beliefs or knowledge.

Game theory provides a vocabulary and a visual image that highlight not only where rationalist and constructivist arguments part ways but also where they might come together. Any rationalist analysis must stipulate the nature of the actors in the sense of specifying their preferences and their capabilities. What do actors desire? What moves can they make? Moreover, for any formal game theoretic analysis to work, it is necessary to assume common knowledge. The players have to share the same knowledge about the game. They must know what they do not know because of imperfect information, and they must share the same view of the payoff matrix and the available set of strategies. Rationalist accounts make very limited claims about the insights they can offer into the origins of such common knowledge.

Some rationalist accounts suggest that normative structures can be generated from institutions that have been created to promote material interests. David Kreps, for instance, has argued that what he terms corporate culture is developed because it is impossible to fully specify the duties of employees in any complex environment. The world is too complicated for complete contracts to be written. Corporate culture provides a set of norms or guidelines that can guide behavior in situations not cov-

ered by formal arrangements.¹²⁸ Following David Hume and Blaise Pascal, Robert Sugden points out that practices initially developed to promote specific interests can acquire a normative element if they are widely understood and practiced within a given social setting.¹²⁹ An actor who violates existing practices will be normatively sanctioned by other members of the community. This is a line of analysis that puts rationalists at the border of constructivism. Norms are based on material interests, but they can take on an aura of authority that transcends their initial purpose.

Norms can also be consequential, because they can provide focal points in situations of multiple equilibria; that is, where there are many possible solutions to the game. Game theory has shown that such situations are very common in games of incomplete information. A rationalist analysis can stipulate that one of these outcomes can be chosen, but it does not tell us which one it will be. Shared cultural norms offer one way of selecting which equilibrium will be salient for the players.¹³⁰ In the late 1950s Thomas Schelling, then teaching at Yale, asked about forty acquaintances where and when they would meet a friend in New York City; more than half coordinated on the information booth at Grand Central Station (where the trains arrived from New Haven) at noon.¹³¹ For professors at Columbia University in 1959, the time might have been the same, but Grand Central Station would hardly have been as salient. Common knowledge is contextualized within a specific social setting.

Not all common knowledge can be explained by practices and institutions designed to maximize material interests, for example, by resolving problems of multiple equilibria. Norms that define the options available to players, and that shape their preferences, are often prior to these instrumental practices and institutions. For example, slavery was a conventional option for securing the labor of conquered lands in earlier periods; it is not an option for contemporary states. Capturing slaves as spoils of war is no longer an available move. The medieval guilds, the holders of English capital in the late seventeenth century, the burghers of Amsterdam, and Michael Milken were all concerned about enhancing their material wealth, but the options available to them (the moves they could make) were hardly the same.

Constructivists seek to understand how preferences are formed and knowledge is generated, prior to the exercise of instrumental rationality. Constructivism analyzes discourses and practices that continuously recreate what rationalists refer to as common knowledge. Constructivists do not emphasize misperception: cognitive or emotional biases that distort rationality and can be corrected through the analysis of new information.¹³² They are more interested in the collective processes that students of social psychology have identified.¹³³ Constructivists focus on discursive and social

128. Kreps 1990a.

129. Sugden 1989. Sugden mentions Hume's argument in the eighteenth century. Pascal made a similar argument a century earlier; see N. Keohane 1980, 278–81.

130. Ferejohn 1991.

131. Schelling 1960, 55–56.

132. Jervis 1976.

133. Janis 1983.

practices that define the identity of actors and the normative order within which they make their moves. We can think of these processes in two different ways: in terms of ideas about cause–effect relations and regulatory norms¹³⁴ or as more or less contested processes of identity formation.¹³⁵

The differences and complementarities between rationalism and constructivism are illustrated by their treatments of persuasion.¹³⁶ Rationalists interpret persuasion in the language of incentives, strategic bargaining, and information. They analyze the provision of new information, sometimes through costly signaling, and appeals to audiences. For a consistent rationalist, it would be anomalous to think of persuasion in terms of changing others' deepest preferences. Constructivists, by contrast, insist on the importance of social processes that generate changes in normative beliefs, such as those prompted by the antislavery movement of the nineteenth century, the contemporary campaign for women's rights as human rights, or nationalist propaganda. For constructivists, persuasion involves changing preferences by appealing to identities, moral obligations, and norms conceived of as standards of appropriate behavior.

The different styles of analysis—"thin" information for rationalists versus "thick" norms and identities for constructivists—to some extent reflect the familiar contest in social science between economic and sociological traditions.¹³⁷ Constructivism is ideographic, whereas rationalism is nomothetic. Neither perspective is adequate to cover all aspects of social reality. But at one critical point they are joined. Both recognize—constructivism as a central research project and rationalism as a background condition—that human beings operate in a socially constructed environment, which changes over time. Hence, both analytical perspectives focus in one way or another on common knowledge—constructivism on how it is created, rationalism on how it affects strategic decision making. The core of the constructivist project is to explicate variations in preferences, available strategies, and the nature of the players, across space and time. The core of the rationalist project is to explain strategies, given preferences, information, and common knowledge. Neither project can be complete without the other.

Conclusion

The history of *IO* and the emergence of *IPE* as a field were built on a rich intellectual tradition that developed in the 1940s, 1950s, and 1960s. Many of the major lines of arguments that have preoccupied scholars of *IPE* and international relations for the

134. See Goldstein and Keohane 1993b; Haas 1993, 1997; Sikkink 1993a,b; Adler and Haas 1992; Adler 1987; and Haas 1992c.

135. Wendt 1987, 1992, forthcoming. See also March and Olsen 1989; Powell and DiMaggio 1991; and Jepperson, Wendt, and Katzenstein 1996.

136. On persuasion, see Finnemore 1996a; and a long tradition of legal scholarship, including Franck 1990; and Chayes and Chayes 1995.

137. Swedberg 1991.

last three decades were developed during these years. Then as now scholars continue to analyze the interaction between power, wealth, and social purpose.

The history of *IO* and the emergence of *IPE* have been part of the elaboration of more complex and self-consciously analytical formulations with which scholars have analyzed enduring problems of world politics. No historical narrative can reproduce the complex and idiosyncratic evolution of scholarship. For ease of presentation and because it reflects important aspects of our own intellectual autobiographies, our story has followed two distinctive strands: the interplay between realist and liberal currents of theory in the evolution of the analysis of *IPE* and the analysis of domestic politics and *IPE*.

We have argued that in the 1990s some of the major points of contestation shifted. Influenced by strong currents in economics and cultural studies, debates between rationalism and constructivism are becoming more important. They offer contrasting analytical orientations for research in the social sciences at large and in international relations and *IPE*. The greatest promise in the intellectual debate between proponents of rationalism and constructivism does not lie in the insistence that reality can only be analyzed in one conceptual language—the one preferred by the analyst. Insisting on one's own language is a sterile intellectual exercise. Knowledge and understanding are promoted by debates among the proponents of different research orientations and research programs. But one should never forget that at the end of the day orientations and programs are only useful if they are deployed to specify intellectually tractable and substantively important questions.

Analytical progress in the study of *IPE* is possible in research programs despite continuing contestations between general theoretical orientations. We believe that the field has become increasingly sophisticated; we have better conceptual tools and richer interpretations than we had in the 1970s. Our substantive findings, however, remain meager: counterintuitive, well-documented causal arguments are rare. And some analytical advances have told us why we cannot make strong predictions rather than how to go about doing so, as is the case for the revelation from game theory of the frequency of multiple equilibria. Nevertheless, we know a great deal more than we did thirty years ago about a number of processes that are central to how the world political economy works, such as how power is deployed under various conditions of vulnerability, how international regimes affect government policies, and how domestic institutions and world politics affect each other through institutional processes. Many of the articles in this issue could not have been written without the accumulation of substantive research findings in issues ranging from trade and industry, money and energy, and finance and investment to, among others, the environment and human rights.

In international politics and in the world of scholarship well-established boundaries are being blurred and new ones are being created. World politics is witnessing enormous change in the wake of the collapse of the Berlin Wall, the end of strategic bipolarity, and the peaceful disintegration of the Soviet Union. We are observing different types of democratization processes in different world regions, ethnic conflicts over the control of territory, and growing conflicts over the spread of weapons

of mass destruction to regional powers. We are also seeing far-reaching experiments with economic integration in some world regions and continuing marginalization in others, expanded trade under the auspices of a revamped World Trade Organization, and the redefinition of the role of the International Monetary Fund and other governance mechanisms in the wake of Asia's financial crisis. At the same time, religious fundamentalism is gaining ground in much of the Muslim world. And strong secular social movements championing environmentalism, feminism, and human rights are active worldwide. Many opportunities exist for building innovative links across disciplinary and subdisciplinary boundaries. All of these developments illustrate the complexity of contemporary world politics and the opportunity to draw new connections across generic theoretical orientations and between specific research programs.

The rubric for this era of increasing transboundary activity is variously called "internationalization" or "globalization." This is not an unprecedented development. International financial markets were highly integrated at the end of the nineteenth century—perhaps even more so than they have been since, at least until very recently. Trade flows were also much higher at this time than for most of the twentieth century. New technologies have opened new opportunities, but it is not evident how they will affect the control and authority structures in state and society. How extensively national policies and practices will be reshaped by globalization—and how effectively institutions will resist such pressures—remains to be seen. Such research will focus again on issues of the relationships that have been central to the literature of the last thirty years: between wealth and power, states and markets, interests and institutions, the international political economy and domestic politics. Constraints and opportunities will change and so may the identity of the key actors and the norms they accept. But observers of this new reality will still be able to learn from the accomplishments, and the mistakes, of previous generations of IPE scholars.

The sophistication of work in IPE has not made it directly applicable to policy. As noted earlier, we cannot point to clear scientific "findings" about cause and effect that policymakers can readily apply. At the same time, the application of more rigorous social scientific standards by referees for *IO* seems to have discouraged policy commentary: policy-relevant articles have become few and far between. Hence, the pages of *IO* reflect the gulf that has developed between scholarship and practice in international relations.

Yet even if the links between scholarship and policy are not close, connections can be made. More significant than the specific debates or even findings in the literature are the interpretations of changing reality that have been put forward by analysts: concepts and broad "theorizing" in which the field has engaged. A number of ideas originally formulated in the literature are being taken for granted in policy discussions. Whether this reflects an *effect* of the international relations literature or simply parallel understandings in the policy and academic worlds is not clear. At any rate, it is conventional wisdom now that interdependence has implications for power as well as for wealth, that international institutions constitute a valuable set of instruments for promoting the interests of states through cooperation, and that understanding

domestic political economy requires not just examining domestic interests but also taking into consideration domestic and international institutions as well as the structure of the world political economy. The significance of interactions between non-state and state actors is also increasingly understood in the policy world.

The specific approach that scholars choose to follow in their work will depend on whether they are principally committed to advancing a theoretical viewpoint or to solving specific empirical problems, their own analytical predispositions, their methodological tools, the data to which they have access, the resources at their disposal, and the values they hold. None of us should be too sure that our own choices will be intellectually productive. Even though we build on works of earlier generations of outstanding social scientists, our vision is limited. Our nearsightedness should make us skeptical that the latest turn of the screw of a particular methodological, theoretical, or epistemological debate will magically bring our analytical binoculars into sharper focus. Yet new intellectual debates about aspects of world politics that change, and those that do not, point to high returns from an increasing integration of IPE scholarship into broader social science debates. This is a welcome opportunity for any author and an intellectually exciting prospect for the editors and readers of *IO*.



Neorealism and Neoliberalism

Joseph S. Nye, Jr.

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Review Articles

NEOREALISM AND NEOLIBERALISM

By JOSEPH S. NYE, JR.*

Robert O. Keohane, ed., *Neorealism and Its Critics*. New York: Columbia University Press, 1986. 378 pp.

Richard Rosecrance, *The Rise of the Trading State*. New York: Basic Books, 1986. 268 pp.

INTERNATIONAL relations theory is constrained by the fact that history provides a poor substitute for a laboratory. In world politics, a relatively small number of states play major roles, along with many other entities that seek to influence events. Even if one focuses on state behavior, one is confronted by few independent events and by multiple causes of behavior at different levels of analysis. Furthermore, strategic interaction is inherently indeterminate, and states often have incentives to deceive observers. To use an analogy from another social science, multiple causality makes some aspects of international relations more like macroeconomics than like microeconomics, and strategic indeterminacy means that the relevant analogy in microeconomics would be the troubled area of oligopoly theory.

Moreover, most theorists of international relations suffer from being in the middle of events, rather than viewing them from a distance. Thus it is not surprising that international relations theory has always been strongly affected by current political concerns. This is true even for the Realists with their parsimonious efforts to state eternal truths. Thucydides, the founding father of Realism, presented a structural account of the origins of the Peloponnesian War in part because of the lessons he wished to teach his fellow citizens.¹ When Hans J. Morgenthau wrote his post-war classic, *Politics Among Nations*, he was clearly intent on instructing his fellow citizens about the importance of avoiding the idealist and iso-

* I am grateful to Robert Beschel, Sean Lynn-Jones, Andrew Moravcsik, and David Welch for comments.

¹ Donald Kagan, *The Outbreak of the Peloponnesian War* (Ithaca, NY: Cornell University Press, 1969).

lationalist fantasies of the interwar period. Even the neorealist structural theories of Kenneth Waltz can best be read as exhortations to policymakers and fellow citizens about how they *ought* to respond to the structure of power rather than as accurate accounts of how the two superpowers behave.

THE CHANGING CONTEXT OF THEORY

In the early 1970s, many theorists, reflecting current concerns, overreacted to the traditional theories of Realism. There was widespread repugnance to the Vietnam War, and detente seemed to reduce the importance of the nuclear competition. At the same time, international trade grew more rapidly than world product. Transnational corporations not only developed patterns of international production, but in some instances played dramatic political roles as well. All this occurred against a backdrop of declining U.S. economic predominance—from one-third to less than one-quarter of world product. President Nixon and Secretary of State Kissinger spoke of the development of a five-power world, and futurologists such as Herman Kahn predicted the imminent arrival of a multipolar international system.²

On top of all this came the oil crisis of 1973. Some very weak states extracted enormous resources from the strong. Even Hans Morgenthau described what he called an unprecedented divorce of military and economic power based on the control of raw materials.³ The vulnerability of the Western societies at a period of high commodity prices encouraged many of the less developed countries to believe that a greater transformation of power had occurred than was actually the case. A number of theorists reflected these concerns. Among the modernist writers of the 1970s, a representative view was that

the forces now ascendant appear to be leaning toward a global society without a dominant structure of cooperation and conflict—a *polyarchy* in which nation-states, subnational groups, and transnational special interests and communities would all be vying for the support and loyalty of individuals, and conflicts would have to be resolved primarily on the basis of ad hoc bargaining in a shifting context of power relationships.⁴

² Herman Kahn and B. Bruce Briggs, *Things to Come* (New York: Macmillan, 1972).

³ Hans J. Morgenthau, "The New Diplomacy of Movement," *Encounter* 43 (August 1974), 52-57, at 56.

⁴ Seyom Brown, *New Forces in World Politics* (Washington: Brookings Institution, 1974), 186.

By the late 1970s the mood began to change both in the United States and in the United Nations. East-West concerns started to supplant North-South issues at the top of foreign policy agendas. The experience of the Carter administration reflects the changes in American opinion: while campaigning in 1976, Jimmy Carter promised to reduce the defense budget, but by 1980 his position was closer to that of his rival, Reagan, than to his own previous position. The election of Ronald Reagan to the American presidency accentuated these trends. American policy focused on East-West confrontation and scaled down North-South issues and the role of multilateral institutions. The defense budget increased in real terms for five straight years, and the United States became more willing to use military force, albeit against extremely weak states such as Grenada and Libya. Arms control was downgraded and the modernization of nuclear forces was seen as restoring an "edge" for additional utility of military force. This shifting agenda of world politics saw a resurgence of Realist analysis, for history seemed to have vindicated the Realist model.

While some analysts in the 1970s tended to overstate the obsolescence of the nation-state, the decline of force, and the irrelevance of security concerns, some in the early 1980s unduly neglected the role of transnational actors and economic interdependence. Contrary to the tone of much political rhetoric and some political analyses, the world of the 1980s is not a return to the world of the 1950s. Just as the decline of American power was exaggerated in the 1970s, so was the restoration of American power in the 1980s. Looking carefully at military and economic indices of power resources, one notes that there has been a far greater change in psychology and mood than in these indicators of power resources. The diffusion of power, as measured by shares in world trade or world product, continues. Economic interdependence, as measured by vulnerability to supply shocks, has eased in a period of slack commodity markets, but this could change if markets tighten again and growth of economic transactions continues. Sensitivity to exchange-rate fluctuations has remained high. The costs of the great powers' use of force seem higher than in the 1950s—measured, for instance, by the ease with which the U.S. overthrew governments in Central America and Iran then as contrasted with the 1980s. Moreover, despite rhetoric, relations between the superpowers do not show a return to the Cold War period. Not only are alliances looser, but transactions are higher, and relations between the superpowers reflect a fair degree of "learning" in the nuclear area.⁵

⁵ Joseph S. Nye, Jr., "Nuclear Learning and U.S.-Soviet Security Regimes," *International Organization* 41 (Summer 1987), 371-402.

REALISM AND LIBERALISM

In a sense, the contrast between the 1970s and the 1980s is merely the latest instance of a recurring dialectic between the two main strands in what has been called the classical tradition of international relations theory. Realism has been the dominant strand;⁶ the second is the Liberal or Grotian tradition that tends to stress the impact of domestic and international society, interdependence, and international institutions. In their simplest forms, Liberal theories have been easily discredited. The proposition that the gains from commercial transactions would overcome the problems inherent in the security dilemma and make war too expensive were belied in 1914. Hopes that a system of international law and organization could provide collective security, which would replace the need for self-help inherent in the security dilemma, were disappointed by 1939. Nonetheless, the sharp disagreement between Realism and Liberal theories is overstated. In fact, the two approaches can be complementary. Sophisticated versions of Liberal theory address the manner in which interactions among states and the development of international norms interact with domestic politics of the states in an international system so as to transform the way in which states define their interests. Transnational and interstate interactions and norms lead to new definitions of interests, as well as to new coalition possibilities for different interests within states.

How states define their interests, and how their interests change, has always been a weak area in Realist theory. One of the most thought-provoking questions in international relations is how states learn. How do national interests become defined, and how do those definitions change? Can cooperation be learned? Realist theories maintain that states learn by responding to structural changes in their environment; to put it in game-theory terms, they adjust their behavior to changes in the payoff matrix. When mutual interests or a long shadow of the future suggest that rewards for cooperation are great, states may adopt new strategies in pursuit of their interests. In that case, Realists admit that cooperation can be learned. Although this is sometimes a satisfactory and parsimonious explanation of changing state behavior, it is often incomplete because it says little about how interests themselves are formulated or redefined. It does not show why the same situation may be perceived in totally different ways by successive governments or different leaders. A Bismarck, a Kaiser, and a Hitler can formulate different answers to similar geopolitical situations. Nor does Realist theory note how groups within societies

⁶ K. J. Holsti, *The Dividing Discipline: Hegemony and Diversity in International Theory* (Boston: Allen & Unwin, 1985).

can use partners in transnational coalitions or transnational norms and institutions to advance or retard the learning of new interests by their own governments.

Realist theory is better at explaining interactions than interests. A theory of interests defined solely in terms of power is an impoverished theory of interests. Here Liberalism can help. The more sophisticated variants of Liberal theory provide a useful supplement to Realism by directing attention to the ways in which domestic and international factors interact to change states' definitions of their interests. To say that states act in their self-interest is merely tautological (or "change" is reduced to merely a change in means) unless we have a reasonable account of how such interests are perceived and redefined. Both Realism and Liberalism can contribute to such an account.

The major developments in the Liberal tradition of international relations theory in the post-1945 period occurred in studies of regional integration. These studies did not explicitly refer to classical Liberalism; they were generally called "neofunctionalist." Nevertheless, their focus was clearly on issues emphasized in the Liberal tradition. Karl Deutsch concentrated on the development of pluralistic security communities—groups of states that developed reliable expectations of peaceful relations and thereby overcame the security dilemma that Realists see as characterizing international politics. Ernst Haas focused on the uniting of Europe and the transformation of the Franco-German hostility into a postwar economic and political community. Subsequent scholars extended these perspectives on economic, social, and political interdependence and integration to other regions.⁷ What these studies had in common was a focus on the ways in which increased transactions and contacts changed attitudes and transnational coalition opportunities, and the ways in which institutions helped to foster such interaction. In short, they emphasized the political processes of learning and of redefining national interests, as encouraged by institutional frameworks and regimes.

In a sense, the development of regional integration theory outstripped the development of regional communities. Predicted changes materialized more slowly than had been expected, which may account for the declining academic interest in the subject during the 1970s. The transformation of Western Europe into a pluralistic security community is real, however, and many of the insights from integration theory were transferred in the early 1970s to the growing and broader dimensions of inter-

⁷ Karl Deutsch et al., *Political Community and the North Atlantic Area* (Princeton: Princeton University Press, 1957); Ernst Haas, *The Uniting of Europe* (Stanford, CA: Stanford University Press, 1958); Joseph S. Nye, Jr., *Peace in Parts* (Boston: Little, Brown, 1971).

national economic interdependence. Studies in transnational relations and interdependence broadened conceptions of how national interests are learned and changed. Some studies explicitly addressed the conditions under which assumptions of Realism were sufficient, or needed to be supplemented by a more complex model of change.⁸ Rather than focusing primarily on formal and universalistic organizations such as the United Nations, they devoted much attention to the role of international institutions. The concept of regime was borrowed from international law and broadened to incorporate the whole range of norms, rules, and procedures that constrain states' behavior and around which the actors' expectations converge within a given issue.⁹ A rich set of studies applied the concept of regimes to a broad range of behavior in international political economy. But in the climate of the early 1980s, it seemed that the Liberal legacy was relevant only to the peripheral literature on political economy and had little to contribute to the central theory of the field. Kenneth Waltz's *Theory of International Politics*, published in 1979, was a well-timed and elegant restatement of Realism that explicitly cast doubt on the relevance of the writings on interdependence.¹⁰

The two books reviewed here provide a good opportunity to look at the latest turns in the classic dialectic between Realism and Liberalism. Richard Rosecrance's *The Rise of the Trading State* is clearly in the Liberal tradition. Rosecrance argues that an open trading system offers states ways to transform their positions through economic growth rather than through military conquest. All states can benefit from the enhanced growth. "The basic thrust of trade today is entirely different from what it was in the 1830s, the 1880s, and the 1930s" (p. 227). What is different in the world since 1945 "is that a peaceful trading is enjoying much greater efficacy than ever before. . . ." The main thesis of this book is that a new "trading world of international relations offers the possibility of escaping . . . a vicious cycle and finding new patterns of cooperation among national states" (p. ix).

Robert O. Keohane, in *Neorealism and Its Critics*, features four core chapters of Waltz's influential book and four criticisms of that work. In addition, he includes Waltz's first published reply to his critics. It is rare to have such clear intellectual dialogue in a single volume, and the whole issue is nicely framed by the editor's introductory essay.

⁸ Robert O. Keohane and Joseph S. Nye, Jr., *Power and Interdependence* (Boston: Little, Brown, 1977).

⁹ Stephen Krasner, ed., *International Regimes* (Ithaca, NY: Cornell University Press, 1983).

¹⁰ Waltz, *Theory of International Politics* (Reading, MA: Addison-Wesley, 1979).

NEOREALIST THEORY

As Keohane points out, the significance of Waltz's work is not in elaborating a new line of theory, but in the systematization of Realism, which Robert W. Cox (one of the critics) has termed "neorealism." While Hans J. Morgenthau may be the most influential of the postwar Realists, his aspirations to create a science of international politics were marred by inconsistency in his use of the concepts of power and balance. Moreover, by basing international politics on human nature's drive for power, Morgenthau explained too little by explaining too much. Human nature does not adequately account for variation.

Waltz provides a more elegant theoretical basis for Realism. He avoids references to humans pursuing power as an end; pursuit of power as a means is sufficient for his theory. Balance-of-power behavior by states is predicted from the structure of the international system. A system is a set of interacting units having behavioral regularities and identity over time. Its structure defines the ordering of its parts. Structure involves an ordering principle, specification of the functions of different parts, and the distribution of capabilities. In international politics, the ordering principle is anarchy, interpreted as the absence of a higher government above states. The specification of differentiation drops out because states perform similar functions. Thus, the distribution of capabilities (multipolarity, bipolarity) predicts variations in states' balance-of-power behavior. Waltz provides not merely a systemic theory to predict the behavior of the units (states), but a parsimonious *structural* systemic theory.

In a sense, Waltz did for the classical Realists what they never did for themselves. His structural theory provides a simple deductive basis for what was hitherto a heterogeneous set of views about the importance of power politics. In the eyes of the critics, however, Waltz's virtues and faults are two sides of the same coin. Parsimony has been purchased at too high a price. Robert Cox and Richard K. Ashley complain that Waltz's neorealism has sacrificed the interpretive richness of classical Realism as a critical theory in order to transform it into a positivistic problem-solving theory. Although that may be true, neither essay provides a compelling alternative, and Waltz in his reply is quite happy to let their remarks roll off his back.

Keohane and John G. Ruggie launch more telling criticisms. Keohane points out that Waltz's spare structural definition of system ignores international economic processes and institutions that can also have strong effects on states' behavior. Ruggie argues that Waltz has not only ignored changes in the density of interactions in systems, but has been too quick

in assuming that the differentiation in units can be dropped as a characteristic of the structure of the international system. In the short term, states may be the dominant units and play a similar functional role, but over long periods other units may grow in importance, and roles may alter. Ruggie points to the evolution of the concept of territoriality at the end of the feudal era to illustrate such generative changes, and argues that Waltz's theory is too static to explain such changes.

Waltz replies that "a structural theory of international politics can fix ranges of outcomes and identify general tendencies. . . . We cannot hope to predict specific outcomes" (p. 344). He would not deny the importance of change at the unit level. "Realist theory by itself can handle some, but not all, of the problems that concern us. . . . Yet some successful predictions can be made without paying attention to states" (p. 331). Structural analyses "tell us a small number of big and important things" (p. 329). If we add more variables, theoretical acuity gives way to rich and dense description. Many unit-level factors, such as density of interactions, demographic trends, resource constraints, national ideologies, and political systems, can affect systemic outcomes. Indeed, in the case of nuclear weapons, "a unit-level change has much diminished a structural effect" (p. 327). But it is a mistake to mingle structural and unit levels. Just as "economists get along quite well with separate theories of markets and firms" (p. 340), we shall have to get along with separate theories of international politics and of states.

Waltz has a valid point about the selectivity of theory and the costs of mixing unit and structural characteristics. But his reply to his critics is not entirely satisfactory. First, as Keohane points out in his Introduction, many economists are unhappy about the disjunction between the assumptions of microeconomics and what is known about the behavior of firms. Moreover, oligopoly theory tends to be indeterminate, and efforts to establish a rational-expectations micro-basis for macroeconomics have been problematic. In the words of one economist, the danger for a clinical profession is that "the models become more real than more explicitly descriptive reality."¹¹

Second, Waltz accuses Ruggie of reductionism—the explanation of the whole by explaining the behavior of the parts. That is neither good nor bad *per se*. In a parsimonious systemic explanation, the behavior of the parts is handled by assumptions of rationality and the constraining conditions produced by the structure of the system. "Socialization and com-

¹¹ Francis M. Bator, *The State of Macroeconomics* (Kennedy School Discussion Paper 1520, Cambridge, MA: 1986), 19.

petition are two aspects of a process by which the variety of behavior and outcomes is reduced." Systems theories explain why different units behave similarly; unit theories explain why different units behave differently despite similar placement in a system. But Waltz's own assignment of characteristics to the systemic and unit levels seems odd. It is easy to understand why characteristics of a particular leader or political culture or domestic regime fit at the unit level. In his words, "a theory about foreign policy is a theory at the national level."¹² But why are demographic trends, transnational flows, and military technology that affect all (or many) states assigned to the unit level? It is particularly odd to see nuclear technology described as a unit characteristic that has had "system-wide" pacific effects (p. 327). Waltz has no way of knowing whether the vaunted stability of the bipolar system is caused by a structural or a unit-level characteristic. Moreover, by assigning everything except the distribution of capabilities to the unit level, that category becomes a dumping ground hindering theory building at anything but the structural level. The result may be theoretical parsimony, but parsimony is not the only way by which one judges good theory. Good theory also requires a good explanatory fit.

A third problem with Waltz's reply to his critics relates to his handling of false predictions. Waltz correctly states that a few false predictions do not falsify a theory. He admits that he will often need to supplement his sparse neorealist theory with foreign policy explanations in order to account for anomalous cases. But sometimes his handling of anomalies runs the risk of being retrogressive in Lakatos's terms—i.e., it explains less and directs researchers away from new information.¹³ In response to Keohane's evidence that Canada, a weak state, has often prevailed over the United States, Waltz introduces a power-activation hypothesis: "I suspect that American officials hardly cared about the outcomes or even noticed what they might be" (p. 333). But aside from the danger of tautology, such a reply ignores the evidence that the cases Keohane cites were at the presidential level, and that some, such as oil trade in 1974, were highly visible and politicized.

Some anomalies are forgiven for any theory that has a broad explanatory power and that points to the discovery of new empirical information. But Waltz's theory does not score well on those criteria: it describes a system as stable if it remains anarchic and there is no consequential change

¹² Waltz (fn. 10), 77, 72.

¹³ Imre Lakatos, "Falsification and the Methodology of Scientific Research Programmes," in Imre Lakatos and Alan Musgrave, eds., *Criticism and the Growth of Knowledge* (Cambridge: Cambridge University Press, 1970).

in the number of political units. By this definition, the multipolar system was stable for 300 years until World War II reduced it to the current bipolar system, which has been stable because no third state has been able to develop capabilities comparable to those of the United States and the Soviet Union.¹⁴ But this portrayal of history by the theory leaves an enormous number of important changes unaccounted for, and lends credence to the charge that it is too static. There are so few strands in the web of Waltz's theoretical net that even very big fish slip through it. The change from a flexible alliance system to two rigid alliances before 1914 is not a shift from multipolarity to bipolarity for Waltz. Only the strength of single units counts in measuring bipolarity under his definitions. Thus, his theory tells us little about the onset of World War I. Instead, it disclaims any intent to predict particular wars. Neither is it clear that Waltz's theory tells us about what causes stability in the current world. There has been only one bipolar system as defined in Waltz's theory. Thus he has to test his conclusions about stability against evidence drawn from a sample of *one*. Waltz cannot determine which behavior is caused by structure and which by nuclear weapons (assigned by him to the unit level).

Moreover, Waltz's theory leads him to conclusions that seem to bury rather than uncover new information about the behavior of states. For example, he argues that "in a bipolar world, military interdependence declines even more sharply than economic interdependence. Russia and America depend militarily mainly on themselves."¹⁵ But it is an odd definition of military interdependence that blurs the change from the 1930s to a world in which the U.S. and U.S.S.R. can each destroy the other in thirty minutes. Even if Waltz means his statement to refer only to the formation of alliances, he has a hard time explaining the enormous efforts which both sides devote to their "unnecessary" alliance structures. Waltz may be right that "a five percent growth rate sustained for three years increases the American gross national product by an amount exceeding one-half of West Germany's GNP, and all of Great Britain's," but that alleged evidence for low military interdependence leaves the anomaly of actual U.S. behavior unexplained. In extolling the virtues of economic growth as a path to power, Waltz sounds a bit like Rosecrance; but, unlike the latter, he uses a restricted definition of interdependence to argue that economic interdependence is declining in the modern world.¹⁶ Once

¹⁴ Waltz (fn. 10), 162.

¹⁵ *Ibid.*, 168.

¹⁶ Waltz ignored the criticism of narrow definitions of interdependence in terms of vulnerability alone that was published in *Power and Interdependence* (fn. 8). Had he considered a more complex treatment of interdependence, he might have come to different conclusions about its decline.

again, Waltz's theoretical lens focuses so tightly on bipolarity that it tends to generate anomalies and to direct attention away from the discovery of new information.

It is not true that Waltz's theory is completely static, for changes in the structure predict changes in unit behavior. But change at the structural level seems to have occurred only once in three hundred years for Waltz. That leaves an awful lot of the stuff of international politics to be explained at the unit level. Waltz would admit as much, but he is then left with a theory that is so spare that nothing seems to move. The charge that Waltz has explained less about more of what concerned traditional Realists seems justified. It is ironic that Robert Gilpin appears in the Keohane volume in a cameo role as the author of a brief reply to Ashley's scatter-gun criticism of neorealism. Gilpin's own work represents an updating of Thucydides' classical Realist theory of hegemonic transition, which has disappeared in Waltz's nearly static neorealist world. Like Thucydides, Gilpin focuses on the ways in which uneven growth leads to cycles of rising and declining hegemonic states and the onset of great systemic wars.¹⁷ Whatever its own problems, Gilpin's version of Realism is dynamic and focused on explaining the major changes in world politics that slip through the coarse net of Waltz's neorealist theory. Gilpin achieves this, however, by eschewing a purely structural theory and reaching deep into the unit level of analysis.

THE REVIVAL OF LIBERAL THEORIES

Partly in reaction to the inadequacies of neorealism, a number of theorists have begun to resurrect Liberal theory. While admitting the diversity of Liberal theories, they argue that the core of Liberalism is a concern for liberty. That philosophical perspective is often correlated with such features as an interest in limited government, institutional restraints, and open contacts (including trade) across borders.¹⁸ Michael Doyle has pointed out different historical strands of Liberal thought in Schumpeter's economic theories of pacifism, Machiavelli's republican theories of imperialism, and Kant's liberal international confederation based on republican governments and transnational contacts.¹⁹ Robert Keohane has

¹⁷ Robert Gilpin, *War and Change in World Politics* (New York and Cambridge: Cambridge University Press, 1981).

¹⁸ Stanley Hoffmann, "Liberalism and International Affairs," in *Janus and Minerva* (Boulder, CO: Westview Press, 1987). Hoffmann points out a terminological difficulty: many Realists are liberal in their domestic political preferences.

¹⁹ Michael Doyle, "Liberalism and World Politics," *American Political Science Review* 80 (December 1986), 1151-69.

identified three major causal strands of classical Liberal theory: (1) commercial Liberalism, which asserts the pacific effects of trade; (2) democratic Liberalism, which asserts the pacific effects of republican government (at the unit level of analysis); and (3) regulatory Liberalism, which asserts the importance of rules and institutions in affecting relations between countries.²⁰ One might add a fourth: sociological Liberalism, which asserts the transformative effect of transnational contacts and coalitions on national attitudes and definitions of interests. Many of these Liberal causal theories were central to the neofunctionalist theories of regional integration developed in the 1950s and 1960s.

By and large, Rosecrance's *The Rise of the Trading State* fits mainly in the category of commercial Liberalism. His argument rests more upon the beneficial effects of trade than on the other three potential components of a neoliberal theory. Rosecrance's view (p. 218) that "if nuclear war can be ruled out, economic processes will progressively act to reshape the international world" bears a strong family resemblance to Richard Cobden's (1846) belief that "if we can keep the world from actual war, and I trust Trade will do that, a great impulse will from this time be given to social reforms."²¹

Rosecrance does not share all of the illusions of the classical free trade Liberals. He is fully aware that high levels of trade and other transactions did not prevent the outbreak of World War I, and that trade was often associated with conflict in earlier eras. But he argues that the world was different then: "the nineteenth and early twentieth century represent the apex of the military political system" (p. 88). In Rosecrance's view, "it was not until after 1945 that large-scale territorial expansion began to evolve as too costly—too dangerous and too uncertain as a general strategy of national advancement." As that lesson dawned, "one would have reached 'the Japanese period' in world politics . . ." (p. 20).

Even if Rosecrance proves to be correct in his projections, it is unclear to what extent the causation is due to factors stressed by Liberal or by Realist theories. Perhaps what happened after 1945 is that nuclear technology transformed a balance-of-power system into a balance of terror that encourages prudence about any territorial expansion that could raise nuclear risks. In this situation, Japan has found a more successful path to become the second-most-powerful economy in the world than it did in the 1930s. But it has done so while sheltered under the American nuclear

²⁰ Robert O. Keohane, "Economic Limits of Modern Politics: International Liberalism Reconsidered," unpub., 1986.

²¹ Cobden, quoted in Kenneth Waltz, *Man, the State, and War* (New York: Columbia University Press, 1959), 104.

umbrella and spending only one percent of its GNP on defense. Rosecrance admits that hegemonic stability theory may have some relevance, but he argues that it does not explain "why there has not *already* been a marked decline in international economic cooperation . . . well after the onset of decline in American economic and military power" (p. 57). The answer may lie in the success of economic regimes (which Rosecrance discusses only briefly); or in the exaggeration of the decline of American power; or in Waltz's theory of the stability of bipolarity; or in the paralysis of the territorial conquest system caused by nuclear risk.²² Causation remains unclear in Rosecrance's account.

Because Rosecrance is cautious, there are really two versions of his argument—a strong form and a weak form. The strong form is close to classic commercial liberalism. "Since 1945, the world has been poised between . . . [a] territorial system . . . composed of states that view power in terms of land mass . . . and [a] trading system . . . based on states which recognize that self-sufficiency is an illusion," Rosecrance writes (p. 16). "A major crossroads is now approaching. . . . In the past the military-political world was efficient. It was cheaper to seize another state's territory by force than to develop the sophisticated economic and trading apparatus needed to derive benefit from commercial exchange with it" (p. 160). "The current equipoise . . . can scarcely be maintained," Rosecrance argues (p. 165). "The worst aspects of the Westphalian system with its emphasis on territoriality, sovereignty, and a spurious independence, are likely to be mitigated in the years ahead" (p. 211). "The increasing deconsolidation of traditional states and the decline of national loyalty as they seek to serve such purposes gradually undermines the military-political system" (p. 214).

But this strong liberal theory is eroded by the more cautious form of the argument. Dualism is proffered as "the minimum possible approach to an international theory" (p. 60).²³ Which strategy will be dominant cannot be predicted at present. One can commend Rosecrance for his cautious judgments when faced with a confusing reality, but such caution

²² For alternative explanations, see Robert O. Keohane, *After Hegemony* (Princeton: Princeton University Press, 1984), and Bruce Russett, "The Mysterious Case of Vanishing Hegemony: or Is Mark Twain Really Dead?" *International Organization* 39 (Spring 1985), 207-31.

²³ Rosecrance mistakes the argument in *Power and Interdependence* as being similar to his own. Keohane and I did not establish "dualistic categories: power and interdependence . . . power is the preeminent goal of a state-centric universe, but interdependence is a characteristic that only applies when states as entities have lost control" (p. 62). On the contrary, we argued the need to see asymmetrical interdependence as a source of power. Rosecrance seems to confuse the ideal type of complex interdependence developed in chapter 2 of our work with our larger argument about interdependence.

does not enhance theoretical development. One wishes Rosecrance had gone further in specifying the relationship between the Liberal and Realist components of the dualistic theory he suggests in the weak form of his argument. Perhaps if he had gone beyond commercial liberalism and explored more deeply the effects of transnational contacts on domestic political coalitions, or looked more carefully at the effects of regimes on learning (even in the security area where he discounts regimes), he might have begun to suggest such connections. Since he did not, we are left with a suggestive work, but one that hardly provides the neoliberal theory needed to accompany Waltz's neorealism.

DIRECTIONS FOR FUTURE RESEARCH

What do these works suggest for future research programs in international relations? Taken on its own terms, Waltz's theory is too static to provide a rich agenda of research questions. But it may be more fruitful when coupled with the rational-actor approach that has received increasing attention in recent years.²⁴ Neither game theory nor expected utility are really theories of international politics because they need to import theoretical assumptions about context.²⁵ Here Waltz's structural theory can be helpful, but only if handled with care.

Rational-choice theories can be parsimonious and powerful, but as research strategies, they run risks that are reinforced by the sparse structure of neorealism. How preferences are formulated and how learning occurs may be more important than the actual choice, yet both rational choice and neorealism are weak in this dimension and tend to turn attention in other directions. Moreover, while there is no *a priori* reason why game theory cannot be applied to transnational actors as well as to unitary state actors, such analyses are rare. The benefit of marrying rational choice with neorealist approaches is a double parsimony. The danger is that each already has a negative heuristic that directs attention away from preference formation and transnational interactions. Theorists who would make the marriage must be alert to such costs and open to the insights to be gained from other variants of Realist as well as Liberal theory.

Rosecrance's work suggests a number of interesting avenues for those who wish to develop neoliberal theory. Many of the questions he raises in

²⁴ See Bruno Bueno de Mesquita, *The War Trap* (New Haven: Yale University Press, 1981), and the special issue of *World Politics* 38 (October 1985), *Cooperation under Anarchy*, Kenneth A. Oye, ed. (also published under that title by Princeton University Press, 1986).

²⁵ Note the assertion by Duncan Snidal, "The Game Theory of International Politics," *ibid.*, 25-57.

the area of commercial Liberalism suggest both historical and contemporary research about the interconnection between power and non-power incentives with which states are confronted. But the indeterminacy of his work also suggests the limits of commercial liberalism alone. Much more attention needs to be paid to the effects of norms and institutions, both in the economic and in the security area. More can be done with the ways in which transnational contacts and coalitions affect attitudes, learning, and formulation of preferences. A careful rereading of neofunctionalist integration theory can suggest numerous hypotheses. Finally, neoliberal theory should not neglect the unit level of analysis. Michael Doyle's work on the possible causal relationship between democratic governments and foreign policy choices is highly suggestive.²⁶

Above all, it is important to pay more attention to the ways in which Liberalism and Realism relate to each other. One way is to be less restrictive in the basic assumption of anarchy. Alker attacks the metaphor of "anarchy" and argues for Hedley Bull's concept of an "anarchic society," which admits the absence of any formal government above states, but does not define anarchy as the absence of communication, cooperation, and governance.²⁷ In *Power and Interdependence*, Robert Keohane and I suggested that systemic theory could be enriched without (or before) retreating to the particularisms of the unit level of analysis by adding the concept of systemic process.

Systems have two dimensions: structure and process. We used the term "structure" in the neorealist sense to refer principally to the distribution of capabilities among units. "Process" refers to the ways in which the units relate to each other. In the metaphor of a poker game, the structure refers to the players' cards and chips, while the process refers both to the formal rules and the informal customs or conventions that affect interactions among the players. Variations in the ability of the players to calculate odds, infer the strength of opponents' hands, or bluff are at the unit, or actor, level.²⁸

Factors such as the intensity of international interdependence and the degree of institutionalization of international rules do not vary from one state to another on the basis of their internal characteristics. Therefore, they should not be termed unit-level factors according to Waltz's own def-

²⁶ Doyle, "Kant, Liberal Legacies, and Foreign Affairs," *Philosophy and Public Affairs* 12 (Summer 1983), 205-35.

²⁷ Hayward R. Alker, Jr. "The Presumption of Anarchy in World Politics," unpub., 1986. See also Hedley Bull, *The Anarchical Society* (London: Macmillan, 1977).

²⁸ See Robert O. Keohane and Joseph S. Nye, Jr., "Power and Interdependence Revisited," *International Organization* 41 (Autumn 1987), 725-53, for a fuller discussion of the concepts that are introduced here.

initiation. Making the unit level a grab bag for all unexplained variance is an impediment to the development of theory. Not only does it complicate the task of analysis by confusing unit-level factors referring to domestic political and economic arrangements with factors at the level of the international system; it also leads neorealist analysts to forgo the opportunity to theorize at a systemic level about nonstructural determinants of state behavior.

At the systemic level, in addition to the distribution of power, states experience constraints and opportunities because of changes in levels of world economic activity, technological innovation, shifts in patterns of transnational interactions, and alterations in international norms and institutions. These systemic processes affecting state choices can be categorized as non-power incentives and the ability to communicate and cooperate. Nonstructural incentives alter calculations of national interest without necessarily affecting the distribution of power among actors. For instance, the destructiveness of nuclear weaponry, which Waltz assigned to the unit level, is better portrayed as a feature of systemic process that produces incentives not to engage in warfare regardless of whether the structure is bipolar or multipolar. Similarly, reduced costs of communications and transportation may increase the benefits of transnational business and encourage state policies of greater economic openness, without any changes in the structure of power.

The ability to communicate and cooperate can provide opportunities for the redefinition of interests and for the pursuit of strategies that would not be feasible in a world where the only information available to states was about other states' preferences and the power resources at their disposal. Just as allowing players in Prisoners' Dilemma games to communicate with one another alters the nature of the game, so a systemic process that increases the capability of states to communicate and to reach mutually beneficial agreements can add to the repertoire of state strategies and thus alter political outcomes.

These two aspects of systemic process—non-power incentives and variations in the capacity to communicate and cooperate—have traditionally been emphasized by Liberal theory. Liberal theorists often stress the ways in which trade and economic incentives may alter states' behavior. Similarly, Liberal theorists often stress the effects of increased transnational (and transgovernmental) contacts on attitudes and abilities to communicate. Institutions and norms have always played a role in Liberal theory.

This is not to say that Liberal theory has addressed all processes at the systemic level. For example, most Realists have been concerned about

technological changes even when they do not alter the distribution of power. And there is much in Liberal theory about the effect of domestic politics that does not belong at the systemic level. However, the addition of the process level to the concept of structure in defining international systems provides an opportunity to develop a "neoliberal" systemic theory that moves toward a synthesis rather than a radical disjunction between Realism and Liberalism. Neorealism would be most appropriate at the structural level of systemic theory; neoliberalism would more often be fruitful at the process level.

The time has come to transcend the classical dialectic between Realist and Liberal theories of international politics. Each has something to contribute to a research program that increases our understanding of international behavior. Perhaps work in the 1990s will be able to synthesize rather than repeat the dialectic of the 1970s and the 1980s.

ONE

Realism, Neorealism and the Study of World Politics

ROBERT O. KEOHANE

WORLD POLITICS today is a matter of life and death—not just for soldiers or citizens caught in the path of war, but for the whole human race. Nuclear holocaust remains a continual threat. At a less apocalyptic level, world politics has a daily impact on the lives of people throughout the globe: political forces and decisions affect patterns of international trade, investment, and production. Whether OPEC oil will be cheap or dear; whether China will export textiles to the United States; how many Americans will work in the auto industry: all depend as much on political decisions as on patterns of comparative costs and efficiencies.

The complexities of security in a nuclear age, and of economic viability in an era of interdependence and rapid technological change, have created demands by policymakers for expertise on a myriad of international political issues. Thousands of experts, in and out of governments around the world, analyze the relative military forces of the superpowers, fluctuations in supply and demand in oil markets, or shifts in international patterns of comparative advantage. These observers interpret the significance of changes in policies of governments and nongovernmental actors such as transnational corporations and international organizations, and they seek to determine their impact—on Soviet or American security, Saudi or Mexican oil revenues, inflation in the United States, or the viability of high-tech industry in Europe.

Little of this immense application of brainpower to world affairs takes any explicit account of theories about world politics. Indeed, a naïve

observer might conclude that all of the relevant theories come from other disciplines: physics, laser engineering, petroleum geology, electronics, the economics of comparative advantage or exchange-rate determination. Foundations and governments display little interest in supporting theoretical work in international relations, compared with their zest for "policy-relevant" research or the incorporation into international relations of findings from other fields.

In view of this widespread lack of interest, the reader may well ask: "Why should I care about theoretical debates among scholars of international relations? If I want to understand world politics or make policy, shouldn't I devote my efforts directly to studying nuclear deterrence, OPEC, or the international financial system?" In other words, is the enterprise represented by this volume—abstract discussion of theoretical issues in international relations—relevant to the practical tasks of interpreting the world and seeking to change it? Does the theory of international relations have implications for practice? Should it be studied by practitioners or by those who seek to become policymakers in the future?

The contributors to this volume believe that theory does have implications for practice and that it should be studied by those who seek to influence events. In the first section of this introductory essay I present my reasons for holding such beliefs. After making my argument, I will turn to the issues raised by the tradition of political realism and its contemporary offshoot, "neorealism," and then conclude with a brief overview of the contributions that constitute this volume.

I. THEORY AND PRACTICE IN INTERNATIONAL RELATIONS

One reason for an aspiring practitioner to learn international relations theory would be to absorb valuable maxims or propositions that would prove useful in specific situations. If the conditions for applicability of these maxims are sufficiently well understood, and if the practitioner knows enough history to be able to place them in context, they can furnish useful guides to the interpretation of events. Even a limited, partial theory—with only a few propositions and a number of interpretive guides—can be useful. For instance, the realist theory of the balance of power, discussed by Waltz, could have alerted American policymakers in

the 1950s (who were excessively imbued with an ideological view of world politics) to the likelihood of an eventual Sino-Soviet split. Realist maxims would have counseled the United States to be in a position to make an alliance, or at least an accommodation, when feasible, with the weaker Chinese to counterbalance the Soviet Union—as Henry Kissinger and Richard Nixon eventually did.

Theory can therefore be useful: it is often better than unconscious adherence to the prejudices of the day. Nevertheless, it is necessary for any practitioner using international relations theory to remain skeptical; indeed, the more seriously the maxims are taken, the more important is the task of critical analysis. If the maxims apply only under certain conditions, or if the theory underlying them is fundamentally erroneous in its understanding of the forces affecting cooperation and discord, peace and war, they will be dangerously misleading. For example, the popular maxim in Western foreign policy after World War II, that appeasement (making concessions to others' demands) should be avoided since it breeds aggression, is by no means universally valid. Whether making concessions to others' demands breeds aggression depends, among other things, on the nature of the demands, the capabilities of the demander, and the willingness of the responding power to use force effectively, in a sustained way, as an alternative to making concessions. A policy of appeasement, disastrous when pursued by Britain and France toward Hitler, would not necessarily have been inappropriate for those two countries in their relations with Egypt in the mid-1950s or even for the United States in its relations with North Vietnam in the 1960s.

Practitioners cannot judge the validity of theories offered to them, or the conditions under which theoretical maxims might apply, without studying theory. It may appear, however, that practitioners could avoid the pitfalls of misguided or misapplied theory simply by shunning theory altogether; and indeed, most commentators on international relations avoid explicit discussion of theories of world politics. Yet to purge oneself of all traces of theory would be impossible, since even our intuitions about world politics are deeply affected by how the subject has been thought about in the past. For over 2000 years, thinkers have sought to understand, more or less systematically, the most basic questions of world politics: the sources of discord and of war and the conditions of cooperation and of peace. As Keynes said in another context, practitioners

are prisoners of "academic scribblers," whose views of reality profoundly affect the contemporary actions of practical people. The choice for practitioners is not between being influenced by theory or examining each case "on its merits": it is rather between being aware of the theoretical basis for one's interpretation and action, and being unaware of it.

Even if one could eradicate theory from one's mind, it would be self-defeating to try. No one can cope with the complexities of world politics without the aid either of a theory or of implicit assumptions and propositions that substitute, however poorly, for theory. Reality has to be ordered into categories, and relationships drawn between events. To prefer atheoretical activity over theoretically informed practice would be to seek to be guided by an unexamined jumble of prejudices, yielding conclusions that may not logically follow from the assumptions, rather than by beliefs based on systematic attempts to specify one's assumptions and to derive and test propositions.

The inescapability of theory in studying world politics suggests a second reason for exploring what are labeled here political realism and neorealism. Whatever one's conclusion about the value of contemporary neorealism for the analysis of world politics in our time, it is important to understand realism and neorealism because of their widespread acceptance in contemporary scholarship and in policy circles. Political realism is deeply embedded in Western thought. Without understanding it, we can neither understand nor criticize our own tradition of thinking about international relations. Nor could we hope to change either our thinking or our practice. All people who are interested in having a sustained professional impact on world affairs should study international relations theory at some time, if only to examine prevailing assumptions and evaluate the basic propositions that they might otherwise take for granted.

The danger that one will become the prisoner of unstated assumptions is rendered particularly acute by the value-laden nature of international relations theory. This does not mean that observers simply see what they want to see: on the contrary, virtually all serious students of world politics view it as a highly imperfect realm of action in which wrongdoing is common and unimaginable evil is threatened. Nevertheless, it is hard to doubt that scholars' values, and their own personal experiences and temperaments, affect which aspects of world politics they emphasize and

how strenuously, or desperately, they search for ways to mitigate the injustice and cruelty that is so evident. For this reason, as well as those mentioned above, interpretations of world politics need to be scrutinized critically—a task for which a certain degree of sophistication about the subject is essential.

An objection could be raised to the above argument. If a theory provides sufficiently accurate guidance about cause-effect relationships, and if its propositions about these relationships remain valid over time and under different conditions, practitioners may not need to study it deeply. They can learn its major theorems without being too concerned about how they were derived, or about the range of their theoretical application. A structural engineer, engaged in building bridges, can assume the validity of Newtonian physics and can apply its propositions without being able to derive them from basic premises. It is of no concern to the engineer that this same assumption would be terribly misleading for a scientist trying to understand black holes in outer space or the behavior of quarks at the subatomic level. Similarly, if the theories of world politics on which policymakers and commentators rely provided powerful, value-free explanations of outcomes in world politics, which were sure to remain valid throughout the time-horizon of policymakers, it would be unnecessary for interpreters of contemporary world politics to concern themselves with theoretical controversies. The methodological presuppositions of international political theories would be of no more concern to practitioners than are investigations of quarks or black holes to the bridge-building engineer.

But theories of world politics are not at all like those of physics: No careful analyst believes that our theories of world politics have attained either the explanatory quality or the practical usefulness of Newton's system, much less of quantum mechanics; and there is general skepticism that they will ever approximate the rigor and accuracy even of seventeenth-century physics. Furthermore, since both world politics and our values keep changing, there is no guarantee that even a well-tested theory will remain valid in the future. Each proposition of any theory of world politics should therefore be scrutinized carefully to ascertain the range of its applicability, its robustness under different conditions, and the likelihood of its being overtaken by events.

What this suggests sounds paradoxical. The problematic character of

international relations theory *increases* the importance of studying it deeply. If international relations theory were as generally valid as Newtonian physics is for ordinary events, practitioners could learn only its theorems, or maxims, without exploring carefully the question of on what assumptions, and under what conditions, they will continue to be applicable. But since it is neither so generally valid nor so unchangingly applicable, we must be on our guard. Critical reevaluation is continually important in international relations—more so than copybook learning.

Even if one accepts these arguments for studying international relations theory, it remains an open question whether political realism and neorealism constitute valuable ways to enhance our understanding of international affairs. Indeed, many of the disagreements expressed in this volume revolve around this point. It is to be anticipated that readers who are primarily interested in understanding contemporary world affairs, or in giving policy advice, will answer this question differently for themselves, reacting to this volume's debate over theories of world politics in at least three ways:

1. Some may conclude that neorealist theory provides a solid basis for understanding contemporary events, and that we are unlikely to make substantial additional theoretical progress in the near future. That is, even if the contribution of neorealist theory is relatively small compared with that of well-developed theories such as those of physics, the theory is the best we can construct, given the difficulties of the subject. Such a judgment would imply that students of world politics should learn the essentials of neorealist theory in order to avoid reliance on crude oversimplifications or caricatures; but that they should not dwell too long on theory, but go on to study specific aspects of contemporary international affairs in detail.

2. A different conclusion would be that neorealist theory has value in certain situations, but that for analyzing other situations it is of quite limited use—or even misleading—and could be improved through modification. For those who believe this, continuing to work on theory holds more promise than for those in the first camp: it is worthwhile to seek to modify and extend neorealist theory in order to increase its validity and usefulness. Practitioners who adhere to this view have two tasks: to distinguish carefully the areas where neorealist theory is applicable from those in which it is irrelevant or confusing; and to reflect periodically on new at-

tempts at international theory, asking themselves whether these could be helpful in interpreting contemporary events.

3. A third view would hold that neorealist theory is fundamentally flawed and misleading to the core—an “orrery of errors,” as Richard Ashley claims. From this perspective, theoretical work that fundamentally reinterprets the nature of world politics is crucially necessary; and in the meantime, policymakers and analysts of particular issues should strive to rid themselves of the pernicious biases of neorealism. From this perspective, studying neorealism is necessary in order to “know thy enemy.”

Whichever view is taken, some value will have been derived from studying realism and neorealism, even if exactly what has been gained will depend on the reader's own evaluation of the theoretical contentions put forward in this volume.

II. POLITICAL REALISM AND NEOREALISM

Even as long ago as the time of Thucydides, political realism (as described in more detail in my own essay later in this volume) contained three key assumptions: (1) states (or city-states) are the key units of action; (2) they seek power, either as an end in itself or as a means to other ends; and (3) they behave in ways that are, by and large, rational, and therefore comprehensible to outsiders in rational terms. These premises do not, by themselves, constitute the basis for a science: they do not establish propositions linking causes with effects. Yet they have furnished a usable interpretative framework for observers from Thucydides onward. Indeed, all three elements can be found in Thucydides' discussion of the causes of the Peloponnesian War in the first chapter of his book. Having described the complaints and legal violations leading up to the war, Thucydides observes that “the real cause I consider to be the one which was formally most kept out of sight. The growth of the power of Athens, and the alarm which this inspired in Lacedaemon, made war inevitable” (Thucydides, ca. 400 B.C./1951, chapter 1, paragraph 24). That is, the Lacedaemonians rationally feared that Athens would at some point direct its growing power against their interests, and decided to act while they could still exert some influence over the course of events.

One of the appeals of realist thinking is its applicability to practical

problems of international relations: it provides a readily comprehensible set of steps to be followed by those seeking to understand and deal with potential threats to the security of their states. Analysts working within the realist tradition will proceed as the Lacedaemonians did. They will focus on states that could constitute effective threats, alone or in coalition with one another, given the power at their disposal. They will interpret the actions of those states not on the basis simply of their announced policies or on the assumption that they will behave morally, but rather on the premise that they are seeking rationally to increase their power. And they will devise policies that would protect their own society by amassing or maintaining sufficient power, alone or in coalitions, to maintain their essential security interests.

In view of its easy applicability to a competitive interstate system, and its prudential maxims, it is not surprising that realism was regarded as intuitively plausible by statesmen in post-medieval Western Europe. After the Peace of Westphalia in 1648, with its legitimation of the state system, political realism became the generally accepted conventional wisdom, particularly in continental Europe. Critics of power politics who offered alternative plans based on loose federations of republican governments—such as Immanuel Kant, in *Perpetual Peace* (1795)—did not exercise decisive influence on the thoughts of those in power. The response of Frederick the Great to the earlier, more utopian, plan of the Abbé de Saint Pierre was rather typical: “The thing is most practicable; for its success all that is lacking is the consent of Europe and a few similar trifles” (Hinsley 1963: 45).

In Great Britain, however—and even more in the United States—there has been a greater tendency to envisage alternatives to power politics and to question the premises of political realism (Wolfers and Martin 1956). The arbitration movement, Woodrow Wilson’s speeches during World War I, and the Kellogg-Briand Pact of 1927 to “outlaw war” all exemplify this institutional and legalistic approach to international relations. Yet by the late 1930s this liberal theory was in decline: 1939 marked the publication date of E. H. Carr’s classic attack on the conceptions of harmony of interest, or of morality unrelated to power in world politics. As Carr stated in the second edition (1946) of *The Twenty Years’ Crisis, 1919–1939*, “in the international order, the role of power is greater and that of morality less” (p. 168).

World War II elevated this realist perspective to the new orthodoxy in Anglo-American thinking on international affairs. The struggle with Nazism cast doubt on the efficacy of international law and emphasized the role of power in world politics. This shift in perspective was particularly rapid in America, since the collapse of the European balance of power meant that the United States, no longer merely an observer of European foibles, had accepted the burdens, along with the heady privileges, of becoming a hegemonic power—one with both the willingness and the ability to make and maintain rules for world politics.

It is therefore not surprising that during and immediately after World War II the tradition of power politics was revived and reinvigorated in the United States. John Herz, George F. Kennan, Walter Lippmann, and Hans J. Morgenthau articulated what Morgenthau called “political realism,” in contrast to the “utopianism,” “legalism,” or “idealism” that they associated with liberal writers on international affairs. These self-styled realists sought to reorient United States foreign policy so that American policymakers could cope with Soviet attempts at domination without either lapsing into passive unwillingness to use force or engaging in destructive and quixotic crusades to “make the world safe for democracy.” Their ideas were greeted warmly by the policymakers, who sought, in Stanley Hoffmann’s words, to “exorcise isolationism, justify a permanent and global involvement in world affairs, [and] rationalize the accumulation of power.”

During the postwar years, political realism swept the field in the United States. Its opponents may have been overwhelmed as much by the exigencies of the Cold War as by the rhetorical brilliance of the leading realists or the power of their arguments. Yet for the most part, discussions of foreign policy have been carried on, since 1945, in the language of political realism—that is, the language of power and interests rather than of ideals or norms. In public discourse in the United States today, foreign policy prescriptions are rarely justified directly by reference to universal moral principles or utopian aspirations. When commentators wish to justify policy prescriptions on ethical grounds, they smuggle their ethics into the ambiguous and elastic concept of “the national interest.”²²

For commentators such as Kennan and Lippmann, the triumph of realism as a way of thinking about foreign policy was sufficient. They were more interested in practice than in abstract theory. Like them,

Morgenthau wished to influence contemporary foreign policy, and much of his writing critically assessed American actions in light of his conception of the "national interest." Morgenthau did not aspire to be a value-free scientist, detached from the world of power. On the contrary, he viewed realism largely as an interpretive guide, which would help us to "look over the shoulder" of a statesman, enabling us "to read and anticipate his very thoughts" (Morgenthau 1948/1978:5; Ashley 1981).

Yet Morgenthau also sought to use Realism to create what he called a "science" of international politics. He was, after all, a scholar who sought to extend knowledge as well as to apply it. Furthermore, he was well aware that political realism was at odds with the American political tradition and would therefore come under attack; when this happened, its status as a science would make it easier to defend. Thus it is not inappropriate for us to consider Morgenthau's bold attempt to create such a science, as long as we do not commit the error of assuming that this was his only aspiration, or that he can be categorized simply as a precursor of later analysts. He was, as Stanley Hoffmann points out, the founding father, if there is one, of our discipline (Hoffmann, 1977:44). Neither Kenneth N. Waltz's *Theory of International Politics*, four chapters from which are reproduced below, nor the responses of Waltz's critics, can be fully understood without some comprehension of Morgenthau's attempt to construct a theory of international politics.

Some of Morgenthau's arguments, such as his reliance on objective national interests, have been thoroughly discussed in the literature. His failure to explore problems of misperception systematically has been noted, and appropriate modifications have been introduced into the realist canon.³ Other conceptions of his, however, require more attention. Like all realists, Morgenthau relied heavily on the concepts of power, rationality and the balance of power; accordingly, analysis of his treatment of these concepts offers insights into the strengths and weaknesses of realist theory, and therefore into the nature of the task that Waltz set for himself.

Morgenthau characterized international politics as a struggle for power and argued that it could be understood by assuming that statesmen "think and act in terms of interest defined as power" (Morgenthau 1948/1967:5). International politics is a struggle for power not only because of the inherent logic of a competitive realm such as world politics, but also because of the "limitless character of the lust for power [which]

reveals a general quality of the human mind" (Morgenthau 1946:194). As Waltz (1959:34ff.) points out, Morgenthau is not content to see power as an instrument for the attainment of other ends in a competitive world, but regards it also as an end in itself, due to the nature of human beings.

Explanations of international conflict as resulting from human nature are vulnerable to severe criticism. As Waltz (1959:39) argues, they blame a small number of behavior traits for conflict, ignoring more benign aspects of human nature that point in the opposite direction. Furthermore, such theories fail to explain variations in warfare over time and space: if human nature is constant, why shouldn't warfare be constant as well?

If Morgenthau's reasons why world politics is a struggle for power are not entirely convincing, neither is his treatment of the concept of power itself. His definition of power was murky, since he failed to distinguish between power as a resource (based on tangible as well as intangible assets) and power as the ability to influence others' behavior. If the latter definition is adopted, *any* effective action in world politics will necessarily involve power; but since this is a tautology, we will have learned nothing about the capabilities that create such influence. Is others' behavior affected more by greater numbers of tanks, superior economic productivity, or by an attractive ideology? If, on the other hand, power is defined in terms of specific resources, we avoid tautology and can begin to construct and test theory. Unfortunately, however, theories based solely on definable power capabilities have proven to be notoriously poor at accounting for political outcomes (Baldwin 1979; March 1966; Keohane 1983, reprinted below in article 7).

Morgenthau's conception of rationality is clearer than his view of power. Although he does not offer a formal definition in *Politics Among Nations*, he seems to accept the conception that is standard in neoclassical economics. To say that governments act rationally in this sense means that they have consistent, ordered preferences, and that they calculate the costs and benefits of all alternative policies in order to maximize their utility in light both of those preferences and of their perceptions of the nature of reality.⁴

Morgenthau explicitly acknowledged that the assumption of rationality was not descriptively accurate—indeed, one of his purposes was to instruct leaders in order to enable them to act more rationally—but he

believed that it could be used as a baseline, which could be "tested against the actual facts," making a theory of international politics possible (Morgenthau 1948/1978:5). That is, even though such an assumption is not always descriptively correct, it serves a valuable theoretical function. With it, the analyst can infer actions from interests, and thereby construct an explanatory theory of behavior. Against the baseline provided by the theory's prediction, we can ask how "imperfections" caused by misperceptions, a lack of information, bargaining perversities, or even sheer irrationality could have made actual patterns of behavior diverge from our expectations.

Morgenthau's sophisticated use of the rationality assumption was consistent both with that of Thucydides and those of later realists and neorealists, including Waltz. Yet there are alternative approaches that do not sacrifice the possibility of systemic theory. One such research strategy would be to follow the lead of Herbert Simon, who introduced the notion of bounded rationality into the study of decisionmaking (Simon 1979, 1982). Actors subject to bounded rationality cannot maximize their utilities, since they find it difficult to use available information to calculate the costs and benefits of every alternative course of action. They therefore use shortcuts such as rules of thumb in order to "satisfice"—achieving a satisfactory level of performance rather than an optimal one. In the terms of Akerlof and Yellen (1985), they may be "near rational." That is, their deviations from rationality may not be so costly as to lead them to change their behavior.

This approach seems intuitively to describe governmental behavior better than does maximizing rationality; and it is also more plausible as a description of how business firms behave (Allison 1971; Snyder and Diesing 1977; Nelson and Winter 1982). Although Waltz is content to make theoretical assumptions about units that deviate sharply from their known patterns of behavior, this is not, *pace* Milton Friedman (1953), a universally accepted practice in the natural or social sciences (Cyert and Simon 1983:101; McKeown 1986). Indeed, the correctness of an empirically testable theoretical assumption is by no means irrelevant to the adequacy of a theory. As Cyert and Simon say about neoclassical theory, there are great difficulties in "attributing, to firms, decision processes more sophisticated than those yet invented by economists" (*ibid.*, p. 103).

This objection is reinforced by recent findings that satisficing or near

rational behavior at the unit level can produce substantially different system level outcomes than those characteristic of maximizing rationality. This suggests that systemic models based on maximizing assumptions may seriously distort our understanding of what happens in world politics. Students of international politics should be wary of becoming too attached to the assumptions of neoclassical microeconomics, just when these assumptions are under attack on behavioral grounds (Kahneman and Tversky 1984) and when imaginative economists are seeking to build rigorous models based on satisficing (Nelson and Winter 1982) or on near rationality (Akerlof and Yellen 1985). Conceptions of satisficing or near rationality open up the possibility of constructing systemic theories of world politics that do not rely on the implausible unit-level assumption of perfect rationality built into classical microeconomics (Keohane 1984, chapter 7).⁵

Morgenthau's third major concept was that of the balance of power, which he referred to as a "necessary outgrowth" of power politics (Morgenthau 1948/1967:161). The balance of power is for Morgenthau a "universal concept." His desire to demonstrate the universality of the balance of power may be what led him to use the term so broadly as to lead to inconsistency, as I. L. Claude (1962:25–37) showed. Morgenthau used "the balance of power" to refer to a situation of equilibrium as well as to any situation in which power struggles take place; but since Morgenthau did not regard equilibrium as inevitable, this double usage of the phrase led him into unresolvable contradictions.

Without coherent definitions of "power" and "balance of power," Morgenthau was unable to create a consistent and convincing theory. Subsequent attempts to construct better theory were made by others, notably Morton Kaplan (1957), Stanley Hoffmann (1959, 1965), and Richard Rosecrance (1963). All three of these theorists sought to use what Waltz refers to as "systemic theory" to attempt to account for state behavior. That is, they abandoned reliance on the nature of human beings to account for discord and cooperation in world politics, but focused instead on the competitive, anarchic nature of world politics as a whole. Furthermore, unlike Morgenthau—who sought general principles—they were more interested in explaining variations: alternations of war and peace, stability and instability. They asked not so much about an alleged "essence" of international politics as why international systems changed.

In chapter 3 of *Theory of International Politics* (not reprinted in this volume) Waltz agrees with these writers that a good theory of international politics must be systemic, since how the relationships among states are organized strongly affects governments' behavior toward one another. A system, for Waltz, consists of a set of interacting units exhibiting behavioral regularities and having an identity over time. Yet Waltz is severely critical of Hoffmann, Kaplan, and Rosecrance for not having gone beyond the description of international systems to identify their *structures*, defined separately from the attributes of and relations between the units. "In order to turn a systems approach into a theory, one has to move from the usual vague identification of systemic forces and effects to their more precise specification, to say what units the system comprises, to indicate the comparative weights of systemic and subsystemic causes, and to show how forces and effects change from one system to another" (Waltz 1979:40–41). And it is crucial that the analyst "carefully keep the attributes and interactions of the system's units out of the definition of its structure," if the theory is to avoid the perils of reductionism (relying for explanation on unit-level rather than system-level attributes) or tautology.

In chapters 4–6 of *Theory of International Politics*, reprinted as articles 3–5 of this volume, Waltz presents his own systemic theory.⁶ The chapter on "reductionist and systemic theories" defends the analytical priority of systemic theory and indicates how such a theory could meaningfully explain state behavior. "Political structures" argues that structure "defines the arrangement, or the ordering, of the parts of a system" (p. 73). Structures vary along three dimensions: by their ordering principles, the specification of functions of formally differentiated parts, and the relative capabilities (or power) of the units themselves. International relations is an anarchic rather than hierarchic realm, populated by units (states) performing similar functions. Thus any international systems that we analyze are "ordered" by the principle of anarchy. And in such systems, we need not be concerned with the functions performed by the units, since they are functionally alike. Thus the dimension of differentiation of units "drops out."

This characterization of the first two attributes of international systems enormously simplifies the analyst's task, since it means that structures of international systems differ only along the third dimension, that of the

distribution of power. In analyzing actual international-political structures, we therefore "abstract from every attribute of states except their capabilities." What emerges Waltz calls "a positional picture," which portrays the placement of the units—where they stand relative to one another—rather than their intrinsic qualities. The key changes that we are to look for, in international politics, are changes in the distribution of capabilities across units.

Waltz uses his definitions of system and structure in "Anarchic orders and balances of power" to develop a theory of the balance of power that will not be vulnerable to the criticisms leveled against Morgenthau. For Waltz, a good theory will not merely point to the importance of power and the balance of power, as Morgenthau did, but will account for the recurrent formation of balances of power in world politics, and tell us how changing power configurations affect patterns of alignments and conflict in world politics. From the anarchic nature of the international system, and the assumption that states "are unitary actors who, at a minimum, seek their own preservation and, at a maximum, drive for universal domination," Waltz deduces that balances of power must necessarily emerge. Furthermore, as states compete with each other "they will imitate each other and become socialized to their system" (p. 129).

In the next three chapters of *Theory* (not reprinted in this volume), Waltz applies his structural theory to issues of economic interdependence, military relationships, and what he calls "the management of international affairs." He argues in chapter 7 that discussions of interdependence exaggerate the extent to which great powers, including the United States, are dependent on others. In chapter 8 he contends that military power remains as useful as ever—even that its usefulness has increased—and that military bipolarity is remarkably stable. Chapter 9 emphasizes the role of great powers in maintaining order: the problem "is not to say how to manage the world, including its great powers, but to say how the possibility that great powers will constructively manage international affairs varies as systems change" (Waltz 1979:210).

The significance of Waltz's theory, as elaborated in the selections reprinted here, lies less in his initiation of a new line of theoretical inquiry or speculation than in his attempt to systematize political realism into a rigorous, deductive systemic theory of international politics. The Waltzian synthesis is referred to here as neorealism, to indicate both its

intellectual affinity with the classical realism of Morgenthau and Herz and its elements of originality and distinctiveness.⁷

III. CRITICISMS AND REBUTTALS

The importance of neorealism has been widely recognized, and it has been subjected to critical scrutiny from a variety of perspectives, and with varying concentration on Waltz's work. Of the articles reprinted here, only one (that of John Gerard Ruggie) actually constitutes a review essay of *Theory of International Politics*. The others all had broader purposes; but for each author, neorealism (a term coined, so far as I know, by Robert W. Cox) constitutes a central issue for discussion, and in every case Waltz's work is recognized as a major statement of neorealist doctrine. Since these articles appeared in a wide variety of publications (three different journals and one collection of works on political science as a discipline), they have often not been considered together, as major contributions to a sustained, focused debate. Thus a major purpose of this volume is to collect the debate on neorealism within one set of covers, so that students and other observers of world politics can focus coherently on the issues that it raises.

Until publication of this volume, Waltz had not responded in print to the criticisms expressed by Ruggie, Cox, Richard K. Ashley, and myself. A second purpose of *Neorealism and Its Critics*, therefore, is to provide an appropriate forum for Waltz to do this, giving readers the opportunity to judge the validity of his theory not only in light of the critics' arguments but in view of his defense and reconsideration of his views. Waltz's response clarifies his arguments, in some cases reducing the differences between himself and his critics, in others making the nature and significance of those disagreements more readily apparent. The intellectually honest and constructive character of his response both advances the debate and illustrates how genuine scholarly discourse should be carried out.

This volume begins with the principal theoretical chapters from *Theory of International Politics*, reprinted with only minor editorial changes so that each reader will have the opportunity to judge Waltz's theory, and the various criticisms of it, for himself or herself. The first commentary

consists of Ruggie's review essay; the articles by Keohane, Cox, and Ashley are presented in order of their increasing divergence from Waltz's premises. Following Ashley's essay, the volume continues with a response to Ashley's critique of neorealism by Robert G. Gilpin, and Waltz's concluding essay.⁸

John Gerard Ruggie embeds his criticisms of Waltz in a larger appreciation of his work, declaring *Theory of International Politics* to be "one of the most important contributions to the theory of international relations" since Waltz's last book on the subject, *Man, the State and War* (1959). Yet Ruggie also concludes that Waltz does not fully succeed on his own terms. By truncating his own concept of structure, Waltz has (according to Ruggie) made it impossible for his theory to account for major changes in world politics, such as that between the medieval and modern period. To show this, Ruggie focuses on the concept of sovereignty, arguing that the medieval system differed from the modern one "by the principles on the basis of which the constituent units are separated from one another" (p. 142). After correcting what he regards as Waltz's misleading definition of differentiation, Ruggie uses this concept to depict what he calls an "institutional transformation" from a medieval set of arrangements to the modern conception of sovereignty. He argues that the differentiation of units does not drop out of a structural theory of world politics, but provides a way of understanding change—from the medieval to modern system, and perhaps to a future international system.

Ruggie also criticizes Waltz for overlooking Durkheim's concept of "dynamic density"—the quantity, velocity, and diversity of transactions—as a determinant of change in world politics. Such changing patterns of interdependence could, according to Ruggie, affect world politics even without changes in the structure of the system, narrowly defined. Ultimately, for Ruggie, structural change has no source other than unit-level processes. Waltz's exclusion of such processes prevents him from developing a theory of change in the form of a "generative" model that would analyze how changes in interdependence, or "dynamic density," affect the relationship between the structure of an international system and the degree of order observed within it.

Robert O. Keohane focuses on what he calls the "research program" of Structural Realism—referred to in the rest of this volume as neorealism. Keohane accepts Waltz's emphasis on system-level theory and

his acceptance of the rationality assumption as *starting-points* for theory in international relations. Keohane argues that systemic theory is essential both because we have to understand the context of states' actions before accounting for the actions themselves; and because a good structural theory can be simpler (more parsimonious) and more readily testable than theories that rely on variations in the internal attributes of states.

Yet Keohane is dissatisfied with Waltz's theory. He seeks to show that Waltz's theory of the balance of power is inconsistent with his assumption that states seek to "maximize power." He points to difficulties in relying heavily on the ambiguous concept of power, especially when the contexts within which power is exercised are not sufficiently specified and distinguished from one another. He claims that Waltz fails to test his theory in accordance with the standards that he set up in chapter 1. He argues that Waltz's theory does not explain change well and agrees with Ruggie that more attention needs to be paid to connections between the internal attributes of states on the one hand, and the international system on the other.

Keohane suggests the need for a revised theory that incorporates Waltz's notion of structure but that takes seriously, as explanatory factors, elements of the international system not included in Waltz's limited conception of structure. Such a theory would follow the lead of earlier work by Keohane and Nye (1977), which emphasized the significance of economic processes and of international political institutions. Keohane calls for "systemic theories that retain some of the parsimony of Structural Realism, but that are able to deal better with differences between issue-areas, with institutions, and with change" (p. 197). Foreshadowing his later work (Keohane 1984), he also calls for more serious attention to the ways in which international systems may facilitate or inhibit the flow of information, thereby affecting the behavior of actors and their ability to cooperate with one another.

Robert W. Cox also focuses on the alleged inability of neorealism to comprehend change in world politics. In Cox's view, Morgenthau and Waltz infelicitously transformed realism from the category of historically based critical theory to what he calls "problem-solving theory," which regards contemporary institutions and power relations as permanent. Such a theory is flawed by the error of "taking a form of thought derived from a particular phase of history (and thus from a particular structure

of social relations) and assuming it to be universally valid" (p. 214). Critical theory is needed to understand change: the analyst needs to stand outside the prevailing order and inquire into how that order came about and what forces are at work to change it. The most promising form of critical theory, for Cox, is historical materialism, which sees conflict as a possible source of structural change rather than as "a recurrent consequence of a continuing structure" (p. 215). By analyzing the interplay of ideas, material capabilities, institutions, and social forces, critical theorists can understand how world orders, such as the *Pax Americana*, came about and can therefore discern some of the possible ways in which they might change.

In a postscript written especially for this volume, Cox contrasts the research programs of positivism (with which he associates Waltz's neorealism) and of historicism, or historical materialism (with which he identifies himself). Cox argues that neorealism does not sufficiently take account of human ideas and practices, and that its search for general laws prevents it from accounting for change. The research program of historicism, by contrast, involves finding connections between people's ideas and the material world, revealing the historical structures characteristic of particular eras, and ultimately explaining transformations from one structure to another. In contrast to neorealism, which is "ideologically at the service of big-power management of the international system," Cox's nondeterministic Marxism focuses on class struggle as "the heuristic model for the understanding of structural change" (p. 248).

Like Cox, Richard K. Ashley sharply distinguishes neorealism from the classical realism of Morgenthau and Herz. Neorealism, like structuralist analysis in other fields, seeks to "transcend empiricist fixations" by comprehending deeper levels of social reality through systematic social scientific investigation; yet according to Ashley, this attempt leads to contradictions and ideological narrowness. Neorealism is statist, yet the atomistic utilitarian epistemology adopted by its proponents undermines "the ideal of the state-as-actor upon which their distinction among 'levels' and their whole theory of international politics depend" (p. 279). Furthermore, the positivist commitment to technical rationality and the dichotomy between scientific knowledge and values "ties positivism to an ideology of its own" by endorsing an unquestionable faith in scientific-technical progress (p. 282). Positivism becomes committed to what Ash-

ley calls an "actor model" of social reality, within which science cannot question the constitution or the ends of social actors, but can only provide advice about means. In the end, therefore, "politics in neorealism becomes pure technique." Neorealism thus combines the superficiality of positivistic atomism and structuralism's inability to account for change, with an ideological aversion to critical thinking about values.

Ashley's alternative is his *dialectical competence model*, which has some obvious affinities with Cox's project for the analysis of changing social forces. Ashley's model would account for the emergence of balance of power politics and explore the conditions for its continuation or transformation. In particular, it would explore the subjective aspects of the balance of power, focusing on the manipulation of symbols and on learning. It would seek to provide an account of crisis and consider alternatives to "the modern global hegemony," in the hope of transcending its conditions of dominance. And it would reinterpret neorealism as a perverse research program contributing to "the impoverishment of political imagination and the reduction of international politics to a battleground for the self-blind strategic clash of technical reason against technical reason in the service of unquestioned ends" (Ashley, p. 297).

The criticisms of neorealism made by Ruggie, Keohane, Cox, and Ashley can be summarized with the aid of an architectural metaphor. Those who accept the foundations of neorealism, and the overall shape of the building, can still argue about the exact design. If the concept of international structure is valuable, how much should it include: what should be the boundaries between unit-level and system-level variables? To what extent should system-level analysis have priority over analysis of foreign policy, and how should the analysis of these two levels be linked? More fundamental questions about the edifice itself can be raised even by scholars who accept neorealism's utilitarian, positivistic methodology. How well-crafted are the cornerstone concepts of power, the balance of power and sovereignty? Shouldn't neorealist theory take better account of institutions and the role of information? How could neorealism be reformulated to account for transformation as well as continuity? Finally, the deeper foundations of the structure can be questioned. Neorealism, in the view of its more severe critics, ignores both history and human subjectivity. It does not investigate how the order that it analyzes came

about, nor does it consider the production relations on which it depends. Philosophically, according to the critics, neorealism does not rest on the solid rock of a coherent epistemology but rather is sinking into a swamp of a state-as-actor theory contradicted by its utilitarian premises.

In the symposium that accompanied "The Poverty of Neorealism" in *International Organization*, Robert G. Gilpin replied to many of Ashley's criticisms. In his essay reprinted below, Gilpin describes realism as emphasizing that "the final arbiter of things political is power," and that "the essence of social reality is the group," represented preeminently in our own time by the state. Gilpin concentrates his critique on Ashley's distinction between classical realism and neorealism. For Gilpin, continuity in the tradition of political realism is more important than differences between contemporary neorealists and their intellectual ancestors. Gilpin contends that the greatest realist writers have always appreciated "the intimate connection between international politics and international economics" (Gilpin, p. 309). Nor do neorealists adopt determinism in contrast to the classical realists' view that statesmen can change the international environment. Finally, the neorealists, like classical realists, adhere to moral values that they seek to promote: they are not guilty of "moral neutrality." On the contrary, "moral skepticism joined to a hope that reason may one day gain greater control over passions constitutes the essence of realism and unites realists of every generation" (p. 321).

Waltz, in his concluding essay, focuses principally on three issues that have attracted the attention of his critics: (1) what he calls his "sparse" definition of international-political structure, criticized especially by Ruggie; (2) his view on how theories should be tested, questioned by Keohane; and (3) his attempt to construct a problem-solving international structural theory of international politics rather than a critical theory of the state—which in his view is the focus of Cox's and Ashley's principal complaints.

In defending himself from Ruggie's charge of truncating the concept of structure and overlooking "dynamic density," Waltz argues that dynamic density reflects unit-level processes rather than system structure. In Waltz's view, elegant definitions of structure (which Ruggie regards as truncated and insufficiently rich) have the great virtues of precision and parsimony: they "enable one to fashion an explanatory system having only a few variables" (p. 330). They do not tell us everything; but they

do help us understand fundamental continuities in world politics that would otherwise be obscured by inclusion of too many other factors that vary from one era to another.

In responding to Ruggie's objection, Waltz is attempting also to rebut my own claim that a good systems-level theory would take into account "the institutional context of action as well as the underlying power realities and state position upon which Realist thought concentrates" (p. 195, below). Ruggie and I both seek to make systemic theory account for more of what we see by taking into account aspects of international systems that are excluded from Waltz's spare concept of structure. Waltz regards changes in the intensity of interactions among the members of a system, or in the international institutions that connect them, as unit-level phenomena because patterns of interaction are not included as part of his definition of system structure.

Yet these patterns do not depend on differences among the internal attributes of states. On the contrary, changes both in the intensity of interactions and in international institutions can take place even when states continue to be similar in their internal attributes. These changes, furthermore, may affect actors' behavior in classic systemic ways by altering the incentives and opportunities that face them. Such processes and institutions should therefore, in my view, be considered system-level rather than unit-level changes. By contrast, a unit-level theory relies on cross-national variations to explain variations in outcomes. The international system includes systemwide processes and institutions as well as a structure in Waltz's sense: this should not be forgotten when we construct systemic theories of international politics.⁹

In contrast to the continuing debate over the boundaries of systemic and unit-level explanations, Waltz's response to my points on testing seems to suggest convergence between our views. I had interpreted Waltz, in chapter 1, as believing that social science theories could be tested rigorously, and then criticized Waltz for not following his own methodological strictures. In his response, Waltz explicitly adopts a more complex and sophisticated view of social science theory-testing, one that is close to that of Lakatos, with which I am sympathetic. By renouncing the naïve falsificationism that he had seemed to adopt in chapter 1 of *Theory*, Waltz clarifies his views and removes the apparent inconsistency in his earlier argument.

In reply to Cox, Waltz affirms that he set out to construct what Cox refers to as problem-solving theory, and to do so at the level of the international system. In Waltz's view, it is these choices to which Cox objects: Cox believes in critical theory and thinks that without a theory of domestic politics and state-society relations, a theory of international structure is of limited value. To Waltz, Ashley's objections run along similar lines. Associating himself with Gilpin's response to Ashley, Waltz goes on to deny that he assumes, ahistorically, that states will always exist as they do now. "I find it hard to believe," he says, "that anyone would think that states will remain fixed in their present condition" (p. 339). He holds, however, that in building a systems-level theory, it is theoretically useful to assume unitary, purposeful states, whose internal characteristics do not vary. "A separate theory dealing with the politics and policies of states" would be valuable; but Waltz did not set himself this task.

According to Waltz, this separation of theories of international politics and theories of the state would be problematic only if one sought to combine international and domestic politics in one theory; but Waltz doubts that this is possible.

Waltz's response to Ashley takes us back to the issue that I raised earlier in this essay when discussing Morgenthau's conception of rationality. Since Waltz accepts the separation of international and domestic political theory, he is content to follow the lead of neoclassical economists, who do the same. Waltz argues that "economists get along quite well with separate theories of markets and firms" (p. 340). But a number of economists are discontented with the disjunction between our knowledge of firms' behavior and orthodox microeconomic theory. Richard Nelson and Sydney Winter view the neoclassical assumption that "economic man is a perfect mathematician" as an "affront to reason [that] is not innocuous" (1982:66). Richard Cyert and Herbert A. Simon regard this assumption as empirically indefensible and not in accord with the canons of natural science (Cyert and Simon, 1983:101). One of the issues highlighted by the debate between Waltz and his critics is precisely how serious is the disjunction between the assumptions of our systemic theory and what we know about unit-level behavior. Some of us seek eventually to build an integrated theory of world politics, linking the domestic and international levels of analysis, rather than being content with unit-level

and system-level theories that are inconsistent with one another. Insofar as this is our goal, we should hesitate before following the neoclassical economists into what may be an intellectual dead-end.¹⁰

CONCLUSION

The issues on which the neorealist debate explicitly focuses are familiar ones to social scientists, since they have to do with levels of analysis, the precision of concepts, and philosophical underpinnings of theory. Underneath these conundrums, however, lurk questions of purposes and values, theory and practice. The reality of domination—of certain states over others, and of elites over nonelites—continues. More novel is the shadow of atomic weapons, which hangs over all students of world politics today, giving urgency to their attempts to discover how conflict could be limited and cooperation facilitated. The widespread, if varied, sense of dissatisfaction with Waltz's version of neorealism has its roots not only in the critical, idealistic tradition of commentary on world politics, but also in the enormity of nuclear war. Although the critics reject the answers of Wilsonian liberalism, they share the traditional liberal, and Marxist, sense of unease about *Realpolitik*. They seek in some sense to move, in Ernst Haas's phrase, "beyond the nation-state" (Haas 1964)—by devising new international institutions or regimes, by thinking about changes in the principles of sovereignty on the basis of which units are currently separated from one another, or by fundamentally questioning the validity of the "state as actor" model on which neorealism relies.

Thus the critics of neorealism also challenge, more or less profoundly, the adequacy of the interstate system in the contemporary era; and this challenge raises once again the questions of theory and practice discussed in the first part of this essay. If neorealism as articulated by Waltz remains an adequate theory, efficacious action in world politics will have to take account of the limitations of anarchy to which it points. But if it is seriously incomplete, as Ruggie and I argue, more attention will need to be paid to aspects of world politics that it downgrades or ignores: economic and ecological interdependence, changes in the functional capabilities of governments, variations in the availability of information, and the role of international institutions and regimes. If it is erroneous to its

positivist core, as Cox and Ashley believe, the theory will need to be restructured in conjunction with massive changes in political practice. Reader judgments about these theoretical issues must necessarily affect how they think about foreign policy and world politics.

None of these issues can be resolved here; they can only be raised. Since this volume does not enunciate an orthodoxy, its contributors can only hope that you, the reader, learn from our disagreements:

Like or find fault, do as your pleasures are,
Now good or bad, 'tis but the chance of war.

NOTES

Hoffmann (1977), pp. 47–48. See Herz (1951); Kennan (1951); Lippmann (1943); Morgenthau (1946); and Morgenthau (1948/1967).

2. On the ambiguity of the "national interest," see Arnold Wolfers, "The National Interest as an Ambiguous Symbol," in Wolfers (1962:147–165). The ideological hegemony of realism is regarded as a mixed blessing by some of its original proponents. Herz has recently emphasized that he never regarded realism and idealism as incompatible. "'Realist liberalism' renders realism 'more humane' and idealism 'less chimerical'" (Herz 1981:203). Even Morgenthau, in *Politics Among Nations*, acknowledged that international politics operates within the framework of rules and institutions, although he stressed that it "cannot be reduced to legal rules and institutions" (Morgenthau 1946/1967:16).

3. On the concept of the national interest, see Rosenau (1968) and George (1980), chapter 13. For a classic study of misperceptions, see Jervis (1976). For an attempt to incorporate the concept of misperception into realist theory, see Kindermann (1985).

4. For an enlightening discussion of "rationale explanations" in political science, see Moon (1975), especially pp. 156–166. A pathbreaking although controversial attempt to use the assumption of maximizing rationality is Bueno de Mesquita (1981). For an incisive critique of this assumption, see McKeown (1986).

5. Readers of my article "Theory of World Politics: Structural Realism and Beyond" will recognize that I have become more skeptical of the value of assuming rationality than I was when the article was written. See below, pp. 190–197.

6. Chapter 1 of *Theory*, which indicates how Waltz views social theory and the tests he regards as appropriate for it, is also reprinted below, as article 2 of this volume.

7. Since I am critical of Waltz on a number of points, it follows that I am unwilling to classify myself as a neorealist, despite my sympathy with a number of Waltz's positions and Richard Ashley's inclusion of my name as one of the contemporary neorealists. As readers of my essay reprinted in this volume, or my subsequent book, *After Hegemony* (1984), will recognize, I admire the clarity and parsimony of

Waltz's systemic theory without subscribing to many of the inferences that he draws from it.

8. When I refer to myself in this essay with reference exclusively to my 1983 essay on theories of world politics, reprinted as article 7 below, I use the third person, but when I refer to my current views, I use the first person form.

9. The theory of regime change presented in *Power and Interdependence* (1977) by Joseph S. Nye and myself is a system-level rather than a unit-level theory by the criteria outlined in this paragraph. So is my functional theory of international regimes in chapter 6 of *After Hegemony* (1984).

10. As Timothy McKeown (1986) has emphasized, the question is how much we should rely on a theory whose premises are markedly inconsistent with what we know about how choices are actually made. Admittedly, as Waltz emphasizes, every theory employs simplifying assumptions; but if a theory neither makes accurate predictions about state behavior nor helps us understand the political processes of choice, it may be inferior to potential alternatives. Illustrating his argument, McKeown points out the difficulties encountered by several generations of structural theorists who have sought to explain states' trade policies by employing the unitary actor, utility-maximizing assumptions of microeconomics.

11. William Shakespeare, *The History of Troilus and Cressida* (1603), prologue, lines 30–31.

TWO Laws and Theories

KENNETH N. WALTZ

I WRITE THIS BOOK with three aims in mind: first, to examine theories of international politics and approaches to the subject matter that make some claim to being theoretically important; second, to construct a theory of international politics that remedies the defects of present theories; and third, to examine some applications of the theory constructed. The required preliminary to the accomplishment of these tasks is to say what theories are and to state the requirements for testing them.

Students of international politics use the term "theory" freely, often to cover any work that departs from mere description and seldom to refer only to work that meets philosophy-of-science standards. The aims I intend to pursue require that definitions of the key terms *theory* and *law* be carefully chosen. Whereas two definitions of theory vie for acceptance, a simple definition of law is widely accepted. Laws establish relations between variables, variables being concepts that can take different values. If a , then b , where a stands for one or more independent variables and b stands for the dependent variable. In form, this is the statement of a law. If the relation between a and b is invariant, the law is absolute. If the relation is highly constant, though not invariant, the law would read like this: If a , then b with probability x . A law is based not simply on a relation that has been found, but on one that has been found repeatedly. Repetition gives rise to the expectation that if I find a in the future, then with specified probability I will also find b . In the natural sciences even probabilistic laws contain a strong imputation of necessity. In the

INTERNATIONAL INSTITUTIONS and STATE POWER

Essays in
International Relations Theory

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Neoliberal Institutionalism: May 13 A Perspective on World Politics

Even those observers of contemporary world politics who have emphasized the importance of transnational relations agree that "states have been and remain the most important actors in world affairs" (Keohane and Nye, 1972:xxiv). Furthermore, they recognize that international systems are decentralized: "Formally, each is the equal of all the others. None is entitled to command; none is required to obey" (Waltz, 1979:88). Although the term "anarchy" is loaded and potentially misleading because of its associations with chaos and disorder, it characterizes world politics in the sense that world politics lacks a common government (Axelrod and Keohane, 1985:226). "In the absence of agents with system-wide authority, formal relations of super- and subordination fail to develop" (Waltz, 1979:88).

Yet it is also generally agreed that anarchy implies neither an absence of pattern nor perpetual warfare: "world government, although not reliably peaceful, falls short of unrelieved chaos" (Waltz, 1979:114). It would not be true to say of Europe in 1988 what Hobbes declared in 1651: "Persons of sovereign authority, because of their independency, are in continual jealousies and in the state and posture of gladiators, having their weapons pointing and their eyes fixed on one another—that is, their forts, garrisons, and guns upon the frontiers of their kingdoms, and continual spies upon their neighbors—which is a posture of war" (Hobbes, 1651/1958:108, Part 1, Ch. 13). Kenneth Waltz acknowledges that "world politics, although not formally organized, is not entirely without institutions and orderly procedures" (Waltz, 1979:114).

To understand world politics, we must keep in mind both decentralization and institutionalization. It is not just that international politics is "flecked with particles of government," as Waltz (1979:114) acknowledges; more fundamentally, it is institutionalized. That is, much behavior is recognized by participants as reflecting established rules, norms, and conventions, and its meaning is interpreted in light of these understandings. Such matters as diplomatic recognition, extraterritoriality, and the construction of agendas for multilateral organizations are all governed by formal or informal understandings; correctly interpreting diplomatic notes, the expulsion of an ambassador, or the movement of military forces in a limited war all require an appreciation of the conventions that relate to these activities.

THINKING ABOUT INTERNATIONAL INSTITUTIONS

The principal thesis of this book is that variations in the institutionalization of world politics exert significant impacts on the behavior of governments. In particular, patterns of cooperation and discord can be understood only in the context of the institutions that help define the meaning and importance of state action. This perspective on international relations, which I call "neoliberal institutionalism," does not assert that states are always highly constrained by international institutions. Nor does it claim that states ignore the effects of their actions on the wealth or power of other states.¹ What I do argue is that state actions depend to a considerable degree on prevailing institutional arrangements, which affect

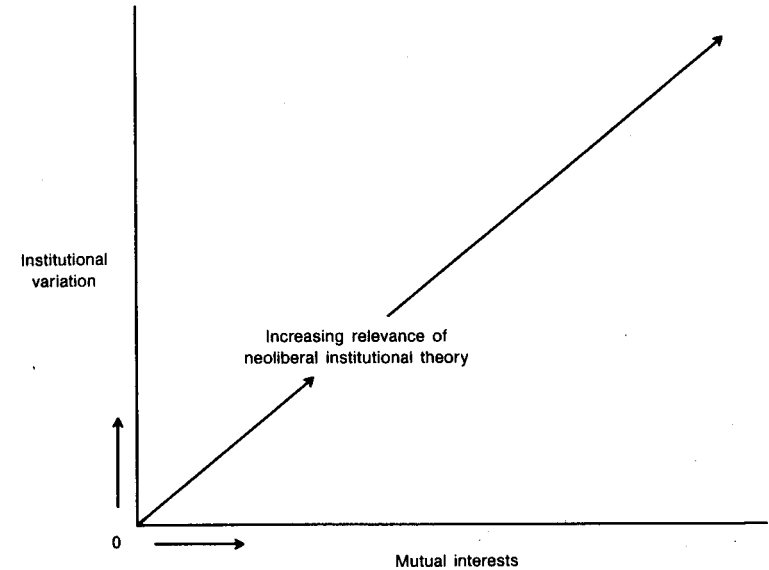
- the flow of information and opportunities to negotiate;
- the ability of governments to monitor others' compliance and to implement their own commitments—hence their ability to make credible commitments in the first place; and
- prevailing expectations about the solidity of international agreements.

Neoliberal institutionalists do not assert that international agreements are easy to make or to keep: indeed, we assume the contrary. What we do claim is that the ability of states to communicate and cooperate depends on human-constructed institutions, which vary historically and across issues, in nature (with respect to the policies they incorporate) and in strength (in terms of the degree to which their rules are clearly specified and routinely obeyed) (Aggarwal, 1985:31). States are at the center of our interpretation of world politics, as they are for realists; but formal and informal rules play a much larger role in the neoliberal than in the realist account.

Neoliberal institutionalism is not a single logically connected deductive theory, any more than is liberalism or neorealism: each is a school of thought that provides a perspective on world politics. Each perspective incorporates a set of distinctive questions and assumptions about the basic units and forces in world politics. Neoliberal institutionalism asks questions about the impact of institutions on state action and about the causes of institutional change; it assumes that states are key actors and examines both the material forces of world politics and the subjective self-understandings of human beings.²

The neoliberal institutionalist perspective developed in Part 1 of this volume is relevant to an international system only if two key conditions pertain. First, the actors must have some mutual interests; that is, they must potentially gain from their cooperation. In the absence of mutual interests, the neoliberal perspective on international cooperation would be as irrelevant as a neoclassical theory of international trade in a world without potential gains from trade. The second condition for the relevance of an institutional approach is that variations in the degree of institutionalization exert sub-

FIGURE 1.1
Conditions for operation of neoliberal institutionalism



stantial effects on state behavior. If the institutions of world politics were fixed, once and for all, it would be pointless to emphasize institutional variations to account for variations in actor behavior. There is, however, ample evidence to conclude both that states have mutual interests and that institutionalization is a variable rather than a constant in world politics. Given these conditions, cooperation is possible but depends in part on institutional arrangements. A successful theory of cooperation must therefore take into account the effects of institutions.

The two conditions of mutual interest and institutional variation are graphically portrayed in Figure 1.1.

Organizations, Rules, and Conventions

Chapter 7 discusses in detail what I mean by "institutions" and how I think that international institutions should be studied. I define institutions as "persistent and connected sets of rules (formal and informal) that prescribe behavioral roles, constrain activity, and shape expectations." We can think of international institutions, thus defined, as assuming one of three forms:

1. Formal intergovernmental or cross-national nongovernmental organizations. Such organizations are purposive entities. They are capable of monitoring activity and of reacting to it, and are deliberately set up and designed by

not 1.2 but the other part set for that purpose.

states. They are bureaucratic organizations, with explicit rules and specific assignments of rules to individuals and groups.³ Hundreds of intergovernmental organizations exist, both within and outside the United Nations system. Cross-national nongovernmental organizations are also quite numerous.⁴

2. *International regimes.* Regimes are institutions with explicit rules, agreed upon by governments, that pertain to particular sets of issues in international relations. In Oran Young's terminology, they constitute "negotiated orders" (Young, 1983:99). Examples include the international monetary regime established at Bretton Woods in 1944, the Law of the Sea regime set up through United Nations-sponsored negotiations during the 1970s, and the limited arms control regime that exists between the United States and the Soviet Union.⁵

3. *Conventions.* In philosophy and social theory, conventions are informal institutions, with implicit rules and understandings, that shape the expectations of actors. They enable actors to understand one another and, without explicit rules, to coordinate their behavior. Conventions are especially appropriate for situations of coordination, where it is to everyone's interest to behave in a particular way as long as others also do so. More specific contractual solutions—or regimes in the sense used earlier—are necessary to deal with prisoners' dilemma (PD) problems of major significance.⁶ But as Russell Hardin emphasizes, conventions do not merely facilitate coordination in pure coordination situations; they also affect actors' incentives. Since nonconformity to the expectations of others entails costs (Hardin, 1982:175), conventions provide some incentive not to defect, even in situations when, without the convention, it would pay to do so. Conventions typically arise as "spontaneous orders," in Young's terminology. Traditional diplomatic immunity was a convention in this sense for centuries before being codified in two formal international agreements during the 1960s.⁷ Reciprocity is also a convention: political leaders expect reciprocal treatment, both positive and negative, and are likely to anticipate that they will incur costs if they egregiously violate it—for example, by reacting disproportionately to barriers against their exports imposed by other states.

In thinking about international institutions, it is important to keep conventions in mind and to refrain from limiting one's frame of reference to formal organizations or regimes. Conventions are not only pervasive in world politics but also temporally and logically prior to regimes or formal international organizations. In the absence of conventions, it would be difficult for states to negotiate with one another or even to understand the meaning of each other's actions. Indeed, international regimes depend on the existence of conventions that make such negotiations possible.

Institutionalization in the sense used here can be measured along three dimensions:

- *Commonality.* The degree to which expectations about appropriate behavior and understandings about how to interpret action are shared by participants in the system;

- *Specificity.* The degree to which these expectations are clearly specified in the form of rules;
- *Autonomy.* The extent to which the institution can alter its own rules rather than relying entirely on outside agents to do so.⁸

An imaginary noninstitutionalized international system would lack shared expectations and understandings. Coordination would be impossible even when common interests existed. Policy in a true sense would be unknown, and state interaction would have a random quality. In practice, all international systems of which we have knowledge contain, or quickly acquire, conventions that permit coordination of action and alignment of interpretations of the meaning of action.

Conventions, however, do not necessarily specify rules with any precision. When international regimes are negotiated on the basis of previous conventions, they typically expand and clarify the rules governing the issues concerned. The process by which international regimes develop is therefore a process of increasing institutionalization.

But regimes cannot adapt or transform themselves. In the absence of international organizations, international regimes are entirely the expressions of the interests of constituent states. International organizations, however, evolve partly in response to their interests as organizations and partly in response to the ideas and interests of their leaders; and in this evolution they may also change the nature of the regimes in which they are embedded. Regimes with very clear rules could be more institutionalized than organizations with little autonomy and vague rules; but insofar as rules do not change, the emergence of international organizations indicates an increasing level of institutionalization.

The distinction among conventions, regimes, and organizations is not as clear in actuality as this stylization might seem to imply. Negotiated agreements often combine explicit rules with a penumbra of conventional understandings, which may be more or less ambiguous. Perhaps without exception, international organizations are embedded within international regimes: much of what they do is to monitor, manage, and modify the operation of regimes. Organization and regime may be distinguishable analytically, but in practice they may seem almost coterminous.

The Significance of Institutions

International institutions are important for states' actions in part because they affect the incentives facing states, even if those states' fundamental interests are defined autonomously. International institutions make it possible for states to take actions that would otherwise be inconceivable—for example, turning to the United Nations Secretary-General to mediate between Iran and Iraq, or appealing to nonproliferation rules in justifying a refusal to send nuclear reactor equipment to Pakistan. They also affect the costs associated with alternatives that might have existed independently: rules embodied in U.S.-Soviet arms control treaties increase the costs (especially

for future agreements) of building antiballistic missile systems, and GATT rules on import barriers increase the costs of imposing formal discriminatory quotas on imports. Evasion is often possible, as the innovation of "voluntary export restraints" indicates; but institutions do affect behavior, even if they do not always attain the desired objective.

Yet it would be misleading to limit the significance of institutions to their effects on incentives. Institutions may also affect the understandings that leaders of states have of the roles they should play and their assumptions about others' motivations and perceived self-interests. That is, international institutions have constitutive as well as regulative aspects: they help define how interests are defined and how actions are interpreted.⁹ Meanings are communicated by general conventions such as those reflecting the principle of reciprocity and by more specific conventions, such as those that indicate what is meant in a diplomatic communiqué by a "full and frank exchange of views." Meanings are also embedded in the rules of international regimes, such as those of the General Agreement on Tariffs and Trade (GATT), which specify and implement the principle of reciprocity.¹⁰

The constitutive dimension of international institutions raises what Alexander Wendt (1987) has recently described as the "agent-structure problem." To what extent are the agents of international relations, principally states, "constituted" or "generated" by the international system? Wendt points out that it would be impossible to understand "capitalists" as agents without a concept of "capitalism," and he draws an analogy to international relations: "The causal powers of the state . . . are conferred upon it by the domestic and international social structures by virtue of which it is a state in the first place" (Wendt, 1987:360).

It is worthwhile to point out, as Wendt does, that the way in which leaders of states conceptualize their situations is strongly affected by the institutions of international relations: states not only form the international system; they are also shaped by its conventions, particularly by its practices. But this abstractly valid point should not be pushed too far. In modern international relations, the pressures from domestic interests, and those generated by the competitiveness of the state system, exert much stronger effects on state policy than do international institutions, even broadly defined. International "social structures" are manifestly weaker than those of small homogeneous communities or even of modern national societies. Thus, although I accept the "structurationist" advice to be alert to the reciprocal interaction between state and international institutions, I do not wish to be interpreted as accepting the view that the causal impact of international institutions on state policy is as strong as that of states on international institutions.

There is no strict relationship between the degree of institutionalization of an institution and its importance to world politics. In addition to asking questions about institutionalization, we need to inquire about effectiveness, which is not necessarily correlated with institutionalization. Highly institutionalized arrangements can become ossified, encapsulated, or irrelevant.

The International Court of Justice at the Hague, for example, is certainly highly institutionalized but is of relatively modest significance in world politics today. It sometimes serves to articulate and specify conventions or regimes (as it did in the case of the American hostages in Iran), but it is only rarely called upon, and states frequently fail to implement its decisions. Likewise, practices that are not highly institutionalized may be of supreme importance, insofar as they provide the basis for interpretation of action throughout world politics. Sovereign statehood was one such practice even before its rules had been codified. Whether increasing institutionalization leads to greater effectiveness should therefore not be assumed; the issue needs to be addressed with the usual combination of theory (under what conditions does institutionalization increase effectiveness?) and empirical research.

With this clarification of what I mean by international institutions in mind, we can now turn to a comparison between neoliberal institutionalist theory, as exemplified in this volume, and two established schools of thought: contemporary neorealist political theory and liberalism. Neoliberal institutionalism has affinities and disagreements with both.

NEOLIBERAL INSTITUTIONALISM, NEOREALISM, AND LIBERALISM

Labels play a large role in contemporary writing on international relations: Appellations such as "realist," "neorealist," "mercantilist," or "liberal" pervade the literature. These conceptual tags often help to focus issues and stimulate debate, but when they are obsolete or inappropriate, they obscure more than they clarify. My own work, as represented in this volume, has variously been described as "neorealist" and as "liberal," but in my view these labels are misleading descriptions both of my own writings and of works that I regard as intellectually congenial. In this section, accordingly, I will compare neoliberal institutionalism with both neorealism and liberalism, indicating what I see as the affinities and the differences of view between neoliberal institutionalism and these two competing tendencies.

Neoliberal Institutionalism and Neorealism

Contemporary neorealist international political theory, as elegantly outlined in Kenneth Waltz's work, has enhanced our understanding of world politics by clarifying the concept of structure, and by using this concept parsimoniously to account for certain prominent patterns of international political behavior, such as the formation of balances of power. Chapter 3 of this volume analyzes neorealism (there referred to as "Structural Realism") and provides an assessment of its strengths and weaknesses.

Neoliberal institutionalism, as reflected in the essays in this volume, shares some important intellectual commitments with neorealism. Like neorealists, neoliberal institutionalists seek to explain behavioral regularities by examining the nature of the decentralized international system. Neither

neorealists nor neoliberal institutionalists are content with interpreting texts: both sets of theorists believe that there is an international political reality that can be partially understood, even if it will always remain to some extent veiled. Both also believe in trying to test theories, while recognizing that epistemology is also problematical: neither perspective is committed to the naive notion that reality can be objectively known.

Another reason for associating neoliberal institutionalism with neorealism is that both tendencies regard the international system as decentralized and take state power seriously. In the early part of my career I emphasized the significance of nonstate actors—then more often ignored than now. Subsequent research, especially that for *Power and Interdependence* (1977), persuaded me that these actors continue to be subordinate to states, although states may act in nontraditional ways due to changing systemic constraints. So I turned my attention back to states.

Finally, neoliberal institutionalists agree with neorealists that by understanding the structure of an international system, as defined by neorealists, we come to know "a small number of big and important things" (Waltz, 1986:329). As Waltz notes: "to the extent that dynamics of a system limit the freedom of its units, their behavior and the outcomes of their behavior become predictable" (1979:72). This is not to say that they become *perfectly* predictable: "Systems theories explain why different units behave similarly and, despite their variations, produce outcomes that fall within expected ranges. Conversely, theories at the unit level tell us why different units behave differently despite their similar placement in a system" (Waltz, 1979:72). Since no systems theory can be expected to account for the behavior of the units, we also have to look at policies and the exercise of state power—topics that require detailed empirical investigation and historical research.

Yet despite these affinities with neorealism, neoliberal institutionalism should be regarded as a distinct school of thought (Keohane, 1986:25–26, fn. 7). Although neoliberal institutionalists share the neorealists' objective of explaining state behavior insofar as possible through an understanding of the nature of the international system, we find the neorealist conception of structure too narrow and confining. Neorealism can account only for changes that result from shifts in relative state capabilities. Capabilities for Waltz refer principally to the economic resources and productivity of states, on the one hand, and to their military strength on the other (Waltz, 1979:98 and Chs. 7 and 8). Unless the positions of units change relative to one another, the neorealist cannot explain changes in their behavior. Yet, as indicated earlier, I believe that conventions in world politics are as fundamental as the distribution of capabilities among states: indeed, state action in the sense used by neorealists depends on the acceptance of practices such as sovereign statehood (see Chapter 7 of this volume). Thus I accept and generalize John Ruggie's argument that Waltz's conception of structure is unduly truncated, as well as static (Ruggie, 1983). Deeply embedded ex-

pectations are as fundamental to world politics as are the power resources of the units.

An implicit version of this appreciation of the role of expectations and conventions in world politics underlay the notion of "complex interdependence" that Nye and I developed in the 1970s, and that increasingly, it still seems to me, characterizes relationships among democratic industrialized countries, though not necessarily elsewhere in the world. The key characteristic of complex interdependence is the well-founded expectation of the inefficacy of the use or threat of force among states—an expectation that helps create support for conventions or regimes delegitimizing threats of force. Western Europe, North America, and Japan form a zone of complex interdependence: power is an important element in relationships among these states (as well as between states and nonstate actors), but this power does not derive from the use or threat of force toward one another.¹¹

Complex interdependence exemplifies the role of expectations and conventions in world politics—and therefore of institutionalization as defined above. My argument is that neorealism is underspecified because it fails to theorize about variations in the institutional characteristics of world politics. Because neorealists do not properly specify the nature of the international environment, their conclusions about self-help, about reliance on unit-level capabilities, and about sources of shift in patterns of interstate relationships are often wrong or at best misleading. Different international political systems have different degrees of institutionalization. In relatively non-institutionalized systems, the physical capabilities of states are most important: this is presumably what Waltz has in mind when he says of international relations that "authority quickly reduces to a particular expression of capability" (1979:88). But in relatively institutionalized international systems, states may be able to exert influence by drawing on widespread diplomatic norms, on legally institutionalized transnational financial networks, and on those international institutions known as alliances. During the Iran hostage crisis, for instance, the United States found these institutionalized arrangements more valuable in securing the honorable return of the hostages than military force—the archtypical realist capability (Christopher et al., 1985). An adequate understanding of state action in world politics depends on an appreciation of the strengths and weaknesses of institutionalization.

The essays in Part 1 of this volume, which were written between 1980 and 1988, all seek to contribute to our understanding of how and under what conditions world politics become more or less institutionalized. Chapters 3 through 5, written between 1980 and 1983, were part of my own intellectual struggle to come to terms with neorealism. Chapters 3 and 4 make quite a few concessions to neorealist arguments. In particular, Chapter 4, on the theory of hegemonic stability, displays a more positive evaluation of the explanatory power of neorealist theory than do my later writings.¹² Building on the earlier chapters, Chapters 6 and 7 explore the operation of reciprocity and examine the issue of institutional change via a comparison of rational-choice and reflective approaches to this issue.

Neoliberal Institutionalism and Liberalism

Liberalism is sometimes identified as a belief in the superiority of markets to state regulation of an economy. Thus defined, liberalism would be a highly inappropriate label for my work, which stresses the importance of international institutions, constructed by states, in facilitating mutually beneficial policy coordination among governments.¹³ Another conception of liberalism associates it with a belief in the value of individual freedom. Although I subscribe to such a belief, this commitment of mine is not particularly relevant to my analysis of international relations. One could believe in the value of individual liberty and remain either a realist or neorealist in one's analysis of world politics.

But liberalism also serves as a set of guiding principles for contemporary social science. As a guide to social scientific thought, it stresses the role of human-created institutions in affecting how aggregations of individuals make collective decisions. It emphasizes the importance of changeable political processes rather than simply of immutable structures, and it rests on a belief in at least the possibility of cumulative progress in human affairs. In this sense, the work presented in this volume indeed reflects a liberal spirit. Institutions change as a result of human action, and the changes in expectations and processes that result can exert profound effects on state behavior.

Consider the way in which international cooperation is viewed by neorealists on the one hand and neoliberal institutionalists on the other. Neorealists and neoliberals agree that world politics lacks stable hierarchy and that, as Waltz (1959:186) puts it, "in anarchy there is no automatic hierarchy." But Waltz also admits that "there is no obvious logical relation" between this proposition and the statement that "among autonomous states war is inevitable" (1959:186, Waltz's italics). Neoliberals argue that establishing a necessary logical link between anarchy and war is impossible: any connection that may exist between lack of harmony and warfare will be conditional on the nature of prevailing expectations in the system and, hence, on institutions.

Neorealists declare that "in a condition of anarchy, relative gain is more important than absolute gain" (Waltz, 1959:198) and that "the fundamental goal of states in any relationship is to prevent others from achieving advances in their relative capabilities" (Grieco, 1988:498). These statements do describe, at least roughly, U.S.-Soviet relations since World War II, and they are applicable to many other relationships, such as those between India and Pakistan and between Iran and Iraq. They are also theoretically plausible whenever states expect all others to be hostile and deceptive, and when states' margins of survival are small.¹⁴ But these statements do not accurately describe U.S. policy toward Europe or Japan for at least twenty years after World War II, or the relationships among members of the European Community (EC). And they are theoretically implausible when applied to situations in which substantial mutual gains can be realized through cooperation and in which governments do not expect others to threaten them with force.¹⁵

Such statements are not false in every case, but they are *conditional* on the nature of prevailing rules and expectations—that is, on international institutions as defined earlier. To understand world politics, we need to know about institutions, not merely about the existence of "anarchy" defined as lack of common government.

This is not to say that neoliberal institutionalism gives us the answer—only that it gets the question right. We need to understand which institutional patterns lead to more rather than less cooperative behavior among states; that is, we need testable conditional statements rather than dogmatic generalizations. Which conventions, regimes, and organizations promote cooperation? Since neoliberal institutionalists share with realists the assumption that leaders of states calculate the costs and benefits of contemplated courses of action, putting the issue in this way implies that we need to ask how institutions affect incentives facing states. Chapter 5, on the "demand" for international regimes, and Chapter 6, on reciprocity, explore issues of cooperation from this perspective.

These disagreements with neorealism may clarify my affinities with liberalism. In a fashion consistent with liberalism, I refuse to assume either unchanging definitions of interest in terms of relative gains or permanent patterns of conflict among states. For me, politics is open-ended and potentially progressive, rather than bleakly cyclical.

Yet my arguments diverge from those of much liberal international political theory. Liberalism in international relations is often thought of exclusively in terms of what I have elsewhere called *republican* and *commercial* liberalism (Keohane, 1989). Republican liberalism argues that republics are more peacefully inclined than despotisms. In its naive version, commercial liberalism argues that commerce leads necessarily to peace. The resulting caricature of liberalism posits the "harmony of interests" so tellingly criticized by E. H. Carr (1946). My own view is that republics are remarkably peaceful toward one another, but republics do not necessarily act peacefully toward nonrepublican states or toward societies not organized as states (Doyle, 1983). I believe that an open international economic environment, characterized by opportunities for mutually rewarding exchange under orderly sets of rules, provides incentives for peaceful behavior, but not that it necessitates or ensures such behavior. That is, cooperation must be distinguished from harmony. Cooperation is not automatic, but requires planning and negotiation. It is a highly political process inasmuch as patterns of behavior must be altered—a process that involves the exercise of influence. And influence is secured not only with the aid of persuasion and prestige but also through the use of resources—principally economic resources under conditions of complex interdependence, and military resources when conflicts of interest are very sharp and uses or threats of force are efficacious.¹⁶ Neoliberal institutionalists accept a version of liberal principles that eschews determinism and that emphasizes the pervasive significance of international institutions without denigrating the role of state power.

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SOME SUGGESTIONS FOR RESEARCH

I argued earlier that to understand international politics one must understand international institutions. At the end of its critique of neorealism, Chapter 3 makes a similar point in emphasizing that information, which reduces uncertainty, is both important and variable in world politics; and that one of the major functions of institutions is to retain and transmit information. Chapter 4 inquires into the extent to which patterns of change in postwar international economic regimes can be accounted for by shifts in power, as realists would predict. Chapter 5 uses rationalistic theory to examine the conditions—those of both “supply” and “demand”—underlying the emergence and maintenance of international regimes, and to elucidate some of the functions served by these regimes. Chapter 6 distinguishes between specific and diffuse reciprocity and explores how institutional innovations in international trade negotiations had the effect of combining aspects of both types of reciprocity in a way that facilitated multilateral trade agreements. Finally, Chapter 7 contrasts the rationalistic research program for understanding institutional change with “reflective” arguments stressing the role of human consciousness.

Chronologically, these essays reveal a progressively greater awareness of the importance and complexity of the institutional context of action in world politics. The earliest of them, Chapter 4, written in 1978–1979 and published in 1980, recognizes the importance of context but fails to specify its components or to theorize about institutions. Chapters 3 and 5, published in 1982–1983, are much clearer about the role of institutions in providing information, but the conception of institutions in these essays does not extend to conventions as defined above. The essay on reciprocity (Chapter 6) examines what I would now call the convention of reciprocity, and Chapter 7 argues that specific institutions are embedded in practices, which, as noted, constitute a type of convention. My personal intellectual history (Chapter 2), which was originally written for a collection of autobiographical essays, is designed to shed some light on these changes in emphasis by exploring how my family background, education, and professional roles have affected my perspectives on world politics.

The essays in Part 1 were written to clarify theory rather than to explore empirical or historical issues in depth. Yet theory and research should always be connected. It is misleading and pernicious to believe that the theorist does not have to be concerned with historical facts. Theory without empirical work is, in the long run, as empty as facts without theory. Thus the value of the essays in Part 1—particularly Chapters 3, 5 and 7 which make no empirical contributions—ultimately depends on the use that scholars make of my ideas in order to understand significant issues of world politics.

The essays in Part 2 at least gesture toward the need to use theory to explore history. Chapter 8 was written for a project, coordinated by John Gerard Ruggie, whose original impetus was provided by a question agitating students of the Third World in the late 1970s: could such countries benefit

from dissociating their economics from the advanced countries of the West? Since my knowledge of the Third World was slight, I turned my attention to the antebellum United States experience. My previous work on international independence, rather than any sophisticated understanding of international institutions, provided my conceptual perspective for this essay; but despite its lack of close fit with the institutional emphasis of Part 1, “Associative American Development” at least indicates my interest in combining historical analysis with theoretical inquiry. Chapter 9, a detailed review essay on U.S. oil policy in the 1940s, indicates that despite my preoccupation with systemic theory of late, I have not forgotten the role of private power and corporate interests in foreign policy: policy depends not merely on systemic conditions but on domestic politics as well. Finally, Chapter 10 again emphasizes the impact of domestic politics by showing how U.S. policy during the 1950s permitted the demise of the strategy of hegemonic leadership by failing to ensure the maintenance of U.S. power resources that were essential to its continuation. It provides some background to the current belated debate about the decline of U.S. hegemony.

These essays take us to the threshold of an institutionalist research program. The theoretical chapters explain the need for a neoliberal institutionalist perspective, and the historical chapters illustrate the importance of domestic politics and the limited explanatory impact of system structure. But the link between theory and history is not forged; indeed, all of the historical essays were written before the major theoretical chapters. My 1984 volume, *After Hegemony: Cooperation and Discord in the World Political Economy*, does use institutionalist theory to explore the postwar international political economy in a relatively well-integrated fashion. But it deliberately eschews any attempt either to go more deeply into history or to use the institutionalist framework to analyze security affairs. Both deeper historical research and greater probing of security issues from an institutional standpoint should be on our research agenda.

What are the research implications of taking international institutions seriously? And where should we go next? Even to ask these questions seems to reveal a sort of *hubris*: Why should one scholar seek to define what other people should work on? Rather than sketching out a grandiose plan that no one would follow, therefore, I will simply indicate some general directions that seem to follow from the perspective outlined in this chapter. I will conclude by considering research that might help us to evaluate the comparative merits of neorealist and neoliberal institutionalist theory.

Neoliberal institutionalism calls for renewed attention to international organizations. During the last fifteen years, scholarship has followed policy in denigrating the significance of major international organizations such as the European Community and the United Nations. But despite what one might expect from the absence of literature on these organizations, there seems to be life in both of them. As I write these lines in September 1988, the EC is launching a major program to dismantle internal commercial barriers by 1992, under the Single European Act adopted by the member

governments at the end of 1985. And the secretary-general of the United Nations has during the last few months arranged for the gradual withdrawal of Soviet troops from Afghanistan and for a cease-fire between Iran and Iraq. Both arrangements are to be policed by UN peacekeeping forces, which have just been awarded the Nobel Peace Prize for 1988. International organizations are not central to contemporary world politics, but they are more important than neorealist research has been willing to acknowledge.

Neoliberal institutionalism also insists on the significance of international regimes and the importance of the continued exploration of the conditions under which they emerge and persist. Judging from the literature in international relations journals, this battle has been won in the area of political economy: studies of particular international economic regimes have proliferated.¹⁷ As generally recognized, it is important that domestic politics be taken into account in exploring how regimes operate, how they change, and what impact they have on governments, as Chapter 7 suggests. But we need to carry the investigation of international regimes further into the security area, as a number of authors have begun to do.¹⁸

The third type of international institution discussed at the beginning of this essay is the convention: an informal institution, with implicit rules and understandings, that shapes the expectations of actors. Conventions change over time, although the pace of change may be slow. To understand the changes in world politics over the course of centuries, we need to understand how conventions change. Otherwise, we are likely either to assume that the past must repeat itself (as realism so often assumes) or to be guilty of anachronism (that is, of reading the premises and values of the present back into the past). John Ruggie's exploration of sovereignty has shown the importance of exploring the premises and patterns of thought of previous generations (Ruggie, 1983), but his suggestive work has not yet been followed by detailed studies of conventions and how they change.¹⁹

As we understand more about the roles of institutions in world politics, the failure of neorealism to theorize about the causes or effects of institutions will become increasingly noticeable. With respect to issues on which states have substantial mutual interests, neoliberal theories have correctly anticipated that governments would create durable international regimes and organizations, and that the most extensive powers would be given to organizations with relatively few members, in which it would be feasible to monitor compliance with rules. The European Community, the Group of Five in international financial affairs, and the UN Security Council (as compared to the General Assembly) provide cases in point. On issues with substantial mutual interests (world trade is a prominent example), issue-linkages have often facilitated cooperation, as neoliberal theory would predict. It would be useful, as Joseph Grieco has proposed, to undertake systematic comparisons of neorealist and neoliberal theory as applied to the international political economy; there is much evidence to suggest that neoliberalism would be superior as a framework for analysis of these issues.²⁰

It has often been assumed that neorealist theory is appropriate for the study of security issues; yet on some security issues, states have substantial

mutual interests that can be realized only through institutionalized cooperation. Consider, for example, the phenomenon of international alliances. Currently, the theoretical literature on alliances views them from a neorealist perspective. According to this literature, alliances result from relations of major antagonism and are formed to supplement the capabilities of the parties (Liska, 1962:14–20; 26–27). They are viewed as fundamentally shaped by the structure of the system, defined in neorealist terms. For instance, Glenn Snyder (1984) argues that NATO's stability is assured by the structure of bipolarity; Robert S. Ross (1986) shows that changes in Sino-American relations have resulted from shifts in the Soviet threat and in the positions of the United States and China in the three-power triangle; and Stephen M. Walt (1987) examines the effects of shifts in capabilities and threats on alignment patterns in the contemporary Middle East. But none of these otherwise perceptive works takes advantage of the fact that alliances are *institutions*, and that both their durability and strength (the degree to which states are committed to alliances, even when costs are entailed) may depend in part on their institutional characteristics. None of them employs theories of institutions to examine the formal and informal rules and conventions on which alliances rely. Thus questions such as the following are not asked:

- Are formal alliances more durable or stronger than alignments based on informal agreements?
- How much difference do executive heads of alliance organizations, and their bureaucracies, make in terms of the durability or strength of alliances?
- To what extent do alliances provide information to their members that facilitates cooperation, therefore contributing to alliance durability or strength?
- Do alliances ever develop norms that are not subject to calculations of interest, and that are therefore genuine normative commitments for participants? If so, under what conditions (domestic as well as international) do such commitments emerge?
- Do open democratic governments find it easier to maintain alliance ties than closed authoritarian regimes?²¹

I believe that a comparison of neorealist interpretations of alliances with a sophisticated neoliberal alternative would show that neoliberal theory provides richer and more novel insights, without sacrificing the valuable arguments of neorealism. Similar conclusions may hold in other security issues, such as those concerning economic sanctions and unilateral versus multilateral arrangements for military procurement.²² Indeed, the study of security and cooperation, using neoliberal theory, should be highly worthwhile during the next decade.

In comparing neoliberal institutionalism with neorealism, we must understand that neoliberal institutionalism is not simply an alternative to neorealism, but, in fact, claims to subsume it. Under specified conditions—

where mutual interests are low and relative gains are therefore particularly important to states—neoliberal theory expects neorealism to explain elements of state behavior. Thus a success for neorealism is not necessarily a failure for neoliberalism. Yet even under favorable circumstances, neorealism will fail to account for those aspects of behavior that have their source in institutional variation. For example, neorealism's account of alliances is valuable but thin. And under conditions in which concern for relative gain and threats of force are low, neoliberalism expects neorealism to yield false predictions.

During the last several years, debates between neorealists and neoliberal institutionalists have been both extensive and intensive (Keohane, 1986). Indeed, this controversy has now reached the point at which further theoretical controversy is likely to be fruitless: abstract argument must yield to empirical research and evaluation. I expect future research to show that where the predictions of neorealism and neoliberal institutionalism diverge, those of neoliberal institutionalism will be, on the whole, both richer and more accurate. Even in cases where neorealist predictions are essentially correct, attention to institutional variation will often provide additional insights. If these expectations are borne out, writing the essays in this volume will turn out to have been worthwhile.

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NOTES

1. Joseph Nye (1988) refers to work such as mine as “neoliberal.” Expanding Nye's phrase, Joseph Grieco employs the appropriate label of “neoliberal institutionalism” and provides a number of interesting critiques from the perspective of realist political thought. Unfortunately, however, he misinterprets my discussion of utility functions to imply lack of concern by states for the wealth and power of others. My assumption in *After Hegemony*, to which I continue to adhere, is that states' utility functions are independent of one another. This assumption, however, clearly does not imply that states ignore the effects of their actions on other states' power and welfare, insofar as these changes may affect the states' future actions toward themselves and, hence, their own utilities. Indeed, the focus on strategic interaction in my work clearly implies that actors must be careful to assess the indirect effects of their actions on their future payoffs (effects that operate through the power and incentives of their partners). Compare Grieco, 1988:496–497 with Keohane, 1984:Chs. 5–7 (especially p. 123).

2. Examples of neoliberal institutionalist thinking can be found in the following, among other works: Krasner, 1983; Oye, 1986; and Aggarwal, 1985.

3. This definition has been adapted from that given by Ernst Haas at a meeting on international cooperation and institutions. This meeting, supported by the Social Science Research Council, was held at the Center for Advanced Study in the Behavioral Sciences in Stanford, California, on January 29, 1988.

4. Transnational organizations, most notably multinational corporations, are a subject for another analysis. Often they are organizations with roots essentially in one country that operate transnationally—quite different from truly international governmental or nongovernmental organizations.

5. Extensive terminological discussion of regimes has convinced me that it is clearest to limit the term “regimes” to institutions with explicit rules, negotiated by states. As Haggard and Simmons point out, “focusing on ‘implicit regimes’ captures the convergence of actor expectations and may help us summarize a complex pattern of behavior, but it begs the question of the extent to which state behavior is, in fact, rule-governed” (Haggard and Simmons, 1987:494).

6. As Duncan Snidal argues, where a problem involves a relatively minor prisoners' dilemma element, convention may be adequate; but “successful resolution of major PD problems will require a higher level of institutionalization than in coordination problems” (Snidal, 1985:939).

7. Terminological confusion may be caused by the fact that in international law, such formal agreements are often known as “conventions.” The agreements on diplomatic immunity are the 1961 Vienna Convention on Diplomatic Relations and the 1963 Vienna Convention on Consular Relations (Schacter, 1985). I use “convention,” however, in the social theory sense rather than in the international law sense.

8. This criterion is suggested by Samuel P. Huntington, who includes *autonomy* as one of his criteria, meaning “the development of political organizations and procedures that are not simply expressions of the interests of particular social groups” (Huntington, 1968:20). Huntington's other three criteria—adaptability, coherence, and complexity—seem more relevant to the chief focus of his work—political organizations—than to institutionalization as used here.

9. On constitutive and regulative aspects of rules, see Giddens, 1984. My thinking on these issues has been helped by discussions with David Dessler and by a recent paper of his (Dessler, 1988).

10. Some conventions are deeply constitutive, in the sense that their rules cannot change without causing the fundamental nature of the activity to change. I refer to these conventions as *practices* in Chapter 7. In international politics, sovereign statehood is the best example of a practice: if the concept of sovereignty and the rules governing recognition of sovereign actors were to change, international relations as such would be fundamentally transformed. Insofar as they are intrinsically connected with sovereign statehood, diplomatic immunity and reciprocity can also be considered to have the status of practices. Practices originate as conventions, but they may become codified in the form of regimes. It should be emphasized, however, that not all conventions are practices. Many conventions are not sufficiently intrinsic to international relations to qualify as practices; indeed, they may reflect customary behavior that could change without fundamentally affecting the nature of world politics.

11. For a fuller discussion of the concept of complex interdependence, and of some difficulties in the way that Nye and I articulated it, see Keohane and Nye, 1987.

12. In “The Theory of Hegemonic Stability” (Chapter 4 of this volume) I conclude that “we should be cautious about putting the hegemonic stability theory forward

as a powerful explanation of events." However, I added that "to ignore its congruence with reality, and its considerable explanatory power, would be foolish." In *After Hegemony* (1984) I likewise argued that the theory of hegemonic stability provided a useful starting-point for analysis, which I saw as "suggestive but by no means definitive." But in that work I also characterized it as "somewhat simplistic," omitted any reference to its "explanatory power," and questioned its empirical basis as well as its logic. The two arguments are consistent, but my later language indicated more skepticism—as well as a desire to avoid the misinterpretations of my earlier paper as representing advocacy of the theory. In contemporary writing on international relations, avoiding misrepresentation requires attention not only to the substance of one's argument but also to tone and rhetoric.

13. It would also be mistaken to believe that I am particularly sympathetic to this neoclassical liberalism on normative grounds. I recognize the efficiency advantages of well-functioning markets and the liabilities of state control, but I regard unregulated markets as biased against people disadvantaged by lack of marketable skills, mobility, or sophistication. Some regulation is needed not merely to keep markets functioning efficiently but also to counteract the inequities that they generate.

14. Hardin (1982:213) points out that a reputation for trustworthiness cannot be acquired in a system in which there is a very low incidence of trustworthy behavior. "If almost no one is trusted, then I will not be trusted even if I am—alas, known only to me—utterly trustworthy. . . . This much we have in common with used cars: the incidence of enough lemons among us will wreck the reputations of us all."

15. If relative gain were unconditionally more important than absolute gain, as Waltz and Grieco claim, trade between great powers would be anomalous. One would expect export controls such as those applied by the United States against the Soviet Union to be the rule rather than the exception.

16. On cooperation and harmony, see Keohane, 1984:51–55. On the conditions of complex interdependence and realism, see Keohane and Nye, 1989:158–162 and Chs. 1 and 2.

17. For a partial listing, see Keohane and Nye, 1987:741, fn. 33.

18. Nye, 1987 (see especially pp. 374–378), cites the relevant works in his discussion of this issue.

19. Ernst Haas's forthcoming study of adaptation and learning in international organizations examines the related issue of how ideas guiding international organizations change. See Haas, 1988.

20. For the predictions of neoliberal theory about organizational size and durability, and about the effects of issue-linkages (which Grieco sees as *unlikely* to be substantiated), see Grieco, 1988:505–506. Grieco's statement of neoliberal theory is oversimplified however, inasmuch as he fails to emphasize that neoliberalism is a *conditional* theory. For situations with little mutual interest—in which international relations would approximate a series of zero-sum games—neoliberal theory's predictions considerably overlap with those of neorealism. Under these conditions, states will be reluctant to cooperate with each other and will choose less durable rather than more durable arrangements. Linkages, furthermore, may well impede cooperation. The divergence between the predictions of the two theories will become apparent only when opportunities for joint gains through cooperation are substantial. Under these conditions, according to neoliberal theory, states' obsessions with relative gains will diminish. They will join quite durable institutions, with explicit rules and organizations; and issue linkage will often, though not always, facilitate agreement.

21. A speculation to this effect appears in Keohane, 1984:95; but as far as I know, no one has sought to test this proposition.

22. Promising dissertations on these topics are being written at Harvard by Lisa Martin and Andrew Moravcsik, respectively.

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CHAPTER 2

A Personal Intellectual History

Few people study world politics for purely intellectual reasons. Other disciplines, even in the social sciences, offer better prospects for intellectual rigor and cumulative progress in solving well-defined problems. In studying world politics, we examine the strategic interactions of small numbers of organizations—usually states. When actors' strategies are potentially "exploitable"—that is, when knowledge of one actor's strategies can allow its opponents to make gains at its expense—each party has an incentive to deceive and outguess the other.¹ Students of world politics therefore face *inherent* limitations to scientific prediction and to fully satisfactory explanation—limitations that we are unlikely ever to overcome. Economists who examine the strategic behavior of oligopolists face the same problem.² So do game theorists, who find that interesting games rarely have unique equilibria—points at which no players have incentives to change their strategies unless others do so.³ The search for unique, deterministic outcomes of strategic interactions is a will-o'-the-wisp.

The realization that these limitations are inherent in our subject matter should make us humble. We do not have theories that can fully explain the past, and we certainly cannot predict the future. Prospectively, we seem to know too little to account for events; retrospectively, we know too much—since "everything seems relevant" and it is difficult to sort out causality. Past events seem "overdetermined"; the future is "underdetermined."⁴

The justification for spending one's professional life studying world politics cannot, therefore, be a purely scientific one. On the contrary, it is profoundly normative. We study world politics not because it is easily amenable to scientific investigation, but because human welfare, the fate of our species, and the future of the fragile global ecology itself depend on the ability of human beings to cope successfully with economic interdependence, nuclear weapons, and the world environment. We may be unable to understand world politics fully, but we know that our lives, and those of our descendants, depend on it. My own interest in international cooperation and discord—in particular, the conditions under which governments develop patterns of collaboration—reflects my personal aversion to conflict and violence, and my belief in the ability of human beings, through a combination of reason and empathy with others, to improve the world. I am a child of the Enlightenment—a chastened child, to be sure, but nevertheless a believer in the *possibility* of progress, though by no means in its inevitability.

REALIST THOUGHT AND NEOREALIST THEORY

by Kenneth N. Waltz¹

Exploring various ways to forward the study of international politics was one of William T.R. Fox's many interests. In 1957, he organized a series of seminars that brought together a number of established scholars, among them Paul Nitze, Hans Morgenthau and Charles Kindleberger, along with such younger scholars as Robert W. Tucker, Morton Kaplan and Martin Wight, to discuss problems in the study of international-political theory and its relation to the behavior of states. A volume edited and co-authored by Bill was the tangible product of the colloquium.² As one of the many students and colleagues who benefitted from Bill's ideas, encouragement, and support, I offer this essay as a small contribution toward clarifying some problems in the framing and applying of international political theory.

I begin by looking at a theoretical breakthrough in a related field: economics. Realists and neorealists represent two of the major theoretical approaches followed by students of international politics in the past half century or so. They encountered problems similar to those the Physiocrats began to solve in France in the middle of the eighteenth century. Students of international politics have had an extraordinarily difficult time casting their subject in theoretical terms. Looking first at an example of comparable difficulties surmounted in a related field may be instructive.

How Economic Theory Became Possible

Difficulties common to earlier economists and twentieth-century political scientists are revealed by examining Sir Josiah Child's *A New Discourse*, written mainly in the years 1668 to 1670.³ Child dealt with a striking question. Why, he wondered, did the prosperity of the Dutch surpass that of the English? In casting about for an answer, he seized on what seemed to be a compelling fact: namely, that the Dutch rate of interest had been lower than the English rate. The reasoning used to

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1. I should like to thank David Schleicher for his help on this paper
 2. William T.R. Fox, co-author and ed., *Theoretical Aspects of International Relations* (Notre Dame, IN: University of Notre Dame Press, 1959).
 3. Josiah Child, *A New Discourse of Trade*, 4th ed. (London: J. Hodges, 1740). See also William Letwin, *Sir Josiah Child, Merchant Economist* (Cambridge, MA: Harvard University Press, 1959).

establish the causal role of the rate of interest is correlative and sequential. Child tried to show that the prosperity of various countries varies inversely with prevailing rates of interest. He then established the causal direction by arguing that the expected changes in the level of prosperity followed upon changes in rates of interest.

Child's work is the kind of pre-theoretical effort that provides stimulus to, and material for, later theories. That is its merit. It is, however, the kind of work that can neither provide satisfactory explanations nor lead to the construction of theory. We can profit by noticing why this is so. Child tried to establish a necessary relation between the rate of interest and the level of prosperity. Other economists picked different factors as their favorite causes—the accumulation of bullion, the fertility of the population or the soil, the industry of the people, the level of rents, or whatever. But none was able to show why the relation between the chosen factor or factors and the condition to be accounted for necessarily held. Child, for example, could not supply an answer to this now obvious question: Why doesn't a rise in interest rates attract capital, ultimately lowering its price as with commodities? He could not say whether the association he claimed to have found was causal or coincidental. He could not say whether other factors in play may have caused interest rates and national prosperity to move in opposite directions. Innumerable explanations for the observed relation were available. Pre-physiocratic economists could only cast about for sequences and associations that seemed to pertain within or across countries. They could at best hope to formulate plausible explanations of particular outcomes. They had no way of relating the parts of an economy to one another and to the economy as a whole.

The first step forward was, as it had to be, to invent the concept of an economy as distinct from the society and the polity in which it is embedded. Some will always complain that it is artificial to think of an economy separate from its society and polity. Such critics are right. Yet the critics miss the point. Theory is artifice. A theory is an intellectual construction by which we select facts and interpret them. The challenge is to bring theory to bear on facts in ways that permit explanation and prediction. That can only be accomplished by distinguishing between theory and fact. Only if this distinction is made can theory be used to examine and interpret facts.

In the pre-theoretic era of economics, more and more information became available in the form of reported, or purported, facts, and more and more attempts were made to account for them. But differences of explanation remained unreconciled and explanations of particular processes and outcomes did not add up to an understanding of how a

national economy works. In a remarkable survey in which the historical development, the sociological setting, and the scientific qualities of economic thought are brought together, Joseph Schumpeter described the best economic literature of that earlier time as having "all the freshness and fruitfulness of direct observation." But, he added, it also "shows all the helplessness of mere observation by itself."⁴ Information accumulated, but arguments, even perceptive ones about propositions that might have been developed as theories, did not add up to anything more than ideas about particulars occasioned by current controversies.

Child was better than most economists of his day, although not as good as the best. The most creative economists were frustrated by the condition that Schumpeter described. The seventeenth-century economist Sir William Petty, for example, felt the frustration. Schumpeter described him as creating "for himself theoretical tools with which he tried to force a way through the undergrowth of facts."⁵ To eliminate useless and misleading "facts" was an important endeavor, but not a sufficient one. What blocked the progress of economic understanding was neither too little nor too much knowledge but rather the lack of a certain kind of knowledge.

The answers to factual questions pose puzzles that theory may hope to solve and provide materials for theorists to work with. But the work begins only when theoretical questions are posed. Theory cannot be fashioned from the answers to such factual questions as: What follows upon, or is associated with, what. Instead, answers have to be sought to such theoretical questions as these: How does this thing work? How does it all hang together? These questions cannot usefully be asked unless one has some idea of what the "thing" or the "it" might be. Theory becomes possible only if various objects and processes, movements and events, acts and interactions, are viewed as forming a domain that can be studied in its own right. Clearing away useless facts was not enough; something new had to be created. An invention was needed that would permit economic phenomena to be seen as distinct processes, that would permit an economy to be viewed as a realm of affairs marked off from social and political life.

This the Physiocrats first achieved. Francois Quesnay's famous economic table is a picture depicting the circulation of wealth among the productive and unproductive classes of society, but it is a picture of the

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4. Joseph Schumpeter, *Economic Doctrine and Method: An Historical Sketch*, R. Aris, trans. (New York: Oxford University Press, 1967) p.24.
 5. *Ibid.*, p.30.

unseen and the unseeable.⁶ Certain cycles are well-known facts of economic life—cycles of sowing and harvesting, of mining, refining, forging, and manufacturing. But such a direct simplification of observable processes is not what Quesnay's table presents. It presents, instead, the essential qualities of an economy in picture form. The Physiocrats were the first to think of an economy as a self-sustaining whole made up of interacting parts and repeated activities. To do so, they had to make radical simplifications—for example, by employing a psychology that saw people simply as seeking the greatest satisfaction from the least effort. They invented the concepts they needed. Their notion of a "social product" can well be described as the intellectual creation of the unobservable and the nonexistent. No one can point to a social product. It is not an identifiable quantity of goods but is instead a concept whose validity can be established only through its role in a theory that yields an improved understanding of the economy.

The Physiocrats developed concepts comprising innumerable particularities and contingencies without examining them. Among these concepts were the durable notions of distribution and circulation. The quaint and crude appearance of some physiocratic ideas should not obscure the radical advance that their theory represented. Economists had found it hard to get a theoretical hold on their subject. In pre-physiocratic economics, as Schumpeter said, "the connecting link of economic causality and an insight into the inner necessities and the general character of economics were missing. It was possible to consider the individual acts of exchange, the phenomenon of money, and the question of protective tariffs as economic problems, but it was impossible to see the total process which unfolds itself in a particular economic period. Before the Physiocrats appeared on the scene, only local symptoms on the economic body, as it were, had been perceived." Only the parts of an economy could be dealt with. It was therefore necessary again in Schumpeter's words, "to derive an explanatory principle from each separate complex of facts—as it were in a gigantic struggle with them—and it was at best possible merely to sense the great general contexts."⁷

International Politics: Beyond the Theoretical Pale

What the Physiocrats did for economics is exactly what Raymond Aron and Hans Morgenthau, two of the most theoretically self-conscious

6. Francois Quesnay was the foremost Physiocrat. His *Tableau Oeconomique* was published in 1758.

7. Schumpeter, *op. cit.*, pp. 42-44, 46.

traditional realists, believed to be impossible for students of international politics to accomplish. Aron drew a sharp distinction between the study of economics and the study of international politics. The latter he assigned to the category of history, which deals with unique events and situations, and of sociology, which deals with non-logical actions and searches for general relations among them. In contrast to economics, Aron said international politics suffers from the following difficulties:

- Innumerable factors affect the international system and no distinction can be made between those that are internal and those that are external to it.
- States, the principal international actors, cannot be endowed with a single aim.
- No distinction can be drawn between dependent and independent variables.
- No accounting identities—such as investment equals savings—can be devised.
- No mechanism exists for the restoration of a disrupted equilibrium.
- There is no possibility of prediction and manipulation with identified means leading to specified goals.⁸

Do the reasons cited eliminate the possibility of devising a theory of international politics? If so, then economics would have been similarly hampered. Aron did not relate obvious differences between economics and politics to the requirements of theory construction. He merely identified differences, in the confident belief that because of them no international-political theory is possible.

Morgenthau's theoretical stance is similar to Aron's. Morgenthau dealt persuasively with major problems and with issues of enduring importance. He had the knack of singling out salient facts and constructing causal analyses around them. He sought "to paint a picture of foreign policy" that would present its "rational essence," abstracting from personality and prejudice, and, especially in democracies, from the importunities of popular opinion that "impair the rationality of foreign policy."⁹ He was engaged, as it were, "in a gigantic struggle" with the facts, seeking "to derive an explanatory principle" from them. Like Petty, he forged concepts that might help him "force a way through the undergrowth of facts," such concepts as "national interest" and "interest

8. Raymond Aron, "What is a Theory of International Relations?" *Journal of International Affairs* 21, no. 2 (1967) pp. 185-206.

9. Hans J. Morgenthau, *Politics Among Nations*, 5th ed. (New York: Alfred A. Knopf, 1972) p. 7.

defined as power." Like Child, Morgenthau and other realists failed to take the fateful step beyond developing concepts to the fashioning of a recognizable theory.

Morgenthau described his purpose as being "to present a theory of international politics."¹⁰ Elements of a theory are presented, but never a theory. Morgenthau at once believed in "the possibility of developing a rational theory" and remained deeply skeptical about that possibility. Without a concept of the whole, he could only deal with the parts. As is rather commonly done, he confused the problem of explaining foreign policy with the problem of developing a theory of international politics. He then concluded that international political theory is difficult if not impossible to contrive.¹¹ He was fond of repeating Blaise Pascal's remark that the history of the world would have been different had Cleopatra's nose been a bit shorter, and then asking, "how do you systemize that?"¹² His appreciation of the role of the accidental and the occurrence of the unexpected in politics dampened his theoretical aspirations.

Neorealism's response is that, while difficulties abound, some that seem most daunting lie in misapprehensions about theory. Theory obviously cannot explain the accidental or account for unexpected events. Theories deal in regularities and repetitions and are possible only if these can be identified. As a realist, Morgenthau maintained "the autonomy of politics," but he failed to develop the concept and apply it to international politics.¹³ A theory is a depiction of the organization of a domain and of the connections among its parts.¹⁴ A theory indicates that some factors are more important than others and specifies relations among them. In reality, everything is related to everything else, and one domain cannot be separated from others. Theory isolates one realm from all others in order to deal with it intellectually. To isolate a realm is a precondition to developing a theory that will explain what goes on within it. The theoretical ambitions of Morgenthau, as of Aron, were forestalled by his belief that the international political domain cannot be marked off from others for the purpose of constructing a theory.

10. *Ibid.*, p.3.

11. Morgenthau, *Truth and Power* (New York: Praeger, 1970) pp.253-258.

12. Morgenthau, "International Relations: Quantitative and Qualitative Approaches," in Norman Palmer, ed., *A Design for International Relations Research: Scope, Theory, Methods, and Relevance* (Philadelphia: American Academy of Political and Social Science, 1970) p.78.

13. Morgenthau (1972), *op. cit.*, p.12.

14. Ludwig Boltzman, "Theories as Representations," excerpt, Rudolph Weingartner, trans., in Arthur Danto and Sidney Morgenbesser, eds., *Philosophy of Science* (Cleveland, OH: World, 1960).

In summarizing Aron's argument, I have put the first three points in sequence because they are closely interrelated. The single word "complexity" suggests the impediment that concerns him. If "economic, political, and social variables"¹⁵ enter into the international system, as surely they do, if states have not one but many goals, as surely they have, if separating dependent from independent variables and distinguishing effects from causes is an uncertain undertaking, as surely it is—then one can never hope to fashion a theory.

Complexity, however, does not work against theory. Rather, theory is a means of dealing with complexity. Economists can deal with it because they long ago solved Aron's first problem. Given the concept of a market—a bounded economic domain—they have been able to develop further concepts and draw connections among them. Because realists did not solve the first problem, they could not satisfactorily deal with the next two. Men have many motives. If all or very many of them must always be taken into account, economic theory becomes impossible. "Economic man" was therefore created. Men were assumed to be single-minded, economic maximizers. An assumption or a set of assumptions is necessary. In making assumptions about men's (or states') motivations, the world must be drastically simplified; subtleties must be rudely pushed aside, and reality must be grossly distorted. Descriptions strive for accuracy; assumptions are brazenly false. The assumptions on which theories are built are radical simplifications of the world and are useful only because they are such. Any radical simplification conveys a false impression of the world.

Aron's second and third points must be amended. Actors cannot realistically be endowed with a single aim, but we can only know by trying whether or not they can usefully be so endowed for purposes of constructing a theory. Political studies are not different from other studies in the realm of human affairs. We can make bold assumptions about motives, we can guess which few of many factors are salient, we can arbitrarily specify relations of dependence and independence among variables. We may even expect that the more complex and intricate the matters being studied are the stronger the urge "to be simple-minded" would become.¹⁶

If international politics is a recalcitrant realm for the theorist, then its special difficulties lie elsewhere than in the first three of Aron's points. Are they perhaps found in the last three? As the fourth of Aron's

15. Aron, *op. cit.*, p. 198.

16. "To be simple-minded" is Anatol Rapoport's first rule for the construction of mathematical models. See his "Lewis F. Richardson's Mathematical Theory of War," *Journal of Conflict Resolution* 1, no. 3 (1957) pp. 275-276.

impediments to theory, I have listed the absence of "accounting identities" or, as others have put it, the lack of a unit of measure and a medium of exchange in which goals can be valued and instruments comparatively priced. Political capability and political effect, whether or not conceived of simply in terms of power, cannot be expressed in units, such as dollars, that would have clear meaning and be applicable to different instruments and ends. Yet one finds in Adam Smith, for example, no numbers that are essential to his theory. Indeed, one finds hardly any numbers at all, and thus no "accounting identities." That supply equals demand or that investment equals savings are general propositions or purported laws that theory may explain. Stating the laws does not depend on counting, weighing, or measuring anything. As Frank Knight well and rightly wrote:

Pure theory, in economics as in any field, is abstract; it deals with forms only, in complete abstraction from content. On the individual side, economic theory takes men with (a) any wants whatever, (b) any resources whatever, and (c) any system of technology whatever, and develops principles of economic behaviour. The validity of its "laws" does not depend on the actual conditions or data, with respect to any of these three elementary phases of economic action.¹⁷

In politics, not everything can be counted or measured, but some things can be. That may be helpful in the application of theories but has nothing to do with their construction.

The fifth and sixth difficulties discovered by Aron seem to tell us something substantive about politics rather than about its amenability to theory and its status as science. In classical economic theory, no mechanism—that is, no agent or institution—restores a lost equilibrium. Classical and neoclassical economists were microtheorists—market and exchange relations emerge from the exercise of individual choice. The economy is produced by the interaction of persons and firms; it cannot be said to have goals or purposes of its own.¹⁸ Governments may, of course, act to restore a lost equilibrium. So may powerful persons or firms within the economy. But at this point we leave the realm of theory and enter the realm of practice—or "sociology" as Aron uses the term. "Any concrete study of international relations is sociological," he avers.¹⁹ The

17. Frank Hyneman Knight, *The Ethics of Competition and Other Essays* (London: George Allen & Unwin, 1936) p.281.

18. See also James M. Buchanan, "An Individualistic Theory of Political Process," in David Easton, ed., *Varieties of Political Theory* (Englewood Cliffs, NJ: Prentice-Hall, 1966) pp.25-26.

19. Aron, *op.cit.*, p.198.

characteristic attaches to concrete studies and not simply to the study of international politics.

Aron identifies science with the ability to predict and control.²⁰ Yet theories of evolution predict nothing in particular. Astronomers do predict (although without controlling), but what entitles astronomy to be called a science is not the ability to predict but the ability to specify causes, to state the theories and laws by which the predictions are made. Economic theory is impressive even when economists show themselves to be unreliable in prediction and prescription alike. Since theory abstracts from much of the complication of the world in an effort to explain it, the application of theory in any realm is a perplexing and uncertain matter.

Aron's first three problems can be solved, although in the realm of theory all solutions are tentative. Aron's last three difficulties are not impediments to the construction of theory but rather to its application and testing.

International Politics: Within the Theoretical Pale

The new realism, in contrast to the old, begins by proposing a solution to the problem of distinguishing factors internal to international political systems from those that are external. Theory isolates one realm from others in order to deal with it intellectually. By depicting an international-political system as a whole, with structural and unit levels at once distinct and connected, neorealism establishes the autonomy of international politics and thus makes a theory about it possible.²¹ Neorealism develops the concept of a system's structure which at once bounds the domain that students of international politics deal with and enables them to see how the structure of the system, and variations in it, affect the interacting units and the outcomes they produce. International structure emerges from the interaction of states and then constrains them from taking certain actions while propelling them toward others.

The concept of structure is based on the fact that units differently juxtaposed and combined behave differently and in interacting produce different outcomes. International structures are defined, first, by the ordering principle of the system, in our case anarchy, and second, by the distribution of capabilities across units. In an anarchic realm, structures are defined in terms of their major units. International structures vary with significant changes in the number of great powers. Great powers

20. *Ibid.*, p. 201. See also Morgenthau (1970), *op. cit.*, p.253.

21. Neorealism is sometimes referred to as structural realism. Throughout this essay I refer to my own formulation of neorealist theory. See esp. chs. 5-6 of *Theory of International Politics* (Reading, MA: Addison-Wesley, 1979).

are marked off from others by the combined capabilities (or power) they command. When their number changes consequentially, the calculations and behaviors of states, and the outcomes their interactions produce, vary.

The idea that international politics can be thought of as a system with a precisely defined structure is neorealism's fundamental departure from traditional realism. The sparseness of the definition of international structure has attracted criticism. Robert Keohane asserts that neorealist theory "can be modified progressively to attain closer correspondence with reality."²² In the most sensitive and insightful essay on neorealism that I have read, Barry Buzan asks whether the logic of neorealism completely captures "the main features of the international political system." He answers this way:

"The criticisms of Ruggie, Keohane, and others suggest that it does not, because their concerns with factors such as dynamic density, information richness, communication facilities, and such like do not obviously fit into Waltz's ostensibly 'systemic' theory."²³

One wonders whether such factors as these can be seen as concepts that might become elements of a theory? "Dynamic density" would seem to be the most promising candidate. Yet dynamic density is not a part of a theory about one type of society or another. Rather it is a condition that develops in greater or lesser degree within and across societies. If the volume of transactions grows sufficiently, it will disrupt a simple society and transform it into a complex one. Dynamic density is not part of a theory of any society. Rather it is a social force developing in society that under certain circumstances may first disrupt and then transform it.²⁴ The "such likes" mentioned by Buzan would not fit into any theory. Can one imagine how demographic trends, information richness and international institutions could be thrown into a theory? No theory can contain the "such likes," but if a theory is any good, it helps us to understand and explain them, to estimate their significance and to gauge their effects. Moreover, any theory leaves some things unexplained, and no theory enables one to move directly and easily from theory to application. Theories, one must add, are not useful merely because they may help one

22. Robert O. Keohane, "Theory of World Politics: Structural Realism and Beyond" in Keohane, ed., *Neorealism and Its Critics* (New York: Columbia University Press, 1986) p.191.

23. Barry Buzan, "Systems, Structures and Units: Reconstructing Waltz's Theory of International Politics," unpublished paper (April 1988) p.35.

24. John G. Ruggie, "Continuity and Transformation in the World Polity," in Keohane, ed., *op. cit.*, pp.148-152; Waltz, "A Response to my Critics," pp.323-326. Waltz (1979), *op. cit.*, pp.126-128.

to understand, explain, and sometimes predict the trend of events. Equally important, they help one to understand how a given system works.

To achieve "closeness of fit" would negate theory. A theory cannot fit the facts or correspond with the events it seeks to explain. The ultimate closeness of fit would be achieved by writing a finely detailed description of the world that interests us. Nevertheless, neorealism continues to be criticized for its omissions. A theory can be written only by leaving out most matters that are of practical interest. To believe that listing the omissions of a theory constitutes a valid criticism is to misconstrue the theoretical enterprise.

The question of omissions arises because I limit the second term that defines structure to the distribution of power across nations. Now and then critics point out that logically many factors other than power, such as governmental form or national ideology, can be cast in distributional terms. Obviously so, but logic alone does not write theories. The question is not what does logic permit, but what does this theory require? Considerations of power dominate considerations of ideology. In a structural theory, states are differently placed by their power and differences in placement help to explain both their behavior and their fates. In any political system, the distribution of the unit's capabilities is a key to explanation. The distribution of power is of special explanatory importance in self-help political systems because the units of the system are not formally differentiated with distinct functions specified as are the parts of hierarchic orders.

Barry Buzan raises questions about the adequacy "of defining structure within the relatively narrow sectoral terms of politics."²⁵ It may be that a better theory could be devised by differently drawing the borders of the domain to which it will apply, by adding something to the theory, by subtracting something from it, or by altering assumptions and rearranging the relations among a theory's concepts. But doing any or all of these things requires operations entirely different from the mere listing of omissions. Theory, after all, is mostly omissions. What is omitted cannot be added without thoroughly reworking the theory and turning it into a different one. Should one broaden the perspective of international-political theory to include economics? An international political-economic theory would presumably be twice as good as a theory of international politics alone. To fashion such a theory, one would have to show how the international political-economic domain can be marked off from others. One would first have to define its structures and then develop a theory to explain actions and outcomes within it. A political-

25. Buzan, *op. cit.*, p.11.

economic theory would represent a long step toward a general theory of international relations, but no one has shown how to take it.

Those who want to disaggregate power as defined in neorealist theory are either calling for a new theory, while failing to provide one, or are pointing to some of the knotty problems that arise in the testing and application of theory. In the latter case, they, like Aron, confuse difficulties in testing and applying theory with the problem of constructing one.²⁶ Critics of neorealist theory fail to understand that a theory is not a statement about everything that is important in international-political life, but rather a necessarily slender explanatory construct. Adding elements of practical importance would carry us back from a neorealist theory to a realist approach. The rich variety and wondrous complexity of international life would be reclaimed at the price of extinguishing theory.

Neorealism breaks with realism in four major ways. The first and most important one I have examined at some length. The remaining three I shall treat more briefly. They follow from, and are made possible by, the first one. Neorealism departs from traditional realism in the following additional ways: Neorealism produces a shift in causal relations, offers a different interpretation of power, and treats the unit level differently.

Theory and Reality

Causal Directions

Constructing theories according to different suppositions alters the appearance of whole fields of inquiry. A new theory draws attention to new objects of inquiry, interchanges causes and effects, and addresses different worlds. When John Hobson cast economics in macrotheoretical terms, he baffled his fellow economists. The London Extension Board would not allow him to offer courses on political economy because an economics professor who had read Hobson's book thought it "equivalent in rationality to an attempt to prove the flatness of the earth."²⁷ Hobson's figure was apt. Microtheory, the economic orthodoxy of the day, portrayed a world different from the one that Hobson's macrotheory revealed.

Similarly, the neorealist's world looks different from the one that earlier realists had portrayed. For realists, the world addressed is one of interacting states. For neorealists, interacting states can be adequately

26. See, for example., Joseph S. Nye, Jr., "Neorealism and Neoliberalism," in *World Politics* 40, no. 2, (January 1988) pp.241-245; Keohane, *op. cit.*, pp.184-200; Buzan, *op. cit.* pp.28-34.

27. John Maynard Keynes, *The General Theory of Employment, Interest, and Money* (London: Macmillan, 1951) pp.365-6.

studied only by distinguishing between structural and unit-level causes and effects. Structure becomes a new object of inquiry, as well as an occasion for argument. In the light of neorealist theory, means and ends are differently viewed, as are causes and effects. Realists think of causes running in one direction, from interacting states to the outcomes their acts and interactions produce. This is clearly seen in Morgenthau's "Six Principles of Political Realism," which form the substance of a chapter headed "A Realist Theory of International Politics."²⁸ Strikingly, one finds much said about foreign policy and little about international politics. The principles develop as Morgenthau searches for his well-known "rational outline, a map that suggests to us the possible meanings of foreign policy."²⁹ The principles are about human nature, about interest and power, and about questions of morality. Political realism offers the perspective in which the actions of statesmen are to be understood and judged. Morgenthau's work was in harmony with the developing political science of his day, although at the time this was not seen. Methodological presuppositions shape the conduct of inquiry. The political-science paradigm was becoming deeply entrenched. Its logic is preeminently behavioral. The established paradigm of any field indicates what facts to scrutinize and how they are interconnected. Behavioral logic explains political outcomes through examining the constituent parts of political systems. When Aron and other traditionalists insist that theorists' categories be consonant with actors' motives and perceptions, they are affirming the preeminently behavioral logic that their inquiries follow.³⁰ The characteristics and the interactions of behavioral units are taken to be the direct causes of political events, whether in the study of national or of international politics. Aron, Morgenthau and other realists tried to understand and explain international outcomes by examining the actions and interactions of the units, the states that populate the international arena and those who guide their policies. Realism's approach is primarily inductive. Neorealism is more heavily deductive.

Like classical economists before them, realists were unable to account for a major anomaly. Classical theory held that disequilibria would be righted by the working of market forces without need for governmental intervention. Hobson's, and later in fuller form John Maynard Keynes's, macroeconomic theory explained why in the natural course of events recovery from depressions was such a long time coming.³¹ A similarly

28. Morgenthau (1972), *op. cit.*, pp. 4-14.

29. *Ibid.*, p. 5.

30. See Waltz (1979), *op. cit.*, pp. 44, 47, 62.

31. In his *General Theory*, Keynes gives Hobson full credit for setting forth the basic concepts of macroeconomic theory.

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big anomaly in realist theory is seen in the attempt to explain alternations of war and peace. Like most students of international politics, realists infer outcomes from the salient attributes of the actors producing them. Governmental forms, economic systems, social institutions, political ideologies—these are but a few examples of where the causes of war and peace have been found. Yet, although causes are specifically assigned, we know that states with every imaginable variation of economic institution, social custom, and political ideology have fought wars. If an indicated condition seems to have caused a given war, one must wonder what accounts for the repetition of wars even as their causes vary. Variations in the quality of the units are not linked directly to the outcomes their behaviors produce, nor are variations in patterns of interaction. Many, for example, have claimed that World War I was caused by the interaction of two opposed and closely balanced coalitions. But then many have claimed that World War II was caused by the failure of some states to right an imbalance of power by combining to counter an existing alliance. Over the centuries, the texture of international life has remained impressively, or depressingly, uniform even while profound changes were taking place in the composition of states which, according to realists, account for national behavior and international outcomes. Realists cannot explain the disjunction between supposed causes and observed effects. Neorealists can.

Neorealism contends that international politics can be understood only if the effects of structure are added to traditional realism's unit-level explanations. More generally, neorealism reconceives the causal link between interacting units and international outcomes. Neorealist theory shows that causes run not in one direction, from interacting units to outcomes produced, but rather in two directions. One must believe that some causes of international outcomes are located at the level of the interacting units. Since variations in unit-level causes do not correspond to variations in observed outcomes, one has to believe that some causes are located at the structural level of international politics as well. Realists cannot handle causation at a level above states because they fail to conceive of structure as a force that shapes and shoves the units. Causes at the level of units interact with those at the level of the structure and because they do so explanation at the level of units alone is bound to mislead. If one's theory allows for the handling of both unit-level and structure-level causes, then it can cope with both the changes and the continuities that occur in a system.

Power as Means and End

For many realists, the desire for power is rooted in the nature of man. Morgenthau recognized that given competition for scarce goods with no

one to serve as arbiter, a struggle for power will ensue among the competitors, and that consequently the struggle for power can be explained without reference to the evil born in men. The struggle for power arises because people want things and not necessarily because of the evil in their desires. This he labels one of the two roots of conflict, but even while discussing it he pulls toward the "other root of conflict and concomitant evil"—the *animus dominandi*, the desire for power. He often considers man's drive for power as a datum more basic than the chance conditions under which struggles for power occur.³²

The reasoning is faithful to Hobbes for whom the three causes of quarrels were competition, diffidence (i.e., distrust), and glory. Competition leads to fighting for gain, diffidence to fighting to keep what has been gained, glory to fighting for reputation. Because some hunger for power, it behooves others to cultivate their appetites.³³ For Morgenthau, as for Hobbes, even if one has plenty of power and is secure in its possession, more power is nevertheless wanted. As Morgenthau put it:

Since the desire to attain a maximum of power is universal, all nations must always be afraid that their own miscalculations and the power increases of other nations might add up to an inferiority for themselves which they must at all costs try to avoid.³⁴

Both Hobbes and Morgenthau see that conflict is in part situationally explained, but both believe that even were it not so, pride, lust, and the quest for glory would cause the war of all against all to continue indefinitely. Ultimately, conflict and war are rooted in human nature.

The preoccupation with the qualities of man is understandable in view of the purposes Hobbes and Morgenthau entertain. Both are interested in understanding the state. Hobbes seeks a logical explanation of its emergence; Morgenthau seeks to explain how it behaves internationally. Morgenthau thought of the "rational" statesman as striving ever to accumulate more and more power. Power is seen as an end in itself. Nations at times may act aside from considerations of power. When they do, Morgenthau insists, their actions are not "of a political nature."³⁵ The claim that "the desire to attain a maximum of power is universal" among nations is one of Morgenthau's "objective laws that have their roots in human nature."³⁶ Yet much of the behavior of nations contradicts it. Morgenthau does not explain why other desires fail to moderate or

32. Morgenthau, *Scientific Man vs. Power Politics* (Chicago: University of Chicago Press, 1946) p.192.

33. Thomas Hobbes, *Leviathan*.

34. Morgenthau (1972), *op. cit.*, p.208.

35. *Ibid.*, p.27.

36. *Ibid.*

outweigh the fear states may have about miscalculation of their relative power. His opinions about power are congenial to realism. They are easily slipped into because the effort to explain behavior and outcomes by the characteristics of units leads realists to assign to them attributes that seem to accord with behavior and outcomes observed. Unable to conceive of international politics as a self-sustaining system, realists concentrate on the behavior and outcomes that seem to follow from the characteristics they have attributed to men and states. Neorealists, rather than viewing power as an end in itself, see power as a possibly useful means, with states running risks if they have either too little or too much of it. Weakness may invite an attack that greater strength would dissuade an adversary from launching. Excessive strength may prompt other states to increase their arms and pool their efforts. Power is a possibly useful means, and sensible statesmen try to have an appropriate amount of it. In crucial situations, the ultimate concern of states is not for power but for security. This is an important revision of realist theory.

A still more important one is neorealism's use of the concept of power as a defining characteristic of structure. Power in neorealist theory is simply the combined capability of a state. Its distribution across states, and changes in that distribution, help to define structures and changes in them as explained above. Some complaints have been made about the absence of efforts on the part of neorealists to devise objective measures of power. Whatever the difficulties of measurement may be, they are not theoretical difficulties but practical ones encountered when moving from theory to its practical application.

Interacting Units

For realists, anarchy is a general condition rather than a distinct structure. Anarchy sets the problem that states have to cope with. Once this is understood, the emphasis of realists shifts to the interacting units. States are unlike one another in form of government, character of rulers, types of ideology, and in many other ways. For both realists and neorealists, differently constituted states behave differently and produce different outcomes. For neorealists, however, states are made functionally similar by the constraints of structure, with the principal differences among them defined according to capabilities. For neorealists, moreover, structure mediates the outcomes that states produce. As internal and external circumstances change, structures and states may bear more or less causal weight. The question of the relative importance of different levels cannot be abstractly or definitively answered. Ambiguity cannot be resolved since structures affect units even as units affect structures. Some have thought that this is a defect of neorealist theory. It is so, however, only if factors at the unit level or at the structural level

determine, rather than merely affect, outcomes. Theories cannot remove the uncertainty of politics, but only help us to comprehend it.

Neorealists concentrate their attention on the central, previously unanswered question in the study of international politics: How can the structure of an international-political system be distinguished from its interacting parts? Once that question is answered, attention shifts to the effects of structure on interacting units. Theorists concerned with structural explanations need not ask how variations in units affect outcomes, even though outcomes find their causes at both structural and unit levels. Neorealists see states as like units; each state "is like all other states in being an autonomous political unit." Autonomy is the unit-level counterpart of anarchy at the structural level.³⁷ A theory of international politics can leave aside variation in the composition of states and in the resources and technology they command because the logic of anarchy does not vary with its content. Realists concentrate on the heterogeneity of states because they believe that differences of behavior and outcomes proceed directly from differences in the composition of units. Noticing that the proposition is faulty, neorealists offer a theory that explains how structures affect behavior and outcomes.

The logic of anarchy obtains whether the system is composed of tribes, nations, oligopolistic firms, or street gangs. Yet systems populated by units of different sorts in some ways perform differently, even though they share the same organizing principle. More needs to be said about the status and role of units in neorealist theory. More also needs to be said about changes in the background conditions against which states operate. Changes in the industrial and military technologies available to states, for example, may change the character of systems but do not change the theory by which their operation is explained. These are subjects for another essay. Here I have been concerned not to deny the many connections between the old and the new realism but to emphasize the most important theoretical changes that neorealism has wrought. I have been all the more concerned to do this since the influence of realist and behavioral logic lingers in the study of international politics, as in political science generally.

37. On page 95 of *Theory of International Politics*, I slipped into using "sovereignty" for "autonomy." Sovereignty, Ruggie points out, is particular to the modern state. See his "Continuity and Transformation," in Keohane, ed., *op. cit.*, pp.142-148